NEW ISSUE **RATING: S&P: "AAA"**
BOOK-ENTRY ONLY **See "RATING"**

In the opinion of Kutak Rock LLP, Bond Counsel, under existing laws, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and continuing compliance by the City of Boulder, Colorado (the "City") with certain covenants, interest on the 2022 Bonds is excludable from gross income for federal income tax purposes and is not a specific preference item for purposes of the federal alternative minimum tax. Bond Counsel is also of the opinion that, under existing State of Colorado statutes, to the extent excludable from gross income for federal income tax purposes, interest on the 2022 Bonds is excludable from gross income for Colorado income tax purposes and from the calculation of Colorado alternative minimum taxable income. See "TAX MATTERS" herein for a more detailed discussion.

$44,140,000
CITY OF BOULDER, COLORADO
(ACTING THROUGH ITS WATER UTILITY ENTERPRISE AND ITS WASTEWATER UTILITY ENTERPRISE)
WATER AND SEWER REVENUE BONDS
SERIES 2022

Dated: Date of Delivery **Due: December 1, as shown herein**

The City, acting through its Water Utility Enterprise and its Wastewater Utility Enterprise, is issuing its Water and Sewer Revenue Bonds, Series 2022 (the "2022 Bonds"). The 2022 Bonds are issued as fully registered bonds in denominations of $5,000, or any integral multiple thereof. The 2022 Bonds initially will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"), which is acting as the securities depository for the 2022 Bonds. Purchases of the 2022 Bonds are to be made in book-entry form only. Purchasers will not receive certificates representing their beneficial ownership interest in the 2022 Bonds. See "THE 2022 BONDS--Book-Entry Only System." The 2022 Bonds bear interest at the rates set forth herein, payable on December 1, 2022, and semiannually thereafter on June 1 and December 1 of each year, to and including the maturity dates shown on the inside cover hereof (unless the 2022 Bonds are redeemed earlier), to the registered owner of the 2022 Bonds, initially Cede & Co. The principal of, and premium, if any, on the 2022 Bonds will be payable upon presentation and surrender at U.S. Bank Trust Company, at its operations center in St. Paul, Minnesota, or its successor as the paying agent for the 2022 Bonds. See "THE 2022 BONDS."

The maturity schedule for the 2022 Bonds appears on the inside cover page of this Official Statement.

The 2022 Bonds are subject to redemption prior to maturity at the option of the City as described in "THE 2022 BONDS--Redemption Provisions."

Proceeds of the 2022 Bonds will be used to: (i) construct, acquire, improve and equip certain capital improvements to the City's municipal Water System and Sewer System (collectively, the "Facilities"), including but not limited to, the 63rd Street Water Treatment Plant and Albion Lake Dam; (ii) purchase a reserve fund surety bond and (iii) pay the costs of issuing the 2022 Bonds. See "SOURCES AND USES OF FUNDS."

The 2022 Bonds are special, limited obligations of the City payable solely from the Net Income (defined herein) derived from the operation or use of the Facilities. The 2022 Bonds constitute an irrevocable and first lien (but not necessarily an exclusive first lien) upon the Net Income on a parity with the lien thereon of certain Outstanding Parity Bonds, as described herein, and any additional Parity Bonds issues in the future. **The 2022 Bonds do not constitute a debt or an indebtedness of the City within the meaning of any constitutional, charter or statutory provision, and shall not be considered or held to be general obligation of the City. Owners of the 2022 Bonds may not look to any other funds or accounts other than those specifically pledged by the City to the payment of the 2022 Bonds.** See "SECURITY FOR THE BONDS."

This cover page contains certain information for quick reference only. It is *not* a summary of the issue. Investors must read the entire Official Statement to obtain information essential to making an informed investment decision.

The 2022 Bonds are offered when, as, and if issued by the City and accepted by the initial purchaser of the Bonds, subject to the approval of legality of the 2022 Bonds by Kutak Rock LLP, Denver, Colorado, Bond Counsel, and the satisfaction of certain other conditions. Butler Snow LLP, Denver, Colorado, has acted as special counsel to the City in connection with the Official Statement. Certain legal matters will be passed upon for the City by the City Attorney. Hilltop Securities Inc., Denver, Colorado, is acting as the Municipal Advisor to the City. It is expected that the 2022 Bonds will be available for delivery through the facilities of DTC, on or about June 1, 2022.

PIPER | SANDLER

Official Statement dated May 17, 2022

$44,140,000
CITY OF BOULDER, COLORADO
(ACTING THROUGH ITS WATER UTILITY ENTERPRISE
AND ITS WASTEWATER UTILITY ENTERPRISE)
WATER AND SEWER REVENUE BONDS
SERIES 2022

MATURITY SCHEDULE
(CUSIP© 6-DIGIT ISSUER NUMBER: 10146H)

Maturing (December 1)	Principal Amount	Interest Rate	Yield	CUSIP© Issue Number	Maturing (December 1)	Principal Amount	Interest Rate	Yield	CUSIP© Issue Number
2022	$2,190,000	5.000%	2.000%	MC7	2033	$2,090,000	5.000%	3.240%*	MP8
2023	1,280,000	5.000	2.200	MD5	2034	2,195,000	5.000	3.290*	MQ6
2024	1,345,000	5.000	2.420	ME3	2035	2,305,000	5.000	3.330*	MR4
2025	1,415,000	5.000	2.570	MF0	2036	2,420,000	5.000	3.390*	MS2
2026	1,485,000	5.000	2.650	MG8	2037	2,540,000	4.000	3.810*	MT0
2027	1,560,000	5.000	2.730	MH6	2038	2,640,000	3.875	3.920	MU7
2028	1,635,000	5.000	2.860	MJ2	2039	2,740,000	3.875	3.970	MV5
2029	1,720,000	5.000	2.990	MK9	2040	2,850,000	4.000	4.010	MW3
2030	1,805,000	5.000	3.050	ML7	2041	2,960,000	4.000	4.040	MX1
2031	1,895,000	5.000	3.130	MM5	2042	3,080,000	4.000	4.080	MY9
2032	1,990,000	5.000	3.200	MN3					

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* Priced to first optional call date of December 1, 2032

USE OF INFORMATION IN THIS OFFICIAL STATEMENT

This Official Statement, which includes the cover page, the inside cover page and the appendices, does not constitute an offer to sell or the solicitation of an offer to buy any of the 2022 Bonds in any jurisdiction in which it is unlawful to make such offer, solicitation, or sale. No dealer, salesperson, or other person has been authorized to give any information or to make any representations other than those contained in this Official Statement in connection with the offering of the 2022 Bonds, and if given or made, such information or representations must not be relied upon as having been authorized by the City. The City maintains an internet website; however, the information presented there is not a part of this Official Statement and should not be relied upon in making an investment decision with respect to the 2022 Bonds.

The information set forth in this Official Statement has been obtained from the City, from the sources referenced throughout this Official Statement and from other sources believed to be reliable. No representation or warranty is made by the City, however, as to the accuracy or completeness of information received from parties other than the City. This Official Statement contains, in part, estimates and matters of opinion which are not intended as statements of fact, and no representation or warranty is made as to the correctness of such estimates and opinions, or that they will be realized.

The information, estimates, and expressions of opinion contained in this Official Statement are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the 2022 Bonds shall, under any circumstances, create any implication that there has been no change in the affairs of the City, or in the information, estimates, or opinions set forth herein, since the date of this Official Statement.

This Official Statement has been prepared only in connection with the original offering of the 2022 Bonds and may not be reproduced or used in whole or in part for any other purpose.

The 2022 Bonds have not been registered with the Securities and Exchange Commission due to certain exemptions contained in the Securities Act of 1933, as amended. The 2022 Bonds have not been recommended by any federal or state securities commission or regulatory authority, and the foregoing authorities have neither reviewed nor confirmed the accuracy of this document.

THE PRICES AT WHICH THE 2022 BONDS ARE OFFERED TO THE PUBLIC BY THE UNDERWRITER (AND THE YIELDS RESULTING THEREFROM) MAY VARY FROM THE INITIAL PUBLIC OFFERING PRICES OR YIELDS APPEARING ON THE INSIDE COVER PAGE HEREOF. IN ADDITION, THE UNDERWRITER MAY ALLOW CONCESSIONS OR DISCOUNTS FROM SUCH INITIAL PUBLIC OFFERING PRICES TO DEALERS AND OTHERS. IN ORDER TO FACILITATE DISTRIBUTION OF THE 2022 BONDS, THE UNDERWRITER MAY ENGAGE IN TRANSACTIONS INTENDED TO STABILIZE THE PRICE OF THE 2022 BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

CITY OF BOULDER, COLORADO

CITY COUNCIL
Aaron Brockett, Mayor
Rachel Friend, Mayor Pro Tem
Matt Benjamin, Council member
Lauren Folkerts, Council member
Junie Joseph, Council member
Nicole Speer, Council member
Mark Wallach, Council member
Tara Winer, Council member
Bob Yates, Council member

CITY OFFICIALS
Nuria Rivera-Vandermyde, City Manager
Teresa Taylor Tate, City Attorney
Kara Skinner, Interim Chief Financial Officer

BOND COUNSEL
Kutak Rock LLP
Denver, Colorado

SPECIAL COUNSEL
Butler Snow LLP
Denver, Colorado

REGISTRAR AND PAYING AGENT
U.S. Bank Trust Company
Denver, Colorado

MUNICIPAL ADVISOR
Hilltop Securities Inc.
Denver, Colorado

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The information to be updated may be reported in any format chosen by the City; it is not required that the format reflected in this Official Statement be used in future years.

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OFFICIAL STATEMENT

$44,140,000
CITY OF BOULDER, COLORADO
ACTING THROUGH ITS WATER UTILITY ENTERPRISE
AND ITS WASTEWATER UTILITY ENTERPRISE)
WATER AND SEWER REVENUE BONDS
SERIES 2022

INTRODUCTION

General

This Official Statement, including the cover page, the inside cover page and the appendices, is furnished by the City of Boulder (the "City"), a home rule city of the State of Colorado (the "State"), to provide information about the City and the $44,140,000 Water and Sewer Revenue Bonds, Series 2022 (the "2022 Bonds"), to be issued by the City acting through its Water Utility Enterprise and its Wastewater Utility Enterprise. The 2022 Bonds will be issued pursuant to an ordinance (the "Bond Ordinance") adopted by the City Council of the City (the "City Council") prior to the issuance of the 2022 Bonds.

The offering of the 2022 Bonds is made only by way of this Official Statement, which supersedes any other information or materials used in connection with the offer or sale of the 2022 Bonds. The following introductory material is only a brief description of and is qualified by the more complete information contained throughout this Official Statement. A full review should be made of the entire Official Statement and the documents summarized or described herein. Detachment or other use of this "INTRODUCTION" without the entire Official Statement, including the cover page, the inside cover page, and appendices, is unauthorized. Unless otherwise provided, capitalized terms used herein have the meanings given to them in the Bond Ordinance.

The Issuer

The City is a municipal corporation duly organized and existing under the laws of the State of Colorado. In particular, the City is a home rule city and adopted a charter pursuant to Article XX of the Colorado Constitution by vote of the electorate on October 30, 1917 (the "City Charter"). The City is located in north central Colorado, approximately 25 miles northwest of Denver. The City is situated at the base of the foothills of the Front Range of the Rocky Mountains at an altitude of 5,354 feet. The City encompasses 25 square miles, and is the county seat of Boulder County, Colorado (the "County"). The City's estimated population is approximately 116,424 persons. See "THE CITY."

The City operates a municipal water system (the "Water System") and a municipal sanitary sewer or Sewer System (the "Sewer System" or "Wastewater System" and together with the Water System, the "Facilities") and related facilities, which provide services to residents of the City and the area immediately surrounding the City. The City's Water System and Sewer System served 29,579 and 27,868 accounts, respectively, as of December 31, 2021.

Authority for Issuance

The 2022 Bonds are issued pursuant to the Constitution and laws of the State, including particularly the City Charter, the Bond Ordinance and Part 2, Article 57, Title 11 of the Colorado Revised Statutes (the "Supplemental Public Securities Act").

Purpose

Proceeds of the 2022 Bonds will be used to: (i) construct, acquire, improve and equip certain capital improvements to the City's Water System and Sewer System, including but not limited to, the 63rd Street Water Treatment Plant, Albion Lake Dam and pipelines to the Boulder Water Resource Recovery Facility, as more particularly described herein (the "Project"); (ii) purchase a reserve fund surety bond; and (iii) pay the costs of issuing the 2022 Bonds, including the cost of a reserve fund surety bond. See "SOURCES AND USES OF FUNDS."

Security

General; Special Limited Obligations. The 2022 Bonds will be payable solely from and secured by the Net Income of Facilities and from the funds pledged to payment of the 2022 Bonds in the Bond Ordinance. As more particularly defined below, the Net Income consists of the Gross Income of the Facilities, less only reasonable and necessary Operation and Maintenance Expenses related to the Facilities. The 2022 Bonds will not constitute an indebtedness or a debt of the City within the meaning of any constitutional, charter or statutory provision or limitation, will not be payable from the proceeds of general property taxes, and will not be considered or held to be general obligations of the City, but will be its special obligations, payable as aforesaid.

The Bond Ordinance defines "Gross Income" as all income and revenues derived directly or indirectly by the City from the operation and use of the Facilities, as may be designated, or any part thereof, whether resulting from improvements, extensions, enlargements, repairs or betterments thereto, or otherwise, including interest earnings on moneys in any fund or account created by the Bond Ordinance and includes all revenues earned by the City therefrom, including without limiting the generality of the foregoing, all rentals, fees, rates and other charges for the use thereof, or for any service rendered by the City in the operation thereof, but excluding any moneys received as grants, appropriations or gifts from the United States of America, the State, or other sources, the use of which is limited by the grantor or donor to the construction of capital improvements therefor, except to the extent any such moneys will be received as payments for the use of the Facilities, or any part thereof.

"Operation and Maintenance Expenses" means all reasonable and necessary current expenses of the City, paid or accrued, for operating, maintaining and repairing the Facilities as may be designated; and the term may include at the City's option (except as limited by law), without limiting the generality of the foregoing, (a) engineering, auditing, reporting, legal and other overhead expenses of the City directly related to the administration, operation and maintenance thereof, (b) insurance and fidelity bond premiums, (c) the reasonable charges of the Paying Agent and any other depositary bank appertaining thereto, (d) payments to pension, retirement, health and hospitalization funds, (e) any taxes, assessments or other charges which may be lawfully imposed on the City or its income or operations of any properties under its control and appertaining thereto, (f) ordinary and current rentals of equipment or other property, (g) refunds of any revenues lawfully due to others, (h) expenses in connection with the issuance

of bonds or other securities evidencing any loan to the City and payable from Gross Income, (i) the expenses and compensation of any trustee or other fiduciary, (j) contractual services and professional services required by the Bond Ordinance, (k) salaries, labor and the cost of materials and supplies used for current operation, and (l) all other third party administrative, general and commercial expenses, but (i) excluding any allowance for depreciation or any amounts for capital replacements; (ii) excluding the costs of improvements, extensions, enlargements and betterments (or any combination thereof) that qualify as capital items in accordance with generally accepted accounting principles, or any reserves therefor; (iii) excluding any reserves for operation, maintenance or repair of the Facilities; (iv) excluding any allowance for the redemption of any bond or other security evidencing a loan, or the payment of any interest thereon, or any reserve therefor; and (v) excluding liabilities incurred by the City as the result of its negligence in the operation of the Facilities or other ground of legal liability not based on contract, or any reserve therefor.

Lien Priority. The 2022 Bonds constitute an irrevocable and first lien (but not necessarily an exclusive lien) upon the Net Income on a parity with the lien thereon of the bonds listed in the table below, which are outstanding in the aggregate principal amounts listed below as of April 1, 2022.

Bond Issue	Principal Outstanding (as of 4/1/22)
Water and Sewer Revenue Refunding Bonds, Series 2012 (the "2012 Bonds")	$11,045,000
Water and Sewer Revenue Bonds, Series 2015 (the "2015 Bonds")	7,590,000
Water and Sewer Revenue Bonds, Series 2016 (the "2016 Bonds")	25,935,000
Water and Sewer Revenue Bonds, Series 2018 (the "2018 Bonds")	34,335,000
Water and Sewer Revenue Refunding Note, Series 2020 (the "2020 Note")	4,635,000
Total	$83,540,000

The 2012 Bonds, the 2015 Bonds, the 2016 Bonds, the 2018 Bonds and the 2020 Note are referred to herein as the "Prior Parity Bonds."

Additional Bonds. The City may issue additional bonds payable from the Net Income of the Facilities on a parity with the lien of the 2022 Bonds and the Prior Parity Bonds upon the conditions set forth in the Bond Ordinance. See "SECURITY FOR THE BONDS--Additional Bonds." The 2022 Bonds, the Prior Parity Bonds and any additional bonds issued with a parity lien on the Net Income are referred to herein as the "Parity Bonds." The City currently has plans to issue additional bonds in the next five (5) years. See "THE FACILITIES-Future Capital Improvements."

Reserve Fund. Upon delivery of the 2022 Bonds, the City will fund a Reserve Fund for the 2022 Bonds in an amount equal to the "Minimum Bond Reserve" (defined herein). The Minimum Bond Reserve for the 2022 Bonds will be funded with a reserve fund surety bond provided by Build America Mutual Assurance Company (the "2022 Reserve Policy"). See "SECURITY FOR THE BONDS--Reserve Fund" and "APPENDIX F – Form of Municipal Bond Debt Service Reserve Insurance Policy."

Rate Covenant. The City has covenanted in the Bond Ordinance to set the rates, fees and other charges for usage of the Facilities so that Gross Income will be adequate annually to pay the annual Operation and Maintenance Expenses and 125% of the actual annual debt

service requirements on the Parity Bonds and any other bonds payable annually from Gross Income.

The 2022 Bonds; Prior Redemption

The 2022 Bonds are issuable as fully registered bonds in the denominations of $5,000 and integral multiples thereof. The 2022 Bonds are dated as of the date of delivery and bear interest from their date or such later date to which interest has been paid, payable semiannually on June 1 and December 1 of each year, commencing on December 1, 2022. The 2022 Bonds bear interest at the rates and mature in the amounts and on the dates set forth on the inside cover page of this Official Statement.

The 2022 Bonds will be issued as fully registered bonds without coupons and will initially be registered in the name of "Cede & Co.," as nominee of The Depository Trust Company ("DTC"), as securities depository for the 2022 Bonds. Purchases of the 2022 Bonds are to be made in book entry only form in principal amounts of $5,000 or any integral multiple thereof. The principal of and premium, if any, on the 2022 Bonds are payable at U.S. Bank Trust Company, at its operations center in St. Paul, Minnesota (together with any successors or assignees, the "Paying Agent"). Payment of interest on any 2022 Bond will be payable by wire transfer on the interest payment date to Cede & Co. Payments to the owners of the 2022 Bonds are to be made as described in Appendix C - Book Entry Only System.

The City has made arrangements for custodial deposit of the 2022 Bonds with DTC in New York, New York. The Bond Ordinance contains such provisions and provides for the issuance of the 2022 Bonds in such a manner as to make them eligible for such custodial deposit. After the initial deposit of the 2022 Bonds with DTC, they may not be removed from such custodial deposit, transferred, or exchanged except as provided in the Bond Ordinance.

The 2022 Bonds are subject to redemption prior to maturity at the option of the City as described in "THE 2022 BONDS--Redemption of the 2022 Bonds."

Professionals

Kutak Rock LLP, Denver, Colorado, has acted as Bond Counsel in connection with the execution and delivery of the 2022 Bonds. Butler Snow, LLP, Denver, Colorado, has acted as special counsel to the City in connection with this Official Statement. As is customary, the fees of Kutak Rock LLP and Butler Snow LLP will be paid only at closing from the proceeds of the 2022 Bonds. Certain legal matters will be passed on for the City by the City Attorney. U.S. Bank Trust Company will act as the paying agent and registrar for the 2022 Bonds (the "Paying Agent" and "Registrar"). The basic financial statements of the City included in this Official Statement as Appendix A have been audited by CliftonLarsenAllen LLP, Certified Public Accountants, Broomfield, Colorado. See "INDEPENDENT AUDITORS." Hilltop Securities Inc., Denver, Colorado, is acting as the Municipal Advisor to the City (the "Municipal Advisor"). See "MUNICIPAL ADVISOR." The fees of the Municipal Advisor will also be paid at closing from the proceeds of the 2022 Bonds.

Tax Status

In the opinion of Kutak Rock LLP, Bond Counsel, under existing laws, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and continuing compliance by the City with certain covenants, interest on the 2022 Bonds is

excludable from gross income for federal income tax purposes and is not a specific preference item for purposes of the federal alternative minimum tax. Bond Counsel is also of the opinion that, under existing State of Colorado statutes, to the extent excludable from gross income for federal income tax purposes, interest on the 2022 Bonds is excludable from gross income for Colorado income tax purposes and from the calculation of Colorado alternative minimum taxable income. See "TAX MATTERS" herein for a more detailed discussion.

Continuing Disclosure Certificate

The City will enter into a continuing disclosure certificate (the "Disclosure Undertaking") at the time of the closing for the 2022 Bonds. The Disclosure Undertaking will be executed for the benefit of the beneficial owners of the 2022 Bonds and the City will covenant in the Bond Ordinance to comply with its terms. The Disclosure Undertaking will provide that so long as the 2022 Bonds remains outstanding, the City will provide the following information to the Municipal Securities Rulemaking Board, through the Electronic Municipal Market Access ("EMMA") system: (i) annually, certain financial information and operating data; and (ii) notice of the occurrence of certain material events; each as specified in the Disclosure Undertaking. The form of the Disclosure Undertaking is attached hereto as Appendix D.

The City has procedures in place to assist with compliance with its continuing disclosure undertakings in the future.

Forward-Looking Statements

This Official Statement, particularly (but not limited to) the information contained under the headings "CERTAIN RISK FACTORS," "SECURITY FOR THE BONDS-Historical Net Income and Pro Forma Debt Service Coverage", and "THE FACILITIES-Budgets" contains statements relating to future results that are "forward-looking statements" as defined in the Private Securities Litigation Reform Act of 1995. When used in this Official Statement, the words "estimate," "forecast," "intend," "expect" and similar expressions identify forward-looking statements. Any forward-looking statement is subject to uncertainty. Accordingly, such statements are subject to risks that could cause actual results to differ, possibly materially, from those contemplated in such forward-looking statements. Inevitably, some assumptions used to develop forward-looking statements will not be realized or unanticipated events and circumstances may occur. Therefore, investors should be aware that there are likely to be differences between forward looking statements and actual results. Those differences could be material and could impact the availability of Net Income to pay debt service on the 2022 Bonds.

Additional Information

<u>This introduction is only a brief summary of the provisions of the 2022 Bonds and the Bond Ordinance; a full review of the entire Official Statement should be made by potential investors</u>. Brief descriptions of the 2022 Bonds, the Bond Ordinance, the City, and the Project are included in this Official Statement. All references herein to the 2022 Bonds, the Bond Ordinance and other documents are qualified in their entirety by reference to such documents. *This Official Statement speaks only as of its date and the information contained herein is subject to change*.

Additional information and copies of the documents referred to herein are available from the City and the Municipal Advisor:

City of Boulder, Colorado
Attn: Finance Department
1777 Broadway
Boulder, Colorado 80302
Telephone: (303) 441-3040.

Hilltop Securities Inc.
8055 E. Tufts Street, Suite 500
Denver, Colorado 80237
Telephone: (303) 771-0217.

CERTAIN RISK FACTORS

The purchase of the 2022 Bonds involves special risks and uncertainties; the 2022 Bonds may not be appropriate investments for all types of investors. Each prospective investor is encouraged to read this Official Statement in its entirety and to give particular attention to the factors described below, which, among other factors discussed herein, could affect the payment of debt service on the 2022 Bonds and could affect the market price of the 2022 Bonds to an extent that cannot be determined at this time. *The following does not purport to be an exhaustive listing of risks and other considerations that may be relevant to investing in the 2022 Bonds. In addition, the order in which the following information is presented is not intended to reflect the relative importance of such risks.*

Limited Obligations

General. The 2022 Bonds constitute special, limited obligations of the City. The principal of and interest on the 2022 Bonds is payable solely from and secured by an irrevocable pledge of the Net Income derived by the City from the operation of the Facilities, together with certain interest income and other amounts as provided in the Bond Ordinance. The 2022 Bonds constitute an irrevocable pledge of the Net Income on parity with the lien thereon of the Prior Bonds and any Additional Parity Bonds. See "SECURITY FOR THE BONDS." **The 2022 Bonds do not constitute a general obligation of the City. Owners of the 2022 Bonds may not look to any funds or accounts of the City other than those specifically pledged to the payment of the 2022 Bonds.**

The ability of the City to meet its payment obligations under the Bond Ordinance will depend upon the ability of the Facilities to generate enough Gross Income to meet such obligations, the Facilities' operating expenses, debt service on other debt or obligations, extraordinary costs or expenses that may occur and other costs and expenses. Accordingly, investors should be aware that future revenues and expenses of the City will be subject to conditions that may differ materially from current conditions to an extent that cannot be determined at this time.

No Mortgage Secures the 2022 Bonds. The payment of the 2022 Bonds is not secured by an encumbrance, mortgage, or other pledge of property of the City, except for the Net Income and other moneys pledged for the payment of the Bond Requirements of the 2022 Bonds. No property of the City, subject to such exception, shall be liable to be forfeited or taken in payment of the 2022 Bonds. See "SECURITY FOR THE BONDS--Limited Obligations."

Additional Bonds

Under the Bond Ordinance, the City is permitted to incur other debt payable on a parity with the lien of the 2022 Bonds. See "SECURITY FOR THE BONDS--Additional Bonds." Debt service on all Parity Bonds of the City will be payable from Net Income on a pro-rata basis. Accordingly, to the extent that future obligations are issued on a parity with the lien of the 2022 Bonds, the security for the 2022 Bonds may be diluted.

The City currently has plans to issue Additional Parity Bonds in the next five years to meet long term capital needs (approximately $93 Million for various projects.) See "The FACILITES – Future Capital Improvements."

Factors That May Cause Insufficiency of Expected Revenues

General. The 2022 Bonds are payable solely from Net Income. If the Facilities (or any portion of it) were to become inoperable due to damage, destruction, or environmental restriction or, in the case of the Water System, if the City should lack raw water or lack treatable water due to contamination, drought or any other reason, the City may be unable to generate adequate Net Income to pay debt service on the 2022 Bonds (to the extent such losses are not covered by insurance). See "SECURITY FOR THE BONDS" and "THE FACILITIES."

COVID-19. The novel coronavirus and its variants (and associated COVID-19 infections) continue to circulate in the State. The State and local governments have implemented orders, guidance, recommendations, and other measures intended to slow the spread of the COVID-19; certain of those actions resulted in the closure of nonessential businesses during 2020 and related increases in unemployment rates. COVID-19 measures change rapidly due to ever-evolving circumstances. There can be no assurance that the spread of COVID-19 and the implementation of restrictions on a local, State, and national level will not continue into the future. Those restrictions have negatively impacted the local, State, and national economies and may continue to do so in the future.

The financial impacts from the COVID-19 pandemic for the Facilities resulted in budget adjustments for the City's three utilities enterprise funds early in the second quarter of 2020. The City's Facilities staff anticipated and modeled a potential decrease in water and wastewater revenue based on reduced commercial demand. The commercial reduction was offset by a larger demand from the residential customers and revenues in 2020 and 2021 came in above projections. Like other municipal water and wastewater facilities, the Facilities have past due receivables from a small percentage of customers due to the COVID-19 pandemic and the Facilities continues to work with the City's Department of Human Services to implement enhanced options for utility bill assistance programs. The City does not anticipate any COVID-19 impacts in 2022.

Poor national and regional economic conditions in the future may increase the rate of nonpayment of fees and charges by the City's customers. The City cannot predict (i) whether the COVID-19 pandemic will continue or for what duration; (ii) the future duration or expansion of related business closings, public health orders, regulations and legislation; (iii) the duration and severity of unemployment resulting from business closures or other factors, or the availability of unemployment payments from the State or the federal government; or (iv) how future short term and long-term economic conditions related to COVID-19 will affect the operation of the Facilities or the City's finances in general.

Water Quality, Environmental and Other Regulatory Requirements

General. In operating the Facilities, the City also may be subject to various environmental regulations which could subject the City to increased operating costs or capital expenditures. Such increased costs could reduce the amount of Net Income available to pay debt service on the 2022 Bonds.

The Facilities are subject to numerous Federal and State regulatory requirements. Those regulations are subject to change at any time. Public drinking water systems like the Water System are regulated by the Environmental Protection Agency; the Colorado Department of Public Health and Environment ("CDPHE") has the authority to enforce drinking water quality

standards. Water quality standards imposed by the Federal government or the State may affect the water available to the City and implementation of those standards or enforcement by CDPHE could result in increased costs associated with water treatment operations of the City. In addition, failure to comply with regulatory changes, or the inability to comply with them in a timely manner could cause portions of the Facilities to become unavailable. Any disruption of service could negatively impact Net Income.

Climate Issues. The City has developed municipal water supplies in three different watersheds, in the local Boulder Creek basin and from the western slope through the Colorado Big Thompson ("CBT") Project, which increases the resiliency of the water supply to localized factors such as drought and wildfire and allows for infrastructure outages to accommodate maintenance; however, if there were impacts to more than one part of the Water System at the same time, an interruption to the water supply could occur. The City's adopted water system reliability criteria establishes a planning goal to provide municipal water for all needs in 19 out of 20 years on average, which means the City expects to reduce water use in response to drought in about five years out of a hundred. The reliability criteria are incorporated into the City's water supply planning model, which simulates operation of the Water System under historic streamflow, weather conditions, and climate change scenarios. These simulations inform the City's plans for further development of its capital improvement program and water rights portfolio. The City's drought plan, currently being updated, provides guidance for recognizing and responding to drought, including implementing water use restrictions. These risks could disrupt service and reduce the amount of Net Income available to pay debt service on the 2022 Bonds.

Constitutional Limitations on Enterprises

The City has concluded that its Facilities each presently qualify as an "enterprise" under the provisions of Article X, Section 20 of the Colorado Constitution ("TABOR"). If the City's water and/or wastewater operations should fail at some time in the future to qualify as an enterprise for purposes of TABOR, the related Facility would become subject to the limitations of TABOR, including, without limitation, the spending limits contained in TABOR. See "LEGAL MATTERS--Certain Constitutional Limitations." If the City fails to maintain the enterprise status of either Facility, that event will not adversely affect the validity or enforceability of the 2022 Bonds but may affect the City's ability to collect Net Income in an amount enough to pay debt service.

Limitations on Remedies Available to Owners of 2022 Bonds

No Acceleration. There is no provision for acceleration of maturity of the principal of the 2022 Bonds in the event of a default in the payment of principal of or interest on the 2022 Bonds. Consequently, remedies available to the owners of the 2022 Bonds may have to be enforced from year to year.

Bankruptcy, Federal Lien Power and Police Power. The enforceability of the rights and remedies of the owners of the 2022 Bonds and the obligations incurred by the City in issuing the 2022 Bonds are subject to the federal bankruptcy code and applicable bankruptcy, insolvency, reorganization, moratorium, or similar laws relating to or affecting the enforcement of creditors' rights generally, now or hereafter in effect; usual equity principles which may limit the specific enforcement under State law of certain remedies; the exercise by the United States of America of the powers delegated to it by the federal Constitution; the power of the federal

government to impose liens in certain situations, which could result in a federal lien on the Net Income which is superior to the lien thereon of the 2022 Bonds; and the reasonable and necessary exercise, in certain exceptional situations, of the police power inherent in the sovereignty of the State and its governmental bodies in the interest of serving a significant and legitimate public purpose. Bankruptcy proceedings or the exercise of powers by the federal or State government, if initiated, could subject the owners of the 2022 Bonds to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitation or modification of their rights.

No Trustee. There is no bond trustee or similar person or entity to monitor or enforce the provisions of the Bond Ordinance on behalf of the Owners of the 2022 Bonds, and therefore the Owners should be prepared to enforce such provisions themselves if the need to do so ever arises.

Delay in Enforcement of Liens

The City has the statutory authority to enforce payment of its rates and charges through liens on the real property of delinquent ratepayers. However, foreclosure of real property liens is a time-consuming and burdensome remedy. The delays involved in foreclosure could substantially delay the collection of Gross Income by the City. In addition, proceeds realized from the sale of real property, if any, may not be sufficient to cover the delinquent rates and charges after the payment of any senior liens on the property.

Future Changes in Laws

Various Colorado laws and constitutional provisions apply to the operation of the Facilities and the operation of the City. There is no assurance that there will not be any change in, interpretation of, or addition to the applicable laws, provisions, and regulations which would have a material effect, directly or indirectly, on the affairs of the City in the future.

Secondary Market

There is no guarantee that a secondary market for the 2022 Bonds will be created or maintained by the Underwriter or others. Thus, prospective investors should be prepared to hold their 2022 Bonds to maturity.

SOURCES AND USES OF FUNDS

Sources and Uses of Funds

The City expects to apply the proceeds from the sale of the 2022 Bonds in the following manner:

Sources and Uses of Funds

Sources of Funds:	Amount
Par amount of 2022 Bonds	$44,140,000.00
Plus/(less): net original issue premium/(discount)	3,192,795.85
Total	$47,332,795.85
Uses of Funds:	
The Project	47,000,000.00
Costs of issuance (including underwriting discount and premium on the 2022 Reserve Policy)	332,795.85
Total	$47,332,795.85

Source: The Municipal Advisor.

The Project

The Project will consist of capital improvements to the Facilities. The City currently expects that the Project will be comprised of the components described below. However, the City retains the discretion to fund different or additional capital improvement projects for the Water System and/or the Sewer System.

The Project is currently expected to include:

1. Improvements to the City's 63rd Water Treatment Facility (the "63rd WTF"), including the replacement of the major power supply and electrical components of the 63rd WTF, improving the reliability and redundancy of the major power supply and electoral components and repair and replacement of the high service pump station (HSPS). The HSPS was built in 1969 and is the sole source of supply to the distribution system from the 63rd WTF. The improvements to the 63rd WTF are being phased in order to not interrupt or otherwise negatively impact the Water System during construction. The project went out for bid in March 2022 with construction beginning in the second quarter of 2022 and completion by second quarter of 2025.

2. Improvements and rehabilitation to the Albion Dam (the "Dam"), located to the west of the City in the Indian Peaks Wilderness and part of the North Boulder Creek watershed, for the purposes of meeting modern dam safety requirements and modern dam operational practices, as well as a potential raise of the Dam's storage capacity.

In 2017, an initial rehabilitation alternative study was issued and in 2021 a pre-feasibility level design was completed on the preferred rehabilitation alternative. Final design is in process and the project is expected to be bid in May 2022 with construction taking place over two summer seasons and completed by November 2023.

3. Replacement of a portion of the primary wastewater conveyance pipeline to the Boulder Water Resource Recovery Facility by the installation of a 2.5 mile, 42 to 54-inch sanitary wastewater pipeline, and rehabilitation of approximately 3 miles of existing sanitary

sewer piping. The result of this project will be a decrease in the interceptor becoming hydraulically overloaded and a reduced risk of exposure from flooding. The project is expected to be bid in the first quarter of 2023 with construction taking place over a sixteen-month period.

THE 2022 BONDS

General Description

The 2022 Bonds are issuable as fully registered bonds in the denominations of $5,000 and integral multiples thereof. The 2022 Bonds are dated as of the date of delivery and bear interest from their date or such later date to which interest has been paid, payable semiannually on June 1 and December 1 of each year, commencing on December 1, 2022. The 2022 Bonds bear interest at the rates and mature in the amounts and on the dates set forth on the inside cover page of this Official Statement.

The 2022 Bonds will be issued as fully registered bonds without coupons and will initially be registered in the name of "Cede & Co.," as nominee of The Depository Trust Company ("DTC"), which is acting as the securities depository for the 2022 Bonds. Purchases by beneficial owners of the 2022 Bonds ("Beneficial Owners") are to be made in book-entry only form in the principal amount of $5,000 or any integral multiple thereof. Payments to Beneficial Owners are to be made as described below in "Book-Entry Only System" and Appendix C hereto.

Payment of Principal and Interest; Record Date

The principal of and premium, if any, on the 2022 Bonds are payable at U.S. Bank Trust Company, at its operations center in St. Paul, Minnesota (together with any successors or assignees, the "Paying Agent"). Payment of interest on any 2022 Bond will be payable by wire transfer on the interest payment date to Cede & Co. Payments to the Beneficial Owners of the 2022 Bonds are to be made as described in "APPENDIX C - Book Entry Only System."

The City has made arrangements for custodial deposit of the 2022 Bonds with DTC in New York, New York. The Bond Ordinance contains such provisions and provides for the issuance of the 2022 Bonds in such a manner as to make them eligible for such custodial deposit. After the initial deposit of the 2022 Bonds with DTC, they may not be removed from such custodial deposit, transferred, or exchanged except as provided in the Bond Ordinance.

Redemption Provisions

Optional Redemption. The 2022 Bonds maturing on and after December 1, 2033, are callable for redemption at the option of the City, in whole or in part, and if in part in such order of maturities as the City determines and by lot within a maturity on December 1, 2032 and on any date thereafter, at a redemption price equal to the principal amount thereof, plus accrued interest to the redemption date.

Notice of Redemption. Notice of any redemption will be given by the Paying Agent in the name of the City, by sending a copy of such notice by certified or registered first class, postage prepaid mail, at least 30 days prior to the redemption date, to the Registered Owners of each of the 2022 Bonds being redeemed. Such notice shall specify the number or numbers of the 2022 Bonds so to be redeemed and the redemption date. If any of the 2022 Bonds shall have been duly called for redemption and if, on or before the redemption date, there shall have been deposited with the Paying Agent in the Bond Fund, funds sufficient to pay the redemption price of such 2022 Bonds at the redemption date, then said 2022 Bonds shall become due and payable at such redemption date, and from and after such date interest will cease to

accrue thereon. Any 2022 Bonds redeemed prior to their maturity by call for prior redemption or otherwise shall not be reissued and shall be cancelled the same as 2022 Bonds paid at or after maturity.

Tax Covenants

In the Bond Ordinance, the City covenants that it shall not use or permit the use of any proceeds of the 2022 Bonds or any other funds of the City from whatever source derived, directly or indirectly, to acquire any securities or obligations and shall not take or permit to be taken any other action or actions, which would cause any of the 2022 Bonds to be an "arbitrage bond" within the meaning of Section 148 of the Code, or would otherwise cause the interest on the 2022 Bonds to be included in Gross Income for federal income tax purposes. The City covenants that it shall at all times do and perform all acts and things permitted by law and which are necessary in order to assure that interest paid by the City on the 2022 Bonds shall, for purposes of federal income taxation, not be includible in Gross Income under the Code or any other valid provision of law.

In particular, but without limitation, the City further represents, warrants and covenants to comply with the following restrictions of the Code, unless it receives an opinion of nationally recognized bond counsel stating that such compliance is not necessary: (i) gross proceeds of the 2022 Bonds shall not be used in a manner which will cause the 2022 Bonds to be considered "private activity bonds" within the meaning of the Code; (ii) the 2022 Bonds are not and shall not become directly or indirectly "federally guaranteed"; (iii) the City shall timely file Internal Revenue Form 8038-G which shall contain the information required to be filed pursuant to Section 149(e) of the Code; and (iv) the City shall comply with the Tax Letter of Instructions delivered to it on the date of issue of the 2022 Bonds with respect to the application and investment of 2022 Bond proceeds, subject to the provisions of the Bond Ordinance regarding the Rebate Fund.

Defeasance

When all principal, interest and any prior redemption premiums due in connection with the 2022 Bonds have been duly paid, the pledge and lien and all obligations under the Bond Ordinance will be discharged and the 2022 Bonds will no longer be deemed to be Outstanding within the meaning of the Bond Ordinance. There will be deemed to be such due payment when the City has placed in escrow or in trust with a commercial bank located within or without the State and exercising trust powers an amount sufficient (including the known minimum yield from Federal Securities in which such amount, wholly or in part, may be initially invested) to meet all requirements of principal, interest and any prior redemption premiums due as the same become due to the final maturities of the 2022 Bonds or upon any prior redemption date as of which the City will have exercised or will have obligated itself to exercise its prior redemption option by a call of the 2022 Bonds for payment then. The Federal Securities will become due prior to the respective times on which the proceeds thereof will be needed in accordance with a schedule established and agreed upon between the City and such bank at the time of the creation of the escrow or trust, or the Federal Securities shall be subject to redemption at the option of the holders thereof to assure such availability as so needed to meet such schedule.

Book-Entry Only System

The 2022 Bonds will be available only in book-entry form in the principal amount of $5,000 or any integral multiples thereof. DTC will act as the initial securities depository for the 2022 Bonds. The ownership of one fully registered 2022 Bond for each maturity as set forth on the inside cover page of this Official Statement, each in the aggregate principal amount of such maturity, will be registered in the name of Cede & Co., as nominee for DTC. See "Appendix C - Book-Entry Only System".

SO LONG AS CEDE & CO., AS NOMINEE OF DTC, IS THE REGISTERED OWNER OF THE 2022 BONDS, REFERENCES IN THIS OFFICIAL STATEMENT TO THE REGISTERED OWNERS OF THE 2022 BONDS WILL MEAN CEDE & CO. AND WILL NOT MEAN THE BENEFICIAL OWNERS.

None of the City, the Paying Agent or the Registrar will have any responsibility or obligation to DTC's Participants or Indirect Participants (defined herein), or the persons for whom they act as nominees, with respect to the payments to or the providing of notice for the Direct Participants, the Indirect Participants or the Beneficial Owners of the 2022 Bonds as further described in Appendix C to this Official Statement.

DEBT SERVICE REQUIREMENTS

Set forth below is a summary of the debt service requirements for the 2022 Bonds, the combined debt service requirements for the Prior Parity Bonds and the combined debt service payable on the 2022 Bonds and the Prior Parity Bonds.

Debt Service Requirements [1]

	The 2022 Bonds			Total Prior	Grand
Year	Principal	Interest	Total	Parity Bonds [2]	Total
2022	$2,190,000	$1,016,087	$3,206,087	$9,261,803	$12,467,890
2023	1,280,000	1,922,675	3,202,675	9,263,763	12,466,438
2024	1,345,000	1,858,675	3,203,675	9,241,683	12,445,358
2025	1,415,000	1,791,425	3,206,425	9,226,283	12,432,708
2026	1,485,000	1,720,675	3,205,675	6,131,943	9,337,618
2027	1,560,000	1,646,425	3,206,425	6,132,820	9,339,245
2028	1,635,000	1,568,425	3,203,425	6,135,628	9,339,053
2029	1,720,000	1,486,675	3,206,675	6,130,783	9,337,458
2030	1,805,000	1,400,675	3,205,675	6,132,643	9,338,318
2031	1,895,000	1,310,425	3,205,425	5,586,250	8,791,675
2032	1,990,000	1,215,675	3,205,675	5,577,850	8,783,525
2033	$2,090,000	1,116,175	3,206,175	5,580,806	8,786,981
2034	2,195,000	1,011,675	3,206,675	5,580,894	8,787,569
2035	2,305,000	901,925	3,206,925	5,580,888	8,787,813
2036	2,420,000	786,675	3,206,675	2,645,763	5,852,438
2037	2,540,000	665,675	3,205,675	2,644,931	5,850,606
2038	2,640,000	564,075	3,204,075	2,646,400	5,850,475
2039	2,740,000	461,775	3,201,775	-	3,201,775
2040	2,850,000	355,600	3,205,600	-	3,205,600
2041	2,960,000	241,600	3,201,600	-	3,201,600
2042	3,080,000	123,200	3,203,200	-	3,203,200
Total	$44,140,000.00	$23,166,212	$67,306,212	$103,501,126	$170,807,339

(1) Totals may not add due to rounding.
(2) Represents the total debt service payable on the Prior Bonds in each year.

Source: The Municipal Advisor.

SECURITY FOR THE BONDS

Limited Obligations

General. The 2022 Bonds will not constitute an indebtedness or a debt of the City within the meaning of any constitutional, charter or statutory provision or limitation, will not be payable from the proceeds of general property taxes, and will not be considered or held to be general obligations of the City, but rather are the City's special obligations payable solely from the Net Income derived from the operation and use of the Facilities.

No Pledge of Property. The payment of the 2022 Bonds will not be secured by an encumbrance, mortgage, or other pledge of property of the City, except for the Net Income and any other moneys that may be lawfully pledged for the payment of the 2022 Bonds pursuant to the Bond Ordinance. No property of the City, except as above stated, will be liable to be forfeited or taken in payment of the 2022 Bonds.

Pledge of Net Income of the Facilities

The 2022 Bonds are secured by and constitute an irrevocable and first lien (but not necessarily an exclusive lien) on the Net Income. Net Income consists of all Gross Income of the Facilities (i.e., all income derived directly or indirectly by the City from the operation and use of the Facilities), less only reasonable Operation and Maintenance Expenses related to the Facilities. The Net Income is irrevocably pledged to the payment of debt service on the 2022 Bonds, the Prior Parity Bonds, and any Parity Bonds hereafter issued pursuant to the terms and conditions of the Bond Ordinance. See "Additional Bonds" below.

The 2022 Bonds from time to time Outstanding are equitably and ratably secured by a lien on Net Income and shall not be entitled to any priority one over the other in the application of the Net Income regardless of the time or times of the issuance of the 2022 Bonds.

Rate Maintenance Covenant

The City will covenant in the Bond Ordinance to set its rates, fees and other charges for usage of the Facilities such that Gross Income will be adequate annually to pay the annual Operation and Maintenance Expenses and 125% of the actual annual debt service requirements on the 2022 Bonds and any other bonds payable annually from Gross Income (excluding the reserves therefor).

Historical Net Income and Pro Forma Debt Service Coverage

The following table sets forth a history of Net Income and a history of pro forma debt service coverage, calculated by dividing the Net Income to by the maximum annual debt service on the Parity Bonds, after taking the issuance of the 2022 Bonds into account, for the years 2017 - 2021 (unaudited). The pro forma debt service coverage is not necessarily indicative of future coverage ratios. *Investors should be aware that collections of Net Income, or components thereof, may not continue at the levels stated below, and the coverage factors in future years may not remain at the historical levels indicated.* See "CERTAIN RISK FACTORS."

Pro-Forma Debt Service Coverage
(in thousands)

	2017	2018	2019	2020	2021(1)
Gross Income	$52,141	$54,218	$63,205	$65,103	$64,533
Operations and Maintenance Expenses	(29,899)	(29,828)	(26,059)	(27,390)	(29,979)
Net Income	$22,242	$24,390	$37,146	$ 37,713	$34,736
Estimated Maximum Annual Debt Service (2)	$12,468	$12,468	$12,468	$12,468	$12,468
Pro-Forma Coverage Ratio	1.78x	1.96x	2.98x	3.02x	2.79x

(1) Unaudited; subject to changes and adjustments during the audit process.
(2) $12,467,890 in 2022. See "DEBT SERVICE REQUIREMENTS."

Source: The Municipal Advisor and the City.

Special Funds under the Bond Ordinance

General. The Bond Ordinance establishes certain special funds and continue the authorization of other special funds which include the Water Income Fund, the Sewer Income Fund, the Sewer System Operation and Maintenance Fund, the Water System Operation and Maintenance Fund, the Bond Fund, the Reserve Fund, the Issuance Expense Fund and the Rebate Fund. As described in Appendix B - Summary of Certain Provisions of the Bond Ordinance--Flow of Funds - Administration of Income Funds, the income from the Facilities will be required to be distributed to certain of the above funds on certain dates and in certain priorities. Also, as described in Appendix B - Summary of Certain Provisions of the Bond Ordinance--Flow of Funds, deposits to the Bond Fund will be made on a monthly basis. Moneys in the Bond Fund and the Reserve Fund will be irrevocably pledged to payment of the 2022 Bonds.

Reserve Fund. The Bond Ordinance establishes the "City of Boulder, Colorado, Water and Sewer Revenue Bonds, Series 2022 Reserve Fund" (the "Reserve Fund"). Upon the issuance of the 2022 Bonds, the Reserve Fund shall be funded in an amount equal to not less than the average annual debt service on the 2022 Bonds and all other Parity Bonds, less amounts on deposit in any reserve fund in connection with Parity Bonds issued prior to and after the 2022 Bonds (the "Minimum Bond Reserve"); provided however, that notwithstanding the foregoing, upon satisfaction of certain conditions contained in the Bond Ordinance, the requirement of establishing and maintaining the Reserve Fund and the Minimum Bond Reserve, if any, for the 2022 Bonds shall be at the election of the City, in its sole discretion. Each holder of any of the 2022 Bonds shall, by its purchase of the 2022 Bonds, be deemed to have agreed that at such time as (i) each series of Parity Bonds issued by the City prior to the issuance of the 2022 Bonds is no longer Outstanding (through maturity, refunding, redemption, defeasance or otherwise) or (ii) in accordance with the Prior Ordinances, the holders of more than 50% of the remaining Outstanding Parity Bonds issued by the City prior to the issuance of the 2022 Bonds shall have consented to the following clauses (A) and (B) as proposed amendments to the Prior Ordinances, then: (A) the requirement of establishing or maintaining the Reserve Fund for the 2022 Bonds and the amount of the Minimum Bond Reserve, if any, for the 2022 Bonds shall be at the election of the City, in its sole discretion, and (B) the requirement in the Bond Ordinance to establish and maintain a reserve fund, if any, for additional Parity Bonds and the minimum amount of any such reserve fund, if established, shall be at the election of the City, in its sole

discretion. See Appendix B - Summary of Certain Provisions of the Bond Ordinance--Flow of Funds.

Additional Bonds

The Bond Ordinance permits the City to issue additional Parity Bonds and subordinate lien bonds upon the satisfaction of the conditions described below.

Issuance of Parity Bonds**.** The City may issue additional Parity Bonds payable from Net Income and constituting a lien thereupon on a parity with, but not prior nor superior to, the lien of the 2022 Bonds upon satisfaction of the following provisions of the Bond Ordinance.

(a) *Absence of Default*. The City shall not have defaulted in making any payments required by the Bond Ordinance (described in Appendix B - Summary of Certain provisions of the Bond Ordinance--Flow of Funds) during the 24 calendar months immediately preceding the issuance of such additional bonds, or if none of the 2022 Bonds have been issued and Outstanding for a period of at least 24 calendar months, for the longest period any of the 2022 Bonds have been issued and Outstanding.

(b) *Facilities Earnings Test*. The annual Gross Income derived from the operation of the Facilities for the Fiscal Year immediately preceding the date of the issuance of such additional Parity Bonds shall have been sufficient to pay the annual Operation and Maintenance Expenses of the Facilities for said Fiscal Year, and, in addition, sufficient to pay an amount representing 125% of the combined maximum annual principal and interest requirements of the Outstanding Parity Bonds of the City payable from and constituting a lien upon Net Income of the Facilities and the bonds proposed to be issued, except as otherwise expressly provided in the Bond Ordinance.

(c) *Reduction of Annual Requirements*. The respective annual principal and interest requirements (including as a principal requirement the amount of any prior redemption premiums due on any prior redemption date as of which any Outstanding bonds have been called or have been ordered to be called for prior redemption) shall be reduced to the extent such requirements are scheduled to be paid each of the respective Fiscal Years with moneys held in trust or in escrow for that purpose by any Insured Bank located within or without the State and exercising trust powers, including the known minimum yield from any investment in Federal Securities.

(d) *Consideration of Additional Expenses*. In determining whether or not additional Parity Bonds may be issued as aforesaid, consideration shall be given to any probable increase (but not reduction) in Operation and Maintenance Expenses of the Facilities that will result from the expenditure of the funds proposed to be derived from the issuance and sale of the additional bonds.

(e) *Reserve Fund*. Subject at all times to the provisions of the Bond Ordinance there shall be established a reserve fund in an amount equal to at least the average annual debt service on such additional Parity Bonds. Each holder of any of the 2022 Bonds shall, by its purchase of such 2022 Bond or 2022 Bonds, be deemed to have agreed that at such time as the conditions in the Bond Ordinance are satisfied, the requirement of establishing or maintaining a reserve-for any additional Parity Bonds and the minimum amount of such reserve fund, if any, shall be at the election of the City, in its sole discretion.

(f) *Reserve Policy Costs*. In addition to the requirements described in paragraph (b) above, the annual Gross Income derived from the operation of the Facilities for the Fiscal Year immediately preceding the date of the issuance of such additional Parity Bonds shall have been sufficient to pay 100% of the Policy Costs then due and owing on any reserve policy on any Outstanding Parity Bonds.

A written certification by the Chief Financial Officer, City Manager or an Independent Accountant that said annual Gross Income, when adjusted as provided in the Bond Ordinance, is sufficient to pay said amounts, as provided in the Bond Ordinance, shall be conclusively presumed to be accurate in determining the right of the City to authorize, issue, sell and deliver additional Parity Bonds.

Subordinate Bonds Permitted**.** The Bond Ordinance does not prevent the City from issuing additional bonds payable from Net Income and having a lien thereon subordinate, inferior, and junior to the lien of the 2022 Bonds authorized to be issued by the Bond Ordinance.

Superior Bonds Prohibited**.** The Bond Ordinance does not permit the City to issue additional bonds payable from Net Income and having a lien thereon prior and superior to the 2022 Bonds.

Issuance of Parity Refunding Bonds. No refunding bonds payable from Net Income shall be issued on a parity with the 2022 Bonds authorized in the Bond Ordinance unless: the lien on Net Income of the Outstanding bonds so refunded is on a parity with the lien thereon of the 2022 Bonds; or the refunding bonds are issued in compliance with the requirements set forth under "Issuance of Parity Bonds" above.

MUNICIPAL BOND DEBT SERVICE RESERVE INSURANCE POLICY

General

Concurrently with the issuance of the 2022 Bonds, Build America Mutual Assurance Company ("BAM") will issue the 2022 Reserve Policy relating to the 2022 Bonds in the form attached hereto as Appendix F.

The 2022 Reserve Policy is not covered by an insurance security or guaranty fund established under New York, California, Connecticut, or Florida insurance law.

Build America Mutual Assurance Company

BAM is a New York domiciled mutual insurance corporation and is licensed to conduct financial guaranty insurance business in all fifty states of the United States and the District of Columbia. BAM provides credit enhancement products solely to issuers in the U.S. public finance markets. BAM will only insure obligations of states, political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of BAM is liable for the obligations of BAM.

The address of the principal executive offices of BAM is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.buildamerica.com.

BAM is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

BAM's financial strength is rated "AA/Stable" by S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P"). An explanation of the significance of the rating and current reports may be obtained from S&P at www.standardandpoors.com. The rating of BAM should be evaluated independently. The rating reflects the S&P's current assessment of the creditworthiness of BAM and its ability to pay claims on its policies of insurance. The above rating is not a recommendation to buy, sell or hold the 2022 Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of BAM in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the 2022 Bonds. BAM does not guarantee the market price or liquidity of bonds (including the 2022 Bonds), nor does it guarantee that the rating on bonds (including the 2022 Bonds) will not be revised or withdrawn.

Capitalization of BAM

BAM's total admitted assets, total liabilities, and total capital and surplus, as of March 31, 2022 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were $466.8 million, $172.1 million, and $294.7 million, respectively.

BAM is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by BAM, subject to certain limitations and restrictions.

BAM's most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on BAM's website at www.buildamerica.com, is incorporated herein by reference and may be obtained, without charge, upon request to BAM at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

BAM makes no representation regarding the 2022 Bonds or the advisability of investing in the 2022 Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "MUNICIPAL BOND DEBT SERVICE RESERVE INSURANCE POLICY".

THE FACILITIES

General

The City operates the Facilities pursuant to Article XX of the Constitution of the State, the City's Charter, and ordinances, including the Enterprise Ordinance, adopted by the City Council. Policy direction for the Facilities is set by the City Council, and the Facilities are administered by the City Manager. The Utilities Department directs the day to day operations of the water, sewer, and storm water/flood management utilities. Although the three utilities are each financially independent, all three are managed in an integrated fashion. For purposes of the Bond Ordinance and the security for the 2022 Bonds, the Facilities consist only of the water and sewer utilities, and do not include the City's Storm Water and Flood Management Utility Enterprise.

As of December 31, 2021, the Facilities provided water and sewer service to 29,579 and 27,868 accounts, respectively, within the City limits and the area immediately adjacent to the City.

Governing and Administrative Personnel; Employees

The City Council is responsible for policy decisions with respect to the Facilities. The City Council consists of nine members elected for staggered four- and two-year terms. A presiding member of the City Council, as selected by the members thereof, is designated as Mayor. Currently there are no vacancies on the City Council. See "THE CITY--Governing Body."

In 1992 the City formed a Water Resources Advisory Board (the "Advisory Board") that advises the city manager, planning board and City Council concerning water resources matters, including environmental assessments, capital improvements and proposed changes to City's raw water, treated water, wastewater and flood control master plans. The Advisory Board also advises the city manager concerning policy issues on operating programs related to water conservation, water treatment plant residuals, wastewater treatment plant biosolids disposal, and water quality. The Advisory Board consists of five members appointed by the City Council.

Various individuals are responsible for implementation of the City Council's actions with respect to the Facilities, and the day-to-day operation and maintenance of, and

collection of revenues from, the Facilities. These persons include the City Manager and the Utilities Director, as well as other persons described below.

Biographical information with respect to various individuals responsible for the Facilities is as follows:

Joe Taddeucci, Public Utilities Director. Mr. Taddeucci has been the Director of the Utilities since August 2019. In this role, he manages the City's Water, Wastewater, and Stormwater/Flood Control utilities including a staff of approximately 180 employees. Prior to that he had been the Water Resources Manager since August 2012. In that position, he managed the operations of the City's raw water delivery systems, water rights portfolio and hydroelectric facilities. Prior to that Mr. Taddeucci worked for the City's Utilities Department as a Utilities Engineering Project Manager starting in 2005. Prior to joining the City, Mr. Taddeucci was a water resources Project Director for TCB (now AECOM), a national design and consulting firm. Mr. Taddeucci received his Bachelor of Science in Civil Engineering from Michigan Technological University in Houghton, Michigan in 1991. He is a licensed Professional Engineer in Colorado.

Christopher J. Douville, Public Utilities Deputy Director Mr. Douville has leadership responsibilities over the operational teams of the City's Facilities, and previously served as the Manager of Wastewater Treatment for 13 years. Prior to joining the City, Mr. Douville was a Senior Engineer and Construction Manager in the Wastewater Practice for Brown and Caldwell Engineers, a national environmental engineering design and consulting firm. He holds a Class "A" Wastewater Treatment Operator Certification in the State of Colorado. Mr. Douville received his Bachelor of Science in Environmental Resources Engineering from Humboldt State University in Arcata, California in 1995. He received his Master of Science Degree in Civil Engineering from the University of Colorado at Boulder in 1999. Mr. Douville is a licensed Professional Engineer in Colorado and Hawaii.

Graham Clark, Senior Financial Manager for Utilities Department. Mr. Clark has been the Senior Financial Manager for the Utilities Department since July 2021; prior to that time, he served as the Transportation Senior Financial Manager beginning in April 2018. In his current position he coordinates budget development, monitors revenues and expenditures, and develops rates and fees for the three utility funds. The total budget for the utility funds is approximately $75 million plus any additional bond proceeds. Prior to this position, Mr. Clark was the Accounting Manager for the City of Louisville (2013-2018), and Profitability Analyst for Whole Foods Market (2008-2013). Mr. Clark also worked as an Accountant for Proctor & Gamble from 2005 to 2008. He received a Bachelor of Science degree in Finance in 2002 from the University of Iowa.

Chris Douglass, Utilities Engineering Manager. Mr. Douglass has been the Utilities Engineering Manager since February 2022. In this role, he manages the City's source water operations, water resources planning and water rights portfolio, including a staff of 10 employees. Prior to this position, Mr. Douglass worked for the East Cherry Creek Valley Water & Sanitation District (ECCV) starting in 2010. Prior to joining ECCV, Mr. Douglass was a Project Manager for Kennedy/Jenks Consultants, a national design and consulting firm. Mr. Douglass received his Bachelor of Science in Civil Engineering from the University of Colorado - Boulder in 1995 and his Master of Science in Civil Engineering from the University of Colorado – Denver in 2003. He is a licensed Professional Engineer in Colorado and a LEED accredited professional.

Cole Sigmon, Wastewater Treatment Manager. Mr. Sigmon has been the Wastewater Treatment Manager since November 2021. In this role, he manages the Boulder Water Resource Recovery Facility along with a staff of approximately 23 employees. Prior to this position, Cole worked for the City's Department of Public Works as a Utilities Engineering Project Manager starting in 2018. Cole worked from 2012 to 2018 as a Treatment Process Engineer at the Boulder Water Resource Recovery Facility. Cole received his Bachelor of Science in Environmental Science from the University of North Carolina at Asheville in 2007 and his Master of Science in Civil Engineering at the University of Colorado in 2011. He is licensed by the State of Colorado as a Professional Engineer and a Class A Wastewater Treatment Operator.

Kim Hutton, Water Resources Manager. Ms. Hutton has been the Water Resources Manager since February 2020. In this role, she manages the operations of the City's raw water delivery systems, water rights portfolio and hydroelectric facilities, including a staff of 9 employees. Prior to this position, Ms. Hutton worked for the City's Department of Public Works as a Water Resources Engineer from 2012 to 2020 and as a Water Resources Specialist from 2004 to 2012. Ms. Hutton received her Bachelor of Arts in Chemistry and Environmental Studies from the University of Colorado at Boulder in 1998 and her Master of Science in Engineering at the University of California, Berkeley in 2002. She is a licensed Professional Engineer in Colorado.

Jon Stoddard, Water Treatment Manager. Mr Stoddard has served as the water treatment manager since 2020. In this role, he manages the operations of the City's drinking water system, treatment facilities, and a staff of 27 employees. Jon has worked for the City in various roles in water operations since 2000. Jon received his Bachelor of Science in Biology in 1997 and Master of Science in Civil Engineering in 2002 from the University of Colorado at Boulder.

The Utilities Department is charged with the operation and maintenance of the water, wastewater, and storm water/flood management utilities and is comprised of 179 full-time employees. Non-management employees are unionized and are represented by the Boulder Municipal Employees Association. The current contract with the employees expires late December 2023. See "GENERAL INFORMATION REGARDING THE CITY--Labor Relations." The City considers its employee relations to be satisfactory.

Existing Facilities

The Facilities are comprised of two main components: The Water System and the Sewer System. The service area of the Facilities consists of approximately 58 square miles, including all of the City and certain adjacent areas, as limited by the topography of the area and political or community decisions.

Water System. The City obtains its raw water supplies from three geographical sources: (a) the City owned Silver Lake Watershed and North Boulder Creek via Lakewood Reservoir, (b) Middle Boulder Creek watershed via Barker Reservoir and (c) West Slope water via Carter Lake either to Boulder Reservoir or directly via the Carter Lake Pipeline or associated open canals. The water is treated at water treatment plants before being pumped to water storage tanks within the distribution system for delivery to homes.

The Silver Lake Watershed is situated directly east of the continental divide on North Boulder Creek. The United States Congress granted the City ownership of the Silver Lake

Watershed through three Congressional acts in 1907, 1919 and 1927. The stated Congressional intent of the grants was to provide a clean, healthy, and reliable water supply for the City. Seven reservoirs located in the Silver Lake Watershed store snowmelt water during high streamflow periods. The reservoirs then release water during low streamflow periods to meet the water needs of the City. Water from these reservoirs is delivered into Silver Lake Pipeline at a diversion structure located on North Boulder Creek two miles downstream of Silver Lake Reservoir. The water flows by gravity through the Silver Lake Pipeline for approximately 3.6 miles to Lakewood Reservoir. At Lakewood Reservoir, the water is diverted into the Lakewood Pipeline along with additional diversion of water from North Boulder Creek at Lakewood Reservoir. The water flows by gravity through the Lakewood Pipeline for 10 miles to the Betasso Water Treatment Facility ("WTF") and is treated for municipal use.

Lakewood Pipeline and Silver Lake Pipeline were originally constructed in 1906 and 1919, respectively. The pipelines were constructed to protect the City's water supply from contamination from tungsten, gold, and silver mine drainage, and from human encampment along the creek. In 1919, the City closed the Silver Lake Watershed to public access to protect the quality of the water supply. Since 1997, the City has reconstructed the Silver Lake and Lakewood Pipelines. In conjunction with the pipeline projects, the City constructed the Silver Lake and Lakewood Hydroelectric Facilities to dissipate pressure developed in the pipelines. The power generated from these facilities is sold to Xcel Energy.

The Middle Boulder Creek watershed is situated east of the continental divide near Nederland, Colorado, and drains directly into Barker Reservoir. The Barker system, comprised of Barker Reservoir, Barker Gravity Pipeline, Kossler Reservoir, and the Boulder Canyon Penstock, was originally constructed as a hydroelectric power generating system in 1909 and was owned and operated by Public Service Company of Colorado ("PSCo"). The City had a series of agreements with PSCo since the 1950's, permitting the City to divert and store water in Barker Reservoir and to use the associated pipelines. In 2001, the City acquired Barker Reservoir and its related facilities from PSCo at a total cost of approximately $12.4 million.

Water from Barker Reservoir flows through a gravity pipeline to Kossler Reservoir. Water is then diverted into a high-pressure pipeline (penstock) at Kossler Reservoir and flows to the Boulder Canyon Hydroelectric Facility, located in Boulder Canyon west of Boulder. The City redirects the municipal use portion of the water into a pipeline at a point just above the hydroelectric turbines in the power plant. Any remaining water is used to generate power at the Boulder Canyon Hydroelectric Facility which is sold to Tri-State Generation and Transmission Association under a power purchase agreement. The municipal use portion of the water is conveyed to the Betasso WTF via a pressurized pipeline. Just prior to the water entering the treatment plant, excess pressure is used to generate hydroelectric power at the City's Betasso Hydroelectric Facility which is sold to Xcel Energy.

The West Slope water is derived from two Colorado River projects, the CBT Project, and the Windy Gap Project. These two Colorado River projects are operated by the Northern Colorado Water Conservancy District ("NCWCD"). Reservoirs, located on tributaries of the upper Colorado River on the Rocky Mountains' western slope, collect and store water, which then flows through the Adams Tunnel (under the continental divide) to the eastern slope of the Rocky Mountains. A series of reservoirs store this water before final delivery through the Carter Lake Pipeline or via open canals for storage at Boulder Reservoir, located northeast of the City. This water is then treated for municipal use at the Boulder Reservoir WTF.

Both the Betasso WTF and Boulder Reservoir WTF use conventional treatment technology with, coagulation, flocculation, and sedimentation (dissolved air floatation (DAF) at the Boulder Reservoir WTF), filtration, post chlorination and fluoridation. Treated water from the Betasso WTF flows by gravity via two transmission lines to the City. Treated water from the Boulder Reservoir WTF is pumped into the City's high-pressure distribution system. Raw water delivered to Betasso WTF consists mostly of snowmelt which is relatively free of contaminants due to limited public access into the Silver Lake Watershed and wilderness areas and delivery of the raw water through pipelines rather than creeks. High-quality raw water treated at Boulder Reservoir WTF is primarily delivered via the Carter Lake Pipeline or through open canals. The canal system water while still high-quality, is not as pristine. Due to the need for chemicals to treat this water and the need to pump the treated water into the City, it costs slightly more to treat and deliver water at the Boulder Reservoir WTF than at the Betasso WTF.

The Betasso WTF can treat 40 million gallons per day ("mgd") of water and the Boulder Reservoir WTF was upgraded in 2010 to provide a firm 16 mgd of treatment capacity, for a total of 56 mgd of treatment capacity. In 2020 and 2021, the City treated an average of 15 mgd. The peak days of water treatment in 2020 and 2021 were 30.8 mgd and 31.2 mgd, respectively.

The water distribution system services areas with elevations ranging from 5,750 feet on the west side of the City to 5,150 feet in the eastern section. Due to this large elevation differential, the system is divided into three pressure zones to keep water pressures within practical limits. Pressure Zone 1 serves areas generally below an elevation of 5,270 feet, Zone 2 serves areas between 5,270 and 5,450 feet and Zone 3 serves areas above an elevation of 5,450 feet. Excess water pressure that develops in each zone as water is delivered downhill from the Betasso WTF is reduced by pressure reducing valves and four small hydroelectric facilities. The power that is generated is sold to Tri-State Generation and Transmission Association ("Tri-State") pursuant to a power purchase agreement. Water from the Boulder Reservoir WTF is pumped to Zone 1 and can be delivered to Zones 2 and Zone 3 by pump stations.

The water distribution system consists of a grid of approximately 467 miles of interconnected mains varying in size from 4 to 30 inches. The system is in generally good condition.

There are eight storage tanks for treated water in the distribution system: Gunbarrel reservoir (2.0 mg) serve Zone 1; Maxwell (9.5 mg) and Kohler (9.4 mg) storage tanks serve Zone 2; and Chautauqua (8.0 mg), Booton (3.5 mg), Devil's Thumb (5.0 mg), and Betasso WTF (4.0 mg) storage tanks serve Zone 3. Connected to the Maxwell and Kohler storage tanks are combination pressure reducing hydroelectric and emergency pump stations, which generate electricity sold to Tri-State during normal operations and pump water from the tank to higher pressure zones during emergencies. There are also two pressure reducing hydroelectric generation facilities (Sunshine and Orodell) on existing transmission lines feeding Zone 3. The City owns and operates a total of eight hydroelectric facilities which generate power that is sold to Xcel Energy and Tri State. In 2021, revenue from hydroelectric power totaled about $1.6 million.

Sewer System. The Sewer System is composed of a sanitary wastewater collection system and a single treatment facility. Approximately 380 miles of wastewater lines deliver wastewater, primarily by gravity flow, to the City of Boulder Water Resource Recovery Facility (Boulder WRRF). The collection system has one lift station that pumps wastewater from an area in the northeastern part of the City to a gravity line which then flows to the WRRF.

The Boulder WRRF treats all wastewater from the City and can provide 25.0 mgd of treatment capacity (monthly average). In 2020 and 2021 this facility treated an average of 11.8 mgd and 12.2 mgd, respectively, of wastewater. The peak days of wastewater treatment in 2020 and 2021 were 21.8 mgd and 24.9 mgd, respectively. The plant is composed of the following components: headworks facilities where large materials are screened out and grit is removed; primary clarifiers where some solids settle out; a pump station where sewage is pumped to aeration basins, where microbiological activity reduces dissolved organics and removes a portion of the total nitrogen through nitrification (ammonia reduction) and denitrification (nitrate conversion); aerated solids contact basins provide further reduction of dissolved organics and ammonia; final clarifiers where remaining settleable solids are removed; and ultraviolet light (UV) facilities for disinfection.

The treated effluent is then discharged to Boulder Creek. Sludge is removed from the primary and final clarifiers, thickened in gravity sludge thickeners and dissolved air floatation thickeners, and then biologically degraded in anaerobic digesters. The methane gas produced in this process is processed into renewable natural gas and injected on the Xcel natural gas pipeline for sale to the local solid waste hauler. The City generates an additional revenue stream from this renewable natural gas through the generation and sale of Renewable Identification Numbers under the EPA's Renewable Fuel Standard. The stabilized sludge (biosolids) from the digesters is dewatered in centrifuges and transported to agricultural land by a contract hauling company. There, it is applied to the land as a soil conditioner and fertilizer.

Water Supply Firm Yield and Uses

General. The operation of the City's raw Water System involves intricate relationships between water rights, laws and legal agreements, streamflows, storage facilities, transmission facilities, treatment capacity and water demand. During the peak streamflow period in the spring, snowmelt in the mountains causes high creek flows and water supplies are generally available for all users. However, because streamflows will quickly drop, many water users, like the City, store water in reservoirs and regulate the release of water to satisfy their needs throughout the year. It is also important for the City to store excess water in its reservoirs during wet years to carry over into dry years to assure a reliable water supply.

Water rights in Colorado are administered according to the Prior Appropriation Doctrine, which has frequently been described as "first in time, first in right." Those water users who first put water to beneficial use gained a senior right to the water. Use by junior appropriators is curtailed during a water shortage. The City owns a diverse portfolio of water rights and water delivery contracts that allow the City to use water both from the local Boulder Creek basin and from the western slope through the CBT system. The City also holds decreed exchange rights that, in effect, allow the trade of CBT water in Boulder Reservoir and water in Baseline Reservoir for Boulder Creek basin water high in the mountains.

Use of available water is sequenced according to many factors including water quality, economics, delivery system restrictions and the need to maintain adequate carry-over storage for droughts. As described under "Existing Facilities" above, the City receives its raw water supply from three geographical sources: (a) the Silver Lake Watershed via Lakewood Reservoir; (b) Middle Boulder Creek watershed via Barker Reservoir; and (c) West Slope water from the CBT and Windy Gap Projects via Boulder Reservoir. Under normal operations, the water from Lakewood and Barker Reservoirs are used preferentially to meet the water demands of the

City to the extent that the long-term reliable yield of the Water System is not reduced. The balance of the water demand is met by Boulder Reservoir or the Carter Lake Pipeline.

Long-Term Planning; Drought. The City engages in long-term planning with respect to the Water System in order to provide sufficient Water System capacity, sufficient water resources and to provide for water quality. Most recently, the City adopted a 2011 Water Utility Master Plan (the "WUMP"), which provides planning for source water, water treatment and distribution. The WUMP also includes a consolidated capital improvement plan. In the WUMP, the City has modeled the Water System for both current environmental conditions and a range of climate change scenarios. Climate change scenarios are one of the factors in the City's planning process and necessary operating and capital expenditures resulting from the planning models are incorporated into the Water System's business plan and capital improvement plan (see "Future Capital Improvements" below). The WUMP is subject to periodic updating, including updates of existing conditions and scenarios used to model changes.

The City has recognized that it would be prohibitively expensive to acquire sufficient water rights to provide a full supply of water for all uses under all conditions. The City's Drought Plan, 2010 (the "Drought Plan") and its adopted water system reliability criteria state that it has planned to provide water for all needs in 19 out of 20 years on average. This means that the City expects to reduce its water demands in response to drought in about five years out of a hundred. During a drought as severe as that experienced in 2002, planned water use reductions such as lawn watering limitations would be instituted. The City models operation of its Water System under historic streamflow and weather conditions as well as climate change scenarios, all which include multi-year drought periods. The models indicate the City can achieve the adopted reliability criteria in the current climate as through a variety of climate change scenarios. Therefore, officials of the City believe that the City owns adequate raw water supplies to serve the maximum population projected under the WUMP at the levels defined in its Drought Plan and during the life of the Bonds. The City is in the process of updating the 2010 Drought Plan.

It is estimated that the City's water rights could reliably meet a demand level of more than 24,000-acre feet even in moderately dry years. It is projected that the City's average annual treated water demand at build-out will be approximately 22,000 acre-feet under current climate conditions. The City's current water use over the past five years for municipal treated water supply needs has averaged about 17,700 acre-feet. Another 750 to 1,750 acre-feet has been provided for the Boulder Creek Instream Flow Program. The remainder of the City's water portfolio remains available for future municipal treated water supply, as well as for instream flow and agricultural leasing uses.

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Water Usage Statistics. The following table details the quantities of water drawn over the past five years from each of the City's water sources:

Treated Water Production in Million Gallons

Year	Silver Lake / Lakewood System	Barker System	Colorado-Big Thompson System	Total Water Treated
2017	2,646	1,028	2,171	5,845
2018	2,577	1,385	1,939	5,901
2019	2,544	1,011	1,772	5,327
2020	2,502	1,486	1,687	5,675
2021	2,475	734*	2,329	5,538

One of the ways the City manages the year-to-year variation in water supply is through its agricultural water leasing program. The City's water supply is largely driven by annual precipitation, particularly snowmelt, which varies from year to year. Consequently, the amount of water available for leasing has similar variation. These amounts are not included in the table above entitled "Treated Water Production in Million Gallons." Listed below are the amounts leased in each year shown.

Leased Water Amounts in Acre Feet

Year	Leased
2017	7,202
2018	8,360
2019	5,972
2020	6,918
2021	5,959

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* Source water decisions are made to adopt to water supply conditions as well as to balance system-wide maintenance. Last year, due to concern about drought conditions present during the spring, the City carried over its remaining CBT allotment from 2020 to 2021, which otherwise would have reverted to the CBT general pool. During the 2021 operational season, the City prioritized using the carry over water, as evidenced by the relatively high CBT production number.

Future Capital Improvements

The City estimates that capital improvements for the Facilities will be as follows for the years 2022 through 2026.

Capital Improvements for the Facilities 2022-2026(1)

	2022	2023	2024	2025	2026
Water Improvements	$54,805,000	$16,000,000	$28,055,000	$19,260,000	$15,600,000
Sewer Improvements	$56,635,000	$31,977,000	$7,580,000	$7,255,000	$27,623,000

(1) The 2022 amounts include bond funding from the proceeds of the 2022 Bonds. Originally, the City planned to issue approximately $92,000,000 in Parity Bonds, $24,423,000 in additional Parity Bonds in 2023 for permit and sanitary sewer improvements, and $20,998,000 in additional Parity Bonds in 2026 for the Arapahoe Trunk Sewer improvements. However, as a result of project delays driven mostly by supply chain issues, the City has decreased the originally planned par amount of the 2022 Bonds (from $92M to $47M) and increased the originally estimated additional Parity Bonds for 2023 ($24M to $72M). These estimated amounts of the additional Parity Bonds for 2023 through 2026 are based on preliminary costs of the projects and these costs may change as the time for issuing such Parity Bonds nears.

Customers

The Water System served a customer base of 29,579 accounts as of December 31, 2021. Of this total, 28,714 accounts were inside the City and 865 accounts were outside the City limits. In 2021, residential customers made up 87% of the total Water System customers, while Commercial and Industrial customers made up 13% of the total.

The five largest users of the City's Water System in 2021, their respective usage and the revenues derived by the City are set forth below. The City is the largest customer of the Water System by total consumption (using approximately 238,367,000 gallons); however, the City does not charge its departments for municipal water use.

Largest Water Users as of December 31, 2021

Customer by Type	Total Consumption (in 1,000 gallons)	2021 Revenues Generated	Percentage of 2021 Revenues
Higher Education	213,528	$ 1,145,232	3.4%
Computer Consulting/Storage Devices	96,050	480,043	1.4
School District	64,573	488,876	1.5
Biopharmaceutical Manufacturing Company	41,122	194,667	0.6
Mobile Home Park	35,801	184,219	0.6

The Sewer System served a customer base of 27,868 accounts as of December 31, 2021. Of this total, 26,968 accounts were inside the City and 900 accounts were outside the City limits. In 2021, residential customers made up 69% of the total Sewer System customers, while Commercial and Industrial customers made up 31% of the total.

The five largest users of the City's Sewer System in 2021, their respective usage and the revenues derived by the City are set forth below. The City is the largest customer of the Sewer System by total consumption; however, the City does not charge its departments for municipal wastewater use.

Largest Wastewater Users as of December 31, 2021

Customer by Type	2021 Revenues Generated	Percentage of 2021 Revenues
Higher Education	$1,047,150	4.6%
Mobile Home Park	223,156	1.0
Computer Consulting/Storage Devices	209,516	0.9
Pharmaceutical Manufacturing Company	208,831	0.9
Federal Laboratory	170,198	0.7

The following table shows a history of the City's water and wastewater accounts.

History of Customer Accounts

	2017	2018	2019	2020	2021
Water	29,225	29,505	29,621	29,532	29,579
Wastewater	27,771	27,853	27,884	27,974	27,868

Rates and Charges

Introduction. Water and wastewater charges are reviewed annually by the Utilities Division to ensure that adequate revenues are collected to meet the financial obligations of each utility. In addition, a financial consultant is hired periodically to review the utilities' rates and fees. In 2017, the City completed a rate study which informed rate structure changes that went into effect January 2018. One of the key changes in the water and wastewater rate structures included adjusting the wastewater rates so that the fixed portion of the fee will account for 25% of billed revenues, compared to approximately 4% previously. Other adjustments were made to how customer water budgets were calculated to be more reflective of efficient water usage.

Recommended rate increases are reviewed and approved by City Council as part of the annual budget process. Rates are designed to maintain revenues sufficient to meet debt service requirements on revenue bonds; to pay operation, maintenance and capital expenses with respect to the Facilities; to meet all reserve requirements and to meet rate covenant requirements such as those contained in the Bond Ordinance. The City's water and sewer rates are not subject to Public Utilities Commission review.

The City utility rates are computed through an analysis of revenues compared to revenue requirements. The projections of revenue requirements are based upon an examination of current costs incurred in providing utility service, projected capital infrastructure needs and reflect anticipated changes in the future level of costs. Increases in future costs are primarily due to replacements and additions to the Facilities, regulatory requirements, and inflationary conditions. Projections of revenue are based on the estimated future number of customers to be served and associated water usage or sewage treatment for those customers.

Comparison of projected revenue requirements with projected revenue under existing rates measures the degree of adequacy of the overall level of current charges. Based on this analysis, adjustments to the existing rate schedule are recommended to the City Council. The primary basis of this rate setting method is the recovery of costs from customers in a manner reasonably commensurate with services provided.

Water Rates. Water rates consist of a fixed service charge levied each billing period and a quantity charge which is applied to the amount of water consumed. Service charges are designed to recover meter reading, billing and collection which are attributable to each customer regardless of the quantity used and are assessed based on meter size. The monthly service charge also recovers a portion of the capital costs to further ensure revenue stability as water sales are influenced by the weather and can fluctuate year to year. Quantity charges primarily recover those costs that are incurred to provide customer average and peak water usage requirements. The City's quantity rate varies with water usage, but not by meter size.

Since 1988, the City has administered an increasing block rate structure to encourage the efficient use of water. As the amount of water used increases and moves into the next rate block the quantity charge, or the cost per 1,000 gallons, increases. In January 2007, the City implemented a new water rate structure that uses "water budgets" and a more aggressive pricing strategy to further encourage water conservation. The rate structure is intended to further promote water conservation and the efficient use of water, support community goals, reflect the value of water, send a price signal to customers who exceed their water budget (waste water) and avoid the costs of new water development and expanded water treatment. The City's municipal code also contains provisions for an emergency water conservation plan that can be invoked if needed. The plan includes lawn watering restrictions, excess usage surcharges and enforcement provisions. The City did invoke mandatory water use restrictions during the drought year of 2002.

A monthly water budget is developed for each customer using criteria such as number of people in the household, historic usage, and specific irrigable area. The budgets for residential customers and irrigation-only accounts are shaped throughout the year to reflect outdoor watering patterns. The City still uses increasing block rates and correlates the block/price changes to the customer's individual water budget. Water use above a monthly water budget is billed at increasingly higher rates than water use that is within a monthly water budget. The block rate structure for the quantity charge portion of the water bill is shown in the following table.

Water Block Rate Structure

	Rate Per 1,000 Gallons	Water Usage (Gallons) Billed in Each Rate Block
Block 1	$^{3}/_{4}$ the Block 2 Rate	Usage up to 60% of the monthly budget
Block 2	Block 2 Rate	Usage between 60-100% of the monthly budget
Block 3	2 times the Block 2 Rate	Usage over monthly budget up to 150% of monthly budget
Block 4	3 times the Block 2 Rate	Usage between 150% and 200% of monthly budget
Block 5	5 times the Block 2 Rate	Usage over 200% of monthly budget

The following table shows water rate changes since 2018. The table shows the service charges per billing period, and quantity charges per 1,000 gallons of water used. In addition, the table also includes the number of accounts by meter size as of December 31, 2021. Approximately 24% of the total revenue from monthly water sales comes from the monthly service charge and 76% from the quantity charges.

History of Water Rates for the City

INSIDE CITY

SERVICE CHARGE

Meter Size	12/31/31 Accounts	Rates Effective: 1/1/18	1/1/19	1/1/20	1/1/21	1/1/22
3/4”	23,503	$ 12.18	$ 13.03	$ 13.94	$ 15.06	$ 16.11
1”	2,893	20.50	21.94	23.48	25.35	27.13
1 1/2”	1,504	44.14	47.23	50.54	54.58	58.40
2”	561	77.32	82.73	88.52	95.60	102.29
3”	165	172.00	184.04	196.92	212.68	227.56
4”	70	304.55	325.87	348.68	376.58	402.93
6”	12	683.41	731.25	782.44	845.03	904.19
8”	6	1,213,.80	1,297.91	1,388.76	1,499.86	1,604.85

QUANTITY CHARGE, per 1,000 gallons

Block 1	$ 3.19	$ 3.41	$ 3.65	$ 3.94	$ 4.22
Block 2	4.25	4.55	4.87	5.26	5.63
Block 3	8.50	9.10	9.74	10.52	11.26
Block 4	12.75	13.64	14.61	15.78	16.88
Block 5	21.25	22.74	24.35	26.30	28.14

OUTSIDE CITY

SERVICE CHARGE

Meter Size	12/31/31 Accounts	Rates Effective: 1/1/18	1/1/19	1/1/20	1/1/21	1/1/22
3/4”	759	$ 18.27	$ 19.55	$ 20.91	$ 22.58	$ 24.16
1”	83	30.75	32.90	35.21	38.03	40.69
1 1/2”	12	66.21	70.84	75.80	81.86	87.59
2”	5	115.98	124.10	132.78	143.40	153.44
3”	2	258.00	276.06	295.38	319.01	341.34
4”	1	456.83	488.80	523.02	564.86	604.40
6”	2	1,025.12	1,096.87	1,173.66	1,267.55	1,356.28
8”	1	1,820.70	1,946.87	2,083.15	2,249.80	2,407.29

QUANTITY CHARGE, per 1,000 gallons

Block 1	$ 3.19	$ 3.41	$ 3.65	$ 3.94	$ 4.22
Block 2	4.25	4.55	4.87	5.26	5.63
Block 3	8.50	9.10	9.74	10.52	11.26
Block 4	12.75	13.64	14.61	15.78	16.88
Block 5	21.25	22.74	24.35	26.30	28.14

The average annual charge for water service for a typical single-family residential customer has been as follows:

Typical Customer Annual Water Bill [1]

Bill for Inside City Customer

	1/1/18	1/1/19	1/1/20	1/1/21	1/1/22
Service Charge	$146.19	$156.39	$167.34	$180.72	$193.37
Quantity Charge	424.16	468.11	500.88	540.95	578.81
Total Charge	$570.35	$624.50	$668.22	$721.67	$772.19

Bill for Outside City Customer

	1/1/18	1/1/19	1/1/20	1/1/21	1/1/22
Service Charge	$219.24	$236.87	$253.45	$273.73	$292.89
Quantity Charge	424.16	468.11	500.88	540.95	578.81
Total Charge	$643.40	$704.98	$754.33	$814.68	$871.71

[1] Profile of the Typical Customer:
Customer Class = Single Family Residential
Meter Size = $^3/_4$"
Irrigable Area = 5,200 square feet
Annual Water Consumption = 120,000 gallons
Monthly Average Winter Water Consumption = 5,000 gallons

Wastewater Rates. The basic schedule of sewer rates consists of a monthly service charge, which varies by water meter size, and a quantity charge. The quantity charge for customers with average strength sewage is based on the average winter water consumption (AWC) by the customer during the months of December through March. The residential customer's wastewater charges are based on the customer's AWC or on the quantity of water consumed in the current billing period, whichever is less. All non-residential customers with average strength sewage that have only an indoor water budget allocation are billed for wastewater based on actual water consumed during the billing period throughout the year. Non-residential customers that have both an indoor and outdoor water budget allocation will be billed based on the actual water use or their indoor water budget allocation, whichever is lower. Wastewater charges are not assessed against irrigation-only accounts. Customers with above average strength sewage are billed according to the excess strength charges. There are only a few customers paying a sewer charge based on excess strength waste, and the City's revenues derived therefrom are minimal.

The following table shows how wastewater rates have changed over the past five years. Service charges are shown for each billing period, and quantity charges for each 1,000 gallons of consumption as described above. Approximately 28% of the total revenue from monthly wastewater sales comes from the monthly service charge and 72% from the quantity charges.

History of Wastewater Rates for the City

Inside City

Service Charge

Meter Size	Accounts	1/1/18	1/1/19	1/1/20	1/1/21	1/1/22
3/4"	22,624	$ 11.11	$11.67	$12.25	$12.87	$13.51
1"	2,403	19.48	20.45	21.47	22.55	23.67
1 1/2"	1,308	44.44	46.66	48.99	51.44	54.01
2"	413	78.33	82.25	86.36	90.68	95.21
3"	150	176.07	184.87	194.11	203.82	214.01
4"	56	313.33	329.00	345.45	362.72	380.86
6"	7	704.99	740.24	777.25	816.11	856.92
8"	7	1,253.32	1,315.99	1,381.79	1,450.88	1,523.42

Quantity Charge

Per 1000 gal		$5.71	$6.00	$6.30	$6.62	$6.95

Outside City

Service Charge

Meter Size	Accounts	1/1/18	1/1/19	1/1/20	1/1/21	1/1/22
3/4"	780	$ 16.67	$17.50	$18.38	$19.29	$20.26
1"	103	29.22	30.68	32.21	33.82	35.51
1 1/2"	10	66.66	69.99	73.49	77.16	81.02
2"	3	117.50	123.37	129.54	136.02	142.82
3"	1	264.11	277.31	291.17	305.73	321.01
4"	2	470.00	493.49	518.18	544.09	571.29
6"	0	1,057.49	1110.36	1165.88	1224.17	1,285.38
8"	1	1,879.98	1973.98	2072.68	2176.31	2,285.13

Quantity Charge

Per 1000 gal		$8.57	$9.00	$9.45	$9.92	$10.42

The average annual charge for sewer service for a typical single-family residential customer has been as follows:

Typical Customer Annual Wastewater Bill [1]

Bill for Inside City Customer

	1/1/18	1/1/19	1/1/20	1/1/21	1/1/22
Service Charge	$133.32	$ 139.99	$ 146.99	$154.33	$162.05
Quantity Charge	274.08	287.78	302.17	317.28	333.15
Total Charge	$407.40	$427.77	$449.16	$471.62	$495.20

Bill for Outside City Customer

	1/1/18	1/1/19	1/1/20	1/1/21	1/1/22
Service Charge	$200.04	$210.00	$220.50	$231.53	$243.10
Quantity Charge	411.36	432.00	453.60	476.28	500.09
Total Charge	$611.40	$642.00	$674.10	$707.81	$743.20

[1] Profile of the Typical Customer:
Customer Class = Single Family Residential
Meter Size = 3/4"
Annual Water Consumption = 120,000 gallons
Monthly Average Winter Water Consumption = 4,000 gallons

Operations. The utility billing office carries out payment processing, billing, collections, and customer service functions for all three City utilities. The staff supporting this effort includes one billing supervisor, four customer service representatives and a technical support person for the billing system. Meter reading, maintenance, testing, and repair are accomplished by an additional staff of eight people.

Approximately 1,500 water meters are read each day. These meter readings are uploaded into the utility billing computer system on a daily basis, generating bills which are mailed on the following day. Each account receives one bill per month that includes water, wastewater, and storm water/flood management charges.

Payment for utility services is due within 10 days of the date of the bill. If payment has not been received at the time of the next regular billing, a message noting that a portion of the bill is past due will appear on the bill. When payment is not received within sixty days from the date of the original billing, a Final Notice will be mailed notifying account holder that if the bill is not paid within ten calendar days, the water service may be discontinued.

When payment is not received seventy days from the date of the original billing, a door tag is placed at the property and the water is turned off after two days. Historically the City has experienced a less than one percent delinquency rate. If a partial payment is made, the payment is automatically applied to the oldest, outstanding bill, and applied first to miscellaneous fees, then the flood management utility, then the wastewater utility and finally the water utility. If all collection efforts fail, the City's code provides that service may be terminated, and delinquent charges may be certified to the Boulder County Treasurer for collection as part of property taxes.

Comparison to Other Cities' Rates. The City annually completes a survey for fifteen Front Range Communities of the average annual water and wastewater bills for a hypothetical inside city, single family residence with a 3/4" meter using 90,000 gallons annually. For 2021, of the sixteen Colorado Front Range cities surveyed, the City ranked eighth lowest with respect to water bills; second highest with respect to wastewater bills and fifth highest for combined water and wastewater bills.

Budgets

The City-wide 2022 budget was developed using a priority-based budgeting approach that scores or rates individual program to community defined results (or goals) to ensure resources are being allocated to areas deemed most important to the community. Annual operating budget proposals are developed by the managers of each functional group within the Utilities Division. The Utility manager responsible for Planning and Project Management formulates the Capital Improvement Program ("CIP") for the upcoming six years. These proposals are reviewed and modified by successive levels of management within the department until a final proposal is approved by the Utilities Director. The department budget proposal is then submitted to the Water Resources Advisory Board and the Planning Board for their review and recommendation. The City Manager considers these recommendations, along with public comment, before submitting the staff recommended budget to City Council, which makes the final determination regarding the budget. While the Utilities Division budget is developed in a cohesive manner (e.g. programs or projects that affect more than one utility fund), the water and wastewater budgets are entirely independent, each relying upon separate revenues and each maintained as a separate accounting entity.

The Utilities Department fiscal year 2022 approved budget (the "2022 Budget") is approximately $175 Million Dollars, which includes a portion of the proceeds of the 2022 Bonds. The 2022 Budget contains the following key initiatives: (a) water projects focusing on addressing aging infrastructure and increasing reliability, resilience, and level of services of the water infrastructure, (b) the improvements to the 63rd WTF, which will be funded in part with proceeds of the 2022 Bonds, (c) improvements to the Betasso WTF, in order to meet anticipated regulations and provide needed system reliability improvements, (d) installing new main wastewater pipeline to the Boulder Water Resource Recovery Facility, which will be funded in part with proceeds of the 2022 Bonds, (e) continuing the South Boulder Creek Flood Mitigation project with completion of the 30% design and permit applications through the Army Corps of Engineers and FEMA, and (f) phase 1 improvements in the Gregory Canyon Creek drainageway to provide capacity for a 10-year storm event.

The 2002 Budget for the Water Utility Fund contains (i) approximately $77.2 Million Dollars in revenues, which includes a portion of the proceeds of the 2022 Bonds, (ii) approximately $76.1 Million Dollars in expenses, and (iii) an increase in the ending fund balance before reserves of approximately $1 Million Dollars.

The 2022 Budget for the Wastewater Utility Fund contains (i) approximately $82.2 Million Dollars in revenues, which includes a portion of the proceeds of the 2022 Bonds, (ii) approximately $81.2 Million Dollars in expenses, and (iii) an increase in the ending fund balance before reserves of approximately $1 Million Dollars.

The Water Utility Fund and the Wastewater Utility Fund

The accounts of the City are organized and operated on a fund basis. Such funds are segregated for the purpose of accounting for the operation of specific activities or attaining certain objectives. The governmental funds utilized for the administration and operation of the Facilities are the Water Utility Fund and the Wastewater Utility Fund, which are enterprise funds for accounting purposes. All activities necessary to provide water and sewer service are accounted for in the Water Utility Fund and the Wastewater Utility Fund, respectively. All of the Gross Income is accounted for in either the Water Utility Fund or the Wastewater Utility Fund.

Historical Financial Information - Water Utility Fund and Wastewater Utility Fund

Set forth in the following tables are five-year comparative statements of revenues, expenses, and changes in net position for the Water Utility Fund and the Wastewater Utility Fund. The information in these tables has been derived from the City's Annual Comprehensive Financial Report ("ACFR") for 2017 through 2020 and from unaudited 2021 information provided by the City. The information in this table should be read together with the City's audited basic financial statements for the year ended December 31, 2020, and the accompanying notes, which are included as Appendix A hereto. Financial statements for prior years can be obtained from the sources listed in "INTRODUCTION--Additional Information."

Prospective investors should be aware that the 2022 Bonds constitute special, limited obligations of the City payable solely from the Net Income. Inclusion of the City's audited basic financial statements (which contain Water Fund and Wastewater Fund information) is for informational purposes only and does not imply that the 2022 Bonds constitute a general obligation of the City or a lien on any City revenues other than the Net Income.

Historical Revenues, Expenditures and Changes in Net Position - Water Utility Fund (in 000's)

	Year Ended December 31,				
Operating revenues:	2017	2018	2019	2020	2021(1)
Charges for services	$ 28,640	$ 29,647	$ 30,315	$ 33,740	35,722
Sale of goods	2	4	8	17	9
Total operating revenues	28,642	29,651	30,323	33,757	35,731
Operating expenses					
Personnel	8,974	9,757	6,336	7,109	8,235
Non-personnel	8,804	7,749	9,070	8,909	10,332
Depreciation and amortization	4,712	4,872	6,070	6,764	6,764
Total operating expenses	22,490	22,378	21,476	22,782	25,331
Operating income (loss)	6,152	7,273	8,847	10,975	10,400
Nonoperating revenues (expenses)					
Interest and investment earnings	467	778	1,490	1,423	(223)
Leases, rents, and royalties	100	63	77	117	114
Intergovernmental	123	(123)	-	-	
Interest expense	(568)	(1,725)	(1,962)	(1,798)	(1,658)
Contribution expense - future water rights	(420)	-	-	-	
Gain (loss) on sale of capital assets	101	(43)	(9)	(13)	(7)
Other, net	20	206	65	1	
Total nonoperating revenues (expenses)	(177)	(844)	(339)	(270)	(1,774)
Income (loss) before capital contributions and transfers	5,975	6,429	8,508	10,705	8,626
Capital contributions	3,167	2,543	7,096	8,787	5,001
Transfers out	(364)	(324)	(334)	(370)	(1,122)
Change in net position	8,778	8,648	15,270	19,122	12,505
Total net position, beginning of year (2)	228,615	236,481	245,129	260,399	279,521
Total net position, end of year	$ 237,393	$ 245,129	$ 260,399	$ 279,521	292,026

(1) Unaudited; subject to changes and adjustments during the audit process.
(2) The beginning net position for 2018 was restated by to reflect the cumulative effect of application of GASB Statement No. 75 (Net OPEB liability).

Source: The City's audited financial statements for the years ended December 31, 2017-2020, and unaudited 2021 information provided by the City.

Historical Revenues, Expenditures and Changes in Net Position - Wastewater Utility Fund (in 000s)

	Year Ended December 31,				
Operating revenues:	2017	2018	2019	2020	2021(1)
Charges for services	$ 19,212	$ 21,393	$ 21,821	$ 21,741	24,831
Sale of goods	1	-	-	-	2
Total operating revenues	19,213	21,393	21,821	21,741	24,833
Operating expenses					
Personnel	6,017	5,701	3,732	4,562	4,899
Non-personnel	5,510	6,477	6,288	6,073	6,514
Depreciation and amortization	2,855	2,946	3,749	3,817	3,817
Total operating expenses	14,382	15,124	13,769	14,452	15,230
Operating income (loss)	4,831	6,269	8,052	7,289	9,603
Nonoperating revenues (expenses)					
Interest and investment earnings	119	313	981	997	(210)
Leases, rents, and royalties	16	9	22	13	17
Intergovernmental revenue	587	(14)	10	-	
Interest expense	(781)	(1,193)	(1,146)	(985)	(848)
Gain (loss) on sale of capital assets	-	(25)	(3)	(17)	(5)
Other, net	5	149	-	7	35
Total nonoperating revenues (expenses)	(54)	(761)	(136)	15	(1,011)
Income (loss) before capital contributions and transfers	4,777	5,508	7,916	7,304	8,592
Capital contributions	975	907	2,649	2,285	1,050
Transfers in	-	-	-	-	
Transfers out	(322)	(322)	(331)	(367)	(960)
Change in net position	5,430	6,093	10,234	9,222	8,682
Total net position, beginning of year (2)	76,657	81,512	87,605	97,839	107,061
Total net position, end of year	$ 82,087	$ 87,605	$ 97,839	$ 107,061	115,743

(1) Unaudited; subject to changes and adjustments during the audit process.
(2) The beginning net position for 2018 was restated by to reflect the cumulative effect of application of GASB Statement No. 75 (Net OPEB liability).

Source: The City's audited financial statements for the years ended December 31, 2017-2020, and unaudited 2021 information provided by the City.

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THE CITY

Description

The City of Boulder, Colorado (the "City") is a municipal corporation duly organized and existing as a home rule city under Article XX of the Constitution of the State of Colorado (the "State") and the home rule charter of the City. The City, with an estimated population of approximately 116,424, is located in north central Colorado, approximately 25 miles northwest of Denver, Colorado. The City encompasses 25 square miles and is the county seat of Boulder County.

Governing Body

The City operates under a council-manager form of government whereby all powers of the City are vested in an elected City Council. On November 2, 1999 voters approved an amendment to the City's Charter removing term limits for City Council members. The present members of the Council, their principal occupations, lengths of service to the Council, and terms of office are as follows:

Name and Office	Principal Occupation	Date Elected	Term Expires
Aaron Brockett, Mayor	Computer programmer	11/2015	11/2023
Rachel Friend, Mayor Pro Tem	Attorney and educator	11/2019	11/2023
Matt Benjamin, Council member	Astronomer	11/2021	11/2025
Lauren Folkerts, Council member	Architect	11/2021	11/2025
Junie Joseph, Council member	Human rights and development	11/2019	11/2023
Nicole Speer, Council member	Scientist	11/2021	11/2025
Mark Wallach, Council member	Retired attorney and developer	11/2021	11/2025
Tara Winer, Council member	Small business owner	11/2021	11/2023
Bob Yates, Council member	Community advocate	11/2015	11/2023

Administrative Personnel

The City Council consists of nine members elected for staggered four- and two-year terms. The presiding member of the City Council, as selected by the members thereof, is designated as Mayor.

Various individuals are responsible for implementation of the City Council's actions with respect the day-to-day operation and maintenance of the City. The following paragraphs summarize the background and experience of selected City administrative personnel.

The City Manager manages the day to day business of the City government; sets strategic direction to achieve the City's community sustainability goals; implements council determined policies; coordinates community issues between departments; and supervises the work of the departments.

Nuria Rivera-Vandermyde, City Manager, Ms. Rivera-Vandermyde joined the City in 2021 and currently serves as the City Manager. She has been a local government leader since 2013 when she was hired by the City of Minneapolis, Minnesota, as the director of regulatory services. She progressed to the roles of deputy city coordinator and city coordinator within that time. In 2019, she moved to Austin, Texas to take on a deputy city manager role.

Rivera-Vandermyde received her Juris Doctor degree from New York University School of Law and her Bachelor of Arts in Political Science and English from Amherst College.

Chris Meschuk, Deputy City Manager. Mr. Meschuk serves as deputy city manager. Chris joined the city in 2005 and has served in numerous roles in the city manager's office and planning department, most recently as assistant city manager. As deputy city manager, Mr. Meschuk serves as the city manager liaison on citywide issues and projects, working in collaboration with city departments to support Boulder's current and future needs. He holds a master's degree in Urban and Regional Planning from the University of Colorado Denver, a Bachelor of Environmental Design from the University of Colorado Boulder and is a certified Planner with the American Institute of Certified Planners. Mr. Meschuk currently volunteers with community service and youth leadership development organizations.

Kara Skinner, Interim Chief Financial Officer**.** Ms. Skinner has been the City's Interim Chief Financial Officer since November 2021. She joined the City in 2017 as the Assistant Director of Finance. Just prior to her roles with the City, Ms. Skinner was the Chief Financial Officer for the City of Colorado Springs. Ms. Skinner holds a bachelor's degree in economics from the University of Colorado Boulder and a master's degree in economics from Duke University. Ms. Skinner' early career was in the public utilities industry, serving as an analyst for the Maine Public Utilities Commission, analyst for the Hawaiian Electric Company and economist for the Hawaii Public Utilities Commission. She has taught economics as adjunct faculty for Jacksonville University, University of North Florida, and the University of Hawaii. She currently is the Treasurer of the Colorado GFOA (CGFOA).

Growth Policy

The City and County have jointly adopted a comprehensive plan, the Boulder Valley Comprehensive Plan (the "BVCP"), that directs new urban development to the City's service area, preserves land outside the urban growth boundary, promotes a compact community, provides for affordable housing, and promotes alternative transportation modes. A major update to the plan began in 2015 and was adopted in 2017. More recently, a minor update to the plan began in 2020 and was adopted in 2021. A link to the plan can be found here https://bouldercolorado.gov/bvcp.

Based on the most recent data, the City, and its service area (Areas I and II) had a population of approximately 116,424 (2020 estimate) and employment of 98,499 (2019 estimate). Approximately 30,000 students attend the University of Colorado. Over the next 20 years, the City is projected to add another 5,800 housing units, 35,000 people and 16,000 jobs. It should be noted that these projections occur only with every major update to the BVCP. The next major update is anticipated to occur in 2025. Since there is little vacant land left in the City's service area, most of the growth will occur through redevelopment.

Public Utilities

Water and sewer services are provided by the City. Gas and electricity for the City are currently provided by Xcel Energy. Rates for gas, electricity and telephone services are provided by private companies regulated by the Public Utilities Commission.

Retirement and Pension Matters

City employees are covered under several retirement plans and other, non-City funded postemployment benefits are available to employees. The matters are discussed in significant detail in Notes U, V and W to the City's audited financial statements, attached to this Official Statement as Appendix A.

Labor Relations

Non-management, non-exempt employees of most City departments are presently represented by the Boulder Municipal Employees Association (the "BMEA"). As of February 6, 2022, there were 377 standard employees represented by the BMEA. In addition, the City also has economic contracts with the police association (166 employees) and the firefighters' association (113 employees); those contracts have been renewed through the last pay period of 2022. In the opinion of the City's Human Resources Director, the City's relationship with its employees is presently satisfactory.

Risk Management

General. The Council acts to protect the City (including the Facilities) against loss and liability by maintaining certain insurance coverages, including property, general liability, automobile liability, law enforcement liability, public officials errors and omissions liability, crime coverage, cybersecurity and workers' compensation insurance. The City's current excess coverage expires on April 15, 2023. The City's various coverages have varying deductibles and coverage limits.

In the opinion of the Chief Financial Officer, the City's insurance policies provide adequate insurance protection for the City. See Note I in the audited financial statements attached hereto for a description of the City's 2020 risk management activities.

Cybersecurity. Neither the City nor the Facilities have been the subject of any successful cyberattack that impacted or affected operations or financial recording/reporting functions. Both the City and the Facilities have cyber training programs and mitigation/prevention plans for cyberattacks.

CITY DEBT STRUCTURE

Debt Limitation

The Charter limits City indebtedness to no more than three percent of the total assessed valuation of real property within the City. The City's 2021 assessed valuation is $4,281,858,030; therefore, the maximum general obligation debt permitted by the Charter is $128,455,741. This limit does not include revenue bonds, even if there is a contingent pledge of the full faith and credit of the City. The City presently has no indebtedness outstanding which applies toward the debt limit.

Outstanding Obligations

Revenue Obligations with General Obligation Pledge. Set forth below are certain obligations of the City outstanding secured with a pledge of revenues other than the Net Income and additionally secured by a pledge of the City's full faith and credit.

Outstanding Revenue Bonds Secured by a General Obligation Pledge

Obligation	Principal Outstanding (as of 4/1/2021)
Open Space Acquisition Bonds, Series 2014	$6.980,000
Waste Reduction Refunding Note, Series 2020	2,860,000
	$9,840,000

Other Revenue Obligations. The City has the authority to issue revenue obligations payable from the net revenues derived from the operation of municipality-owned utilities or other income producing projects or from the revenue received from certain taxes other than ad valorem property taxes. Such obligations do not constitute an indebtedness of the City; however, except for refinancing bonded debt at a lower interest rate, TABOR (as defined hereafter) requires that all multiple fiscal year obligations of the City have voter approval, unless the City qualifies the issuing utility as an enterprise, which would exempt the issuance of such debt from the provisions of TABOR. The following table sets forth the City's revenue obligations not secured by the Net Income (other than conduit issuances) which are outstanding as of the date of this Official Statement.

Other Outstanding Revenue Obligations

Bond Issue	Principal Outstanding (as of 4/1/2022)
Water and Sewer Revenue Refunding Bonds, Series 2012	$ 11,045,000
Water and Sewer Revenue Bonds, Series 2015	7,590,000
Storm Water and Flood Management Revenue Bonds, Series 2015	16,720,000
Water and Sewer Revenue Bonds, Series 2016	25,935,000
Water and Sewer Revenue Bonds, Series 2018	34,355,000
Community Culture and Safety Sales and Use Tax Revenue Note, Series 2019A	1,186,671
Community Culture and Safety Sales and Use Tax Revenue Note, Series 2019B	932,164
Water and Sewer Revenue Refunding Note, Series 2020	4,635,000
Total	$102,398,835

General Fund Bonds. In 2020, the City issued its Taxable Pension Obligation Refunding Note, Series 2020, which is are presently outstanding in the aggregate principal amount of $4,945,000 and in 2021 the City issued its General Fund Refunding Note, Taxable Converting to Tax-Exempt, Series 2021, which is presently outstanding in the aggregate principal amount of $26,355,000. These bonds are not general obligations of the City but are secured by all legally available funds and revenues of the City's General Fund.

Central Area General Improvement District. In 1970, the City created the Central Area General Improvement District ("CAGID"), which consists of a portion of the City including its core downtown area. CAGID obligations are not obligations of the City as a whole but are limited to the CAGID area. CAGID presently has outstanding $1,610,000 aggregate principal amount of General Obligation Refunding Bonds, Series 2012. These bonds are secured by certain revenues pledged by CAGID as well as a pledge of the full faith and credit of CAGID, but not the City as a whole.

Special Assessment Bonds. The City has the power to create special improvement districts and to issue special assessment bonds payable from assessments against benefited properties within the district. The City does not have any outstanding special improvement districts.

Leases and Long-Term Contracts. The Council has the authority to enter into installment or lease option contracts, subject to annual appropriation, for the purchase of property or capital equipment without prior electoral approval as described in "LEGAL MATTERS--Certain Constitutional Limitations." The term of any such contract may not extend over a period greater than the estimated useful life of the property or equipment. As of April 1, 2022, the City had outstanding approximately $7,340,709 of lease purchase revenue notes, which are subject to annual appropriation and payable from revenues guaranteed by the City's open space sales and use tax.

The City has also entered into a lease purchase agreement with the Boulder Municipal Property Authority dated as of November 1, 2015 (the "2015 Lease") with respect to several buildings and properties used by the City. In connection with the 2015 Lease, Taxable Certificates of Participation, Series 2015, were issued and are presently outstanding in the aggregate principal amount of $32,000,000. The City's obligation to pay rent under the 2015 Lease is subject to annual appropriation and may be terminated by the City during any fiscal year for all subsequent fiscal years. The City's annual rental payments under the 2015 Lease total approximately $2.8 million per year through 2036.

In addition, the City has entered into a lease purchase agreement with the Boulder Municipal Property Authority dated as of September 1, 2019 (the "2019 Lease") with respect to several buildings and properties used by the City. In connection with the 2019 Lease, Taxable Certificates of Participation, Series 2019, were issued and are presently outstanding in the aggregate principal amount of $18,450,000. The City's obligation to pay rent under the 2019 Lease is subject to annual appropriation and may be terminated by the City during any fiscal year for all subsequent fiscal years. The City's annual rental payments under the 2019 Lease total approximately $1.3 million per year through 2039.

Mill Levy Limitations and Tax Rates

The Charter restricts the property tax levy to 13.0 mills on a dollar of assessed valuation. This limitation does not include special assessments for local improvements, payment of interest or principal on bonded indebtedness or the charter mill levy for health and hospital purposes. Article X, Section 20 of the Colorado Constitution, however, imposes limitations which are substantially more restrictive than those of the Charter. See "LEGAL MATTERS--Certain Constitutional Limitations."

Earmarked funds from the property tax include 0.900 mills for the Permanent Park and Recreation Fund, 0.333 mills for the Library Fund, and 0.400 mills for human-services purposes. The 0.400 mills for human-services purposes is included in the City's General Fund.

ECONOMIC AND DEMOGRAPHIC INFORMATION

This portion of the Official Statement contains general information concerning historic economic and demographic conditions in and surrounding the City. It is intended only to provide prospective investors with general information regarding the City's community. The information was obtained from the sources indicated and is limited to the time periods indicated. The information is historic in nature; it is not possible to predict whether the trends shown will continue in the future. The City makes no representation as to the accuracy or completeness of data obtained from parties other than the City.

Population

The following table sets forth the respective populations of the City, Boulder County and the State of Colorado for the time periods shown. Between 2010 and 2020, the population of the City increased 11.2% and that of Boulder County increased 12.3%. The State's population increased 14.8% during the same time period.

Population

Year	City of Boulder	Percent Change	Boulder County	Percent Change	Colorado	Percent Change
1970	66,870	--	131,889	--	2,207,259	--
1980	76,685	14.7%	189,625	43.8%	2,889,735	30.9%
1990	83,312	8.6	225,339	18.8	3,294,394	14.0
2000[(1)]	94,673	13.6	269,814	19.7	4,301,261	30.6
2010	97,385	2.9	294,567	9.2	5,029,196	16.9
2020	108,250	11.2	330,758	12.3	5,773,714	14.8

(1) The Colorado State Demography Office adjusted the 2000 figure for Boulder County to reflect the 2001 creation of the City and County of Broomfield.

Sources: United States Department of Commerce, Bureau of the Census (1970-2020) and Colorado State Demography Office (2000 figure for Boulder County).

Income

The following table sets forth annual per capita personal income levels for Boulder County, the State, and the United States. Per capita levels in Boulder County have consistently exceeded State and national levels during the period shown.

Annual Per Capita Personal Income

Year[1]	Boulder County	Colorado	United States
2016	$65,226	$52,251	$49,812
2017	69,456	55,125	51,811
2018	72,607	58,267	54,098
2019	77,305	60,848	56,047
2020	79,649	63,776	59,510

(1) Figures for Boulder County updated November 16, 2021. State and national figures updated September 23, 2021. All figures are subject to periodic revisions.

Source: United States Department of Commerce, Bureau of Economic Analysis.

Employment

The following table presents information on employment within Boulder County, the State and the United States for the period indicated.

Labor Force and Percent Unemployed

	Boulder County [1]		Colorado [1]		United States
Year	Labor Force	Percent Unemployed	Labor Force	Percent Unemployed	Percent Unemployed
2016	180,901	2.6%	2,894,157	3.1%	4.9%
2017	186,219	2.2	2,982,495	2.6	4.4
2018	192,258	2.6	3,071,396	3.0	3.9
2019	195,471	2.3	3,126,120	2.7	3.7
2020	192,879	6.2	3,122,237	7.3	8.1
Month of December					
2020	194,211	5.8%	3,172,790	6.9%	6.7%
2021	199,627	3.2	3,227,853	4.1	3.9

(1) Figures for Boulder County and the State are not seasonally adjusted.

Sources: State of Colorado, Department of Labor and Employment, Labor Market Information, Labor Force Data and United States Department of Labor, Bureau of Labor Statistics.

The following table shows the number of individuals employed within selected Boulder County industries which are covered by unemployment insurance. In 2020, the largest employment sector in Boulder County was professional and technical services (comprising approximately 17.0% of the county's work force), followed, in order, by educational services, health care and social assistance, manufacturing, and retail trade. For the twelve-month period ended December 31, 2020, total average employment in the County decreased 5.0% as compared to the same period ending December 31, 2019, and the weekly average wage increased by 6.0% during the same time period.

Average Number of Employees within Selected Industries - Boulder County

Industry	2016	2017	2018	2019	2020	2021[2]
Accommodation and Food Services	17,774	17,945	18,191	17,956	13,441	13,992
Administrative and Waste Services	6,693	5,868	6,183	6,416	6,198	6,109
Agriculture, Forestry, Fishing, Hunting	479	534	606	569	611	598
Arts, Entertainment and Recreation	3,195	3,161	3,288	3,475	2,605	2,683
Construction	5,247	5,538	5,689	5,837	5,447	5,354
Educational Services	21,244	21,763	21,799	23,172	22,172	21,982
Finance and Insurance	4,031	4,070	4,032	4,118	4,108	4,133
Government	8,365	8,378	8,482	8,447	8,323	7,917
Health Care and Social Assistance	21,744	22,647	23,194	23,357	22,056	22,713
Information	7,945	8,063	8,251	8,603	8,527	8,772
Management of Companies/Enterprises	1,206	1,443	1,566	1,525	1,614	1,710
Manufacturing	17,504	18,429	19,057	19,804	20,056	20,739
Mining	227	169	176	177	172	213
Non-classifiable	24	5	22	17	20	12
Other Services	5,318	5,382	5,376	5,415	4,862	5,064
Professional and Technical Services	26,981	27,543	28,364	30,085	30,439	31,370
Real Estate, Rental and Leasing	2,739	2,757	2,756	2,782	2,700	2,807
Retail Trade	17,407	17,491	17,554	17,493	16,565	17,180
Transportation and Warehousing	2,133	2,052	2,112	2,177	2,291	2,339
Utilities	301	289	256	307	311	323
Wholesale Trade	6,105	6,288	6,513	6,730	6,481	6,648
Total[1]	176,663	179,815	183,466	188,461	178,999	182,654

(1) Figures may not equal totals when added due to the rounding of averages or the inclusion in the total figure of employees that were not disclosed in individual classifications.
(2) Figures are averaged through the second quarter of 2021.

Source: State of Colorado, Department of Labor and Employment, Labor Market Information, Quarterly Census of Employment and Wages (QCEW).

Major Employers

The following table sets forth a selection of the largest public and private employers in Boulder County. No independent investigation of the stability or financial condition of the employers listed hereafter has been conducted; therefore, no representation can be made that these employers will continue to maintain their status as major employers in the area.

Major Employers in Boulder County

Name of Employer	Product or Service	Estimated Number of Employees [1]
University of Colorado at Boulder	Higher Education	9,814[2]
Boulder Valley School District	K-12 Education	3,680[3]
St. Vrain Valley School District	K-12 Education	3,570[3]
Medtronic PLC	Medical Devices and Products	2,430
Boulder Community Health	Healthcare	2,380
Ball Aerospace & Technologies Corporation	Aerospace, Technologies, and Services	1,650
Seagate Technology	Computer Hard Drives	1,460
IBM Corporation	Computer Systems and Services	1,460
Good Samaritan Medical Center	Healthcare	1,450
Google	Internet Services and Products	1,390

(1) Figures show employees in Boulder County as of June 2021 unless otherwise noted.
(2) Figure as of November 1, 2020. Figure does not include student employees.
(3) Figures are taken from the employer's Annual Comprehensive Financial Report for the fiscal year ended June 30, 2021.

Sources: Development Research Partners as posted by Metro Denver Economic Development Corporation; and individual public sector employers.

Foreclosure Activity

The following table sets forth the number of foreclosures filed in Boulder County during the time period shown. Such information only represents the number of foreclosures filed and does not consider foreclosures which were filed and subsequently redeemed or withdrawn.

History of Foreclosures – Boulder County

Year	Number of Foreclosures	Percent Change
2017	170	--
2018	123	(27.6) %
2019	146	18.7
2020	48	(67.1)
2021	38	(20.8)
2022	3	--

(1) Figures are for January 1 through January 31, 2022.

Sources: Colorado Division of Housing (2017 to 2020 figures) and Boulder County Public Trustee's Office (2021 and 2022 figures).

TAX MATTERS

Generally

In the opinion of Kutak Rock LLP, Bond Counsel, under existing laws, regulations, rulings and judicial decisions, interest on the 2022 Bonds is excludable from gross income for federal income tax purposes and is not a specific preference item for purposes of the federal alternative minimum tax. The opinions described in the preceding sentence assume the accuracy of certain representations and compliance by the City with covenants designed to satisfy the requirements of the Internal Revenue Code of 1986, as amended, that must be met subsequent to the issuance of the 2022 Bonds. Failure to comply with such requirements could cause interest on the 2022 Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the 2022 Bonds. The City has covenanted to comply with such requirements. Bond Counsel has expressed no opinion regarding other federal tax consequences arising with respect to the 2022 Bonds.

Bond Counsel is also of the opinion that, under existing State of Colorado statutes, to the extent excludable from gross income for federal income tax purposes, interest on the 2022 Bonds is excludable from gross income for Colorado income tax purposes and from the calculation of Colorado alternative minimum taxable income.

The accrual or receipt of interest on the 2022 Bonds may otherwise affect the federal income tax liability of the owners of the 2022 Bonds. The extent of these other tax consequences will depend upon such owner's particular tax status or other items of income or deduction. Bond Counsel has expressed no opinion regarding any such consequences. Purchasers of the 2022 Bonds, particularly purchasers that are corporations (including S corporations and foreign corporations operating branches in the United States), property or casualty insurance companies, banks, thrifts or other financial institutions, certain recipients of social security or railroad retirement benefits, taxpayers otherwise entitled to claim the earned income credit, taxpayers entitled to claim the refundable credit in Section 36B of the Code for coverage under a qualified health plan, and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry tax exempt obligations, should consult their tax advisors as to the tax consequences of purchasing or owning the 2022 Bonds.

A copy of the proposed form of opinion of Bond Counsel with respect to the 2022 Bonds is attached as Appendix E to this Official Statement.

Original Issue Premium

The 2022 Bonds that have an original yield below their respective interest rates, as shown on the inside cover of this Official Statement (collectively, the "Premium Obligations"), are being sold at a premium. An amount equal to the excess of the issue price of a Premium Obligation over its stated redemption price at maturity constitutes original issue premium on such Premium Obligation. A purchaser of a Premium Obligation must amortize any premium over the term of such Premium Obligation using constant yield principles based upon the purchaser's yield to maturity (or, in the case of Premium Obligations callable prior to their maturity, by amortizing the premium to the call date, based upon the purchaser's yield to the call date and giving effect to any call premium). As premium is amortized, the amount of premium amortized in a payment period offsets a corresponding amount of the interest allocable to the corresponding payment period and the purchaser's basis in such Premium Obligation is reduced

by a corresponding amount resulting in the gain (or decrease in the loss) to be recognized for federal income tax purposes upon a sale or disposition of such Premium Obligation prior to its maturity. Even though the purchaser's basis may be reduced, no federal income tax deduction is allowed. Purchasers of the Premium Obligations should consult with their tax advisors with respect to the determination and treatment of premium for federal income tax purposes and with respect to the state and local tax consequences of owning a Premium Obligation.

Original Issue Discount

The 2022 Bonds that have an original yield above their respective interest rates, as shown on the inside cover of this Official Statement (collectively, the "Discounted Tax-Exempt Obligations"), are being sold at an original issue discount. The difference between the initial public offering prices of the Discounted Tax-Exempt Obligations and their stated amounts to be paid at maturity (excluding "qualified stated interest" within the meaning of Section 1.1273-1 of the Regulations) constitutes original issue discount treated in the same manner for federal income tax purposes as interest, as described above.

The amount of original issue discount which is treated as having accrued with respect to such Discounted Tax--Exempt Obligation is added to the cost basis of the owner in determining, for federal income tax purposes, gain or loss upon disposition of a Discounted Tax--Exempt Obligation (including its sale, redemption or payment at maturity). Amounts received upon disposition of a Discounted Tax-Exempt Obligation which are attributable to accrued original issue discount will be treated as tax exempt interest, rather than as taxable gain, for federal income tax purposes.

Original issue discount is treated as compounding semiannually, at a rate determined by reference to the yield to maturity of each individual Discounted Tax-Exempt Obligation, on days which are determined by reference to the maturity date of such Discounted Tax-Exempt Obligation. The amount treated as original issue discount on a Discounted Tax--Exempt Obligation for a particular semiannual accrual period is equal to (a) the product of (i) the yield to maturity for such Discounted Tax--Exempt Obligation (determined by compounding at the close of each accrual period); and (ii) the amount which would have been the tax basis of such Discounted Tax--Exempt Obligation at the beginning of the particular accrual period if held by the original purchaser; and less (b) the amount of any interest payable for such Discounted Tax--Exempt Obligation during the accrual period. The tax basis is determined by adding to the initial public offering price on such Discounted Tax-Exempt Obligation the sum of the amounts which have been treated as original issue discount for such purposes during all prior periods. If a Discounted Tax-Exempt Obligation is sold between semiannual compounding dates, original issue discount which would have been accrued for that semiannual compounding period for federal income tax purposes is to be apportioned in equal amounts among the days in such compounding period.

Owners of Discounted Tax-Exempt Obligations should consult their tax advisors with respect to the determination treatment of original issue discount accrued as of any date and with respect to the state and local consequences of owning a Discounted Tax-Exempt Obligation. Subsequent purchasers of Discounted Tax-Exempt Obligations that purchase such bonds for a price that is higher or lower than the "adjusted issue price" of the bonds at the time of purchase should consult their tax advisors as to the effect on the accrual of original issue discount.

Backup Withholding

As a result of the enactment of the Tax Increase Prevention and Reconciliation Act of 2005, interest on tax-exempt obligations such as the 2022 Bonds is subject to information reporting in a manner similar to interest paid on taxable obligations. Backup withholding may be imposed on payments made to any owner of the 2022 Bonds who fails to provide certain required information including an accurate taxpayer identification number to any person required to collect such information pursuant to Section 6049 of the Code. The reporting requirement does not in and of itself affect or alter the excludability of interest on the 2022 Bonds from gross income for federal income tax purposes or any other federal tax consequence of purchasing, holding, or selling tax exempt obligations.

Changes in Federal and State Tax Law

From time to time, there are legislative proposals in the Congress and in the states that, if enacted, could alter or amend the federal and state tax matters referred to above under this heading "TAX MATTERS" or adversely affect the market value of the 2022 Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether if enacted, it would apply to bonds issued prior to enactment. In addition, regulatory actions are from time to time announced or proposed and litigation is threatened or commenced which, if implemented or concluded in a particular manner, could adversely affect the market value of the 2022 Bonds. It cannot be predicted whether any such regulatory action will be implemented, how any particular litigation or judicial action will be resolved, or whether the 2022 Bonds of the market value thereof would be impacted thereby. Purchasers of the 2022 Bonds should consult their tax advisor regarding any pending or proposed tax legislation, regulatory initiatives, or litigation. The opinions expressed by Bond Counsel are based upon existing legislation and regulations as interpreted by relevant judicial and regulatory authorities as of the date of issuance and delivery of the 2022 Bonds, and Bond Counsel has expressed no opinion as of any date subsequent thereto or with respect to any pending legislation, regulatory initiatives or litigation.

PROSPECTIVE PURCHASES OF THE 2022 BONDS ARE ADVISED TO CONSULT THEIR OWN TAX ADVISORS PRIOR TO ANY PURCHASE OF THE 2022 BONDS AS TO THE IMPACT OF THE CODE UPON THEIR ACQUISITION, HOLDING OR DISPOSITION OF THE 2022 BONDS

LEGAL MATTERS

Litigation

The City has been advised that to the best knowledge of the City Attorney as of the date of this Official Statement, there are no suits or claims currently pending or threatened against the City that will materially and adversely affect the financial condition or operations of the City, the City's power to issue and deliver the 2022 Bonds; the proceedings and authority under which the 2022 Bonds are issued, the Fee is charged and collected, or the Net Income is collected, or affecting the validity of the 2022 Bonds or the pledge of said Net Income to the repayment of the 2022 Bonds thereunder; and neither the corporate existence nor the boundaries of the City or the title of its present officers to their respective offices is being contested.

Governmental Immunity

The Colorado Governmental Immunity Act, Title 24, Article 10, C.R.S. (the "Immunity Act"), provides that, with certain specified exceptions, sovereign immunity acts as a bar to any action against a public entity, such as the City, for injuries which lie in tort or could lie in tort.

The Immunity Act provides that sovereign immunity is waived by a public entity for injuries occurring as a result of certain specified actions or conditions, including: the operation of a non-emergency motor vehicle (including a light rail car), owned or leased by the public entity; the operation of any public hospital, correctional facility or jail; a dangerous condition of any public building; certain dangerous conditions of a public highway, road or street; failure to perform an education employment required background check; and the operation and maintenance of any public water facility, gas facility, sanitation facility, electrical facility, power facility or swimming facility by such public entity. Financial immunity is also waived for serious bodily injury or death resulting from an incident of school violence (murder, first degree assault or felony sexual assault). In such instances, the public entity may be liable for injuries arising from an act or omission of the public entity, or an act or omission of its public employees, which occur during the performance of their duties and within the scope of their employment.

The maximum amounts that may be recovered under the Immunity Act for injuries occurring on or after January 1, 2022, whether from one or more public entities and public employees, are as follows: (a) for any injury to one person in any single occurrence, the sum of $424,000; (b) for an injury to two or more persons in any single occurrence, the sum of $1,195,000; except in such instance, no person may recover in excess of $424,000. Those amounts increase every four years pursuant to a formula based on the Denver-Aurora-Greeley Consumer Price Index. The maximum recovery amounts for injuries occurring before January 1, 2022, are lower than the amounts listed in this paragraph. The City may increase any maximum amount that may be recovered from the City for certain types of injuries. However, the City may not be held liable either directly or by indemnification for punitive or exemplary damages unless the City voluntarily pays such damages in accordance with State law. The City has not acted to increase the damage limitations in the Immunity Act.

In 2021, the Colorado Legislature passed Senate Bill 21-088 ("SB 88") which created a new cause of action and added a waiver of immunity for certain sexual misconduct claims that occurred on or after January 1, 1960, but before January 1, 2022. Any claims brought under SB 88 must be commenced before January 1, 2025. Claimants are limited to a maximum recovery of $500,000 under the new cause of action created by SB 88 unless a court finds certain aggravating factors by clear and convincing evidence, in which case the total amount awarded to a claimant cannot exceed $1,000,000 dollars. The City's historical insurance coverage for sexual misconduct claims may not be sufficient to cover claims brought pursuant to SB 88. To date, the City has not received any notices or demands under SB 88 and the City has plans in place to address any such claims in the event they are alleged in the future.

The City may be subject to civil liability and damages including punitive or exemplary damages under federal laws, and it may not be able to claim sovereign immunity for actions founded upon federal laws. Examples of such civil liability include suits filed pursuant to Section 1983 of Title 42 of the United States Code, alleging the deprivation of federal constitutional or statutory rights of an individual. In addition, the City may be enjoined from

engaging in anti-competitive practices which violate federal and State antitrust laws. However, the Immunity Act provides that it applies to any State court having jurisdiction over any claim brought pursuant to any federal law, if such action lies in tort or could lie in tort.

Approval of Certain Legal Proceedings

In connection with the 2022 Bonds, Kutak Rock LLP, as Bond Counsel, will render its opinion as to the validity of the 2022 Bonds and the treatment of interest thereon for purposes of federal and State income taxation. See Appendix E - Form of Bond Counsel Opinion. Butler Snow LLP is acting as special counsel to the City in connection with this Official Statement. Certain matters will be passed upon for the City by the City Attorney.

Certain Constitutional Limitations

General. At the general election on November 3, 1992, the voters of Colorado approved Article X, Section 20 of the Colorado Constitution ("TABOR"). In general, TABOR restricts the ability of the State and local governments to increase revenues and spending, to impose taxes, and to issue debt and certain other types of obligations without voter approval. TABOR generally applies to the State and all local governments, including the City ("local governments"), but does not apply to "enterprises," defined as government-owned businesses authorized to issue revenue bonds and receiving under 10% of annual revenue in grants from all state and local governments combined.

Some provisions of TABOR are unclear and will require further judicial interpretation. No representation can be made as to the overall impact of TABOR on the future activities of the City, including its ability to generate sufficient revenues for its general operations, to undertake additional programs or to engage in any subsequent financing activities.

Voter Approval Requirements and Limitations on Taxes, Spending, Revenues, and Borrowing. TABOR requires voter approval in advance for: (a) any new tax, tax rate increase, mill levy above that for the prior year, valuation for assessment ratio increase, extension of an expiring tax, or a tax policy change causing a net tax revenue gain; (b) any increase in a local government's spending from one year to the next in excess of the limitations described below; (c) any increase in the real property tax revenues of a local government from one year to the next in excess of the limitations described below; or (d) creation of any multiple-fiscal year direct or indirect debt or other financial obligation whatsoever, subject to certain exceptions such as the refinancing of obligations at a lower interest rate. The City's Water Utility and Wastewater Utility are considered "enterprises" under TABOR, and therefore the 2022 Bonds may be issued without an election.

TABOR limits increases in government spending and property tax revenues to, generally, the rate of inflation and a local growth factor which is based upon, for school districts, the percentage change in enrollment from year to year, and for non-school districts, the actual value of new construction in the local government. Unless voter approval is received as described above, revenues collected in excess of these permitted spending limitations must be rebated. Debt service, however, including the debt service on the 2022 Bonds, can be paid without regard to any spending limits, assuming revenues are available to do so.

At the November 2, 1993 election, City voters authorized the City to collect, retain, and expend without regard to the revenue and limitations imposed by TABOR, the full proceeds of the City's sales and use tax, admission tax, accommodations tax, and non-federal

grants. At the November 8, 1994 election, City voters approved an increase in the City's trash tax and allowed the City to collect and spend the full proceeds of such taxes and any interest thereon.

At the November 5, 1996 election, City voters authorized the City to remove TABOR restrictions on all revenues (except property tax) and expenditures of the City, and authorized the collect, retention and expenditures of all revenues of the City free from current revenue and expenditure limitations and from any limitations that may be enacted in the future without the amendment of the City's Charter by the electors of the City.

In addition, at the November 4, 2008 election, City voters authorized the City to remove TABOR restrictions on property tax revenues collected above the limits imposed by TABOR. The election specified that retention above TABOR limits will not rise more than 0.5 mills annually for tax collection years 2009 and beyond up to the maximum allowable level of property taxes and that any tax monies that are collected above those that the City may retain will be credited to property owners as an offset against the subsequent year's taxes.

Emergency Reserve Funds. TABOR also requires local governments to establish emergency reserve funds. The reserve fund must consist of at least 3% of fiscal year spending. TABOR allows local governments to impose emergency taxes (other than property taxes) if certain conditions are met. Local governments are not allowed to use emergency reserves or taxes to compensate for economic conditions, revenue shortfalls, or local government salary or benefit increases. The City has set aside emergency reserves as required by TABOR.

Other Limitations. TABOR also prohibits new or increased real property transfer tax rates and local government income taxes. TABOR allows local governments to enact exemptions and credits to reduce or end business personal property taxes; provided, however, the local governments' spending is reduced by the amount saved by such action. With the exception of K-12 public education and federal programs, TABOR also allows local governments (subject to certain notice and phase-out requirements) to reduce or end subsidies to any program delegated for administration by the general assembly; provided, however, the local governments' spending is reduced by the amount saved by such action.

Enterprise Status. The City has determined that the Facilities are currently enterprises; however, TABOR contemplates that enterprise status can change over time. Because the 2022 Bonds are issued by the City as an enterprise, under TABOR voter approval for the issuance of the 2022 Bonds is not required, and the remaining terms of TABOR do not apply to the operation of the Facilities.

If the Facilities ever ceases to be enterprises, the Facilities' spending and revenues would become subject to the limitations of TABOR, unless the City obtains voter approval to be exempted from such limitations. Assuming such voter approval is not obtained, the applicability of the spending and revenue limitations upon the Facilities could restrict the City's ability to spend its revenues in excess of such limitations absent voter approval. The effect of any future application of the limitations of TABOR would depend on the City's overall spending and revenues at that time. Even if the Facilities cease to have enterprise status, the rate covenant and the lien on Net Income provided for in the Bond Ordinance will continue to secure the payment of debt service on the 2022 Bonds.

Police Power

The obligations of the City are subject to the reasonable exercise in the future by the State and its governmental bodies of the police power inherent in the sovereignty of the State and to the exercise by the United States of America of the powers delegated to it by the Federal Constitution, including bankruptcy.

INDEPENDENT AUDITORS

The basic financial statements of the City as of December 31, 2020, and for the year then ended, included in this Official Statement as Appendix A, have been audited by CliftonLarsonAllen LLP, Broomfield, Colorado, as stated in the report appearing therein.

The City has not requested and will not obtain a consent letter from its auditor for the inclusion of the audit report in this Official Statement. CliftonLarsonAllen LLP, the City's independent auditor, has not been engaged to perform, and has not performed, since the date of its report included herein, any procedures on the financial statements addressed in that report. CliftonLarsonAllen LLP, also has not performed any procedures relating to this Official Statement.

MUNICIPAL ADVISOR

Hilltop Securities Inc. is acting as the Municipal Advisor to the City in connection with the issuance of the 2022 Bonds. The Municipal Advisor has assisted in the preparation of this Official Statement and in other matters relating to the planning, structuring, rating, and issuance of the 2022 Bonds. In its role of Municipal Advisor to the City, the Municipal Advisor has not undertaken either to make an independent verification of or to assume responsibility for the accuracy or completeness of the information contained in the Official Statement and the appendices hereto.

RATING

S&P Global Ratings, a division of Standard & Poor's Financial Services LLC ("S&P") has assigned the 2022 Bonds the rating shown on the cover page of this Official Statement. An explanation of the significance of any S&P ratings may be obtained from S&P at 55 Water Street, New York, New York 10041.

Such rating reflect only the views of the rating agencies, and there is no assurance that the rating will be obtained or will continue for any given period of time or that the rating will not be revised downward or withdrawn entirely by the a rating agency if, in its judgment, circumstances so warrant. Any such downward revision or withdrawal of such rating may have an adverse effect on the market price of the 2022 Bonds. Other than the City's obligations under the Disclosure Undertaking, neither the City nor the Municipal Advisor has undertaken any responsibility to bring to the attention of the owners of the 2022 Bonds any proposed change in or withdrawal of such rating once received or to oppose any such proposed revision.

UNDERWRITING

The City sold the 2022 Bonds at public sale to Piper Sandler & Co. at a purchase price equal to $47,222,288.49 (equal to the par amount of the 2022 Bonds, plus net original issue premium of $3,192,795.85, and less underwriting discount of $110,507.36).

OFFICIAL STATEMENT CERTIFICATION

The preparation of this Official Statement and its distribution has been authorized by the City Council. This Official Statement is hereby duly approved by the City Council as of the date on the cover page hereof.

CITY OF BOULDER, COLORADO

By: */s/Aaron Brockett*
Mayor

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APPENDIX A

AUDITED BASIC FINANCIAL STATEMENTS OF THE CITY AS OF AND FOR THE FISCAL YEAR ENDED DECEMBER 31, 2020

NOTE: The audited basic financial statements of the City for the year ended December 31, 2020, have been excerpted from the City's Annual Comprehensive Financial Report for that year. Certain statistical tables and other information were purposely excluded from this Appendix A. Such statements provide supporting details and are not necessary for a fair presentation of the general-purpose financial statement of the City.

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INDEPENDENT AUDITORS' REPORT

Honorable Mayor and Members of City Council
City of Boulder, Colorado
Boulder, Colorado

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Boulder, Colorado (the City), as of and for the year ended December 31, 2020, and the related notes to the financial statements, which collectively comprise the entity's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Boulder, Colorado as of December 31, 2020, and the respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparison statements (budgetary basis) for the General Fund, Open Space and Mountain Parks Fund, Transportation Fund, and Boulder Municipal Property Authority Fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, pension information and other postemployment benefits information on pages 21-33 and 178-189 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City of Boulder, Colorado's basic financial statements. The combining and individual fund financial statements and schedules and the local highway finance report are presented for purposes of additional analysis and are not a required part of the basic financial statements. The schedule of expenditures of federal awards, as required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards,* is also presented for purposes of additional analysis and is not a required part of the basic financial statements.

The combining and individual fund financial statements and schedules, the local highway finance report and the schedule of expenditures of federal awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Honorable Mayor and Members of City Council
City of Boulder, Colorado

The introductory and statistical sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated June 24, 2021, on our consideration of the City of Boulder, Colorado's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City of Boulder, Colorado's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering City of Boulder, Colorado's internal control over financial reporting and compliance.

CliftonLarsonAllen LLP

CliftonLarsonAllen LLP

Broomfield, Colorado
June 24, 2021

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City of Boulder, Colorado

MANAGEMENT'S DISCUSSION AND ANALYSIS

December 31, 2020

This section of the City of Boulder's (the city) financial statements provides a narrative overview and analysis of its financial activities for the year ended December 31, 2020. We encourage readers to consider the information presented here in conjunction with additional information that we have furnished in our letter of transmittal at the front of this report and the city's financial statements, which follow this section. All amounts within this comprehensive annual financial report are expressed in thousands of dollars unless otherwise indicated.

Financial Highlights

- The assets and deferred outflows of resources of the city exceeded its liabilities and deferred inflows of resources at the close of 2020 by $1,332.3 million ($778.4 million in governmental activities net position and $553.9 million in business-type activities net position). Of the governmental activities net position total, $36.2 million, or 5%, is unrestricted. Similarly, $103.4 million, or 19%, of business-type activities net position is unrestricted.

- Total net position of the city increased $67.1 million, or 5%, compared to 2019. Net position of the city's governmental activities increased $31.7 million, which represents an increase of 4% from 2019. Net position of the city's business-type activities increased $35.5 million, or 7%, from 2019.

- Total revenues, excluding transfers, decreased $12.1 million, or 3%, to $378.4 million compared to 2019. Governmental activities revenues decreased $15.3 million, or 5%, to $286.3 million, while revenues of business-type activities increased $3.2 million, or 4%, to $92.0 million compared to 2019.

- The total expenses of all the city's programs, excluding transfers, increased $11.2 million, or 4%, to $311.2 million compared to 2019. The expenses of governmental activities programs increased $9.3 million, or 4%, to $253.9 million, while the expenses of business-type activities increased $1.9 million, or 3%, from 2019 to $57.3 million.

- As of December 31, 2020, the city's governmental funds reported a combined ending fund balance of $205.6 million. Approximately 58%, or $118.4 million, is unrestricted fund balance and, therefore, available for spending at the city's discretion within the purposes specified for the city's funds.

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to the city's basic financial statements. The city's basic financial statements are comprised of three components: (1) government-wide financial statements, (2) fund financial statements and (3) notes to the financial statements. This report also contains other supplementary information in addition to the basic financial statements.

Government-wide financial statements – The government-wide financial statements are designed to provide readers with a broad overview of the city's finances, in a manner similar to a private-sector business.

The ***statement of net position*** presents information on all of the city's assets and deferred outflows of resources and liabilities and deferred inflows of resources, with the difference between the four reported as *net position*. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the city is improving or deteriorating.

The ***statement of activities*** presents information showing how the city's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (for example, uncollected taxes and earned, but unused vacation leave).

Both the statement of net position and statement of activities distinguish functions of the city that are principally supported by taxes and intergovernmental revenues (*governmental activities*) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (*business-type activities*). The governmental activities of the city include general government, administrative services, public safety, public works including streets and transportation, planning and development services, culture and recreation, open space and mountain parks, housing and human services, interest on long-term debt and the Boulder Municipal Property Authority's acquisition of general property, open space and parks property. The business-type activities of the city include water utility, wastewater utility, storm water and flood management, parking facilities and services and property and facility acquisition.

Fund financial statements – A *fund* is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The city, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the city can be divided into three categories: governmental funds, proprietary funds and fiduciary (Pension Trust) funds.

Governmental funds. Governmental funds are used to account for essentially the same functions reported as *governmental activities* in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in evaluating the city's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the city's near-term financial decisions. Both the governmental funds balance sheet and the governmental funds statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

Proprietary funds. Proprietary funds are generally used to account for services for which the city charges customers – either outside customers or internal units or departments of the city. Proprietary funds provide the same type of information as shown in the government-wide financial statements, only in more detail. The city maintains the following two types of proprietary funds:

- **Enterprise funds** are used to report the same functions presented as business-type activities in the government-wide financial statements. The city uses enterprise funds to account for the operations of the Water Utility, Wastewater Utility, Storm Water and Flood Management and Downtown Commercial District funds. These are considered to be major funds of the city. In addition, the University Hill Commercial District and Boulder Junction GID are accounted for as non-major enterprise funds.

- **Internal Service funds** are used by the city to account for the costs of acquiring, operating and maintaining certain types of equipment and facilities, costs for city-wide insurance programs and funding for certain governmental fund compensated absences liabilities. Because these services predominantly benefit governmental rather than business-type functions, the assets and liabilities of the internal service funds have been included within governmental activities in the government-wide financial statements. Internal service funds are combined into a single, aggregated memo presentation in the proprietary fund financial statements. The internal service funds consist of Telecommunications, Property and Casualty Insurance, Workers' Compensation Insurance, Compensated Absences, Fleet, Computer Replacement, Equipment Replacement and Facility Renovation and Replacement. Individual fund data for the internal service funds is provided in the form of *combining statements* in the "Combining and Individual Statements" section.

Fiduciary funds are used to account for the accumulation of resources to be used for retirement annuity payments at appropriate amounts and times in the future. Resources are contributed by employees and the city at amounts determined by biennial actuarial studies and by State law.

Notes to the Financial Statements – The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements.

Other information – In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the city's progress in funding its obligation to provide pension benefits to its police and firefighters and provide healthcare benefits for retirees.

The combining statements referred to earlier in connection with non-major governmental funds and internal service funds are presented immediately following the required supplementary information on pensions. Included are budgetary comparison schedules for all annually budgeted non-major special revenue and capital project funds.

Government-wide Financial Analysis

As noted earlier, net position may serve over time as a useful indicator of the city's financial position. Our analysis below focuses on the net position and changes in net position of the city's governmental and business-type activities.

Table 1 - Net Position (dollars in thousands)

	Governmental Activities		Business-type		Total Primary Government	
	2020	2019	2020	2019	2020	2019
Current and other assets	$ 346,057	$ 355,808	$ 140,293	$ 132,645	$ 486,350	$ 488,453
Capital assets	754,194	735,794	558,918	543,004	1,313,112	1,278,798
Total assets	1,100,251	1,091,602	699,211	675,649	1,799,462	1,767,251
Deferred outflows of resources	16,088	33,423	3,582	7,408	19,670	40,831
Noncurrent liabilities	225,607	293,025	133,792	156,399	359,399	449,424
Other liabilities	25,597	31,365	6,338	5,479	31,935	36,844
Total liabilities	251,204	324,390	140,130	161,878	391,334	486,268
Deferred inflows of resources	86,771	53,944	8,725	2,695	95,496	56,639
Net position:						
Invested in capital assets	655,214	630,173	450,274	425,576	1,105,488	1,055,749
Restricted	86,950	96,273	313	309	87,263	96,582
Unrestricted	36,200	20,245	103,351	92,599	139,551	112,844
Total net position	$ 778,364	$ 746,691	$ 553,938	$ 518,484	$ 1,332,302	$ 1,265,175

Table 1 presents an analysis of the city's net position as of December 31, 2020. The city's assets exceeded its liabilities by $1,332.3 million at the close of the current fiscal year. By far the largest portion of the city's net position (83%) reflects its investment of $1,105.5 million in capital assets (for example, land, buildings, transportation infrastructure, machinery and equipment, utility plant in service and underground drainage facilities), less any related debt used to acquire those assets that is still outstanding. The city uses these capital assets to provide services to the public; consequently, these assets are *not* available for future spending. Although the city's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of the city's net position, $87.3 million (7%), represents resources that are subject to restrictions as to how they may be used. The remaining balance of unrestricted net position, $139.6 million (10%), may be used to meet the city's on-going obligations to the public and creditors.

Net investment in capital assets increased $49.7 million, or 5%, compared to 2019. This increase is due to capital project costs related to broadband fiber backbone, western city campus redevelopment, land acquisitions and other large utility construction projects. Restricted net position decreased $9.3 million, or 10%, compared to 2019 mainly due to a decrease in restricted fund balance in the Transportation and Open Space funds. The $26.7 million, or 24%, increase in unrestricted net position during 2020 was due in large part to the effects of GASB 68 and GASB 75. See notes U and W for further discussion of Pension and Retirement Plans and Other Post Employment Benefit Plans, respectively.

It is important to note that approximately $55.3 million in governmental unrestricted net position arises from the net position of the city's internal service funds, discussed above in "Overview of the Financial Statements – Proprietary Funds." Although it is highly unlikely that these funds will be liquidated, in the event that they are, the distribution of the net position of these funds would result in a portion of these unrestricted net positions being liquidated to unrestricted net position of governmental activities and unrestricted net position of business-type activities.

Analysis of Changes in Net Position

As can be seen from *Table* 2, the city's net position increased by $67.1 million during 2020. This increase is explained in the governmental and business-type activities discussion below.

Governmental Activities

Net position of governmental activities increased by $31.7 million during 2020, accounting for 47% of the total increase in the city's net position. This increase was $24.2 million less than the $55.9 million increase in net position in 2019.

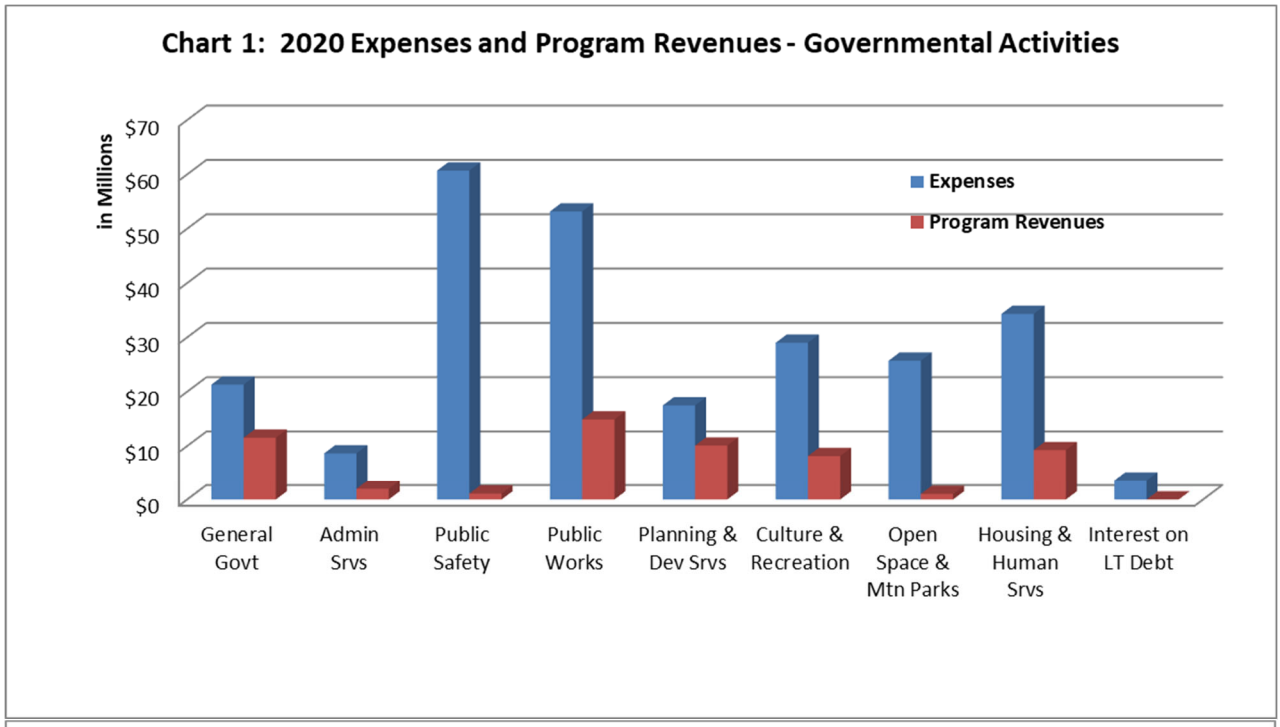
Revenues during 2020 decreased by $15.3 million compared to 2019. The decrease in revenue was expected due to the many economic impacts of the COVID-19 pandemic. Businesses were required to greatly reduce capacity, the number of commuters into the city decreased drastically and the students at the University of Colorado were sent home. As such sales and use taxes decreased $6.7 million during 2020. Miscellaneous revenues increased $4.0 million. Operating grant revenue increased $8.7 million compared to 2019, primarily due to the Coronavirus Aid, Relief and Economic Security Act (CARES Act) and Airport Improvement Program (AIP) grant funding received in 2020. Capital grant revenue increased by $450 thousand compared to 2019, primarily due to consistent spending on capital grant funded projects in 2020. Interest and investment earnings decreased $381 thousand compared to 2019, primarily due to the decreased yields on investments as interest rates were falling. An increase of $1.1 million related to the sale of capital assets was due to the sale of land at 30th and Pearl.

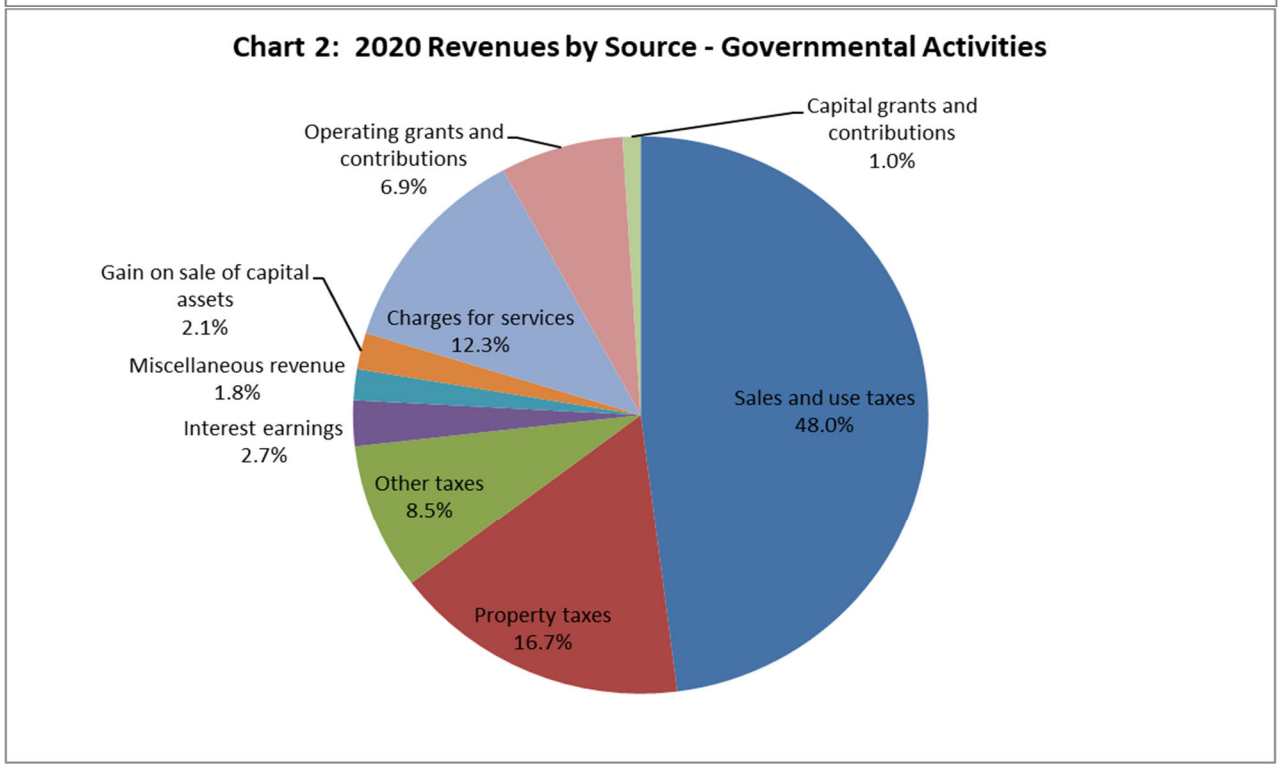
Expenses increased $9.3 million in 2020 compared to 2019. Culture and Recreation expenses increased $4.3 million and Public Safety expenses increased $10.5 million. This was primarily due to a decrease in capital expenditures transferred out of expenses in 2020 compared to 2019. Open Space expenses increased $2.3 million due to the change in capital expenditures primarily driven by the sale of land in 2020 compared to 2019.

Table 2 - Changes in Net Position (dollars in thousands)

	Governmental Activities		Business-type		Total Primary Government	
	2020	2019	2020	2019	2020	2019
Program revenues:						
Charges for services	$ 35,249	$ 50,317	$ 73,377	$ 71,622	$ 108,626	$ 121,939
Operating grants and contributions	19,828	11,146	-	-	19,828	11,146
Capital grants and contributions	2,895	2,445	12,676	11,479	15,571	13,924
General revenue:						
Sales and use taxes	137,340	144,025	-	-	137,340	144,025
Property taxes	47,804	43,156	1,665	1,590	49,469	44,746
Other taxes	24,423	36,463	81	87	24,504	36,550
Interest and investment earnings	7,592	7,973	4,017	3,843	11,609	11,816
Miscellaneous revenue	5,147	1,110	233	256	5,380	1,366
Gain on sale of capital assets	6,023	4,965	-	-	6,023	4,965
Total Revenues	286,301	301,600	92,049	88,877	378,350	390,477
Program expenses (includes indirect expenses allocation):						
Governmental activities:						
General Government	21,302	34,882	-	-	21,302	34,882
Administrative Services	8,649	6,757	-	-	8,649	6,757
Public Safety	60,699	50,216	-	-	60,699	50,216
Public Works	53,167	49,277	-	-	53,167	49,277
Planning and Development Services	17,477	16,417	-	-	17,477	16,417
Culture and Recreation	29,004	24,657	-	-	29,004	24,657
Open Space and Mountain Parks	25,702	23,440	-	-	25,702	23,440
Housing and Human Services	34,321	35,506	-	-	34,321	35,506
Interest on long-term debt	3,618	3,480	-	-	3,618	3,480
Business-type activities:						
Water Utility	-	-	24,809	23,575	24,809	23,575
Wastewater Utility	-	-	15,644	15,030	15,644	15,030
Stormwater and Flood Management	-	-	8,879	8,721	8,879	8,721
Parking Facilities and Services	-	-	7,346	7,353	7,346	7,353
Property and Facility Acquisition	-	-	606	671	606	671
Total expenses	253,939	244,632	57,284	55,350	311,223	299,982
Excess before transfers	32,362	56,968	34,765	33,527	67,127	90,495
Transfers	(689)	(1,097)	689	1,097	-	-
Increase in net position	31,673	55,871	35,454	34,624	67,127	90,495
Net position, beginning of year	746,691	690,820	518,484	483,860	1,265,175	1,174,680
Net position, end of year	$ 778,364	$ 746,691	$ 553,938	$ 518,484	$ 1,332,302	$ 1,265,175

Charts 1 and 2 illustrate the city's governmental expenses and revenues by function and its revenues by source. As can be seen in *Chart 1*, Public Safety is the largest function based on expenses (24%), followed by Public Works (21%) and Housing and Human Services (14%). General revenues such as sales and use taxes, property and other taxes are not shown in *Chart 1* by program but are used to support program activities citywide and included in *Chart 2*. For governmental activities, overall, without regard to program, sales and use taxes are the largest single source (48%), followed by property taxes (17%) and charges for services (12%).





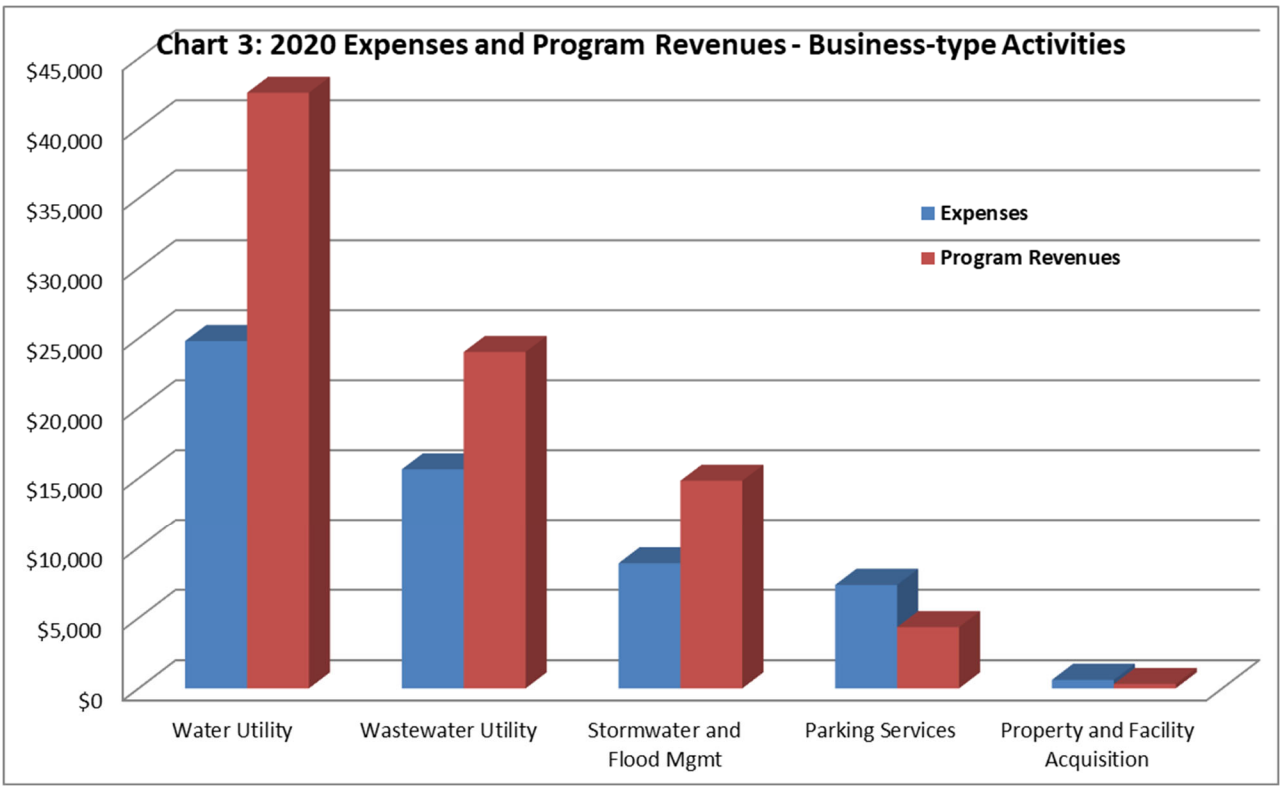
Business-type Activities

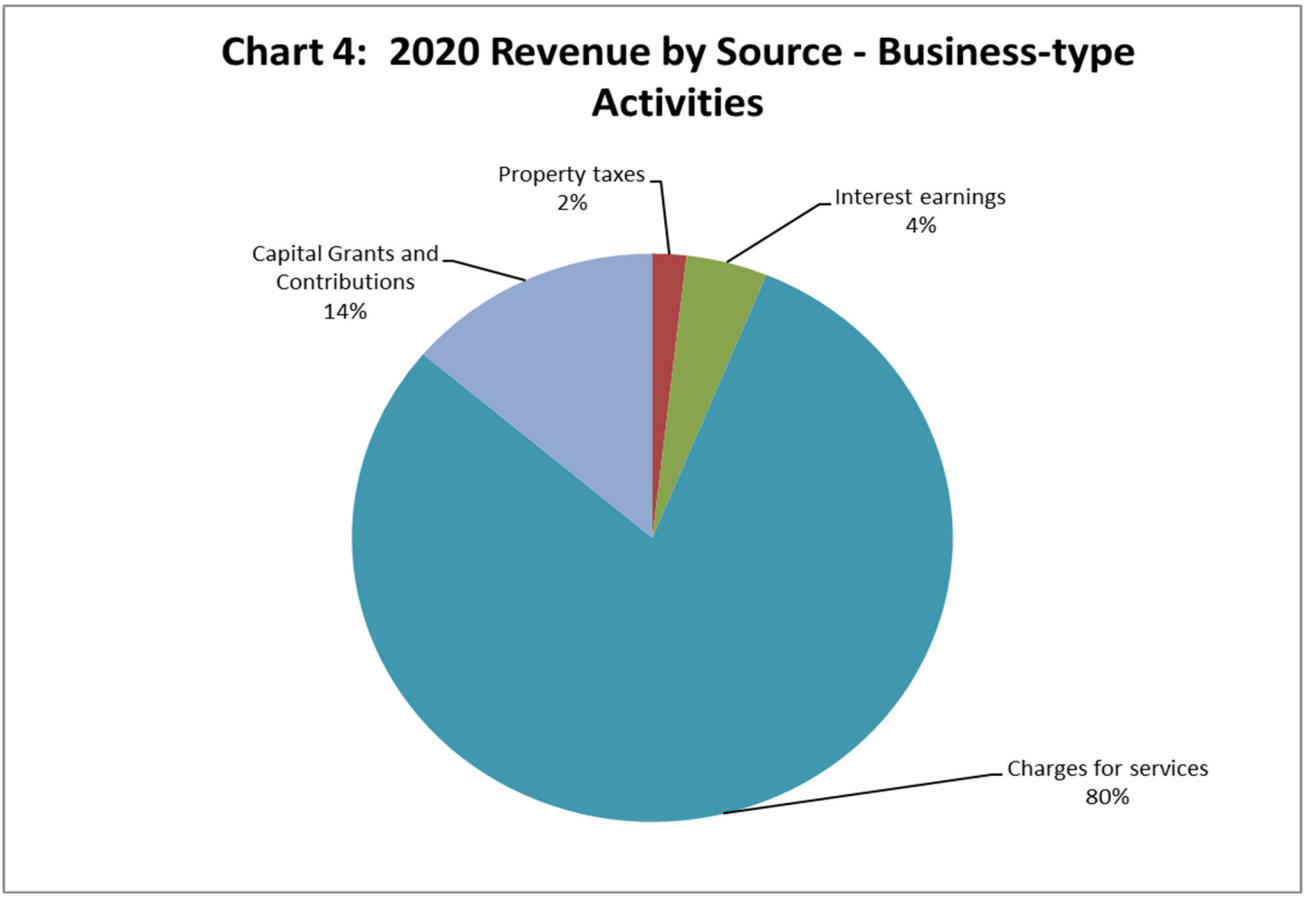
Net position in business-type activities increased $35.5 million in 2020. This increase was $900 thousand more than the $34.6 million increase in net position in 2019.

Total business-type revenues increased $3.2 million, or 4%, compared to 2019. Operating and capital grants and contributions increased by $1.2 million in 2020 mainly due to an increase in plant investment fees in 2020.

Expenses of business-type activities increased by $1.9 million, or 3% compared to 2019, mainly because of an increase of personnel expenses in the water, wastewater and storm water utilities that was due in large part to the effects of GASB 68 and GASB 75. See notes U and W for further discussion of Pension and Retirement Plans and Other Post Employment Benefit Plans, respectively.
due to changes in the

As can be seen from *Charts 3* and *4*, the city's water utility and wastewater utility activities account for the majority of its business-type activities, representing 71% of total business-type activity expenses. Charges for services provide the largest share of revenues (80%), followed by capital grants and contributions (14%).





Financial Analysis of the City's Funds

As noted earlier, the city uses fund accounting to ensure and demonstrate compliance with finance-related requirements.

Governmental Funds

The focus of the city's governmental funds is to provide information on near-term inflows, outflows and balances of resources that are available for spending. Such information is useful in assessing the city's financing requirements. In particular, unrestricted fund balance may serve as a useful measure of the city's net resources available for spending at the end of the fiscal year. Types of governmental funds reported by the city include the General Fund, Special Revenue Funds, Debt Service Funds and Capital Project Funds.

As of December 31, 2020, the city's governmental funds reported combined ending fund balances of $205.6 million, a decrease of $10.1 million, or 5%, from the prior year. The fund balance of the General Fund decreased $7.9 million to $77.5 million at December 31, 2020. General Fund revenues fell by $11.4 million as compared to 2019. As noted, the economic impacts of the COVID-19 pandemic led to a $2.4 million fall in sales and use taxes and a $6.9 million decrease in accommodation taxes. General Fund expenditures increased by $3.6 million due to the western city campus redevelopment and the broadband fiber backbone project. Administrative Services increased $2.2 million primarily due to the construction of the broadband fiber backbone. Public Works increased $1.6 million mainly due to the continued work on the western city campus redevelopment project.

The Open Space Fund's fund balance decreased $2.9 million in 2020. Revenues fell by $15 thousand due to a decrease in sales and use tax revenue which was offset by proceeds from the sale of land in early 2020. Expenditures increased by $1.4 million largely due to the purchase of Shanahan Ranch in early 2020.

The fund balance of the Transportation Fund fell by $1.6 million in 2020. Revenues decreased by $2.7 million while expenditures increased by $3.3 million. The revenue decrease is attributable to the decrease in sales tax revenue. Expenditures increased primarily due to the construction of the Foothills and Colorado underpass which received funding from CDOT.

Other governmental fund balances increased by $2.2 million. This is primarily due to a decrease in capital outlays from the non-major capital project funds.

Approximately $118.4 million or 58% of the combined ending fund balance in the governmental funds constitutes unrestricted fund balance available for spending at the city's discretion within the purposes specified for each of the funds. The remainder of fund balance is either non-spendable or restricted to indicate that it is not available for new spending because it has already been committed for specific purposes. This non-spendable or restricted fund balance is comprised of: (1) fund balance not in spendable form such as prepaid expenses, inventory for consumption, and permanent endowments - $0.2 million; (2) limitations imposed on use of funds by external laws and regulations - $36.3 million; (3) restrictions for capital projects - $19.7 million; (4) restrictions for future development - $27.2 million; (5) restricted for expenditure on lottery authorized parks and recreation projects - $3.3 million and (6) restrictions placed on the funds by donors - $.5 million.

The General Fund is the primary operating fund of the city. At the end of 2020, the unrestricted fund balance of the General Fund was $74.9 million, while total fund balance was $77.5 million. Unrestricted fund balance includes fund balance committed by city council, assigned by city management, and unassigned fund balance as disclosed in the Governmental Funds Balance Sheet. As a measure of the General Fund's liquidity, it is useful to compare unassigned fund balance to total fund expenditures and transfers out. In 2020, unassigned fund balance of $67.2 million represents 42% of total general fund expenditures and transfers out of $159.8 million. General Fund unassigned fund balance as a percentage of total expenditures and transfers out was 42% in 2019.

The Open Space Fund and the Transportation Fund are special revenue funds, with 100% of their fund balance either restricted or assigned. With the exception of negative fund balances which must be reported as unassigned, special revenue funds do not have unassigned fund balances since the act of accounting for the revenues within a special revenue fund assigns them to that fund's purpose. The Open Space Fund revenues are derived from sales taxes approved by the voters and other restricted revenue sources. 100% of the fund balance for Open Space Fund is restricted for acquisition and maintenance of the city's open space. The total fund balance of the Open Space and Mountain Parks Fund was $21.3 million at December 31, 2020, a decrease of $2.9 million from 2019. The Transportation Fund's revenue sources are generally restricted except for investment income. As of December 31, 2020, the Transportation Fund's restricted fund balance was $22.8 million and was assigned for capital projects. The total Transportation fund balance was $24.1 million at December 31, 2020, a $1.6 million decrease from 2019.

In the 2020 budget year, the City Council maintained a minimum target for unassigned General Fund balance of 19.5% of expenditures and transfers out, excluding expenditures funded by grants. This minimum undesignated fund balance is available for emergency purposes, stabilization of funding of programs during periods of temporary revenue declines or temporary funding of programs to allow for controlled reductions in expenditures in periods of extended or permanent revenue reductions. The target amount of 19.5% was met in 2020.

Proprietary Funds

As already discussed, the city's proprietary fund statements provide the same type of information found in the government-wide financial statements, but in more detail.

As of December 31, 2020, the unrestricted net position of the Water Utility Fund was $34.9 million, the Wastewater Utility Fund was $13.6 million, the Storm Water and Flood Management Fund was $37.4 million, the Downtown Commercial District Fund was $12.5 million and the non-major enterprise funds was $0.8 million. The total decrease in net position for the proprietary funds was $1.3 million. Factors concerning the changes in these funds have already been addressed in the discussion of the city's business-type activities.

General Fund Budgetary Highlights

The city's final budget differs from the original budget in that it contains carry-forward appropriations for various programs and projects and supplemental appropriations approved during the fiscal year. The final budget for General Fund appropriations including transfers out for 2020 was $51.9 million greater than the original budget. The primary reasons for this difference are related to the following increases:

- $10.9 million for encumbrance carryovers
- $5.5 million for operating carryover
- $3.7 million for BCH Hospital Deconstruction
- $2.2 million for Fire Station #3
- $18.7 million for Broadband Fiber Backbone project
- $4.7 million for Coronavirus Relief Funds received

On a basis consistent with the adopted budget, actual revenues and transfers in were $16.2 million, or 9.7%, less than the final budget. Actual expenditures and transfers out were $41.7 million, or 19.3%, less than the final budget. The net effect of these differences was a favorable variance in actual revenues and expenditures to the fiscal year-end budgeted fund balance of $25.5 million. The primary factors contributing to this favorable variance include the following:

- $6.4 million less in expenditures related to General Government
- $12.8 million less in expenditures related to Administrative Services
- $4.5 million less in expenditures related to Public Safety
- $8.4 million less in expenditures related to Public Works
- $3.4 million less in expenditures related to Culture and Recreation
- $4.3 million less in expenditures related to Housing and Human Services

Capital Assets and Debt Administration

Capital Assets

As can be seen from *Table 3*, the city's investment in capital assets for its governmental and business-type activities as of December 31, 2020 amounts to $1,313.1 million (net of accumulated depreciation). This investment in capital assets includes land, buildings, improvements, park facilities, transportation infrastructure, utility plant in service and undergrounds, water rights, software, underground drainage facilities, machinery, equipment and vehicles. The net increase in the city's investment in capital assets was $34.3 million (3%) from 2019. Net capital assets of governmental activities increased $18.4 million (3%) and those of business-type activities increased $15.9 million (3%).

Table 3 - Capital Assets, Net of Depreciation (dollars in thousands)

	Governmental Activities		Business-type Activities		Total Primary Government	
	2020	2019	2020	2019	2020	2019
Land and easements	$ 385,754	$ 371,759	$ 44,473	$ 44,473	$ 430,227	$ 416,232
Intangibles	-	-	1,650	1,750	1,650	1,750
Buildings	89,926	74,523	24,737	25,894	114,663	100,417
Improvements other than buildings	69,347	60,608	1,547	1,944	70,894	62,552
Infrastructure	152,650	149,482	-	-	152,650	149,482
Utility plant in service and undergrounds	-	-	429,494	355,287	429,494	355,287
Machinery, equipment and vehicles	26,050	26,590	2,767	3,294	28,817	29,884
Software and licenses	7,234	6,637	-	-	7,234	6,637
Construction in progress	23,233	46,195	54,250	110,362	77,483	156,557
Total	$ 754,194	$ 735,794	$ 558,918	$ 543,004	$ 1,313,112	$ 1,278,798

Some of the major capital asset activities during 2020 included the following:

Governmental activities:

- New vehicle purchases - $3.4 million
- Shanahan Ranch Acquisition – $7.9 million
- Construction in progress for Western City Campus Redevelopment - $1.7 million
- Completion of Boulder Reservoir Visitor Center Enhancements - $1.7 million
- Construction in progress for Ponderosa Mobile Home Park Infrastructure – $3.3 million
- Completion of Scott Carpenter Pool redevelopment - $7.2 million
- Completion of Citywide Radio Infrastructure project - $1.7 million
- Construction in progress for Broadband Fiber Backbone - $2.9 million
- Recognition of $24.6 million in depreciation expense

Business-type activities:

- Construction in progress for Barker Gravity Pipeline - $4.9 million
- Construction in progress for Sanitary Sewer Rehabilitation – $3.8 million
- Completion of WWRF Biogas – $3.1 million
- Construction in progress for Lower Goose Creek Trunk Sewer replacement - $2.7 million
- Recognition of $14.3 million in depreciation expense

Additional information on the city's capital assets can be found in Note H to the Financial Statements.

Debt Administration

Table 4 summarizes the city's bonded debt as of the end of 2020 and 2019. At December 31, 2020, the city had total bonded debt (including certificates of participation) of $202.0 million. Of this amount, $9.9 million consisted of general obligation debt backed by the full faith and credit of the city. Another $192.1 million represents bonds secured solely by specified revenue sources (revenue bonds, certificates of participation and capital improvement bonds).

Table 4 - General Obligation, Revenue, Pension Obligation Bonds and Certificates of Participation (dollars in thousands)

	Governmental Activities		Business-type Activities		Total Primary Government	
	2020	2019	2020	2019	2020	2019
General obligation bonds	$ 7,501	$ 11,406	$ 2,426	$ 3,202	$ 9,927	$ 14,608
Revenue bonds	-	-	107,457	123,123	107,457	123,123
Pension obligation bonds	-	5,854	-	-	-	5,854
Capital improvement bonds	31,242	33,674	-	-	31,242	33,674
Certificates of Participation	53,371	55,738	-	-	53,371	55,738
Total bonded debt	$ 92,114	$ 106,672	$ 109,883	$ 126,325	$ 201,997	$ 232,997

The city's general obligation credit rating is Aaa by Moody's Investors Services, Inc. and AAA by Standard & Poor's Global Ratings. Under the City Charter, the city's general obligation debt issuances are subject to a legal limitation based on 3% of the total assessed value of real and personal property. The city's general obligation debt is issued as sales tax revenue bonds enhanced by a general obligation pledge of the full faith and credit of the city. The city does not currently levy an ad valorem property tax for debt service even though authorized to do so. As a result, all bonded debt is considered to be self-supporting, and the ratio of net bonded debt supported solely by property taxes to assessed valuation is zero.

Additional information on the city's bonded debt can be found in Note O to the Financial Statements.

Contacting the City's Financial Management

This financial report is designed to provide the public, taxpayers, customers, investors and creditors with a general overview of the city's finances and to show the city's accountability for the funds and assets it receives. If you have questions about this report, or need additional financial information, contact the Controller of the City of Boulder Finance Department at 1136 Alpine, Boulder, CO 80304.

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BASIC FINANCIAL STATEMENTS

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CITY OF BOULDER, COLORADO

Statement of Net Position

December 31, 2020

(Amounts in 000's)

	Governmental Activities	Business-type Activities	Total
Assets:			
Equity in pooled cash and cash equivalents	$ 38,701	$ 8,285	$ 46,986
Investments	226,525	116,705	343,230
General property tax receivable	48,475	1,757	50,232
Sales and use tax receivable	16,612	-	16,612
Other receivables (See Note G)	14,353	8,946	23,299
Restricted investments	578	4,334	4,912
Inventory of materials and supplies	84	5	89
Other assets	729	261	990
Capital assets (net of accumulated depreciation):			
Land and easements	385,754	44,473	430,227
Intangibles	-	1,650	1,650
Buildings	89,926	24,737	114,663
Improvements other than buildings	69,347	1,547	70,894
Infrastructure	152,650	-	152,650
Utility plant in service and undergrounds	-	429,494	429,494
Machinery, equipment and vehicles	26,050	2,767	28,817
Software and licenses	7,234	-	7,234
Construction in progress	23,233	54,250	77,483
Total assets	1,100,251	699,211	1,799,462
Deferred outflows of resources	16,088	3,582	19,670
Liabilities:			
Accounts and accrued liabilities:			
Vouchers and accounts payable	9,990	5,337	15,327
Contracts and retainage payable	2,885	902	3,787
Accrued liabilities	6,173	3,529	9,702
Internal balances	4,149	(4,149)	-
Other liabilities	2,145	719	2,864
Unearned revenue	255	-	255
Noncurrent liabilities:			
Due within one year	12,562	10,403	22,965
Due in more than one year	122,225	105,774	227,999
Net pension liability	77,237	15,492	92,729
Net OPEB liability	13,583	2,123	15,706
Total liabilities	251,204	140,130	391,334
Deferred inflows of resources	86,771	8,725	95,496
Net position:			
Net investment in capital assets	655,214	450,274	1,105,488
Restricted for:			
Legally restricted	36,260	213	36,473
Capital projects	19,683	100	19,783
Development	27,236	-	27,236
Lottery funds	3,256	-	3,256
Donor restrictions	515	-	515
Unrestricted	36,200	103,351	139,551
Total net position	$ 778,364	$ 553,938	$ 1,332,302

The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Statement of Activities

Year ended December 31, 2020

(Amounts in 000's)

Functions/Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions
Governmental activities:				
General Government	$ 21,302	$ 7,429	$ 4,107	$ -
Administrative Services	8,649	1,975	-	-
Public Safety	60,699	382	701	-
Public Works	53,167	3,129	8,866	2,895
Planning & Development Services	17,477	10,079	5	-
Culture and Recreation	29,004	6,244	1,910	-
Open Space and Mountain Parks	25,702	964	41	-
Housing and Human Services	34,321	5,047	4,198	-
Interest on long-term debt	3,618	-	-	-
Total governmental activities	253,939	35,249	19,828	2,895
Business-type activities:				
Water utility	24,809	33,757	-	8,787
Wastewater utility	15,644	21,741	-	2,285
Stormwater and flood management	8,879	13,223	-	1,604
Parking facilities and services	7,346	4,346	-	-
Property and facility acquisition	606	310	-	-
Total business-type activities	57,284	73,377	-	12,676
Total government	$ 311,223	$ 108,626	$ 19,828	$ 15,571

General revenues:
- Taxes:
  - Sales, use and other taxes
  - General property taxes
  - Accommodations taxes
  - Occupation taxes
  - Specific Ownership & Tobacco taxes
  - Excise taxes
- Interest and investment earnings
- Miscellaneous
- Gain on Sale of Capital Assets

Transfers
- Total general revenues, transfers
  - Change in net position

Net position, beginning of year,

Net position, end of year

Net (Expense) Revenue and Changes in Net Position		
Governmental Activities	Business-type Activities	Total
$ (9,766)	$ -	$ (9,766)
(6,674)	-	(6,674)
(59,616)	-	(59,616)
(38,277)	-	(38,277)
(7,393)	-	(7,393)
(20,850)	-	(20,850)
(24,697)	-	(24,697)
(25,076)	-	(25,076)
(3,618)	-	(3,618)
(195,967)	-	(195,967)
-	17,735	17,735
-	8,382	8,382
-	5,948	5,948
-	(3,000)	(3,000)
-	(296)	(296)
-	28,769	28,769
(195,967)	28,769	(167,198)
137,340	-	137,340
47,804	1,665	49,469
4,007	-	4,007
11,597	-	11,597
2,618	81	2,699
6,201	-	6,201
7,592	4,017	11,609
5,147	233	5,380
6,023	-	6,023
(689)	689	-
227,640	6,685	234,325
31,673	35,454	67,127
746,691	518,484	1,265,175
$ 778,364	$ 553,938	$ 1,332,302

CITY OF BOULDER, COLORADO

Balance Sheet

Governmental Funds

December 31, 2020

(Amounts in 000's)

Assets	General Fund	Open Space Fund	Trans-portation Fund	Boulder Municipal Property Authority	Other Governmental Funds	Total Governmental Funds
Equity in pooled cash and cash equivalents	$ 28,453	$ 125	$ 273	$ 245	$ 5,551	$ 34,647
Investments	47,720	18,360	24,003	211	78,030	168,324
Receivables:						
General property taxes	43,176	-	-	-	5,299	48,475
Sales and use taxes	8,278	3,021	2,943	-	2,370	16,612
Accounts	1,156	87	1,804	-	811	3,858
Accrued interest	291	169	104	-	313	877
Intergovernmental	3,454	3,635	1,060	-	1,105	9,254
Total receivables	56,355	6,912	5,911	-	9,898	79,076
Inventory of materials and supplies	48	-	-	-	36	84
Restricted assets:						
Investments for special purposes	92	1	-	-	485	578
Total restricted assets	92	1	-	-	485	578
Other assets	102	20	-	-	72	194
Total assets	$ 132,770	$ 25,418	$ 30,187	$ 456	$ 94,072	$ 282,903

The accompanying notes are an integral part of this statement.

Liabilities, Deferred Inflows of Resources and Fund Balances	General Fund	Open Space Fund	Trans-portation Fund	Boulder Municipal Property Authority	Other Governmental Funds	Total Governmental Funds
Liabilities:						
Accounts and accrued liabilities:						
Vouchers and accounts payable	$ 4,090	$ 370	$ 1,924	$ 5	$ 2,683	$ 9,072
Contracts and retainage payable	497	36	493	1	1,803	2,830
Accrued salaries, wages and amounts withheld from employees	3,642	540	291	-	761	5,234
Advances from other funds	381	-	-	-	-	381
Other liabilities	418	-	721	-	768	1,907
Unearned revenue	183	-	1	-	55	239
Total liabilities	9,211	946	3,430	6	6,070	19,663
Deferred inflows of resources	46,030	3,191	2,680	-	5,770	57,671
Fund balances:						
Nonspendable:						
Prepaid	102	-	-	-	72	174
Inventory	48	-	-	-	36	84
Restricted for:						
Legally restricted	2,291	-	22,757	450	10,782	36,280
Capital projects	139	-	-	-	19,544	19,683
Development	-	20,937	-	-	6,279	27,216
Lottery funds	-	-	-	-	3,256	3,256
Donor restrictions	55	22	-	-	438	515
Committed to:						
Affordable housing	-	-	-	-	6,508	6,508
Transportation projects	-	-	-	-	4,375	4,375
Assigned to:						
Special purposes	5,074	322	1,320	-	30,942	37,658
Contractual obligations	2,670	-	-	-	-	2,670
Unassigned	67,150	-	-	-	-	67,150
Total fund balances	77,529	21,281	24,077	450	82,232	205,569
Total liabilities, deferred inflows of resources and fund balances	$ 132,770	$ 25,418	$ 30,187	$ 456	$ 94,072	$ 282,903

CITY OF BOULDER, COLORADO

Reconciliation of the Governmental Funds Balance Sheet
to the Government-wide Statement of Net Position

December 31, 2020

(Amounts in 000's)

Total governmental fund balances		$ 205,569
Amounts reported for governmental activities in the statement of net position are different because:		
Capital assets used in governmental activities are not financial resources and are not reported in the funds.		
Capital assets - governmental funds	1,127,992	
Accumulated depreciation - governmental funds	(424,693)	
Net book value of capital assets in governmental funds		703,299
Deferred inflows and deferred outflows of resources related to pensions and OPEB are applicable to future periods and therefore, are not reported in the funds. Also, some liabilities including net pension obligations and OPEB, are not due and payable in the current period and therefore, are not reported in the funds.		
PERA net pension liability	(72,777)	
Police net pension liability	(2,517)	
Fire net pension liability	(208)	
City net OPEB liability	(4,577)	
PERA net OPEB liability	(8,734)	
Deferred inflows related to pensions: PERA, Police and Fire	(33,263)	
Deferred inflows related to OPEB: City and PERA	(3,948)	
Deferred outflows related to pensions: PERA, Police and Fire	14,159	
Deferred outflows related to OPEB: City and PERA	1,616	
Net deferred inflows, outflows, pension and OPEB liabilities		(110,249)
Internal service funds are used by management to charge the costs of insurance, capital asset replacement and other activities to individual funds. The majority of the assets and liabilities of the internal service funds are included in governmental activities in the statement of net position.		96,630
Long-term liabilities, including bonds payable and bonds interest payable, are not due and payable in the current period and therefore are not reported in the funds.		(126,288)
Because the focus of governmental funds is on short-term financing, some assets will not be available to pay for current-period expenditures. Those assets (for example, receivables) are offset by deferred inflows of resources in the governmental funds and thus are not included in fund balance.		
Intergovernmental revenues		9,403
Net position of governmental activities		$ 778,364

The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

Year ended December 31, 2020

(Amounts in 000's)

	General Fund	Open Space Fund	Trans-portation Fund	Boulder Municipal Property Authority	Other Governmental Funds	Total Governmental Funds
Revenues:						
Taxes:						
Sales, use and other taxes	$ 65,098	$ 26,762	$ 25,942	$ -	$ 19,538	$ 137,340
General property taxes	42,573	-	-	-	5,231	47,804
Accommodation taxes	4,007	-	-	-	-	4,007
Occupation taxes	9,833	-	-	-	1,811	11,644
Specific ownership & tobacco taxes	2,603	-	-	-	15	2,618
Excise taxes	1,024	-	-	-	5,177	6,201
Charges for services	3,879	193	-	-	12,549	16,621
Sale of goods	153	1,662	9	-	7,326	9,150
Licenses, permits and fines	4,748	144	-	-	7,770	12,662
Intergovernmental	2,545	273	5,908	-	10,160	18,886
Leases, rents and royalties	157	489	66	5,283	1,639	7,634
Interest and investment earnings	1,341	668	889	8	2,526	5,432
Other	2,330	129	365	-	1,284	4,108
Total revenues	140,291	30,320	33,179	5,291	75,026	284,107
Expenditures:						
Current:						
General Government	22,661	-	-	5	195	22,861
Administrative Services	12,140	-	-	-	69	12,209
Public Safety	61,225	20	-	-	-	61,245
Public Works	12,410	-	34,296	-	9,562	56,268
Planning & Development Services	2,899	-	-	-	14,866	17,765
Culture and Recreation	12,975	-	-	-	23,224	36,199
Open Space and Mountain Parks	299	31,382	-	-	723	32,404
Housing and Human Services	12,205	-	-	-	24,805	37,010
Capital outlay	-	-	-	-	3,377	3,377
Debt service payments:						
Principal	3,657	445	-	3,159	1,993	9,254
Interest	1,731	207	-	2,125	190	4,253
Base rentals to Boulder Municipal Property Authority	-	1,154	-	-	-	1,154
Total expenditures	142,202	33,208	34,296	5,289	79,004	293,999
Excess (deficiency) of revenues over (under) expenditures	(1,911)	(2,888)	(1,117)	2	(3,978)	(9,892)
Other financing sources (uses):						
Long term bonds issued	8,960	-	-	-	-	8,960
Transfers in	11,170	-	40	-	6,641	17,851
Transfers out	(17,581)	-	(504)	-	(455)	(18,540)
Payment to refunding bond escrow agent	(8,520)	-	-	-	-	(8,520)
Total other financing sources (uses)	(5,971)	-	(464)	-	6,186	(249)
Net change in fund balances	(7,882)	(2,888)	(1,581)	2	2,208	(10,141)
Fund balances, beginning of year	85,411	24,169	25,658	448	80,024	215,710
Fund balances, end of year	$ 77,529	$ 21,281	$ 24,077	$ 450	$ 82,232	$ 205,569

The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Reconciliation of the Governmental Funds Statement of Revenues, Expenditures and Changes in Fund Balances to the Government-wide Statement of Activities

Year ended December 31, 2020

(Amounts in 000's)

Net change in fund balances - total governmental funds		$ (10,141)
Amounts reported for governmental activities in the statement of activities are different because:		
Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense.		
Governmental Activities capital asset additions	46,617	
Governmental Activities capital asset deletions	(4,964)	
Internal Service Funds capital asset additions	(3,428)	
Internal Service Funds capital asset deletions	1,562	
Governmental Activities capital asset depreciation expense	(24,619)	
Internal Service Funds capital asset depreciation expense	6,594	21,762
Debt proceeds provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of debt principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position. This amount is the net effect of these differences in the treatment of long-term debt, net pension liabilities and pension related items.		16,499
Some revenues reported in the statement of activities are not available as current financial resources and, therefore, are not reported as revenues in governmental funds. Negative amounts indicate a decrease in accruals between fiscal years. Examples are revenues from special assessments, property taxes and notes receivable.		
Intergovernmental revenue		4,105
Internal service funds are used by management to charge the costs of insurance, capital asset replacement and other activities to individual funds. A portion of the net revenue of the internal service funds is reported with governmental activities.		
Allocation of net profit		(552)
Change in net position of governmental activities		$ 31,673

The accompanying notes are an integral part of this statement.

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CITY OF BOULDER, COLORADO

Statement of Revenues, Expenditures, and Changes
in Fund Balances - Budget and Actual
(Budgetary Basis)

General Fund

Year ended December 31, 2020
(Amounts in 000's)

	Budgeted amounts		Actual	Variance with final budget - Positive
	Original	Final	amounts	(Negative)
Revenues:				
Taxes:				
Sales and use taxes	$ 66,076	$ 66,076	$ 65,098	$ (978)
General property taxes	42,629	42,629	42,573	(56)
Accommodations taxes	10,659	10,659	4,007	(6,652)
Occupation taxes	9,947	9,947	9,833	(114)
Specific ownership & tobacco taxes	2,409	2,409	2,603	194
Excise taxes	950	950	1,024	74
Charges for services	6,001	6,010	3,879	(2,131)
Sale of goods	75	75	153	78
Licenses, permits and fines	6,680	6,780	4,748	(2,032)
Intergovernmental	1,629	7,233	2,545	(4,688)
Leases, rents and royalties	295	295	157	(138)
Interest and investment earnings	750	750	951	201
Other	1,020	2,140	2,330	190
Total revenues	149,120	155,953	139,901	(16,052)
Expenditures:				
Current:				
General Government	17,121	24,081	17,649	6,432
Administrative Services	22,081	41,819	29,061	12,758
Public Safety	60,628	66,039	61,541	4,498
Public Works	12,378	22,766	14,406	8,360
Planning & Development Services	2,837	3,894	3,228	666
Culture and Recreation	14,431	16,565	13,131	3,434
Open Space and Mountain Parks	185	185	242	(57)
Housing and Human Services	12,909	16,876	12,591	4,285
Debt service payments:				
Principal	2,795	2,795	3,657	(862)
Interest	1,647	1,647	1,710	(63)
Total expenditures	147,012	196,667	157,216	39,451
Excess (deficiency) of revenues over (under) expenditures	2,108	(40,714)	(17,315)	23,399

(continued)

The accompanying notes are an integral part of this statement

	Budgeted amounts		Actual	Variance with final budget - Positive
	Original	Final	amounts	(Negative)
Other financing sources (uses):				
Transfers in	11,170	11,767	11,170	(597)
Transfers out	(17,819)	(20,103)	(17,819)	2,284
Total other financing sources (uses)	(6,649)	(8,336)	(6,649)	1,687
Net change in fund balance	$ (4,541)	$ (49,050)	(23,964)	$ 25,086
Encumbrances, end of year			14,754	
Fund balance, beginning of year, basis of budgeting			89,524	
Fund balance, end of year, basis of budgeting			80,314	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			957	
Accrued salaries, wages and amounts withheld from employees			(3,797)	
Long-Term Notes Issued			8,960	
Payment to refunding bond escrow agent			(8,520)	
Due from other funds			(4)	
Advances from other funds			(381)	
Fund balance, end of year, GAAP basis			$ 77,529	

CITY OF BOULDER, COLORADO

Statement of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)

Open Space Fund

Year ended December 31, 2020

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with final budget - Positive
	Original	Final	amounts	(Negative)
Revenues:				
Taxes:				
Sales and use taxes	$ 21,829	$ 27,129	$ 26,762	$ (367)
Charges for services			193	193
Sale of goods and capital assets	-	1,725	1,662	(63)
Licenses, permits and fines			144	144
Intergovernmental	500	580	273	(307)
Leases, rents and royalties	-	84	489	405
Interest and investment earnings	607	607	449	(158)
Other	1,368	1,630	129	(1,501)
Total revenues	24,304	31,755	30,101	(1,654)
Expenditures:				
Current:				
Public Safety	-	-	26	(26)
Open Space and Mountain Parks	25,856	40,960	33,444	7,516
Debt service payments:				
Principal	445	445	445	-
Interest	207	207	207	-
Base rentals to Boulder Municipal Property Authority	1,154	1,154	1,154	-
Total expenditures	27,662	42,766	35,276	7,490
Excess (deficiency) of revenues over (under) expenditures	(3,358)	(11,011)	(5,175)	5,836
Other financing sources (uses):				
Transfers in			-	-
Total other financing sources (uses)	-	-	-	-
Net change in fund balance	$ (3,358)	$ (11,011)	(5,175)	$ 5,836
Encumbrances, end of year			1,998	
Fund balance, beginning of year, basis of budgeting			26,510	
Fund balance, end of year, basis of budgeting			23,333	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			379	
Accrued salaries, wages and amounts withheld from employees			(540)	
Unearned revenue			(1,891)	
Fund balance, end of year, GAAP basis			$ 21,281	

The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Statement of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)

Transportation Fund

Year ended December 31, 2020

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with final budget - Positive
	Original	Final	amounts	(Negative)
Revenues:				
Taxes:				
Sales and use taxes	$ 26,414	$ 26,414	$ 25,942	$ (472)
Sale of goods	-	-	9	9
Intergovernmental	6,170	6,308	5,908	(400)
Leases, rents and royalties	55	55	66	11
Interest and investment earnings	459	459	541	82
Other	325	525	365	(160)
Total revenues	33,423	33,761	32,831	(930)
Expenditures:				
Current:				
Public Works	33,543	64,756	39,394	25,362
Total expenditures	33,543	64,756	39,394	25,362
Excess (deficiency) of revenues over (under) expenditures	(120)	(30,995)	(6,563)	24,432
Other financing sources (uses):				
Transfers in	40	40	40	-
Transfers out	(504)	(504)	(504)	-
Total other financing sources (uses)	(464)	(464)	(464)	-
Net change in fund balance	$ (584)	$ (31,459)	(7,027)	$ 24,432
Encumbrances, end of year			5,063	
Fund balance, beginning of year, basis of budgeting			26,004	
Fund balance, end of year, basis of budgeting			24,040	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			502	
The fund balance at the beginning of the year is a budgetary resource but is not a current year revenue for financial reporting purposes			(174)	
Accrued salaries, wages and amounts withheld from employees			(291)	
Fund balance, end of year, GAAP basis			$ 24,077	

The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Statement of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
(Budgetary Basis)

Boulder Municipal Property Authority

Year ended December 31, 2020

(Amounts in 000's)

	Budgeted amounts		Actual	Variance with final budget - Positive
	Original	Final	amounts	(Negative)
Revenues:				
Leases, rents and royalties	$ 5,381	$ 5,381	$ 5,283	$ (98)
Interest and investment earnings	6	6	5	(1)
Total revenues	5,387	5,387	5,288	(99)
Expenditures:				
Current:				
General Government	6	6	5	1
Debt service payments:				
Principal	3,074	3,074	3,159	(85)
Interest	2,307	2,307	2,125	182
Total expenditures	5,387	5,387	5,289	98
Excess (deficiency) of revenues over (under) expenditures	-	-	(1)	(1)
Other financing uses:				
Long-term bonds issued	-	-	-	-
Transfers out	-	-	-	-
Payment to refunding bond escrow agent	-	-	-	-
Total other financing sources (uses)	-	-	-	-
Net change in fund balance	$ -	$ -	(1)	$ (1)
Encumbrances, end of year			-	
Fund balance, beginning of year, basis of budgeting			445	
Fund balance, end of year, basis of budgeting			444	
Basis of budgeting to GAAP basis reconciliation:				
Fair market value adjustment to investments			6	
Fund balance, end of year, GAAP basis			$ 450	

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CITY OF BOULDER, COLORADO

Statement of Net Position

Proprietary Funds

December 31, 2020

(Amounts in 000's)

	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Assets:			
Current assets:			
Equity in pooled cash and cash equivalents	$ 3,203	$ 1,107	$ 2,779
Investments	42,925	24,045	34,885
Receivables:			
General property taxes	-	-	-
Accounts	111	17	-
Charges for services	2,267	2,395	1,625
Accrued interest	238	74	58
Intergovernmental	59	58	1,987
Total receivables	2,675	2,544	3,670
Advances to other funds	83	-	-
Inventory of materials and supplies	-	4	1
Other assets - prepaid expenses	-	20	-
Total current assets	48,886	27,720	41,335
Noncurrent assets:			
Advances to other funds	156	-	-
Restricted assets:			
Investments for bond reserves	2,330	754	363
Investments for capital projects	112	-	430
Total restricted assets	2,442	754	793
Capital assets:			
Land and easements	21,318	2,009	18,369
Intangibles	-	-	-
Buildings	5,046	2,547	775
Improvements other than buildings	179	417	1,210
Infrastructure	841	26	967
Undergrounds - drainage facilities	382,738	166,561	110,161
Vehicles	1,810	1,257	825
Machinery and equipment	2,704	2,224	423
	414,636	175,041	132,730
Less accumulated depreciation	(139,195)	(75,006)	(29,071)
	275,441	100,035	103,659
Construction in progress	29,954	20,974	1,980
Total capital assets, net of accumulated depreciation	305,395	121,009	105,639
Total noncurrent assets	307,993	121,763	106,432
Total assets	356,879	149,483	147,767
Total deferred outflow of resources	1,322	1,509	388
Total assets and deferred outflows of resources	$ 358,201	$ 150,992	$ 148,155

The accompanying notes are an integral part of this statement.

Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Governmental Activities - Internal Service Funds
$ 880	$ 316	$ 8,285	$ 4,054
13,962	888	116,705	58,201
1,357	400	1,757	-
10	-	138	41
-	-	6,287	-
42	5	417	293
-	-	2,104	30
1,409	405	10,703	364
2	-	85	143
-	-	5	-
-	-	20	535
16,253	1,609	135,803	63,297
-	-	156	-
345	-	3,792	-
-	-	542	-
345	-	4,334	-
2,333	444	44,473	117
-	2,000	2,000	-
45,467	176	54,011	91,921
6,009	58	7,873	9,110
6	-	1,840	763
-	-	659,460	-
73	86	4,051	42,347
1,596	270	7,217	15,299
55,484	3,034	780,925	159,557
(32,266)	(719)	(276,257)	(108,663)
23,218	2,315	504,668	50,894
1,342	-	54,250	-
24,560	2,315	558,918	50,894
24,905	2,315	563,408	50,894
41,158	3,924	699,211	114,191
291	72	3,582	316
$ 41,449	$ 3,996	$ 702,793	$ 114,507

(continued)

CITY OF BOULDER, COLORADO

Statement of Net Position,
continued

Proprietary Funds

December 31, 2020

(Amounts in 000's)

	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Liabilities:			
Current liabilities:			
Accounts and accrued liabilities:			
Vouchers and accounts payable	$ 2,794	$ 1,794	$ 533
Contracts and retainage payable	299	506	37
Accrued salaries, wages and amounts withheld from employees	325	201	126
Accrued interest	149	105	46
Accrued environmental cleanup liability	-	-	-
Accrued claims liability	-	-	-
Advances from other funds	-	-	-
Other liabilities	475	26	203
Unearned revenue - Other	-	-	-
General obligation bonds payable	-	-	-
Revenue bonds payable	4,968	3,022	1,040
Capitalized lease obligations	-	-	-
Compensated absences payable	57	45	11
Direct purchase notes	-	465	-
Total current liabilities	9,067	6,164	1,996
Noncurrent liabilities:			
Accounts and accrued liabilities:			
Accrued landfill cleanup liability	-	2,474	-
Accrued claims liability	-	-	-
General obligation bonds payable (net of premium)	-	-	-
Revenue bonds payable (net of premium)	58,322	23,117	16,988
Capitalized lease obligations	-	-	-
Compensated absences payable	522	268	144
Direct purchase notes	-	4,635	-
Net pension liability	6,839	4,675	2,176
OPEB liability	929	597	321
Rebatable arbitrage payable	-	-	-
Total noncurrent liabilities	66,612	35,766	19,629
Total liabilities	75,679	41,930	21,625
Deferred inflows of resources:			
Deferred inflows of resources	3,001	2,001	1,230
Net position:			
Net investment in capital assets	244,500	93,444	87,942
Restricted for:			
Legally restricted - emergency reserve	-	-	-
Capital projects	100	-	-
Unrestricted	34,921	13,617	37,358
Total net position	$ 279,521	$ 107,061	$ 125,300

The accompanying notes are an integral part of this statement.

Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Governmental Activities - Internal Service Funds
$ 214	$ 2	$ 5,337	$ 919
60	-	902	55
67	9	728	97
27	-	327	-
-	-	-	54
-	-	-	1,422
-	2	2	-
11	2	717	-
-	-	-	16
765	-	765	-
-	-	9,030	-
-	-	-	860
30	-	143	16
-	-	465	-
1,174	15	18,416	3,439
-	-	2,474	-
-	-	-	2,333
1,661	-	1,661	-
-	-	98,427	-
-	-	-	4,530
117	-	1,051	127
-	-	4,635	-
1,462	340	15,492	1,735
240	36	2,123	272
-	-	-	-
3,480	376	125,863	8,997
4,654	391	144,279	12,436
2,018	475	8,725	1,292
22,073	2,315	450,274	45,448
206	7	213	-
-	-	100	-
12,498	808	99,202	55,331
$ 34,777	$ 3,130	549,789	$ 100,779
Adjustment to reflect the consolidation of internal service fund activities related to enterprise funds		4,149	
Net position of business-type activities		$ 553,938	

CITY OF BOULDER, COLORADO

Statement of Revenues, Expenses and Changes in Fund Net Position

Proprietary Funds

Year ended December 31, 2020

(Amounts in 000's)

	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Operating revenues:			
Charges for services	$ 33,740	$ 21,741	$ 13,223
Sale of goods	17	-	-
Sale of capital assets	-		
Total operating revenues	33,757	21,741	13,223
Operating expenses:			
Personnel	7,109	4,562	2,768
Non-personnel	8,909	6,073	3,957
Depreciation	6,764	3,817	1,655
Total operating expenses	22,782	14,452	8,380
Operating income (loss)	10,975	7,289	4,843
Nonoperating revenues (expenses):			
Interest and investment earnings	1,423	997	1,173
Leases, rents and royalties	117	13	12
Intergovernmental	-	-	-
Private sector grants and contributions	-	-	-
Sales and use tax	-	-	-
General property taxes	-	-	-
Accomodations taxes	-	-	-
Franchise taxes	-	-	-
Specific ownership & tobacco taxes	-	-	-
Principal payment on long term debt	-	-	-
Interest expense	(1,798)	(985)	(544)
Contribution expense - future water rights	-	-	-
Gain (loss) on disposition of capital assets	(13)	(17)	-
Other, net	1	7	-
Total nonoperating revenues (expenses)	(270)	15	641
Income before capital contributions and transfers	10,705	7,304	5,484
Capital contributions	8,787	2,285	1,604
Transfers in	-	-	-
Transfers out	(370)	(367)	(218)
Changes in net position	19,122	9,222	6,870
Total net position, beginning of year	260,399	97,839	118,430
Total net position, end of year	$ 279,521	$ 107,061	$ 125,300

The accompanying notes are an integral part of this statement.

Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Governmental Activities - Internal Service Funds
$ 4,346	$ 310	$ 73,360	$ 20,102
-	-	17	268
-	-	-	
4,346	310	73,377	20,370
1,492	181	16,112	3,419
3,497	305	22,741	14,075
1,900	114	14,250	6,594
6,889	600	53,103	24,088
(2,543)	(290)	20,274	(3,718)
394	30	4,017	2,160
-	-	142	149
-	-	-	-
-	-	-	-
-	-	-	-
1,294	371	1,665	-
-	-	-	-
-	-	-	-
64	17	81	-
-	-	-	-
(78)	-	(3,405)	(198)
-	-	-	-
-	-	(30)	294
83	-	91	15
1,757	418	2,561	2,420
(786)	128	22,835	(1,298)
-	-	12,676	-
1,144	500	1,644	-
-	-	(955)	-
358	628	36,200	(1,298)
34,419	2,502		102,077
$ 34,777	$ 3,130		$ 100,779
Adjustment to reflect the consolidation of internal service fund activities related to enterprise funds		(746)	
Change in net position of business-type activities		$ 35,454	

CITY OF BOULDER, COLORADO

Statement of Cash Flows

Proprietary Funds

Year ended December 31, 2020

(Amounts in 000's)

	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Cash flows from operating activities:			
Receipts from customers and users	$ 33,224	21,280	12,784
Other receipts	12	7	187
Payments to suppliers	(8,862)	(5,200)	(4,974)
Payments to employees	(7,775)	(4,948)	(2,992)
Sale of Goods	17	-	-
Net cash provided (used) by operating activities	16,616	11,139	5,005
Cash flows from noncapital financing activities:			
Payments from other funds on due from (due to) balances	77	-	-
Leases, rents and royalties	117	13	12
Intergovernmental revenue	-	-	-
General property taxes	-	-	-
Specific ownership & tobacco taxes	-	-	-
Transfers in	-	-	-
Transfers out	(370)	(367)	(218)
Net cash provided (used) by noncapital financing activities	(176)	(354)	(206)
Cash flows from capital and related financing activities:			
Acquisition and construction of capital assets	(15,174)	(12,376)	(869)
Proceeds from sale or transfer of property and equipment	(130)	3	16
Promissory note payment			
Payment to refunded bond escrow agent			(1,010)
Cost of issuance paid	-	-	-
Principal paid on notes payable, bonds payable and capitalized lease obligations	(4,814)	(3,978)	-
Interest paid on notes payable, bonds payable, and capitalized lease obligations	(1,939)	(1,341)	(580)
Capital contributions	8,787	2,285	1,604
Net cash (used) for capital related financing activities	(13,270)	(15,407)	(839)

The accompanying notes are an integral part of this statement.

Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Governmental Activities Internal Service Funds
4,364	$ 310	$ 71,962	$ 20,133
83	-	289	15
(3,367)	(350)	(22,753)	(12,271)
(1,601)	(200)	(17,516)	(5,889)
-	-	17	268
(521)	(240)	31,999	2,256
2	(2)	77	137
-	-	142	149
-	-	-	-
1,295	371	1,666	-
64	17	81	-
1,144	500	1,644	-
-	-	(955)	-
2,505	886	2,655	286
(1,464)	(199)	(30,082)	(3,429)
-	-	(111)	490
	(402)	(402)	-
	-	(1,010)	-
19	-	19	-
-	-	(8,792)	(798)
(852)	(14)	(4,726)	(198)
-	-	12,676	-
(2,297)	(615)	(32,428)	(3,935)

(continued)

CITY OF BOULDER, COLORADO

Statement of Cash Flows,
continued

Proprietary Funds

Year ended December 31, 2020

(Amounts in 000's)

	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Cash flows from investing activities:			
Purchase of investment securities	$ (16,370)	$ (262)	$ (7,819)
Proceeds from sale and maturities of investment securities	14,188	5,421	2,244
Interest on investments	499	434	496
Net cash provided (used) in investing activities	(1,683)	5,593	(5,079)
Net increase (decrease) in cash and cash equivalents	1,487	971	(1,119)
Cash and cash equivalents, January 1	1,716	136	3,898
Cash and cash equivalents, December 31	$ 3,203	$ 1,107	$ 2,779

The accompanying notes are an integral part of this statement.

Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Governmental Activities Internal Service Funds
$ (4,699)	$ (36)	$ (29,186)	$ (4,129)
1,835	58	23,746	5,766
155	11	1,595	890
(2,709)	33	(3,845)	2,527
(3,022)	64	(1,619)	1,134
3,902	252	9,904	2,920
$ 880	$ 316	$ 8,285	$ 4,054

(continued)

CITY OF BOULDER, COLORADO

Statement of Cash Flows,
continued

Proprietary Funds

Year ended December 31, 2020

(Amounts in 000's)

	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:			
Operating income (loss)	$ 10,975	$ 7,289	$ 4,843
Adjustments to reconcile net operating income (loss) to net cash provided (used) by operating activities:			
Depreciation	6,764	3,817	1,655
Other nonoperating revenues (expenses)	-	7	-
Change in assets and liabilities:			
(Increase) decrease in assets:			
Accounts receivable	(35)	5	6
Charges for services receivable	(481)	(466)	(445)
Other receivables	-	-	-
Other assets - prepaid expenses	-	(20)	
Deferred Outflows - PERA Pension	1,625	1,000	599
Deferred Outflows - PERA/Retiree OPEB	(8)	(6)	(3)
Increase (decrease) in liabilities:			
Vouchers and accounts payable	154	734	102
Accrued salaries, wages and amounts withheld from employees	(17)	(23)	(7)
Accrued claims liability			
Other liabilities	12		187
Deferred Inflows - Property tax	-	-	
Deferred Inflows - PERA Pension	2,503	1,621	972
Deferred Inflows - PERA/Retiree OPEB	152	98	58
Deferred Inflows - City OPEB	(21)	(14)	(7)
Pension Liability	(4,792)	(3,044)	(1,824)
Contracts and retainage payable	(107)	159	(1,119)
Compensated absences	28	67	41
OPEB liability	(136)	(85)	(53)
Total adjustments	5,641	3,850	162
Net cash provided by operating activities	$ 16,616	$ 11,139	$ 5,005
Noncash investing, capital and financing activities:			
Assets acquired through:			
Capital contributions:			
Other	1,462	1,055	240
Increase (decrease) in fair value of investments	921	562	676
	$ 2,383	$ 1,617	$ 916

The accompanying notes are an integral part of this statement.

Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Governmental Activities Internal Service Funds
$ (2,543)	$ (290)	$ 20,274	$ (3,718)
1,900	114	14,250	6,594
83	-	90	15
(22)	-	(46)	31
-	-	(1,392)	-
-	(26)	(26)	-
-	-	(20)	(93)
322	31	3,577	568
(4)	-	(21)	1
75	(45)	1,020	(284)
(10)	(3)	(60)	21
	-	-	(83)
	-	199	(749)
41	-	41	-
522	76	5,694	1,055
32	3	343	56
(6)	-	(48)	(6)
(981)	(95)	(10,736)	(1,149)
54	-	(1,013)	5
39	(2)	173	50
(23)	(3)	(300)	(58)
2,022	50	11,725	5,974
$ (521)	$ (240)	$ 31,999	$ 2,256
-	-	2,757	-
239	19	2,417	1,267
$ 239	$ 19	$ 5,174	$ 1,267

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FIDUCIARY FUNDS

Pension Trust Funds account for the accumulation of resources to be used for retirement annuity payments at appropriate amounts and times in the future. Resources are contributed by employees and the City at amounts determined by biennial actuarial studies and by State law.

The City of Boulder has the following pension trust funds:

Police Pension Fund – to account for retirement annuity payments for the City's police officers.

Fire Pension Fund – to account for retirement annuity payments for the City's fire fighters.

CITY OF BOULDER, COLORADO

Statement of Changes in Fiduciary Net Position

Pension Trust Funds

Year ended December 31, 2020

(Amounts in 000's)

Additions:		
Pension contributions:		
City of Boulder	$	415
Total contributions		415
Investment earnings		2,043
Less investment expense		(85)
Net investment earnings		1,958
Total additions		2,373
Deductions:		
Benefits		2,413
Administrative		-
Total deductions		2,413
Net increase (decrease) in net position		(40)
Net position restricted for pensions:		
Beginning of year		21,553
End of year	$	21,513

The accompanying notes are an integral part of this statement.

CITY OF BOULDER, COLORADO

Statement of Fiduciary Net Position

Pension Trust Funds

December 31, 2020

(Amounts in 000's)

Assets:		
Equity in pooled cash and cash equivalents	$	4
Investments:		
U.S. Treasuries		623
U.S. Agencies & Instrumentalities		152
Mutual Funds		16,587
Equity Securities		2,792
Money Market Funds		506
Real Estate Investment Trust		673
Corporate Bonds		245
Other		54
Receivables:		
Accrued interest		6
Total assets		21,642
Liabilities:		
Accounts and accrued liabilities:		
Vouchers and accounts payable		-
Accrued pensions payable		129
Due to other funds		-
Deferred revenue		-
Total liabilities		129
Net position restricted for pensions	$	21,513

The accompanying notes are an integral part of this statement.

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NOTES TO THE FINANCIAL STATEMENTS

City of Boulder, Colorado

NOTES TO THE FINANCIAL STATEMENTS

December 31, 2020

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NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements of the City of Boulder, Colorado (the City) have been prepared in conformity with generally accepted accounting principles (GAAP) as applied to governmental units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles. A summary of the City's significant accounting policies follows:

1. Reporting Entity

The City is a municipal corporation duly organized and existing under the laws of the State of Colorado. It is a home rule City and adopted a charter pursuant to Article XX of the Constitution of the State of Colorado by vote of the electorate on October 30, 1917. The council/manager form of government was adopted in the City's charter and has been in operation since January 1918. The City Council, an elected body of nine members, is the policy-making arm of the government. Eight of the members of the Council are elected for staggered four-year terms and one is elected for a two-year term, with five council members elected in November of each odd-numbered year. A City Manager, appointed by the Council, serves as the City's Chief Administrative Officer.

In accordance with the Codification of Governmental Accounting and Financial Reporting Standards, the basic financial statements include all funds, organizations, agencies, boards, commissions and authorities for which the City is financially accountable. The City has also considered all other potential organizations for which the nature and significance of their relationships with the City are such that exclusion would cause the City's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a majority of an organization's governing body, and 1) the ability of the City to impose its will on that organization or 2) the potential for that organization to provide specific benefits to or impose specific financial burdens on the City.

Blended component units, although legally separate entities, are in substance part of the City's operations and so data from these units are combined with data of the primary government. Each discretely presented component unit, on the other hand, is reported in a separate column in the government-wide financial statements to emphasize that it is legally separate from the City and the primary government.

Based upon the application of these criteria the City has identified three blended component units and no discretely presented component units. Each of these component units has a December 31 year-end and is included in the accompanying financial statements.

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

1. Reporting Entity (Continued)

Blended Component Units

Downtown Commercial District and University Hill Commercial District (the Districts) – These Districts provide parking facilities and services to citizens and are public subdivisions of the State of Colorado, administered by the City Council of the City of Boulder in an ex-officio capacity as its Board of Directors. The Districts operate under a formal budget adopted in conjunction with the budget of the City. The Districts are reported as blended component unit Enterprise Funds (proprietary funds); no separate financial statements are issued. In 2007, the Central Area General Improvement District was renamed the Downtown Commercial District and the University Hill General Improvement District was renamed the University Hill Commercial District. The funds were renamed to more appropriately reflect the broad purpose that the operations had come to serve over the last few years.

Boulder Municipal Property Authority (the Authority) – The Authority is responsible for the acquisition and construction of certain City properties and facilities and is a nonprofit corporation and instrumentality of the City, administered by the City Council of the City of Boulder in an ex-officio capacity as its Board of Directors. The Authority operates under a formal budget adopted in conjunction with the budget of the City. The Authority's activities are reported as a blended component unit Special Revenue Fund (a Governmental fund); no separate financial statements are issued.

Boulder Junction Access GIDs – In November 2010, two Access General Improvement Districts (GID) were established in the phase one area of Boulder Junction in order to implement the transit-oriented development goals of the City of Boulder. The two GID's are administered by the City Council of the City of Boulder in an ex-officio capacity as its Board of Directors. These services will be provided entirely to the primary government of the City and City management has operational responsibility for the GIDs. The two access districts were created to provide for shared, unbundled parking and for travel demand management programs. The Boulder Junction Access GID – Travel Demand Management (TDM) fund is accounted for as a special revenue fund while the Boulder Junction Access GID – Parking is accounted for as an enterprise fund. These are both reported as blended component units and do not issue separate financial statements.

Related Organizations

A related organization is an organization for which the City appoints a voting majority of the board but for which the City is not financially accountable, either because the City does not impose its will upon the organization, or a financial benefit or burden relationship does not exist. These related organizations are not included within the City's financial reporting entity.

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

1. Reporting Entity (Continued)

Related Organizations (Continued)

The following two organizations have been identified as related organizations.

Boulder Housing Partners is a separate related organization whose primary purpose is to develop, acquire, subsidize and manage housing units for low to moderate income families and elderly persons and to provide tenant support services.

Downtown Boulder Business Improvement District is a separate related organization whose primary purpose is to provide promotion, marketing, enhanced maintenance and management functions for the district.

2. Government-wide and Fund Financial Statements

The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all the nonfiduciary activities of the City and its blended component units. For the most part, the effect of interfund activity has been removed from these statements. Interfund services provided and used are not eliminated in the process of consolidation. *Governmental activities*, which normally are supported by taxes and intergovernmental revenues, are reported separately from *business-type activities*, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. *Direct expenses* are those that are clearly identifiable with a specific function or segment, including administrative department allocations of expenses based upon a formal cost allocation plan. *Program revenues* include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as *general revenues*.

Separate financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3. Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The *government-wide financial statements* and *proprietary fund and fiduciary fund financial statements* are reported using the *economic resources measurement focus* and the *accrual basis of accounting*. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recorded as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

The fiduciary funds recognize plan member contributions in the period in which the contributions are due. Employer contributions to each plan are recognized when due and the employer has made a formal commitment to provide the contributions. Benefits and refunds are recognized when due and payable in accordance with the terms of each plan.

Governmental fund financial statements are reported using the *current financial resources measurement focus* and the *modified accrual basis of accounting*. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be *available* when they are collected within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Sales and use taxes, property taxes when budgeted for, other taxes, charges for services, intergovernmental revenues when eligibility requirements are met, and interest and investment earnings associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period.

The City reports the following major governmental funds:

General Fund – The General Fund is the City's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

Open Space Fund – This special revenue fund accounts for the acquisition and maintenance of greenbelt land and parks. Financing is provided by sales taxes and the issuance of long-term bonds and notes payable.

Transportation Fund – This special revenue fund accounts for the construction, operation and maintenance of all major thoroughfares, local streets, bikeways, walkways and City-owned parking. Financing is provided by sales taxes, the City's share of the County Road and Bridge tax, State Highway Users' tax, State Auto Registration fees and Federal and State reimbursements through the Colorado Department of Transportation.

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3. Measurement Focus, Basis of Accounting, and Financial Statement Presentation (Continued)

Boulder Municipal Property Authority Fund – This special revenue fund accounts for the acquisition and construction of certain City properties and facilities. Funding is derived from the issuance of lease purchase revenue debt. Debt service is paid with income received from the City in the form of base rentals that are derived from the acquired or constructed assets.

The City reports the following major enterprise funds:

Water Utility Fund – This enterprise fund was established to finance and account for the acquisition, operation and maintenance of water facilities and services. It is predominately self-supported by user charges but also receives revenues from hydroelectric sales and plant investment and connection fees.

Wastewater Utility Fund – This enterprise fund was established to finance and account for the acquisition, operation and maintenance of wastewater facilities and services. It is predominately self-supported by user charges but also receives revenues from surcharge fees, cogeneration sales, and plant investment and connection fees.

Stormwater and Flood Management Fund – This enterprise fund was established to finance and account for the acquisition, operation and maintenance of stormwater and flood management facilities and services. It is predominately self-supported by user charges but also receives revenues from the Urban Drainage District and plant investment fees.

Downtown Commercial District – This district provides parking facilities and services to citizens in the downtown Boulder area. It is predominately self-supported by user charges but also receives general property and other tax revenues.

Additionally, the City reports the following fund types:

Internal service funds are established to finance and account for services and/or commodities required by other funds, on a cost reimbursement basis. The City has funds that account for the costs of acquiring, operating and maintaining certain types of equipment and facilities, costs for City-wide insurance programs and funding for certain governmental fund compensated absences liabilities.

Pension trust funds account for the accumulation of resources to be used for retirement annuity payments for the City's police officers and fire fighters.

Amounts reported as *program revenues* include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as *general revenues* rather than as program revenues. Likewise, general revenues include all taxes, interest and investment earnings, and miscellaneous revenues.

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3. Measurement Focus, Basis of Accounting, and Financial Statement Presentation (Continued)

Proprietary funds distinguish *operating* revenues and expenses from *nonoperating* items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the Water Utility Fund, Wastewater Utility Fund, Stormwater and Flood Management Fund and Downtown Commercial District are charges to customers for sales and services. The Water Utility Fund also recognizes as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the system. Operating expenses for enterprise and internal service funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

4. Budgets

Budgets are adopted on a budgetary basis as described in Note C. The City budgets revenues and expenditures/expenses for all funds except Fiduciary Funds. Pension Trust Fiduciary Funds each have an independent board, which review all expense, refund, disability and investment transactions. All annual appropriations lapse at year ended December 31, 2019.

The budget of the City is a detailed operating plan, which identifies estimated costs and results in relation to estimated revenues and represents a process through which policy decisions are made, implemented and controlled. The City Charter requires that the City establish a budgetary system for general operations and prohibits expending funds for which there is no legal appropriation.

Local City code states that total expenditures for each fund cannot exceed the amount appropriated. The fund is, therefore, the level of control on which expenditures may not legally exceed appropriations. In the Enterprise Funds, budgeting at the operating, capital and debt service expense level provides further control.

Although appropriations lapse at year-end, subsequent year's appropriations provide authority to complete transactions involving encumbrances outstanding at year-end. The City Charter stipulates that, at any time after the adoption of the annual appropriation ordinance and after at least one week's public notice, the City Council may transfer unused fund balances appropriated for one purpose to another purpose and may by ordinance appropriate available revenues not included in the annual budget. Available fund balances not required for operations and capital improvements during the year are included in the annual appropriations ordinance. This is done to ensure that excess funds are available for use if the need arises after the adoption of that ordinance. Council approval is still required to transfer unallocated amounts to active operating or capital improvement budgets.

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

5. Equity in Pooled Cash and Cash Equivalents/Cash and Cash Equivalents

The City utilizes the pooled cash concept whereby cash balances of each of the City's funds are pooled and invested by the City in short-term certificates of deposit, money market deposit accounts, mutual funds, local government investment pools and United States Treasury obligations.

The investment pool is used to maximize interest income while protecting principal. Securities are selected according to their risk, marketability and diversification. Income earnings or losses arising from the investment of pooled cash are allocated to the various funds based on their respective daily average equity in pooled cash.

At year-end, cash in bank accounts, cash on hand, cash held by trustees, certificates of deposit (with an original maturity date less than 90 days) and money market deposit accounts, but not to include restricted cash, are classified as Equity in Pooled Cash and Cash Equivalents. All other securities within pooled cash are reclassified for reporting purposes to investments.

6. Investments

In addition to the cash and cash equivalents mentioned in Note A5, the City authorizes investments in the securities below for the general pooled investments. The Fire and Police Pension Boards adopt and establish separate investment policies for each of the Pension Trust Funds. The City's authorization for general pooled investments allows the following types of investments:

- Bonds or other interest-bearing obligations of the United States of America or its agencies thereof and Local Government Investment Pools that invest therein.
- Repurchase agreements and reverse repurchase agreements.
- Obligations secured by first liens on real estate or by pledge of specific income or revenue and issued, insured, or guaranteed by an agency or instrumentality of the United States government or State of Colorado.
- Commercial paper (with a rating at the time of purchase in its highest rating categories by one or more nationally recognized rating organizations).
- Eligible bankers acceptances.
- Money market mutual funds (with a rating at the time of purchase of at least AAAm by Standard and Poor's or Aaa by Moody's).
- Corporate Bonds rated at least A by Standard & Poor's or A2 by Moody's. Authorized corporates shall be limited to corporations organized and operated within the United States with a net worth in excess of $250,000,000.

The City records long-term investments at fair value, amortized cost, and net asset value in accordance with GASB Statement No. 72 using quoted market prices. Short-term investments are reported at cost, which approximates fair value. Pension fund real estate investments are stated at an estimated market value using an annual external appraisal service hired by the real estate company's management team. Other pension fund investments for which market quotations are not readily available are valued at their fair values as determined by the custodian with the assistance of a valuation service. The City authorizes

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

6. Investments (Continued)

the purchase and sale of investments, except for those held in the Pension Trust funds, which are controlled by the Fire and Police Pension Boards as trustees.

Since many of the City monies are designated for specific uses, maturities are selected to coincide with the periods these monies will be spent. For those securities sold prior to maturity, the specific identification method is used in determining gain or loss. Investment earnings are recorded when earned since they are measurable and available.

7. Interfund Receivables/Payables

Transactions between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "interfund receivables/payables" (i.e., short term interfund loans) or "advances to/from other funds" (i.e., long term interfund loans). Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances." Certain eliminations have been made as prescribed by GASB Statement No. 34 in regard to interfund activities, payables and receivables. All internal balances in the Statement of Net Position have been eliminated except those representing balances between the governmental activities and the business-type activities, which are presented as internal balances and eliminated in the total primary government column. In the Statement of Activities, internal service fund transactions have been eliminated; however, those transactions between governmental and business-type activities have not been eliminated.

8. Inventories

Inventories of a material amount are maintained in the General Fund for postage, the Wastewater Utility and Stormwater & Flood Fund for material supply, and the Recreation Activity Fund for golf course clubhouse merchandise. Inventories considered supplies are valued at cost. Inventories held for resale are reported at lower of cost or market, using the first-in, first-out (FIFO) method. The costs of these inventories are recorded as expenditures when consumed rather than when purchased. All other inventories in the City are considered immaterial and are expensed when purchased.

9. Restricted Assets

Pooled and non-pooled investments restricted for specified uses by gift, fee, grant and retainage requirements are classified as "restricted assets" in the General and Special Revenue Funds. Pooled investments and cash held by paying agents have been restricted in the Capital Project and Enterprise Funds for future capital improvements in compliance with bond ordinances. Additional pooled investments have been restricted for debt service bond reserves in compliance with bond ordinances.

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

10. Capital Assets

All capital assets, including "Public Domain" infrastructure capital assets such as bridges, streets and sidewalks are reported in the applicable governmental or business-type activities columns in the government-wide and proprietary fund financial statements. Capital assets are defined as assets with an initial, individual cost of more than $5,000 ($50,000 for infrastructure) and an estimated useful life in excess of one year. Such assets are recorded at historical cost or estimated historical cost. Donated assets are valued at acquisition value on the date donated. The City does not capitalize historical treasure or works of art. Costs incurred for the purchase or construction of capital assets for governmental activities are recorded as capital outlay expenditures in the governmental funds.

Major outlays for capital assets and improvements are capitalized as projects are constructed.

Depreciation of all exhaustible capital assets is charged as an expense against operations. Accumulated depreciation is reported on the government-wide financial statements. Depreciation has been provided over the estimated useful lives using the straight-line method.

The estimated useful lives are as follows:

Buildings	10-50 years
Improvements other than buildings	20 years
Infrastructure	20-75 years
Utility plant in service	30-40 years
Undergrounds	30-75 years
Machinery, equipment and vehicles	3-20 years
Software and licenses	5-10 years
Intangibles	20- 50 years

The costs of normal maintenance and repairs that do not add to the value of the capital asset or materially extend the asset's life are not capitalized. Improvements are capitalized and depreciated over the remaining life of the capital asset, as applicable.

Upon sale or retirement of a capital asset, the cost and related accumulated depreciation, if applicable, are eliminated from the respective accounts and any resulting gain or loss is included in the results of operations.

11. Compensated Absences

Upon termination or retirement, all unused vacation pay, unused sick pay based on certain service requirements, an appreciation bonus dependent upon employee length of service, and compensation time per the police employees' contract, must be paid to the employee. These compensated absences are recognized when earned in proprietary fund types and when due in governmental fund types. A liability for these amounts is reported in the government-wide financial statements when earned.

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

12. Deferred Outflows/Inflows of Resources

A deferred outflow of resources is a consumption of net position by the City that is applicable to a future reporting period and a deferred inflow of resources is an acquisition of net position by the City that is applicable to a future reporting period. Both deferred inflows and outflows are reported in the statement of net position but are not recognized in the fund financial statements as revenues and expenditures until the period(s) to which they relate.

Under the modified accrual basis of accounting, revenues and other fund financial resources are recognized in the period in which they become both measurable and available. Assets recorded in the fund financial statements for which the revenues are not available are reported as a deferred inflow of resources.

Deferred outflows of the entity consist of a deferred charge on refunding in the government-wide statement of net position. A deferred charge on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. Deferred inflows of resources consist of property taxes receivable and reimbursement based grants, as applicable in the government-wide and fund financial statements.

The City also records in the category of deferred outflows and deferred inflows certain items related to its PERA defined benefit pension plan, its "Old Hire" Police Defined Benefit Plan and "Old Hire" Fire Defined Benefit Plan and its PERA Health Care Trust Fund and City of Boulder Retiree Health Care Benefit Plan. See Note Z, U and W for additional information.

13. Long-Term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are amortized over the life of the bonds using the effective interest rate method.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, losses on refunding, as well as bond issuance costs in the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances and losses on debt refunding are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, and debt principal payments are reported as debt service expenditures.

Debt service for the major utility funds is paid from monies provided by those funds. The blended component unit Boulder Municipal Property Authority pays debt service from revenues received from the City in the form of base rentals on open space and parks property.

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

13. Long-Term Obligations (Continued)

The City reports a net pension liability for its proportionate share of PERA's unfunded pension liability and the City's unfunded pension liability of its "Old Hire" Police Defined Benefit Plan and "Old Hire" Fire Defined Benefit Plan. See Note U for additional information.

The City reports a net OPEB liability for its proportionate share of PERA's Health Care Trust Fund and a net OPEB liability for City of Boulder Retiree Health Care Benefit Plan. See Note W for additional information.

14. Fund Balances and Net Position

In the governmental funds financial fund statements, there are five categories of fund balances that have been used. These include nonspendable, restricted, committed, assigned and unassigned.

Nonspendable – This category pertains to any fund equity that has permanent limitations on it. This includes prepaid expenditures, inventory, and endowments. These items cannot be converted to cash and, therefore, are not an available resource for the City.

Restricted – Funds are reported as restricted when constraints are imposed by creditors, grantors, laws or regulations of other governments, or by law through constitutional provisions or enabling legislation. Any constraint imposed by an outside entity on the use of funds for a specific purpose results in the fund balance being shown as restricted.

Committed – Any formal action, ordinance or resolution, of City Council, the highest level of decision making authority, which places constraints on the use of funds to a specific purpose is categorized as committed fund equity. Actions to remove the constraints, regardless if they were imposed by an ordinance or a resolution, would require the same level of difficulty needed to place constraints on the use of funds to a specific purpose.

Assigned – This category is used when the intent of the City is to use the funds for a specific purpose. The City Manager or Chief Financial Officer of the City may assign fund balance to specific purposes pursuant to the general authority granted within the City Charter Articles V & VI.

Unassigned – This classification is for fund balance that does not meet the criteria for inclusion in one of the other four classifications. The General Fund is the only fund that reports a positive unassigned fund balance amount.

Order of spending: When expenditures are incurred that can use funds from more than one classification, the City will generally determine the order which the funds are used on a case-by-case basis, considering any applicable requirements of grant agreements, contracts, business circumstances, or other constraints. If no other constraints exist, the order of spending of resources will be restricted, committed, assigned and lastly, unassigned.

NOTE A – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

14. Fund Balances and Net Position (Continued)

The fund balance of certain special revenue and capital project funds have been restricted where the fund was created through legislation that includes a legally enforceable restriction on the use of revenues (Note S).

In the government-wide and proprietary funds financial statements, there are three categories of net position used. These include net investment in capital assets, restricted and unrestricted.

Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net investment in capital assets excludes unspent bond proceeds. Unspent bond proceeds as of December 31, 2020 totaled $23,996,711 consisting of $561,678 for the Water Utility Fund, $4,181,253 for the Wastewater Utility Fund, $368,183, for the Stormwater and Flood Management Fund, and $18,885,597 from Certificates of Participation.

NOTE B – RECONCILIATION OF GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS

1. Explanation of Certain Differences Between the Governmental Funds Balance Sheet and the Government-wide Statement of Net Position

The City includes a reconciliation between fund balance-total governmental funds and net position-governmental activities as reported in the government-wide statement of net position.

One element of that reconciliation explains that "capital assets used in governmental activities are not financial resources and are not reported within the funds." The details of this difference are as follows (amounts in 000's):

	Governmental Fund Capital Assets	Internal Service Fund Capital Assets	Total Capital Assets - Governmental Activities
Land and easements	$ 385,637	$ 117	$ 385,754
Buildings	87,671	91,921	179,592
Improvements other than buildings	116,842	9,110	125,952
Infrastructure	492,928	763	493,691
Machinery, equipment and vehicles	7,973	57,646	65,619
Software and Licenses	13,708	-	13,708
Construction-in-progress	23,233	-	23,233
Total capital assets	1,127,992	159,557	1,287,549
Less accumulated depreciation	(424,693)	(108,663)	(533,355)
Capital assets, net	$ 703,299	$ 50,894	$ 754,194

NOTE B – RECONCILIATION OF GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS (CONTINUED)

1. Explanation of Certain Differences Between the Governmental Funds Balance Sheet and the Government-wide Statement of Net Position (Continued)

Another reconciling item explains that "long-term liabilities, including bonds payable, are not due and payable in the current period and therefore are not reported in the funds." The details of this difference are as follows (amounts in 000's):

General obligation bonds	$	7,501
Direct purchase notes		8,630
Certificates of participation - COPs		53,371
Capital improvement bonds		31,242
Lease Purchase revenue notes		8,144
Notes payable		5,651
Compensated absences, excluding internal service funds		10,961
Interest payable, excluding internal service funds		788
Governmental fund long-term liabilities	$	126,288

2. Explanation of Certain Differences Between the Governmental Funds Statement of Revenues, Expenditures, and changes in Fund Balances and the Government-wide Statement of Activities

The City includes a reconciliation between net changes in fund balances-total governmental funds and changes in net position of governmental activities as reported in the government-wide statement of activities. One element of that reconciliation states that "debt proceeds provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of debt principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position. This amount is the net effect of these differences in the treatment of long-term debt and related items."

NOTE B – RECONCILIATION OF GOVERNMENT-WIDE AND FUND FINANCIAL STATEMENTS (CONTINUED)

2. Explanation of Certain Differences Between the Governmental Funds Statement of Revenues, Expenditures, and changes in Fund Balances and the Government-wide Statement of Activities

The details of the $16,499 increase from changes in the treatment of long-term debt and related items are as follows (amounts in 000's):

Debt issued or incurred:	
Net increase in compensated absences	$ (374)
Increase in net OPEB liability:	
PERA	141
City of Boulder	(9)
Increase in net pension liability:	
PERA	7,536
"Old Hire" Police Defined Benefit Plan	(149)
"Old Hire" Fire Defined Benefit Plan	(95)
Total debt issued or incurred	7,050
Principal repayments or reductions:	
Repayments	8,814
Amortization of debt premium	483
Total principal repayments or reductions	9,297
Other long term liabilities	
Change in accrued interest payable	152
Amortization of deferred loss on refunding	-
Total other related items	152
Net adjustment to increase net changes in fund balances – total governmental funds to arrive at changes in net position of governmental activities – debt and related items	$ 16,499

NOTE C – LEGAL COMPLIANCE – BUDGETS

City management, with the approval of the Budget Office, may transfer budgeted amounts within a fund without City Council approval. Excluded are transfers between operating, capital and debt service budgets in the Enterprise Funds. The City Manager must approve increases and decreases to appropriations and estimated revenues in the Internal Service Funds.

The City's basis of budgeting differs from GAAP in several ways:

GAAP expenditures *not* treated as expenditures using the basis of budgeting:

- All fund types – adjustment to accrued salaries, wages and amounts withheld from employees, adjustment to compensated absences, adjustment to accrued interest payable (certain debt).

Expenditures using the basis of budgeting *not* treated as GAAP expenditures:

- All fund types – encumbrances, payments on advances from other funds, intrafund transfers, adjustments to accrued interest payable (certain debt).

GAAP revenues *not* treated as revenues using the basis of budgeting:

- All fund types – fair market value adjustment to investments.

NOTE D – LEGAL COMPLIANCE – TABOR

The voters of Colorado at the general election held in the State on November 3, 1992 approved an amendment to the Colorado Constitution (Article X, Section 20 "The Taxpayer's Bill of Rights" or TABOR). The language of TABOR applies to the State and all local governments, including the City.

TABOR generally requires that the voters of the City approve any new tax, increase of an existing tax, property tax mill levy increase, assessed valuation ratio increase, tax extension or tax policy change of the City that results in an increase in taxes. TABOR also limits increases in the City's property tax revenue over the prior year to the rate of inflation plus the net percentage change in the actual value of all real property in the City from construction of improvements and additions to taxable real property, unless otherwise approved by the voters.

In addition to revenue limits, TABOR also limits increases in the City's spending over the prior year to the rate of inflation plus the net percentage change in the actual value for all real property in the City from construction of improvements and additions to taxable real property, unless otherwise approved by the voters. The initial base years for this limit on spending increases by the City are the 1992 fiscal year of the City and 1991 property taxes collected in 1992. Any revenues collected in excess of these limits on spending and property tax revenue are required to be refunded during the next fiscal year.

On November 2, 1993, the voters within the City of Boulder approved a ballot question which authorizes the City to collect, retain and expend the full proceeds of the City's sales and use tax, admissions tax, accommodations tax and nonfederal grants notwithstanding any TABOR restrictions.

NOTE D – LEGAL COMPLIANCE – TABOR (CONTINUED)

At the November 8, 1994 election, the voters approved an increase in the City's trash tax and also approved an education excise tax. Both ballot issues included language which allowed the City to collect and spend the full proceeds of the tax and any interest earnings thereon.

On November 5, 1996, the voters within the City of Boulder approved a ballot question by a vote of 21,832 to 16,170 which removed the TABOR restriction on all revenues (except property tax) and expenditures of the City, eliminated the emergency reserve requirements, and authorized the collection, retention and expenditure of all revenues of the City free from current revenue and expenditure limitations and from any limitations that may be enacted in the future without the amendment of the City Charter by the electors of the City.

On November 4, 2008, the voters within the City of Boulder approved a ballot question which removed the remaining TABOR restriction on property tax revenues collected in 2009 and beyond. The increase in retained taxes starting in tax collection year 2009 will be limited to 1/2 mill per year until the full amount of the existing City property tax levy of 11.981 mills is restored and retained, which occurred in 2012.

TABOR remains in full effect for the blended component units Downtown Commercial District and University Hill Commercial District.

TABOR is very complex and open to interpretation. However, at December 31, 2020, the City believes it was in compliance with TABOR (see Note K).

NOTE E – DEPOSITS AND INVESTMENTS

At December 31, 2020, the City had the following in cash and investments (in 000's):

Cash and deposits	$ 46,990
Investments	369,774
Total	$ 416,764

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Cash and investments are reported in the financial statements as follows (in 000's):

Citywide Investments	
Equity in pooled cash and cash equivalents	$ 46,986
Investments	343,230
Restricted investments	4,912
	395,128
Fiduciary Fund Investments	
Equity in pooled cash and cash equivalents	4
Investments	21,632
	21,636
Total	$ 416,764

Deposits

Custodial Credit Risk – Deposits. For deposits, this is the risk that in the event of a bank failure, the City's deposits may not be returned. Title 2, Chapter 10 of the Boulder Revised Code (1981) requires that depositories belong to the FDIC and qualify as a depository of public funds in the state under the Colorado Public Deposit Protection Act (PDPA) as defined in 24-75-603, C.R.S. As of December 31, 2019, all financial institutions holding deposits for the City of Boulder have been identified as eligible public depositories under PDPA by the State of Colorado Division of Banking. PDPA requires that any amounts on deposit in excess of federal insurance levels must be collateralized by eligible collateral as determined by the PDPA. PDPA allows the financial institution to create a single collateral pool for all public funds held. The pool is to be maintained by another institution or held in trust for all the uninsured public deposits as a group. The market value of the collateral must be at least equal to 102% of the uninsured deposits.

At December 31, 2020, the City had cash on hand of $22,156. In addition, at December 31, 2020, the carrying amount of the City's deposits at JPMorgan Chase was $14,903,585 while the bank statement balance was $15,760,516, leaving $250,000 of the City's operating accounts under FDIC coverage and $15,510,516 properly collateralized under the Public Deposit Protection Act.

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Citywide (excludes Fiduciary Funds)

As of December 31, 2020, the City had the following investments:

Investment Type	Fair Value (000's)
U.S. Corporate	$ 105,192
U.S. Treasuries	75,129
U.S. Instrumentalities	130,973
Municipal / Provinical Bonds	26,532
Short Term Bills and Notes	300
Time Deposits	9,986
Money Markets	30
Total	$ 348,142

Credit Risk – Investments. Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. Title 2, Chapter 10 of the Boulder Revised Code (2017) limits the City's investment activity to specific types of investments as disclosed in Note A6. Rating requirements for Federal Instrumentality securities are not addressed within the code but it does limit investments in commercial paper to issues with a credit rating of at least A-1 by Standard and Poor's or P-1 by Moody's. Credit rating requirements for eligible banker's acceptances are not addressed. Local government investment pools and money market mutual funds must have a rating at the time of purchase of at least AAAm by Standard and Poor's or Aaa by Moody's. Corporate bonds must have a credit rating of at least A by Standard & Poor's or A2 by Moody's.

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Citywide (excludes Fiduciary Funds)

As of December 31, 2020, the City held investments with the following credit ratings:

Issuer	Fair Value (000's)	Ratings: Standard & Poors	Ratings: Moody's
U.S. Instrumentalities:			
FHLB	$ 31,909	AA+	Aaa
FNMA	46,162	AA+	Aaa
FFCB	24,136	AA+	Aaa
FHLMC	28,766	AA+	Aaa
U.S. Corporate:			
Walmart Inc Note	7,289	AA	Aa2
Toyota Motor Credit Corp Note	6,129	A+	A1
American Honda Finance Note	5,703	A-	A3
Apple Inc Note	5,557	AA+	Aa1
Cisco Systems Note	5,235	AA-	A1
American Honda Finance Note	5,170	A-	A3
Microsoft Corp Note	5,007	AAA	Aaa
Caterpillar Financial Service Note	4,880	A	A3
State Street Corp Note	4,712	A	A1
State Street Corp Note	4,462	A	A1
Johnson & Johnson Note	4,344	AAA	Aaa
Toyota Motor Note	4,334	A+	A1
Microsoft Corp Note	4,181	AAA	Aaa
Wal-Mart Stores Note	3,041	AA	Aa2
Oracle Corp Note	3,030	A	A3
Cisco Systems Note	3,030	AA-	A1
Microsoft Note	3,021	AAA	Aaa
Bank of NY Mellon Corp Note	3,013	A	A1
Caterpillar Financial Service Note	2,984	A	A3
Intel Corp Note	2,617	A+	A1
Pepsico Inc Note	2,580	A+	A1
Linde Corp Note	2,546	A	A2
Pepsico Inc Note	2,509	A+	A1
United Parcel Service Note	2,502	A	A2
IBM Credit Corp Note	2,502	A	A2
Apple Inc Note	2,152	AA+	Aa1
Apple Inc Note	1,512	AA+	Aa1
Intel Corp Note	1,150	A+	A1
Municipal / Provincial Bonds:			
City of New York, NY	8,707	AA	Aa1
State of Maryland	5,027	AAA	Aaa
State of Florida	5,002	AAA	Aaa
Metro, OR	5,371	AAA	Aaa
Metro, OR	2,425	AAA	Aaa
Short Term Bills and Notes:			
USA Treasury Bill	300	A-1+	P-1
Total	$ 262,997		

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Citywide (excludes Fiduciary Funds) (Continued)

Interest Rate Risk – Investments. For investments, this is the risk that changes in interest rates will adversely affect fair market values. In accordance with Title 2, Chapter 10 of the Boulder Revised Code (2017) the weighted average maturity of the City's portfolio shall at no time exceed five years. As of December 31, 2020, the weighted average maturity of the City's pooled investment portfolio was 1.50 years as detailed in the following chart:

Investment Type	Fair Value (000's)	Weighted Average Maturity (years)
U.S. Corporate	$ 105,192	1.81
U.S. Treasuries	75,129	1.59
U.S. Instrumentalities	130,973	8.99
Municipal / Provincial Bonds	26,532	2.97
Short Term Bills and Notes	300	0.13
Time Deposits	9,986	1.70
Total fair value	$ 348,112	
Portfolio weighted average maturity		2.01

Custodial Credit Risk – Investments. This is the risk that, in the event of the counterparty's failure, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. In accordance with the Boulder Revised Code, the City utilizes a third-party safekeeping arrangement with JP Morgan Chase, N.A. to minimize custodial credit risk.

Concentration of Credit Risk – Investments. Concentration of credit risk is the risk of loss attributed to the concentration of the City's investment in a single issuer. The Boulder Revised Code does not specifically address concentration of credit risk. 5% or more of the City's investments were held by the following issuers as of December 31, 2020:

Issuer	Fair Value (in 000's)	Percentage of Total Portfolio
Federal Home Loan Bank	$ 31,909	9%
Federal Farm Credit Bureau	24,136	7%
Federal National Mortgage Association	46,161	13%
Federal Home Loan Mortgage Corporation	28,766	8%

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Fiduciary Funds

As of December 31, 2020, the Police and Fire Pension Funds had the following investments:

		Maturities in Years				
Investment Type	Fair Value (in 000's)	<1	1-2	3-5	6-10	>10
U.S. Treasuries	$ 623	-	-	-	623	-
U.S. Instrumentalities and Agencies	152	-	-		152	-
Corporate Bonds	245	-	26	107	112	-
Subtotal	1,020	$ -	$ 26	$ 107	$ 887	$ -
Money Market Funds	506					
Mutual Funds	16,587					
Equities	2,792					
Real Estate Investment Trust	673					
Other	-					
Total	$ 21,578					

Credit Risk – Pension Investments. This is the risk that an issuer or other counterparty to an investment will not fulfill its obligation. The "Old Hire" Police Pension Fund investment policy was revised in January of 2020 and adopted in January 2020. The "Old Hire" Fire Pension Fund investment policy was revised in January 2020, and formally adopted in January of 2020. The "Old Hire" Police Pension Fund has a risk tolerance of no more than a 17.5% annual loss, with a statistical confidence level of 95%. The "Old Hire" Fire Pension Fund has a risk tolerance of no more than a 18.5% annual loss, with a statistical confidence level of 95%.

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Fiduciary Funds (Continued)

At December 31, 2020 the pension funds held investments with credit ratings as follows:

Issuer	Fair Value (000's)	Ratings: Standard & Poors	Ratings: Moody's
U.S. Treasurys	$ 623	AA+	Aaa
U.S. Instrumentalities and Agencies	152	AA+	Aaa
Corporate Bonds:			
United Parcel	26	A-	A2
Emerson Electric	26	A	A2
3M Corporation	27	A+	A1
Union Pacific Corporation	28	A-	Baa1
Johnson & Johnson	26	AAA	Aaa
Apple Inc	28	AA+	Aa1
Hubbell Inc	28	BBB+	Baa1
Mastercard Inc	28	A+	A1
Nike Inc	28	AA-	A1

Concentration of Credit Risk – Pension Investments. Concentration of credit risk is the risk of loss attributed to the concentration of the City's investment in a single issuer. The "Old Hire" Police Pension Fund investment policy states that equity holdings in any one company should not exceed more than 15% of the fair value of the Fund's assets and that not more than 25% should be invested in any one industry. Fixed Income Portfolio Securities, other than U.S. government or agency securities, cannot exceed 10% by any one issuer. At December 31, 2020, no single issuer held more than 10% of either pension fund's portfolio.

In the revised investment policy, which was effective January of 2020, the "Old Hire" Police Pension Fund, Long-Term Account, has a specified risk tolerance not to exceed a 17.5% loss in any year. To maintain a 95% confidence level that this performance level is met, the board selected the following asset classes and allocations for each class:

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Fiduciary Funds (Continued)

Asset Allocation	Lower Limit	Strategic Allocation	Upper Limit
Domestic Large Cap Equity	18%	21%	24%
Domestic Small Cap Equity	5%	8%	11%
International Equity	14%	17%	20%
Emerging Markets	3%	6%	9%
Domestic Fixed Income	21%	24%	27%
Direct Real Estate	2%	5%	8%
Master Limited Partnerships	2%	5%	8%
Liquid Low Correlated Hedge	4%	7%	10%
Floating Rate Corporate Loans	4%	7%	10%

In the revised investment policy, which was adopted in September of 2019, the "Old Hire" Fire Pension Fund, Long-Term Account, has a specified risk tolerance not to exceed a 18.5% loss in any year. To maintain a 95% confidence level that this performance level is met, the board selected the following asset classes and allocations for each class:

Asset Allocation	Lower Limit	Strategic Allocation	Upper Limit
Domestic Large Cap Core	19%	22%	25%
Domestic Small/Mid Cap	6%	9%	12%
International Equity	16%	19%	22%
Emerging Markets	3%	6%	9%
Domestic Fixed Income	22%	25%	28%
Floating Rate Corporate Loans	4%	7%	10%
Liquid Low Correlated Hedge	4%	7%	10%
Master Limited Partnerships	2%	5%	8%

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Fiduciary Funds (Continued)

At December 31, 2020 the asset class allocations were within the maximum limits.

Investment concentrations in one organization that represent over 5% of each "Old Hire" pension plan's fiduciary net position are as follows:

"Old Hire" Police Pension Fund

Issuer	Fair Value (in 000's)	Percentage of Total Portfolio
Fidelity Total Bond Fund	$ 1,480	12%
Artisan International Fund	1,043	8%
Brandes International Equity Fund	1,035	8%
T Rowe Price Small Cap Fund	1,023	8%
Eaton Vance Floating Mutual Fund	860	7%
Wells Fargo Emerging Markets Fund	755	6%
Principal US Property	673	5%

"Old Hire" Fire Pension Fund

Issuer	Fair Value (in 000's)	Percentage of Total Portfolio
Metropolitan West Mutual Fund	$ 1,107	12%
Fidelity Total Bond Fund	1,107	12%
Brandes International Equity Fund	863	9%
Artisan International Fund	862	9%
Vanguard 500 Index Fund	722	8%
Harbor Cap Appreciation Fund	641	7%
Dodge & Cox Stock Fund	627	7%
Eaton Vance Floating Mutual Fund	624	7%
Wells Fargo Emerging Market Equity Fund	561	6%

Custodial Credit Risk – Pension Investments. This is the risk that, in the event of a counterparty's failure, the City will not be able to recover the value of its investments. The "Old Hire" Police Pension Fund investment policy states that a custodian bank will maintain possession of securities owned by the

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Investments – Fiduciary Funds (Continued)

Fund. The "Old Hire" Fire Pension Fund's investment policy was revised to require a custodian bank to maintain possession of securities in September 2008. All the pension securities, except for the Principal RESA account, are held by the Fund's third party custodian, Charles Schwab Institution, in the pension's name.

Interest Rate Risk – Pension Investments. This is the risk that changes in interest rates will adversely affect the portfolio's fair market value. The "Old Hire" Police Pension Fund investment policy specifies a targeted rate of return of 2.75% to 3.75% over CPI, for its long-term account. The "Old Hire" Fire Pension Fund investment policy specifies a targeted rate of return of 2.50% to 3.50% for its long-term account.

Taxable Pension Obligation Bonds. In order to allow the City to establish more predictable pension obligation payment schedules for firefighters and police officers hired before April 8, 1978, taxable pension obligation bonds were issued on October 26, 2010. Proceeds of $5,469,000 and $3,531,000 were deposited into money market mutual funds for the "Old Hire Police" and "Old Hire Fire" pension fund accounts, respectively. These deposits are held by a third-party custodian, Charles Schwab Institutional, in each pension's name.

Fair Value of Investments

The City categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs. For investments measured at Net Asset Value (NAV), there are no commitments, the redemption frequency is daily, and there is no redemption notice period. For Level 2 inputs the pricing methodology utilizes the services of firms that provide market standard pricing. These pricing service providers synthesize multiple market inputs to determine a fair value price. As such, the prices are derived from altered or indirectly observable prices to result in a fair value measure.

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Fair Value of Investments (Continued)

City Investments Measured at Fair Value at 12/31/2020:

		Fair Value Measurement Using		
	12/31/2020	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments by fair value level				
Debt securities				
U.S. Treasury securities	$ 75,129	$ -	$ 75,129	$ -
U.S. Instrumentalities and agencies	130,973	-	130,973	-
U.S. Corporate	105,192	-	105,192	-
Municipal / Provincial bonds	26,532	-	26,532	-
Short Term Bills and Notes	300	-	300	-
Total debt securities	338,126	-	338,126	-
Total investments measured at fair value level	$ 338,126	$ -	$ 338,126	$ -
Investments measured at the net asset value (NAV)				
Time deposits	$ 9,986			
Money Markets	30			
Total investments measured at the NAV	10,016			
Investments measured at amortized cost:				
Total investments measured at amortized cost	-			
Total investments	$ 348,142			

NOTE E – DEPOSITS AND INVESTMENTS (CONTINUED)

Fair Value of Investments (Continued)

Fiduciary Investments Measured at Fair Value at 12/31/20:

		Fair Value Measurement Using		
	12/31/2020	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Investments by fair value level				
Debt securities				
U.S. Treasury securities	$ 623	$ -	$ 623	$ -
U.S. Instrumentalities and agencies	152	-	152	-
Corporate bonds	5,423	-	5,423	-
Other	-	-	-	-
Total debt securities	6,198	-	6,198	-
Equity securities	14,201	14,201		
Real estate investment trust	673			670
Total investments measured at fair value level	21,072	$ 14,201	$ 6,198	$ 670
Investments measured at the net asset value (NAV)				
Money market funds	506			
Total investments measured at the NAV	506			
Total investments	$ 21,578			

NOTE F – PROPERTY TAXES RECEIVABLE

Property taxes for the City are levied by the City Council and certified to Boulder County for collection by December 15 of each year. These taxes attach as an enforceable lien on property as of January 1 of the succeeding year and are payable in full by April 30 or in two installments by June 15 in the year of collection.

Property taxes levied in 2020 for collection in 2021 of $43,176,000 in the General Fund, $1,701,000 in the Special Revenue Funds, $3,598,000 in the Capital Projects Funds and $1,757,000 in the Enterprise Funds, are included in receivables and deferred inflows at December 31, 2020. These taxes are classified as deferred inflows since they are not normally available to the City until mid-2021 and are budgeted for in 2021.

NOTE G – OTHER RECEIVABLES

The City of Boulder recognizes various receivables when earned. Revenues are recognized as appropriate based on the measurement focus and basis of accounting as discussed in Note A. An allowance for doubtful accounts is recognized as appropriate based upon management's estimate of the collectability of the various receivables. No allowance is provided for utility service charges since delinquent amounts are certified as a lien against the property billed and are expected to be fully collectible. As of December 31, 2020, no allowance for doubtful accounts was recognized.

The December 31, 2020, balance in "other receivables" contains the following detail (amounts in 000's):

Type of Note Receivable	Governmental Activities	Business-type Activities	Total
Accounts	$ 3,899	$ 138	$ 4,037
Charges for services	-	6,287	6,287
Accrued interest	1,170	417	1,587
Intergovernmental	9,284	2,104	11,388
	$ 14,353	$ 8,946	$ 23,299

NOTE H – CAPITAL ASSETS

Capital asset activity for the year ended December 31, 2020, was as follows (amounts in 000's):

Governmental Activities:

	Beginning Balance	Increases	Decreases	Transfers	Ending Balance
Capital assets not being depreciated:					
Land and easements	$ 371,759	$ 7,941	$ (3,101)	$ 9,155	$ 385,754
Construction in progress	46,195	14,005	(9)	(36,958)	23,233
Total capital assets, not being depreciated	417,954	21,946	(3,110)	(27,803)	408,987
Capital assets being depreciated:					
Buildings	159,195	6,691	(293)	13,999	179,592
Improvements other than buildings	112,007	4,961	-	8,984	125,952
Infrastructure	482,030	8,174	-	3,487	493,691
Machinery and equipment	62,825	3,916	(1,562)	440	65,619
Software and Licenses	11,885	930	-	893	13,708
Total capital assets, being depreciated	827,942	24,672	(1,855)	27,803	878,562
Less accumulated depreciation for:					
Buildings	84,672	5,005	(11)	-	89,666
Improvements other than buildings	51,399	5,206	-	-	56,605
Infrastructure	332,548	8,493	-	-	341,041
Machinery and equipment	36,235	4,701	(1,367)	-	39,569
Software and Licenses	5,248	1,226	-	-	6,474
Total accumulated depreciation	510,102	24,631	(1,378)	-	533,355
Total capital assets, being depreciated, net	317,840	41	(477)	27,803	345,207
Governmental activities capital assets, net	$ 735,794	$ 21,987	$ (3,587)	$ -	$ 754,194

NOTE H – CAPITAL ASSETS (CONTINUED)

	Beginning Balance	Increases	Decreases	Transfers	Ending Balance
Capital assets not being depreciated:					
Land and easements	$ 44,473	$ -	$ -	$ -	$ 44,473
Construction in progress	110,362	20,337	(20)	(76,429)	54,250
Total capital assets, not being depreciated	154,835	20,337	(20)	(76,429)	98,723
Capital assets being depreciated:					
Buildings	53,349	470	-	192	54,011
Improvements other than buildings	7,873	-	-	-	7,873
Intangibles	2,000	-	-	-	2,000
Utility plant in service and undergrounds	575,746	9,317	-	76,237	661,300
Machinery and equipment	11,475	88	(295)	-	11,268
Total capital assets, being depreciated	650,443	9,875	(295)	76,429	736,452
Less accumulated depreciation for:					
Buildings	27,455	1,819	-	-	29,274
Improvements other than buildings	5,929	397	-	-	6,326
Intangibles	250	100	-	-	350
Utility plant in service and undergrounds	220,459	11,347	-	-	231,806
Machinery and equipment	8,181	587	(267)	-	8,501
Total accumulated depreciation	262,274	14,250	(267)	-	276,257
Total capital assets, being depreciated, net	388,169	(4,375)	(28)	76,429	460,195
Business-type activities capital assets, net	$ 543,004	$ 15,962	$ (48)	$ -	$ 558,918

During 2020, the City had intangible assets of $17.1 million that are included in land and easements in governmental activities and business-type activities.

NOTE H – CAPITAL ASSETS (CONTINUED)

Depreciation expense was charged to functions/programs of the City as follows (amounts in 000's):

Governmental Activities:		
General Government	$	30
Administrative Services		864
Public Safety		528
Public Works		16,596
Culture and Recreation		4,928
Open Space and Mountain Parks		1,067
Housing & Human Services		3
Planning & Development Services		615
Total depreciation expense – Governmental Activities	$	24,631
Business-type Activities:		
Water Utility	$	6,764
Wastewater Utility		3,818
Stormwater and Flood Management		1,655
Parking Facilities and Services		2,013
Total depreciation expense – Business-type Activities	$	14,250

NOTE I – RISK MANAGEMENT

Property and Casualty Insurance – The City has structured its property and casualty insurance as a self-insurance program since April 15, 1986. Under the current structure, the City pays the first $100,000 of each loss on property claims with an annual aggregate of $200,000. Except for those which are flood or earthquake which have a $200,000 deductible and utility facilities which have a $500,000 deductible, and any windstorm or hail losses which have a 2% deductible. The City pays $500,000 each claim on third-party liability claims; and $10,000 each loss on crime. According to Colorado State law, the City has the protection of governmental immunity above $387,000 per person, $1,093,000 per occurrence. Excess insurance coverage has been purchased through a private insurance carrier in the amount of $25,000,000 per liability claim with an annual aggregate policy limit of $25,000,000, except for public officials, which is on a claims-made basis. Settled claims have not exceeded commercial insurance coverage in any of the past three fiscal years.

The City Council has established a reserve policy for the Property and Casualty Fund with a goal of fully funding an actuarially calculated liability as of the end of the prior year at the 80% confidence level. An actuarial study is completed every two years in order to determine the appropriate reserve levels.

NOTE I – RISK MANAGEMENT (CONTINUED)

The current actuarial study was performed in February of 2019 and addressed claims as of December 31, 2018.

In 1997, an internal service fund was established to account for the Property and Casualty funds. Claims paid during the year and estimated to be paid at year-end are charged to this fund. The estimated year-end claims payable is based on the results of an actuarial study.

Changes in the estimated claims payable for the Property and Casualty Insurance Fund during the years ended December 31, 2019 and 2020, were as follows (amounts in 000's):

	2019	2020
Estimated claims payable January 1	$ 1,171	$ 1,197
Current year claims and changes in estimates	527	472
Claim payments	(501)	(754)
Estimated claims payable December 31	$ 1,197	$ 915
Claims payable due within one year	$ 254	$ 290

Workers' Compensation Insurance – Through December 31, 1992, the City purchased Workers' Compensation Insurance through the Colorado Compensation Insurance Authority. The City received authorization to become self-insured effective January 1, 1993. In 1993, an Internal Service Fund was established to account for these insurance activities. The City hires a third-party administrator to handle claims and estimate reserves. Under the current structure, the City pays the first $500,000 of each workers' compensation claim. The estimated reserves at December 31, 2020, have been established through the completion of an actuarial study and recorded as a liability in the Workers' Compensation Insurance Fund. Benefits are mandated by State Statute. Settled claims have not exceeded commercial insurance coverage in any of the past three fiscal years.

The City Council has established a reserve policy for the Workers' Compensation Insurance Fund with a goal of fully funding an actuarially calculated liability as of the end of the prior year at the 80% confidence level. An actuarial study is completed every two years in order to determine the appropriate reserve levels. The latest actuarial study was performed in February of 2019 and addressed claims as of December 31, 2018.

NOTE I – RISK MANAGEMENT (CONTINUED)

Changes in the estimated claims payable for the Workers' Compensation Insurance Fund during the years ended December 31, 2019 and 2020, were as follows (amounts in 000's):

	2019	2020
Estimated claims payable January 1	$ 2,590	$ 2,641
Current year claims and changes in estimates	1,274	2,422
Claim payments	(1,223)	(2,267)
Estimated claims payable December 31	$ 2,641	$ 2,796
Claims payable due within one year	$ 1,036	$ 1,088

Dental Self Insurance – The City established a dental plan effective January 1, 2020. The purpose of this plan is to pay the dental claims of eligible City employees and their covered dependents. The City has an Administrative Service Only plan with Delta Dental, whereby the City pays Delta Dental a separate amount for administrative costs and claim servicing fees. The City agrees to provide funding for the payment of claims. At the end of the year, the City retains any money not spent on claims. The City has recorded a liability in this fund totaling $44,000 for open and estimated claims not yet reported at December 31, 2020.

	2020
Estimated claims payable January 1	$ -
Current year claims and changes in estimates	1,008
Claim payments	(964)
Estimated claims payable December 31	$ 44
Claims payable due within one year	$ 44

NOTE J – ACCRUED LIABILITIES

The December 31, 2020, balance in "accrued liabilities" contains the following detail (amounts in 000's):

Type of Accrued Liability	Governmental Activities	Business-type Activities	Total
Accrued salaries, wages and amounts withheld from employees	$ 5,331	$ 728	$ 6,059
Accrued interest	788	327	1,115
Accrued liability – landfill cleanup	-	2,474	2,474
Accrued liability – cleanup costs	54	-	54
	$ 6,173	$ 3,529	$ 9,702

NOTE K – PROPERTY TAX OVERCOLLECTION LIABILITY

The 2019 mill levy for the City of Boulder for taxes collected in 2020 did not result in an excess of the TABOR (see Note D) allowable property tax revenues. The 2020 mill levy for taxes collected in 2021 did not have to be voluntarily reduced to compensate for this overcollection.

NOTE L – ACCRUED LIABILITY – LANDFILL CLEANUP

Until the late 1980s the City operated the Marshall Landfill. Around the time of the landfill's closure, the City was threatened by a lawsuit by the Department of Justice (DOJ) and the US Environmental Protection Agency (EPA) concerning the cleanup of Marshall Landfill, which is a designated Superfund site. The City was designated a potentially responsible party (PRP) pursuant to the Comprehensive Environmental Response Compensation and Liability Act of 1980, as amended by the Superfund Amendment and Reauthorization Act of 1986. The City and certain other PRPs negotiated a proposed consent decree with the DOJ and the EPA, and on May 17, 1988, City Council approved that decree.

The EPA, City and other PRPs subsequently signed the consent decree, which required the settling parties to implement remedial measures at Marshall Landfill for the purpose of cleaning up contaminated groundwater. This included the construction, operation and maintenance of a treatment facility and monitoring system.

The total cost of the cleanup was estimated to be approximately $5.0 million for capital construction and $0.8 million for engineering costs. Under the PRP agreement, which set forth the cost-sharing arrangements for the cleanup, the City's share was estimated at 30% or approximately $1,740,000. This amount, plus $210,000 for project management, contingency, legal and miscellaneous costs, was recorded in the Wastewater Utility Fund. Bonds were issued in 1992, and the proceeds restricted to pay these costs.

NOTE L – ACCRUED LIABILITY – LANDFILL CLEANUP (CONTINUED)

This judgment payable was satisfied in 1993 and an additional estimated liability equal to the net present value of average annual expenses of $250,000, or $2,926,595, was recorded for the City's estimated share of operating the treatment facility over the subsequent 20 years. The reasonableness of the average annual expense level is reviewed annually by City engineers and is based on typical operation, maintenance, analytical, and engineering costs of the Marshall Landfill site with adjustments made for inflation and equipment replacement.

The EPA and the Colorado Department of Public Health and Environment (CDPHE) approved a shutdown plan for the Marshall Landfill on November 30, 2004. The shutdown involves mothballing the current treatment facility for three years while the groundwater quality is monitored. The treatment facility must be maintained for the three-year period in a manner that allows start up, if deemed necessary.

The plan provided that if, at the end of three years, no concentrations of contaminants above the shutdown standards occur in the wells and surface water sites that are approved as points of compliance, the treatment plant can be removed. After the treatment facility is removed, an approved long-term monitoring plan will be implemented. The demolition plan would require continued monitoring for the foreseeable future, but at a reduced frequency than was currently in effect. In addition to long-term water sampling and analysis at the points of compliance, the landfill cover or cap would have to be maintained indefinitely.

The 2005 Marshall Landfill budget of $240,000 was sufficient for all 2005 shutdown, mothballing, sampling and analysis, cap maintenance, and abandonment/encasement of obsolete monitoring wells.

Annual costs during the three years (2005-2007) of the three-year shutdown period did not exceed $150,000.

The final shutdown and demolition plan were submitted to EPA and CDPHE in 2008 and the City is awaiting a final determination about the removal of the treatment facility. If the EPA and CDPHE agree to demolition of the facility and long-term monitoring, the annual costs should be less than $100,000. However, the actual annual costs will not be determined until EPA and CDPHE approve the final plan.

Funds to pay any future costs associated with this will be allocated through the collection of wastewater user charges. The December 31, 2020, balance in the "accrued landfill cleanup liability" is $2,474,000.

NOTE M – ACCRUED LIABILITY – 13th STREET VOLUNTARY CLEANUP

The City of Boulder is conducting a voluntary cleanup at 13th Street Plaza to remove the remaining infrastructure, soil, fluids, and debris from the former Federal Gas Company manufactured gas plant site. The Federal Gas Company generated gas at the site from about 1902 until the plant was demolished in 1953. The City of Boulder purchased the property in 1975 and installed the Dushanbe Teahouse and the 13th Street Plaza in 1997.

On July 13, 2016, the City of Boulder submitted a Voluntary Cleanup Plan Second Interim Remediation Report to the Colorado Department of Public Health and Environment (CDPHE). This report summarized results of a pilot study and ongoing groundwater monitoring performed at the site. The report contains information that includes the possible cost of the remediation. The estimated liability per the report is $659,000. This is based on a specific treatment plan for the site using Sodium Persulfate. The cost is dependent on the mass of oxidant required to address the extent of the treatment area. Costs could also change due to the urban setting, schedule conflicts and community requirements. In 2020, the City incurred $61,593 in related costs and the 2020 liability amounted to $54,294.

NOTE N – FUTURE WATER RIGHTS

Under a water allotment contract with the Municipal Subdistrict, Northern Colorado Water Conservancy District (Subdistrict), the City has available 37/480 of the water units available through the Windy Gap Project (a water diversion project on the Colorado River). In 1991, the City sold 43 of its original 80 units to the City of Broomfield for a total of $23,724,500. Under the sales agreement, the City received its final annual payment in 1993. The Raw Water Master Plan recommended that Windy Gap Project supplies be sold due to the high incremental cost of maintaining this portion of the raw water supply. When voting to approve the sales agreement, the City Council also moved that the proceeds be used for the acquisition of replacement water supplies capable of meeting multiple objectives, including diversification of municipal water supply sources, drought protection and maintaining instream flows. Bonds issued by the Subdistrict in connection with construction of the project totaled $119,280,000 after refunding in 1993. The bonds are not liabilities of the City since the City has an option annually to elect to either pay its share of the debt service and operating costs of the Subdistrict or to request the Subdistrict levy taxes directly through the County Assessor against property owners within the boundaries of the City to pay such costs and expenses. Under its contract, the City will never have ownership of the project, including the water rights. Water rights liability in the original amount of $10,504,192 at 7% interest was recorded in 1992 in the Water Utility Fund to cover the principal portion of the debt service costs for the 43 units sold to the City of Broomfield. The December 31, 2020 balance was $0.

NOTE O – LONG-TERM DEBT

The following balances and changes in long-term debt are for the year ended December 31, 2020 (amounts in 000's):

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental activities:					
Bonds payable:					
General obligation bonds	$ 11,406	$ -	$ (3,905)	$ 7,501	$ 455
Taxable pension obligation bonds	5,854	-	(5,854)	-	-
Total bonds payable	17,260	-	(9,759)	7,501	455
Certificates of participation	55,738	-	(2,367)	53,371	2,435
Capital improvement project bonds	33,674	-	(2,432)	31,242	2,165
Notes payable	8,176	-	(2,525)	5,651	2,620
Capital lease purchase agreements	6,188	-	(799)	5,389	860
Lease purchase revenue notes	8,988	-	(844)	8,144	803
Direct purchase notes	-	8,960	(330)	8,630	825
Compensated absences	10,679	9,487	(9,062)	11,104	977
Estimated claims payable (Note I)	3,837	2,938	(3,020)	3,755	1,422
Governmental activities long-term debt	$ 144,540	$ 21,385	$ (31,138)	$ 134,787	$ 12,562

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Business-type activities:					
Bonds payable:					
General obligation bonds	$ 3,202	$ -	$ (776)	$ 2,426	$ 765
Revenue bonds	123,123	-	(15,666)	107,457	9,030
Total bonds payable	126,325	-	(16,442)	109,883	9,795
Promissory notes	402	-	(402)	-	-
Direct purchase notes	-	5,100	-	5,100	465
Compensated absences	1,021	1,032	(859)	1,194	143
Business-type activities long-term debt	$ 127,748	$ 6,132	$ (17,703)	$ 116,177	$ 10,403

NOTE O – LONG-TERM DEBT (CONTINUED)

General Obligation Bonds and Notes

The City issues general obligation bonds and notes to provide funds for the acquisition and construction of major capital facilities. General obligation bonds have been issued for both general government and proprietary activities. These bonds, therefore, are reported in the proprietary funds if they are expected to be repaid from proprietary revenues. In addition, general obligation bonds have been issued to refund other general obligation bonds. General obligation bonds are direct obligations and pledge the full faith and credit of the City. In addition, many of the general obligation bonds of the City have a pledge of specific revenues. See Note X for pledged revenue information.

General obligation bonds outstanding at December 31, 2020, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Governmental activities	2.00% - 4.00%	$ 7,435	$ 10,000
Business-type activities – refunding	2.00% - 3.00%	2,375	7,275
		$ 9,810	$ 17,275

Annual debt service requirements to maturity for general obligation bonds are as follows (amounts in 000's):

	Governmental Activities		Business-type Activities		Debt Requirements
Year Ending December 31	Principal	Interest	Principal	Interest	to Maturity
2021	$ 455	$ 199	$ 765	$ 71	$ 1,490
2022	460	189	790	48	1,487
2023	470	179	820	25	1,494
2024	480	168	-	-	648
2025	495	158	-	-	653
2026-2030	2,660	597	-	-	3,257
2031-2034	2,415	184	-	-	2,599
Total liability	7,435	1,674	2,375	144	11,628
Plus bond premium	66	-	51	-	117
Net liability	$ 7,501	$ 1,674	$ 2,426	$ 144	$ 11,745

NOTE O – LONG-TERM DEBT (CONTINUED)

General obligation notes (also referred to as direct purchase notes) outstanding at December 31, 2020, are as follows (amounts in 000's):

Purpose	Interest Rate Outstanding	Amount Outstanding	Original Amount
Governmental activities	2.01%	$ 3,185	$ 3,515

Annual debt service requirements to maturity for general obligation notes are as follows (amounts in 000's):

Year Ending December 31	Governmental Activities Principal	Governmental Activities Interest	Debt Requirements to Maturity
2021	$ 325	$ 64	$ 389
2022	335	57	392
2023	340	51	391
2024	345	44	389
2025	355	37	392
2026-2030	1,485	75	1,560
Total liability	$ 3,185	$ 328	$ 3,513

Taxable Pension Obligation Refunding Note, Series 2020

The City also issues notes where the City does not pledge any revenues nor has any obligation to levy any new or increased tax for the payment of debt service. This note is issued for the purpose of refunding ongoing required pension obligations.

Taxable pension obligation notes (also referred to as direct purchase notes) outstanding at December 31, 2020, are as follows (amounts in 000's):

Purpose	Interest Rate Outstanding	Amount Outstanding	Original Amount
Governmental activities	1.66%	$ 5,445	$ 5,445

NOTE O – LONG-TERM DEBT (CONTINUED)

Annual debt service requirements to maturity for the Taxable Pension Obligation Refunding Note is as follows (amounts in 000's):

Year Ending December 31	Governmental Activities Principal	Governmental Activities Interest	Debt Requirements to Maturity
2021	$ 500	$ 94	$ 594
2022	515	82	597
2023	525	74	599
2024	535	65	600
2025	540	56	596
2026-2030	2,830	141	2,971
Total liability	$ 5,445	$ 512	$ 5,957

Capital Improvement Bonds

The City also issued bonds where the City does not pledge any revenues nor has any obligation to levy any new or increased tax for the payment of debt service for the purpose of funding various capital improvement projects. The 2012 Series Bonds were authorized in the 2011 election question.

Capital improvement bonds outstanding at December 31, 2020, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Governmental activities	2.00% - 4.00%	$ 29,190	$ 49,000

NOTE O – LONG-TERM DEBT (CONTINUED)

Annual debt service requirements to maturity for the Capital Improvement Bonds are as follows (amounts in 000's):

Year Ending December 31	Governmental Activities Principal	Governmental Activities Interest	Debt Requirements to Maturity
2021	$ 2,165	$ 1,168	$ 3,333
2022	2,250	1,081	3,331
2023	2,340	991	3,331
2024	2,435	897	3,332
2025	2,530	800	3,330
2026-2030	14,265	2,397	16,662
2031	3,205	128	3,333
Total liability	29,190	7,462	36,652
Plus bond premium	2,052	-	2,052
Net liability	$ 31,242	$ 7,462	$ 38,704

Revenue Bonds and Notes

The City also issues bonds and notes where the City pledges income derived from the acquired or constructed assets to pay debt service. See Note X for pledged revenue information. In addition, revenue bonds have been issued to refund other revenue bonds.

Revenue bonds outstanding at December 31, 2020, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Business-type activities	2.00% - 5.00%	$ 89,145	$ 105,325
Business-type activities – refunding	2.00% - 4.125%	15,510	42,660
		$ 104,655	$ 147,985

NOTE O – LONG-TERM DEBT (CONTINUED)

Annual debt service requirements to maturity for revenue bonds are as follows (amounts in 000's):

Year ending December 31	Business-type Activities Principal	Business-type Activities Interest	Debt Requirements to Maturity
2021	$ 9,030	$ 3,362	$ 12,392
2022	7,260	3,042	10,302
2023	7,510	2,789	10,299
2024	7,755	2,526	10,281
2025	8,010	2,253	10,263
2026-2030	27,485	8,369	35,854
2031-2035	30,175	4,089	34,264
2036-2038	7,430	507	7,937
Total liability	104,655	26,937	131,592
Plus bond premium	2,802	-	2,802
Total liability	$ 107,457	$ 26,937	$ 134,394

Revenue notes outstanding at December 31, 2020, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Business-type activities – refunding	1.40%	$ 5,100	$ 5,100
		$ 5,100	$ 5,100

Annual debt service requirements to maturity for revenue notes are as follows (amounts in 000's):

Year ending December 31	Business-type Activities Principal	Business-type Activities Interest	Debt Requirements to Maturity
2021	$ 465	$ 86	$ 551
2022	485	65	550
2023	495	58	553
2024	500	51	551
2025	510	44	554
2026-2030	2,645	113	2,758
Total liability	$ 5,100	$ 417	$ 5,517

NOTE O – LONG-TERM DEBT (CONTINUED)

Lease Purchase Revenue Notes

The Boulder Municipal Property Authority (BMPA) has issued notes where BMPA pledges income, received from the City of Boulder and derived from base rentals of open space and parks and other property, to pay debt service. These notes are a debt of BMPA, not of the City of Boulder, but are included as a blended component unit of the City (Note A.1). Lease purchase revenue notes outstanding at December 31, 2020, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Government-type activity	3.25 - 3.50%	$ 8,144	$ 11,975

Annual debt service requirements to maturity for lease purchase revenue notes are as follows (amounts in 000's):

Year Ending December 31	Government-type Activities Principal	Government-type Activities Interest	Debt Requirements to Maturity
2021	$ 803	$ 281	$ 1,084
2022	830	254	1,084
2023	858	227	1,085
2024	293	198	491
2025	303	188	491
2026-2030	1,683	771	2,454
2031-2035	1,999	455	2,454
2036-2038	1,375	97	1,472
Total Liability	$ 8,144	$ 2,471	$ 10,615

NOTE O – LONG-TERM DEBT (CONTINUED)

Certificates of Participation

The Boulder Municipal Property Authority (BMPA) has issued Certificates of Participation where BMPA pledges income, received from the City of Boulder and derived from base rentals of leased properties by the City. These notes are a debt of BMPA, not of the City of Boulder, but are included as a blended component unit of the City (Note A.1). Certificates of Participation outstanding at December 31, 2020, are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Government-type activity	2.00 - 3.80%	$ 52,885	$ 61,000

Annual debt service requirements to maturity for Certificates of Participation are as follows (amounts in 000's):

Year Ending December 31	Government-type Activities Principal	Government-type Activities Interest	Debt Requirements to Maturity
2021	$ 2,435	$ 1,700	$ 4,135
2022	2,495	1,633	4,128
2023	2,570	1,561	4,131
2024	2,645	1,486	4,131
2025	2,725	1,408	4,133
2026-2030	14,910	5,750	20,660
2031-2035	17,515	3,150	20,665
2036-2039	7,590	467	8,057
Total Liability	52,885	17,155	70,040
Plus bond premium	486	-	486
Total liability	$ 53,371	$ 17,155	$ 70,526

Capital Lease Purchase Agreements

Banc of America Leasing & Capital, LLC – On September 27, 2010, the City entered into a lease purchase agreement with Banc of America Leasing & Capital, LLC. Proceeds of $1,500,000 are being used for capital lease improvements, which include installing solar photovoltaic systems.

All American Investment Group, LLC - On October 25, 2010, the City entered into a capital lease agreement with All American Investment Group, LLC. On January 25, 2012, the City refinanced this lease which included a total of $6,401,534 and an additional $3,241,230 borrowed for a total lease obligation of $9,642,764. The interest rate on this lease is fixed at 2.65%. The refinanced lease extended the life to 2027 with payments continuing to occur in January, April, July, and October.

NOTE O – LONG-TERM DEBT (CONTINUED)

Capital Lease Purchase Agreements (Continued)

Capital lease purchase agreement obligations outstanding as of December 31, 2020 are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Governmental activities	2.65 - 4.93%	$ 5,389	$ 10,750

Annual debt service requirements to maturity for capital lease payments are as follows (amounts in 000's):

Year Ending December 31	Governmental Activities Principal	Governmental Activities Interest	Debt Requirements to Maturity
2021	$ 860	$ 169	$ 1,029
2022	926	139	1,065
2023	996	106	1,102
2024	910	73	983
2025	970	43	1,013
2026-2028	727	19	746
Total liability	$ 5,389	$ 549	$ 5,938

Notes Payable

General Fund – On April 20, 2018 the City of Boulder closed on the purchase of the Hogan-Pancost Property. The Hogan-Pancost Property is a parcel of land located in the City of Boulder. The purchase price was $5,000,000 and paid with $2,250,000 cash at closing and financed with a five year, 6% Note Payable for $2,750,000. The first principal and interest payment were made on July 20, 2018.

Community, Culture and Safety Fund – On January 10, 2019 the City of Boulder closed on the issuance of $8,100,000 Par Community, Culture and Safety Sales Tax Revenue Notes. The proceeds were used to purchase property at 2751 and 2875 30th Street to relocate Fire Station #3, currently located at 1585 30th Street, to a location that is well-suited for fire and rescue response and meets all spatial and access needs. Proceeds may also be used for any other City capital improvement program projects identified in the 2017 Ballot Issue 2N.

NOTE O – LONG-TERM DEBT (CONTINUED)

Notes Payable (Continued)

Notes Payable outstanding as of December 31, 2020 are as follows (amounts in 000's):

Purpose	Interest Rates Outstanding	Amount Outstanding	Original Amount
Governmental Activities	2.7 - 6.0%	$ 5,651	$ 10,850

Annual debt service requirements to maturity for Notes Payable are as follows (amounts in 000's):

Year Ending December 31	Governmental Activities Principal	Governmental Activities Interest	Debt Requirements to Maturity
2021	2,620	204	2,824
2022	2,718	107	2,825
2023	313	7	320
Total liability	$ 5,651	$ 318	$ 5,969

Compensated Absences

The City has accrued, as a liability to current employees, the following amounts of accumulated unused vacation and sick pay, appreciation bonus and compensation time at December 31, 2020 (amounts in 000's):

	Governmental Activities	Business-type Activities
Accrued vacation	$ 9,351	$ 1,073
Accrued sick pay	573	5
Accrued appreciation bonus	874	116
Accrued compensation time	306	-
	$ 11,104	$ 1,194

The liability attributable to the governmental funds is recorded as governmental activities noncurrent liability. It is estimated that $977,000 of governmental activities' and $143,000 of business-type activities' liabilities will be paid in 2021. Governmental liabilities relating to General, Library, Recreation Activity, Community Development and HOME Fund employees are liquidated out of the Compensated Absences Internal Service Fund. Liabilities relating to employees of all other governmental funds are liquidated out of the associated fund.

NOTE O – LONG-TERM DEBT (CONTINUED)

Arbitrage Liability

Kutak Rock Arbitrage Consulting LLC made calculations for the City to determine if any of the bond issues dated since January 1, 2009, had a liability for rebatable arbitrage at December 31, 2020. These calculations were made taking into consideration the investment instructions, the no arbitrage certificate and the relevant portions of the trust indenture for each of the bond issues. As of December 31, 2020, there is no arbitrage liability.

Refunded Bonds

The City has, at various times in prior years, entered into advance refunding transactions whereby a portion of the proceeds of the refunding bonds were placed in irrevocable escrow accounts and invested in direct, noncallable governmental obligations that, together with the interest earned thereon, will provide amounts sufficient for future payment of all interest and principal on the old bonds. The likelihood of the earnings and principal maturities of the governmental obligations not being sufficient to pay the defeased bond issue appears remote. Accordingly, the escrow accounts and outstanding defeased bonds are not included in the accompanying financial statements. At December 31, 2020, there is $14,930,000 of principal outstanding on defeased bonds.

Lease of Criminal Justice Center

During prior years, the City used $1,035,000 of Revenue Sharing Funds towards the cost of construction of the Criminal Justice Center built by Boulder County. The City negotiated an agreement with Boulder County on July 17, 1975, whereby the City leased, for an initial period of 30 (thirty) years, a 20,000 square foot portion of the Center at no additional cost to the City.

This lease was replaced on January 1, 1990, with an agreement whereby the County purchased 15,000 square feet of the City's leasehold interest in the Center and whereby the City, for a one-time payment of $139,538, will lease an additional 2,000 square feet from the County for a period ending at the same time as the original 30 year lease. On March 30, 2005, the City exercised the option to renew its leasehold interest at the Criminal Justice Center for an additional 30 years.

Lease of Public Library Space at the Meadows on the Parkway

The City entered into a lease dated as of September 21, 1988, with Foothills Associates, Inc. for 7,812 square feet to house the Meadows branch of the Boulder Public Library at the Meadows on the Parkway shopping center. The lease agreement was renewed according to the terms of the original agreement which provided the City with the option to extend the lease upon the same conditions for an additional period of time equal to the total period of time that Safeway or the comparable anchor tenant is a tenant at the shopping center. The City pays no rent to Foothills Associates, Inc. but does pay its pro rata share of various common expenses as set forth in the lease agreement.

NOTE P – INTERFUND RECEIVABLES/PAYABLES, AND TRANSACTIONS

Generally accepted accounting principles require disclosure of certain information concerning individual funds.

Advances To / From Other Funds

The composition of interfund advances receivable and payable balances as of December 31, 2020, is as follows (amounts in 000's):

Receivable Fund	Payable Fund	Amount
Water Utility Fund (proprietary fund)	General Fund	$ 238
Fleet Fund (internal service fund)	General Fund	143
Downtown Commercial District (proprietary fund)	Boulder Junction Access GID - Parking (non-major proprietary)	2
		$ 383

The General Fund owes the Water Utility Fund $238,000 at December 31, 2020, for funding the purchase of land from the Water Utility Fund for development of a new fire training center in 2009. This advance will be repaid over 15 years with 60 equal quarterly payments including 5% interest beginning in 2009.

The General Fund owes the Fleet Fund $143,000 for the Valmont Butte Remediation at December 31, 2020. The Valmont Butte Remediation advance will be repaid over 10 years with 40 equal quarterly payments beginning in 2012 with an interest rate of 0.75%.

The Boulder Junction Access GID - Parking owes the Downtown Commercial District $2,000 at December 31, 2020. This advance will be repaid over 10 years with 10 equal annual payments beginning 2012. The interest rate is 2.50%.

NOTE P – INTERFUND RECEIVABLES/PAYABLES, AND TRANSACTIONS (CONTINUED)

Interfund Transactions

There are various types of interfund transactions which occur between funds. The principal purpose for the interfund transfers is to move unrestricted General Fund revenues to finance various programs that the City must account for in other funds in accordance with budgetary authorizations.

The following information describes the City's 2020 transfers (amounts in 000's).

	TRANSFERS OUT						
TRANSFERS IN	**General Fund**	**Transpor-tation**	**Nonmajor Govern-mental**	**Water Utility**	**Wastewater Utility**	**Stormwater & Flood Management**	**TOTAL**
General Fund	$ -	$ 28	$ -	$ -	$ -	$ -	$ 28
Open Space	-	-	-	-	-	-	-
Transportation	-	-	-	16	16	8	40
Nonmajor Governmental	4,970	476	280	354	351	210	6,641
Downtown Commercial District	1,144	-	-	-	-	-	1,144
Nonmajor Business-type	325	-	-	-	-	-	325
Internal Service Funds	-	-	175	-	-	-	175
Total transfers	$ 6,439	$ 504	$ 455	$ 370	$ 367	$ 218	$ 8,353

The General Fund transferred a total of $6.4 million to various funds, including $2.3 million to the Planning and Development Services fund, $1.1 million to the Affordable Housing fund and $1.5 million to the Recreation Activity fund to subsidize various programs. An additional $1.1 million was a transfer of parking revenue to the Downtown Commercial District.

The Core General Fund had a transfer out of $11,142 to the Governmental Capital Fund. As these two funds are combined into the General Fund for reporting purposes the amount was eliminated and is not reflected in the table above.

NOTE Q – RELATED PARTY TRANSACTIONS

Boulder Housing Partners is a separate related organization as explained in Note A1. During 2020, Boulder Housing Partners received grant funding of $8,509,775 from the City. These grants were awarded to Boulder Housing Partners in a competitive application process. In addition to the grant funding above, Boulder Housing Partners received other operating assistance and support in 2020 totaling $40,482.

Downtown Boulder Business Improvement District is a separate related organization as explained in Note A1. During 2020, Downtown Boulder Business Improvement District received sponsorship funding of $127,800 from the City.

NOTE R – REVOLVING LOAN PROGRAM

During 2000, the City entered into an agreement with Funding Partners for Housing Solutions, Inc. (FP) for operation of a revolving loan fund to assist home buyers' purchases of homes located in the City of Boulder. Under this agreement, the City approves the loan applications and FP administers the revolving loan program by providing all legal documents, coordination with Fannie Mae and FHA programs, monitoring and servicing of the outstanding loans, and revolving the loan funds back into new loans. The City provided a total of $709,654 in 2000, 2001, and 2009 as the seed funding for this revolving loan program. Beginning in 2011, the agreement with FP is subject to annual renewal. If the agreement for the revolving loan program is terminated, FP will assign and return all outstanding loans and program balances over to the City.

NOTE S – RESTRICTED NET POSITION AND SIMILAR FUND BALANCE LIMITATIONS

TABOR Emergency Reserves: At December 31, 2020, net position for Business-type Activities of $206,023 and $6,982 respectively, were restricted in the Downtown Commercial District and University Hill Commercial District for TABOR emergency reserves.

Restricted Net Position and Similar Fund Balance Restrictions: Restricted net position and fund balances have been classified into the following broad categories. Net position identified as Legally Restricted are restricted by external sources such as grantors and tax ballot language. Net position restricted for Capital Projects includes revenues restricted for capital acquisition projects. Development restrictions are largely revenues, such as impact fees or special tax proceeds limited to specific operations or purposes, such as acquisition, development and maintenance of parks and open space lands and trails. Lottery Funds are restricted by state statute for specific projects as defined within the Colorado Constitution Article XXVII for parks, recreation and open space projects. Donor Restrictions are limitations placed upon the use of proceeds by the original donor.

NOTE T – COMMITMENTS AND CONTINGENCIES

1. Litigation

A number of claims against the City are pending for injuries received, tax and assessment appeals, water applications and rights, and other miscellaneous cases. In the opinion of management and legal counsel, the final settlement of these matters will not have a material adverse effect on the financial statements of the City.

Valmont Butte Allied Piles Site Voluntary Cleanup Agreement (VCUP) – The City presented a voluntary cleanup plan to the Colorado Department of Public Health and Environment (CDPHE). This plan was approved under the Colorado Voluntary Cleanup Program. As required by CDPHE, site remediation actions in the VCUP started by August 31, 2011 with an extended completion date of December 31, 2013. As of December 31, 2013, the City has expended a total of $2.5 million on Valmont Butte cleanup with no additional liability remaining for continued cleanup responsibilities. The City will have ongoing monitoring responsibilities for a few more years but no expected cleanup costs.

NOTE T – COMMITMENTS AND CONTINGENCIES (CONTINUED)

2. Single Audit

The City follows the single audit concept under the provisions of the 2 CFR Part 200, Uniform Guidance. A single audit appendix is a part of the comprehensive annual financial report. Under the single audit concept, one audit is performed which satisfies the requirements of all Federal agencies. The City has received State and Federal grants for specific purposes that are subject to review and audit by the grantor agencies. Such audits could lead to a request for reimbursement to grantor agencies for expenditures disallowed under the terms of the grant. The City's management believes disallowances, if any, will be immaterial.

3. Construction Commitments

At December 31, 2020, City funds were obligated under contractual commitments for various operational, construction or equipment acquisition projects as follows (000's):

Fund	Contractual Commitments
General	$ 14,765
Open Space	1,998
Transportation	5,063
Total Major Funds	21,826
Total Non- Major Governmental Funds	7,962
Total Governmental Funds	$ 29,788
Water Utility	$ 4,149
Wastewater Utility	4,691
Stormwater & Flood Management	3,093
Downtown Commercial District	406
Total Major Enterprise Funds	12,339
Non-Major Enterprise Funds	5
Total Enterprise Funds	$ 12,344
Total Internal Service Funds	$ 3,889

NOTE U – PENSION AND RETIREMENT PLANS

The City's employees are covered under five separate retirement plans and one deferred compensation plan (Note V). For the year ended December 31, 2020, the total pension expense for all retirement plans was a negative $8,629,337. Regular contributions (not including disciplinary pay contributions) to the various plans, shown both in dollars and percent of covered payroll, are as follows (amounts in 000's):

Number of Active Full-time Employees	Plan	Employee Contributions		City Contributions	
		Dollars	Percentage	Dollars	Percentage
2,394	PERA	$ 6,544	8.250%	$ 11,101	14.200%
0	Old Hire Police	-	0.000%	321	
0	Old Hire Fire	-	0.000%	94	
191	Police and Fire Money Purchase – Police employees	1,015	6.200%	2,258	13.800%
202	Police and Fire Money Purchase – Fire employees – International Association of Firefighters	894	8.000%	1,452	13.000%
9	ICMA 401(a)	55	8.250%	87	14.200%
	Totals	$ 8,508		$ 15,313	

Covered employees should refer to pension plan documents and legislation for detail plan descriptions and benefits.

City Administered Pension Plans

Of the above pension plans, the City administers two defined benefit single employer pension plans, the "Old Hire" Police Defined Benefit Plan and the "Old Hire" Fire Defined Benefit Plan. Although a small amount of the assets of these two plans are pooled for investment purposes, each of these two plan's assets may be used only for the payment of benefits to the members of that plan, in accordance with the terms of the plan.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

Membership of each plan consisted of the following at December 31, 2020, the date of the latest actuarial valuation:

	"Old Hire" Police Defined Benefit Plan	"Old Hire" Fire Defined Benefit Plan
Retirees & Beneficiaries receiving benefits	38	38
Terminated plan members entitled but not yet receiving benefits	-	-
Active plan members	-	-
Total	38	38

The "Old Hire" Police Defined Benefit Plan and the "Old Hire" Fire Defined Benefit Plan financial statements as of December 31, 2020, are included in the City of Boulder Comprehensive Annual Financial Report under the heading of Fiduciary Fund Types; no separate financial statements are issued. This information by plan follows.

Plan net position as of December 31, 2020, is as follows (amounts in 000's):

	"Old Hire" Police Defined Benefit Plan	"Old Hire" Fire Defined Benefit Plan
Assets:		
Equity in pooled cash and cash equivalents	$ 4	$ 1
Investments		
U.S. Treasuries	623	-
U.S. Instrumentalities	152	-
Mutual Funds	7,540	9,046
Equity Securities	2,791	-
Money Market Funds	253	253
Real Estate Investment Trust	673	-
Corporate Bonds	245	-
Other	51	4
Accrued Interest	6	-
Total assets	12,338	9,304
Liabilities:		
Due to other funds	-	-
Accrued pensions payable	66	44
Total liabilities	66	44
Net position restricted for pensions	$ 12,272	$ 9,260

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

The changes in plan net position for December 31, 2020, were as follows (amounts in 000's):

	"Old Hire" Police Defined Benefit Plan	"Old Hire" Fire Defined Benefit Plan
Additions:		
Pension contributions:		
City of Boulder	$ 321	$ 94
Total contributions	321	94
Investment earnings (loss)	892	1,151
Less investment expense	(42)	(42)
Net investment income	850	1,109
Total additions	1,171	1,203
Deductions:		
Benefits	1,256	1,138
Administrative	-	1
Total deductions	1,256	1,139
Net increase (decrease) in net position	(85)	64
Net position restricted for pensions:		
Beginning of year	12,357	9,196
End of year	$ 12,272	$ 9,260

1. "Old Hire" Police Defined Benefit Plan

Plan Description – Full-time police officers hired prior to April 8, 1978, are members of the City of Boulder "Old Hire" Police Defined Benefit Plan (Plan), a single-employer defined benefit pension plan. The Plan is closed to any new participants. The Plan covers two groups – "Employees" and "Former Members".

Former Members – This group includes employees whose employment with the employer terminated prior to January 1, 1987. They are covered by the retirement benefits provided under Colorado Revised Statutes, Title 31, Article 30.5 as modified by Chapter 9, Title 2 of the Boulder Revised Code, 1981. However, the Trust Fund established by the Plan Document is obligated to pay all benefits to these employees.

Employees – The City of Boulder "Old Hire" Police Defined Benefit Plan and Trust Agreement (Plan Document) was established by the City Council on November 3, 1987 by Ordinance 5086. This Plan Document was effective retroactive to January 1, 1987, and superseded and replaced the retirement benefits that had previously been provided under Colorado Revised Statutes, Title 31, Article 30.5 as

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

1. "Old Hire" Police Defined Benefit Plan (Continued)

modified by Chapter 9, Title 2 of the Boulder Revised Code, 1981. The provisions of this Plan Document apply solely to employees whose employment with the employer terminates on or after January 1, 1987.

Board of Trustees - Management of the plan is vested in the five-member Board, which consists of one citizen at large, the Mayor and the Chief Financial Officer of the City, and two retired beneficiaries of the plan (retired police officers).

Benefits – For members retiring or terminating after March 10, 1999, the retirement pension is equal to 2.60% of final salary times full years of participation up to 25 years, plus .5% of final salary for each full year of participation service over 25 years up to 27 years, providing a maximum pension of 65%. The Plan permits early retirement after 10 years of credited service with reduced benefits. Members may elect to receive their pension benefits in the form of joint, survivor annuities, or a lump-sum payment calculated on the basis of the UP-1984 Mortality table. This election can be made prior to retirement in order to provide a pension payable to the surviving spouse or beneficiary if the member dies after reaching normal retirement age and before retirement. On termination, members may receive a refund of their contributions without interest. This refund of contributions paid waives future rights to any benefits.

The minimum benefits for *Former Members* are: $875.50 for those receiving a disability retirement and $515.00 for those receiving a beneficiary retirement per pay period.

The Board of Trustees can make benefit change recommendations to the City Manager who must then present the changes to the City Council for ultimate approval. City policy dictates that no pension benefit increase can be given if there is an unfunded liability in the plan.

Deferred Retirement Option Plan (DROP) Program – During 1999, a DROP provision, retroactive to January 1, 1998, was added to the Plan. This enables an active member, who is eligible to retire, to elect to have their employee contributions, annual pension benefits and interest thereon, directed to a separate account for up to five years prior to retirement. The City's share of pension contributions is excluded from the employee's DROP account but continues to be allocated to the Plan. The annual pension benefit is initially calculated as of the date of the election of the DROP.

The pension benefit in subsequent years will include any benefit increases granted by the Board to retirees and widows. Upon retirement, the member begins to receive pension payments in the form of an annuity and the cumulative assets in the DROP account are paid to him in a lump-sum. As of December 31, 2020, there are no current police employees who have elected the DROP and all DROP balances have been disbursed.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

1. "Old Hire" Police Defined Benefit Plan (Continued)

Death and Disability Benefits – *Employees and Former Members* - Effective January 1, 2007, the widow of a participant who commenced employment prior to January 1, 1980, is eligible for a benefit of the greater of (a) one-third of the monthly salary paid by the City to a first class firefighter at the date of the participant's death; (b) one-third of the monthly salary paid by the City to a first class firefighter at the date of the participant's termination or (c) one-half of the Normal Retirement Pension received by the participant at the date of such participant's death. In no event shall the amount be less than the Board established minimum widow benefit which is currently $515.00 per pay period. Benefits for disability retirees who retired prior to January 1, 1987, are eligible for a minimum benefit of $875.50 per pay period.

Dependent children of the employee are eligible for $30 per month, if there is no surviving spouse. Benefit payments to beneficiaries continue if the widow of a deceased member remarries.

When any member dies, regardless of whether active, retired or terminated, the surviving spouse or the estate of the deceased member shall receive a one-time death benefit of $100.

Contributions and Funding Policy – The Plan is a joint-contributory retirement plan operating on an actuarial reserve basis. Per the Plan Document, the contribution requirements of the plan members and the City are established and may be amended by the Boulder Police Officers Association collective bargaining agreement in effect for the payroll period concerned. Contributions of 2.0% of covered payroll are currently required from both the City and employees. The City must also contribute an additional annual payment necessary to make the plan actuarially sound as defined by Section 3.02 of the plan document with no maximum specified. In 2020, the City contributed $321,000 to meet the actuarially calculated contribution requirement which exceeded the state mandated requirement. Administrative expenditures are recorded when incurred and are financed by the Plan.

Actuarial Present Value of Accumulated Plan Benefits – Accumulated Plan benefits are those future periodic payments, including lump-sum distributions, that are attributable under the Plan's provisions the service members have rendered. Accumulated plan benefits include benefits expected to be paid to (a) retired or terminated members or their beneficiaries, (b) beneficiaries of members who have died, and (c) present members or their beneficiaries. Benefits under the Plan are based on members' compensation. Benefits payable under all circumstances - retirement, death, disability, and termination of employment – are included, to the extent they are deemed attributable to employee service rendered to the valuation date.

An actuarial study was prepared at January 1, 2020. It is the "Old Hire" Police Defined Benefit Plan Board of Trustees' policy to have an actuarial study prepared every two years or whenever a benefit change is being considered.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

1. "Old Hire" Police Defined Benefit Plan (Continued)

The significant actuarial assumptions used in the valuation as of January 1, 2020, included the following:

- Actuarial Cost Method – entry age normal actuarial cost method.
- Amortization Method and Remaining Period – Level dollar, Open – Based on Expected Lifetime (not to exceed 20 years), Amortization period at 1/1/2020 – 13 years.
- Asset Valuation Method – Market value of assets.
- Investment Rate of Return– 6.5%
- Inflation Rate – 2.50%
- Salary Increases – Not applicable
- Retirement Age – Not applicable
- Minimum Death Benefit – A minimum death benefit of $515 per pay period is used.
- First Class Firefighter Salary – The highest negotiated First-Class Firefighter Salary is used to calculate death benefits. For 2020, this is $3,457.32 per pay period.
- Actual marital status is used for retirees
- Form of Payment – All active participants are assumed to elect the normal form of payment.
- Mortality – Sex-distinct Pub-2010 Safety Retiree, disabled retiree, or contingent survivor mortality, projected generationally with MP-2019 Improvement Scale.

The significant changes in actuarial assumptions and methods as of January 1, 2020 included the following:

- The 1st Class Firefighter salary used for death benefits was updated to reflect the highest negotiated rate
- The retiree mortality assumption was updated to Pub-2010 Safety Mortality Tables, projected generationally with the MP-2019 Improvement Scale to better reflect anticipated plan experience.

Funded Status and Funding Progress – As of December 31, 2020, the most recent actuarial valuation date, the plan was 82.98% funded. The total pension liability was $14,789,163, the fiduciary net position was $12,272,000, resulting in a net pension liability of $2,517,163. The covered payroll (annual payroll of active employees covered by the plan) was $0 and the ratio of the covered payroll was not applicable since all participants were retired as of January 1, 2014. In October 2010, City of Boulder Taxable Pension Obligation Bonds were issued and $5,469,000 of additional funding was deposited into the plan to decrease the UAAL for the future.

Historical Trend Information – The schedules of funding progress, presented as required supplementary information (RSI) following the notes to the financial statements, present multiyear trend information about whether the actuarial values of plan assets are increasing or decreasing over time relative to the AALs for benefits.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

1. "Old Hire" Police Defined Benefit Plan (Continued)

Pension Plan Investments – The investment policies and fair value determination policies are disclosed above in Notes A and E. For the year ended December 31, 2020, the annual money-weighted rate of return on pension plan investments, net of pension plan investment expense, was a gain of 7.25%. The money-weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested. The plan's investment policies, including fair value determination, concentration of credit risk information, and asset allocation is included in Note E – Deposits and Investments.

Long Term Expected Rate of Return – The best-estimate range for the long-term expected rate of return is determined by adding expected inflation to expected long-term real returns and reflecting expected volatility and correlation. The capital market assumptions are per the actuary's investment consulting practice as of December 31, 2020.

Asset Class	Long-Term Expected Geometric Real Rate Of Return
Domestic Large Cap	2.7%
Domestic Small Cap	3.1%
International Equity	4.2%
Emerging Markets	4.7%
Domestic Fixed Income	0.8%
Direct Real Estate	3.2%
Master Limited Partnerships	3.2%
Liquid Low Correlated Hedge Funds	2.2%
Floating Rate Corporate Loans	2.5%

Discount Rate – The discount rate used to measure the total pension liability was 6.5%. The plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the discount rate for calculating the total pension liability is equal to the long-term expected rate of return.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

1. "Old Hire" Police Defined Benefit Plan (Continued)

Pension Liabilities, Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions.

Net Pension Liability – The components of the net pension liability of the City at December 31, 2020 were as follows:

Total Pension Liability	$	14,789,163
Fiduciary Net Position		12,272,000
Net Pension Liability	$	2,517,163
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		82.98%

For the year ended December 31, 2020, the "Old Hire" Police Defined Benefit Plan recognized pension expense of $468,758 within governmental activities. The City of Boulder reported deferred outflows of resources and deferred inflows of resources related to this plan from the following sources:

"Old Hire" Police Defined Benefit Plan:

	Deferred Outflow of Resources	Deferred Inflows of Resources
Net difference between projected and actual earnings on pension plan investments	$493,234	$1,016,604
Total	$493,234	$1,016,604

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

1. "Old Hire" Police Defined Benefit Plan (Continued)

Amounts currently reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended December 31:	Expense amount
2021	$ (196,941)
2022	(32,235)
2023	(278,854)
2024	(15,340)
2025	-
Thereafter	-
Total	$ (523,370)

Sensitivity Analysis – The following presents the net pension liability of the City of Boulder, calculated using the discount rate of 6.5%, as well as what the City of Boulder's net pension liability would be if it were calculated using a discount rate that is 1 percentage point lower (5.5%) or 1 percentage point higher (7.5%) than the current rate.

	1% Decrease (5.5%)	Current Discount Rate (6.5%)	1% Increase (7.5%)
Net Pension Liability	$ 3,775,859	$ 2,517,163	$ 1,424,733

2. "Old Hire" Fire Defined Benefit Plan

Plan Description - The City's full-time firefighters hired prior to April 8, 1978, are members of the City of Boulder "Old Hire" Fire Pension Benefit Plan (Plan), a single employer defined benefit pension plan. The Plan is closed to any new participants. The Plan covers two groups: "Employees" and "Former Members".

Employees – The City established The City of Boulder "Old Hire" Fire Defined Benefit Plan and Trust Agreement (Plan Document) in 2002. This Plan Document was effective retroactive to January 1, 2000, and superseded and replaced the retirement benefits that had previously been provided under Colorado Revised Statutes, Title 31, Article 30.5 as modified by Chapter 9, Title 2 of the Boulder Revised Code, 1981. The provisions of this Plan Document apply solely to employees whose employment with the employer terminates on or after January 1, 2000.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

2. "Old Hire" Fire Defined Benefit Plan (Continued)

Former Members – This group includes employees whose employment with the employer terminated prior to January 1, 2000. They are covered by the retirement benefits provided under Colorado Revised Statutes, Title 31, Article 30.5 as modified by Chapter 9, Title 2 of the Boulder Revised Code, 1981.However, the Trust Fund established by the Plan Document is obligated to pay all benefits to these employees.

Board of Trustees - Management of the plan is vested in the six-member Board, which consists of one citizen at large, the Mayor and the Chief Financial Officer of the City, and three retired beneficiaries of the plan (retired firefighters).

Benefits – Members aged 50 with 20 years of credited service are entitled to annual pension benefits equivalent to 50% of monthly compensation at the date of retirement. The Plan Document provides for an additional retirement benefit of 2% per year for each additional year of service after 20 years of service, credited after September 1, 1987, and attainment of age 50, up to a maximum of 10% prior to January 1, 2000. Beginning January 1, 2000, and on each successive January 1, all actives, who are eligible for normal retirement (age 50 and 20 years of service) are to receive a 3% increase of final salary, up to a maximum of 65% of final salary. On termination, members may receive a refund of their contributions without interest. This refund of contributions paid waives future rights to any benefits.

The minimum benefits for *Former Members* are: $875.50 per pay period for those receiving a normal or disability retirement and $515.00 per pay period for those receiving a beneficiary retirement.

The Board of Trustees can make benefit change recommendations to the City Manager who must then present the changes to the City Council for ultimate approval. City policy dictates that no pension benefit increase can be given if there is an unfunded liability in the plan.

Deferred Retirement Option Plan (DROP) Program – During 2000, a DROP provision was added to the Plan. This enables an active member, who is eligible to retire, to elect to have their employee contributions, annual pension benefits and interest thereon, directed to a separate account for up to five years prior to retirement. The City share of pension contributions is excluded from the employee's DROP account but continues to be allocated to the Plan. The annual pension benefit is initially calculated as of the date of the election of the DROP.

The pension benefit in subsequent years will include any benefit increases granted by the Board to retirees and widows. Upon retirement, the member begins to receive pension payments in the form of an annuity and the cumulative assets in the DROP account are paid to him in a lump-sum. As of December 31, 2020, there are no current Fire employees who have elected the DROP and all DROP balances have been disbursed.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

2. "Old Hire" Fire Defined Benefit Plan (Continued)

Death and Disability Benefits

Employees and Former Members – Effective January 1, 2007, the widow of a retiree who retired prior to January 1, 1990, is eligible for a benefit of the lessor of one-third of the monthly salary paid by the City to a first-class firefighter at the date of the member's retirement or the Board established minimum widow benefit which is currently $515.00 per pay period. Benefits for normal or disability retirees who retired prior to January 1, 2000, are eligible for a minimum benefit of $875.50 per pay period.

Dependent children of the employee are eligible for $30.00 per month, if there is no surviving spouse. Benefit payments to beneficiaries continue if the widow of a deceased member remarries.

Employees – The benefits of active employees as of January 1, 1990, include a widow's benefit equal to 100% of the active employee's retirement benefit. This benefit change was approved during 1990 and is fully funded by employee contributions.

When any member dies, regardless of whether active, retired or terminated, the surviving spouse or the estate of the deceased member shall receive a one-time death benefit of $100.

Contributions and Funding Policy – The Plan is a joint-contributory retirement plan operating on an actuarial reserve basis. Per the "Old Hire" Fire Defined Benefit Pension Plan, the contribution requirements of the plan members and the City are established and may be amended by the International Association of Fire Fighters, Local #900 collective bargaining agreement in effect for the payroll period concerned. The City must also contribute an additional annual payment necessary to make the plan actuarially sound as defined by Section 3.02 of the plan document with no maximum specified. In 2020 the City contributed $94,000 to meet the actuarially calculated contribution requirement which exceeded the state-mandated requirement. In 2020, Administrative expenditures are recorded when incurred and are financed by the Plan.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

2. "Old Hire" Fire Defined Benefit Plan (Continued)

Actuarial Present Value of Accumulated Plan Benefits - An actuarial study was prepared at January 1, 2020. It is the Fire Pension Board policy to have an actuarial study prepared every two years or whenever a benefit change is being considered.

The significant actuarial assumptions used in the valuation as of January 1, 2020 included the following:

- Actuarial Cost Method – entry age normal.
- Amortization Method and Remaining Period – Level dollar, Open – Based on Expected Lifetime (not to exceed 20 years), Amortization period at 1/1/2020 – 10 years.
- Asset Valuation Method – Market Value of Assets
- Investment Rate of Return– 6.5%
- Inflation Rate – 2.50%
- Salary Increases – Not applicable
- Retirement Age – Not applicable
- Minimum Death Benefit – A minimum death benefit of $515 per pay period is used.
- First Class Firefighter Salary – The highest negotiated First- Class Firefighter Salary is used to calculate death benefits. For 2020, this is $3,457.32 per pay period.
- Actual marital status is used for retirees
- Form of Payment – All active participants are assumed to elect the normal form of payment.
- Mortality – MP-2019 Improvement Scale

The significant changes in actuarial assumptions and methods as of January 1, 2020 included the following:

- The 1st Class Firefighter salary used for death benefits was updated to reflect the highest negotiated rate
- The retiree mortality assumption was updated to Pub-2010 Safety Mortality Tables, projected generationally with the MP-2019 Improvement Scale to better reflect anticipated plan experience.

Funded Status and Funding Progress – As of December 31, 2020, the most recent actuarial valuation date, the plan was 97.80% funded. The total pension liability was $9,467,836, the fiduciary net position was $9,260,000, resulting in a net pension liability of $207,836. The covered payroll (annual payroll of active employees covered by the plan) was $0 and the ratio of the covered payroll was not applicable since all participants were retired as of January 1, 2014. In October 2010, City of Boulder Taxable Pension Obligation Bonds were issued and $3,531,000 of additional funding was deposited into the plan to decrease the UAAL for the future.

Historical Trend Information – The schedules of funding progress, presented as required supplementary information (RSI) following the notes to the financial statements, present multi-year trend information

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

2. "Old Hire" Fire Defined Benefit Plan (Continued)

about whether the actuarial values of plan assets are increasing or decreasing over time relative to the AALs for benefits.

Pension Plan Investments – The investment policies and fair value determination policies are disclosed above in Notes A and E. For the year ended December 31, 2019, the annual money-weighted rate of return on pension plan investments, net of pension plan investment expense, was a gain of 12.74%. The money-weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested. The plan's investment policies, including fair value determination, concentration of credit risk information, and asset allocation is included in Note E – Deposits and Investments.

Long Term Expected Rate of Return – The best-estimate range for the long-term expected rate of return is determined by adding expected inflation to expected long-term real returns and reflecting expected volatility and correlation. The capital market assumptions are per the actuary's investment consulting practice as of December 31, 2020.

Asset Class	Long-Term Expected Geometric Real Rate Of Return
Domestic Large Cap	2.7%
Small/Mid Cap	3.0%
International Equity	4.2%
Emerging Markets	4.7%
Domestic Fixed Income	0.8%
Floating Rate Corporate Loans	2.5%
Liquid Low Correlated Hedge Funds	2.2%
Master Limited Partnerships	3.2%

Discount Rate – The discount rate used to measure the total pension liability was 6.5%. The plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the discount rate for calculating the total pension liability is equal to the long-term expected rate of return.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

2. "Old Hire" Fire Defined Benefit Plan (Continued)

Pension Liabilities, Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions.

Net Pension Liability – The components of the net pension liability of the City at December 31, 2020 were as follows:

Total Pension Liability	$	9,467,836
Fiduciary Net Position		9,260,000
Net Pension Liability	$	207,836
Plan Fiduciary Net Position as a Percentage of the Total Pension Liability		97.80%

For the year ended December 31, 2020, the "Old Hire" Fire Defined Benefit Plan recognized pension expense of $189,447 within governmental activities. The City of Boulder reported deferred outflows of resources and deferred inflows of resources related to this plan from the following sources:

"Old Hire" Fire Defined Benefit Plan:

	Deferred Outflow of Resources	Deferred Inflows of Resources
Net difference between projected and actual earnings on pension plan investments	$427,943	$1,108,099
Total	$427,943	$1,108,099

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

2. "Old Hire" Fire Defined Benefit Plan (Continued)

Amounts currently reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended December 31:	Expense amount
2021	$ (199,518)
2022	(78,866)
2023	(292,836)
2024	(108,936)
2025	
Thereafter	-
Total	$ (680,156)

Sensitivity Analysis – The following present the net pension liability of the City of Boulder, calculated using the discount rate or 6.5%, as well as what the City of Boulder's net pension liability would be if it were calculated using a discount rate that is 1 percentage point lower (5.5%) or 1 percentage point higher (7.5%) than the current rate.

	Decrease (5.5%)	Discount Rate (6.5%)	Increase (7.5%)
Net Pension Liability	$ 955,873	$ 207,836	$ (440,066)

3. Public Employees Retirement Association (PERA)

The City of Boulder participates in the Local Government Division Trust Fund (LGDTF), a cost-sharing multiple-employer defined benefit pension fund administered by the Public Employees' Retirement Association of Colorado (PERA). The net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, pension expense, information about the fiduciary net position and additions to / from the fiduciary net position of the LGDTF have been determined using the economic resources measurement focus and the accrual basis of accounting. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are recorded at fair value.

The Colorado General Assembly passed significant pension reform through Senate Bill (SB) 18-200: *Concerning Modifications To the Public Employees' Retirement Association Hybrid Defined Benefit Plan Necessary to Eliminate with a High Probability the Unfunded Liability of the Plan Within the Next Thirty*

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Years. The bill was signed into law by Governor Hickenlooper on June 4, 2018. SB 18-200 makes changes to certain benefit provisions. Some, but not all, of these changes were in effect as of December 31, 2020

General Information about the Plan

Plan Description – Eligible employees of the City of Boulder are provided with pensions through the Local Government Division Trust Fund (LGDTF)—a cost-sharing multiple-employer defined benefit pension plan administered by PERA. Plan benefits are specified in Title 24, Article 51 of the Colorado Revised Statutes (C.R.S.), administrative rules set forth at 8 C.C.R. 1502-1, and applicable provisions of the federal Internal Revenue Code. Colorado State law provisions may be amended from time to time by the Colorado General Assembly. PERA issues a publicly available comprehensive annual financial report that can be obtained at www.copera.org/investments/pera-financial-reports.

Benefits provided as of December 31, 2019 - PERA provides retirement, disability, and survivor benefits. Retirement benefits are determined by the amount of service credit earned and/or purchased, highest average salary, the benefit structure(s) under which the member retires, the benefit option selected at retirement, and age at retirement. Retirement eligibility is specified in tables set forth at C.R.S. § 24-51-602, 604, 1713, and 1714

The lifetime retirement benefit for all eligible retiring employees under the PERA Benefit Structure is the greater of the:

- Highest average salary multiplied by 2.5 percent and then multiplied by years of service credit
- The value of the retiring employee's member contribution account plus a 100 percent match on eligible amounts as of the retirement date. This amount is then annuitized into a monthly benefit based on life expectancy and other actuarial factors.

It is possible for employees participating in the LGDTF to be earning service credit under the Denver Public School (DPS) benefit structure. Given this, the lifetime retirement benefit for all eligible retiring employees under the DPS benefit structure is the greater of the:

- Highest average salary multiplied by 2.5 percent and then multiplied by years of service credit.
- $15 times the first 10 years of service credit plus $20 times service credit over 10 years plus a monthly amount equal to the annuitized member contribution account balance based on life expectancy and other actuarial factors.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

In all cases the service retirement benefit is limited to 100 percent of highest average salary and cannot exceed the maximum benefit allowed by federal Internal Revenue Code.

Members may elect to withdraw their member contribution accounts upon termination of employment with all PERA employers; waiving rights to any lifetime retirement benefits earned. If eligible, the member may receive a match of either 50 percent or 100 percent on eligible amounts depending on when contributions were remitted to PERA, the date employment was terminated, whether 5 years of service credit has been obtained and the benefit structure under which contributions were made.

As of December 31, 2019, benefit recipients who elect to receive a lifetime retirement benefit are generally eligible to receive post-retirement cost-of-living adjustments, referred to as annual increases in the C.R.S., once certain criteria are met. Pursuant to SB 18-200, the annual increase for 2019 is 0.00 percent for all benefit recipients. Thereafter, benefit recipients under the PERA benefit structure who began eligible employment before January 1, 2007, and all benefit recipients of the DPS benefit structure will receive an annual increase of 1.25 percent unless adjusted by the automatic adjustment provision (AAP) pursuant to C.R.S. § 24-51-413. Benefit recipients under the PERA benefit structure who began eligible employment on or after January 1, 2007 will receive the lessor of an annual increase of 1.25 percent or the average of the Consumer Price Index for Urban Wage Earners and Clerical Workers for the prior calendar year, not to exceed 10 percent of PERA's Annual Increase Reserve (AIR) for the LGDTF. The AAP may raise or lower the aforementioned annual increase by up to 0.25 percent based on the parameters specified in C.R.S. § 24-51-413.

Disability benefits are available for eligible employees once they reach five years of earned service credit and are determined to meet the definition of disability. The disability benefit amount is based on the lifetime retirement benefit formula(s) shown above considering a minimum 20 years of service credit, if deemed disabled.

Survivor benefits are determined by several factors, which include the amount of earned service credit, highest average salary of the deceased, the benefit structure(s) under which service credit was obtained, and the qualified survivor(s) who will receive the benefits.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Contributions provisions as of December 31, 2019: Eligible employees and the City of Boulder are required to contribute to the LGDTF at a rate set by Colorado statute. The contribution requirements are established under C.R.S. § 24-51-401, *et seq*. and § 24-51-413. Employee contribution rates except for State Troopers for the period of 1/1/2019 through 12/31/2020 are summarized below:

	January 1, 2019 Through December, 31 2019	January 1, 2020 Through June 30, 2020	July 1, 2020 Through December 31, 2020
Employee contribution	8.00%	8.00%	8.50%

The employer contribution requirements for all employees except State Troopers are summarized in the table below:

	January 1, 2019 Through June 30, 2020	July 1, 2020 Through December 31, 2020
Employer contribution rate	10.00%	10.50%
Amount of employer contribution apportioned to the Health Care Trust Fund as specified in C.R.S. § 24-51-208(1)(f)	(1.02)%	(1.02)%
Amount apportioned to the LGDTF	8.98%	9.48%
Amortization Equalization Disbursement (AED) as specified in C.R.S. § 24-51-411	2.20%	2.20%
Supplemental Amortization Equalization Disbursement (SAED) as specified in C.R.S. § 24-51-411	1.50%	1.50%
Total employer contribution rate to the LGDTF	**12.68%**	**13.18%**

Contribution rates for the LGDTF are expressed as a percentage of salary as defined in C.R.S. § 24-51-101(42).

Employer contributions are recognized by the LGDTF in the period in which the compensation becomes payable to the member and the City of Boulder is statutorily committed to pay the contributions to the LGDTF. Employer contributions recognized by the LGDTF from the City of Boulder were $10,274,134 for the year ended December 31, 2020.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At December 31, 2020, the City of Boulder reported a liability of $90,003,730 for its proportionate share of the net pension liability. Of this amount, $74,511,653 represented Governmental-type activities and $15,492,077 represented Business-type activities. The net pension liability was measured as of December 31, 2019, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of December 31, 2019. Standard update procedures were used to roll forward the total pension liability to December 31, 2019. The City of Boulder's proportion of the net pension liability was based on City of Boulder contributions to the LGDTF for the calendar year 2019 relative to the total contributions of participating employers to the LGDTF.

At December 31, 2019, the City of Boulder's proportion was 12.305829538 percent, which was a decrease of 0.174892185 percent from its proportion measured as of December 31, 2018.

For the year ended December 31, 2020, the City of Boulder recognized pension expense of (9,287,542). Of this amount, ($7,798,527) is related to governmental activities and (1,489,015) is related to business-type activities. The City of Boulder reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

Governmental Activities:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	$4,910,377	$ -
Changes of assumptions	-	-
Net difference between projected and actual earnings on pension plan investments	-	30,841,392
Changes in proportion and differences between contributions recognized and proportionate share of contributions	-	1,486,936
Contributions subsequent to the measurement date	8,565,790	-
Total	$13,476,167	32,328,328

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Business-type Activities:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	$979,316	$ -
Changes of assumptions or other inputs		-
Net difference between projected and actual earnings on pension plan investments	-	5,980,356
Changes in proportion and differences between contributions recognized and proportionate share of contributions	-	288,327
Contributions subsequent to the measurement date	1,708,344	-
Total	$2,687,660	$6,268,683

$10,274,134 reported outflows of resources related to pensions, resulting from contributions subsequent to the measurement date, will be recognized as a reduction of the net pension liability in the year ended December 31, 2021. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended 12/31:	Governmental Activities	Business-type Activities
2021	$(6,545,155)	$(1,262,666)
2022	9,028,455)	(1,741,735)
2023	(1,312,473)	(253,198)
2024	(10,531,868)	(2,031,768)
2025	-0-	-0-
Total	$(27,417,951)	$(5,289,367)

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

Actuarial assumptions – The total pension liability in the December 31, 2018 actuarial valuation was determined using the following actuarial cost method, actuarial assumptions and other inputs:

Actuarial cost method	Entry Age
Price inflation	2.40 percent
Real wage growth	1.10 percent
Wage inflation	3.50 percent
Salary increases, including wage inflation	3.50 – 10.45 percent
Long-term investment Rate of Return, net of pension plan investment expenses, including price inflation	7.25 percent
Discount Rate	7.25 percent
Post-retirement benefit increases:	
PERA benefit structure hired prior to 1/1/07; and DPS benefit structure (automatic)[1]	1.25 percent compounded annually
1 - For 2019, the annual increase was 0.00 percent	
PERA Benefit Structure hired after 12/31/06 (ad hoc, substantively automatic)	Financed by the Annual Increase Reserve

Healthy mortality assumptions for active members reflect the RP-2014 White Collar Employee Mortality Table, a table specifically developed for actively working people. To allow for an appropriate margin of improved mortality prospectively, the mortality rates incorporate a 70 percent factor applied to male rates and a 55 percent factor applied to female rates.

Post-retirement non-disabled mortality assumptions were based on the RP-2014 Healthy Annuitant Mortality Table, adjusted as follows:

Males: Mortality improvement projected to 2018 using the MP-2015 projection scale, a 73 percent factor applied to rates for ages less than 80, a 108 percent factor applied to rates for ages 80 and above, and further adjustments for credibility.

Females: Mortality improvement projected to 2020 using the MP-2015 projection scale, a 78 percent factor applied to rates for ages less than 80, a 109 percent factor applied to rates for ages 80 and above, and further adjustments for credibility.

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

For disables retirees, the mortality assumption was based on 90 percent of the RP-2014 Disabled Retiree Mortality Table.

The actuarial assumptions used in the December 31, 2018, valuation were based on the results of the 2016 experience analysis for the periods January 1, 2012, through December 31, 2015, as well as, the October 28, 2016, actuarial assumptions workshop and were adopted by the PERA Board during the November 18, 2016, Board meeting.

The LGDTF's long-term expected rate of return on plan assets is reviewed as part of regular experience studies prepared every four or five years for PERA. Recently, this assumption has been reviewed more frequently. The most recent analyses were outlined in presentations to PERA's Board on October 28, 2016.

Several factors were considered in evaluating the long-term rate of return assumption for the LGDTF, including long-term historical data, estimates inherent in current market data, and a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected return, net of investment expense and inflation) were developed by the investment consultant for each major asset class. These ranges were combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and then adding expected inflation.

As of the most recent adoption of the current long-term expected rate of return by the PERA Board, the target asset allocation and best estimates of geometric real rates of return for each major asset class are summarized in the following table:

Asset Class	**Target Allocation**	**30 Year Expected Geometric Real Rate of Return**
U.S. Equity – Large Cap	21.20%	4.30%
U.S. Equity – Small Cap	7.42%	4.80%
Non-U.S. Equity – Developed	18.55%	5.20%
Non-U.S. Equity – Emerging	5.83%	5.40%
Core Fixed Income	19.32%	1.20%
High Yield	1.38%	4.30%
Non-U.S. Fixed Income - Developed	1.84%	0.60%
Emerging Market Debt	0.46%	3.90%
Core Real Estate	8.50%	4.90%
Opportunity Fund	6.00%	3.80%
Private Equity	8.50%	6.60%
Cash	1.00%	0.20%
Total	100.00%	

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

In setting the long-term expected rate of return, projections employed to model future returns provide a range of expected long-term returns that, including expected inflation, ultimately support a long-term expected rate of return assumption of 7.25%.

Discount rate. The discount rate used to measure the total pension liability was 7.25 percent. The projection of cash flows used to determine the discount rate applied the actuarial cost method and assumptions shown above. In addition, the following methods and assumptions were used in the projection of cash flows:

- Total covered payroll for the initial projection year consists of the covered payroll of the active membership present on the valuation date and the covered payroll of future plan members, assumed to be hired during the year. In subsequent projection years, total covered payroll was assumed to increase annually at a rate of 3.50 percent.
- Employee contributions were assumed to be made at the member contribution rates in effect for each year, including the additional 0.50 percent resulting from the 2018 AAP assessment, statutorily recognized July 1, 2019, and effective July 1, 2020. Employee contributions for future plan members were used to reduce the estimated amount of total service costs for future plan members.
- Employer contributions were assumed to be made at rates equal to the fixed statutory rates specified in law for each year, including the additional 0.50 percent, resulting from the 2018 AAP assessment, statutorily recognized July 1, 2019, and effective July 1, 2020, Employer contributions also include current and estimated future AED and SAED, until the actuarial value funding ratio reaches 103 percent, at which point, the AED and SAED will each drop 0.50 percent every year until they are zero. Additionally, estimated employer contributions reflect reductions for the funding of the AIR and retiree health care benefits. For future plan members, employer contributions were further reduced by the estimated amount of total service costs for future plan members not financed by their member contributions.
- The AIR balance was excluded from the initial fiduciary net position, as per statute, AIR amounts cannot be used to pay benefits until transferred to either the retirement benefits reserve or the survivor benefits reserve, as appropriate. AIR transfers to the fiduciary net position and the subsequent AIR benefit payments were estimated and included in the projections.
- The projected benefit payments reflect the lowered annual increase cap, from 1.50 percent to 1.25 percent resulting from the 2018 AAP assessment, statutorily recognized July 1, 2019, and effective July 1, 2020.
- Benefit payments and contributions were assumed to be made at the middle of the year.

Based on the above actuarial cost method and assumptions, the LGDTF fiduciary net position was projected to be available to make all projected future benefit payments of current members. Therefore, the long-term expected rate of return of 7.25 percent on pension plan investments was applied to all periods

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

3. Public Employees Retirement Association (PERA) (Continued)

of projected benefit payments to determine the total pension liability. The discount rate determination does not use the municipal bond index rate, and therefore, the discount rate is 7.25 percent. There was no change in the discount rate from the prior measurement date.

Sensitivity of the City of Boulder's *proportionate share of the net pension liability to changes in the discount rate.* The following presents the proportionate share of the net pension liability calculated using the discount rate of 7.25 percent, as well as what the proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.25 percent) or 1-percentage-point higher (8.25 percent) than the current rate:

	1% Decrease (6.25%)	Current Discount Rate (7.25%)	1% Increase (8.25%)
Proportionate share of the net pension liability	$165,330,173	$90,003,730	$26,654,919

Pension plan fiduciary net position: Detailed information about the LGDTF's fiduciary net position is available in PERA's comprehensive annual financial report which can be obtained at www.copera.org/investments/pera-financial-reports

Changes between the measurement date of the net position liability and December 31, 2019.

During the 2019 legislative session, the Colorado General Assembly passed HB 19-1217: *PERA Public Employees' Retirement Association Local Government Division Member Contribution Rate*. The bill was signed into law by Governor Polis on May 20, 2019, and eliminates the 2 percent increase in the contribution rate for members in the Local Government Division mandated by SB 18-200

NOTE U – PENSION AND RETIREMENT PLANS (CONTINUED)

4. Police and Fire Money Purchase Pension Plan

The City's full-time police officers and firefighters hired on or after April 8, 1978, are covered by the Police and Fire Money Purchase Plan (Plan), an Internal Revenue Code Section 401(a) plan. This Plan is a single employer defined contribution plan that was established by the City Council effective January 1, 1983. The Plan is administered by a Board of Trustees comprised of two elected Boulder Police Department employees, two elected Boulder Fire Department employees and one appointed member who is not an employee of either the Police or Fire departments and has business and/or investment experience within the community. The contribution levels are established at the time of labor negotiations and are detailed in the bargaining unit agreements for information only.

The Boulder Police Benevolent Association negotiated an economic agreement with the City which is in effect through December 31, 2021. The City's contribution requirement for the year ended December 31, 2020, was 13.8 percent of covered payroll. The dollar amount of the City's contributions was $2,258,000 in 2020. The employee contributions were 6.2 percent, or $1,015,000, of covered payroll.

The International Association of Firefighters, Local #900, negotiated an economic agreement with the City, which was in effect through December 31, 2021. The City's contribution requirement for the year ended December 31, 2020, was 13 percent of covered payroll, or $1,452,000. The employee contributions were 8 percent of covered payroll, or $894,000.

City contributions and interest forfeited by employees who leave employment before five years of service are first used for administrative charges and second to reduce the City's current period contribution requirement. All participants may make additional contributions of up to 25% of their salary or $30,000, whichever is less.

Benefits – An employee is eligible to receive benefits upon death, disability or normal retirement. Benefits are paid out of the employee's individual account. This account is made up of: 100% of the employee's contributions; 100% of the employer contributions if the employee terminates because of death, disability or normal retirement, or a lesser percent based on the vesting schedule in the plan document if the employee terminates for another reason; and the interest earnings either positive or negative, over the term of the employee's employment with the City. Benefits are distributed at the discretion of the administration committee either in a lump-sum or over the employee's life expectancy or 10 years, whichever is less.

Death and Disability Benefits – If an active member dies or becomes disabled (but is not eligible for an age and service retirement) while employed, the member's spouse and dependent children will receive survivor benefits, or the member will receive benefits under the State Fire and Police Pension Association (FPPA). See description under Fire and Police Pension Association below.

The Police and Fire Money Purchase Plan issues a publicly available annual financial report that includes financial statements and required supplementary information. That report may be obtained by writing to City of Boulder Fire and Police Money Purchase Plan, 1805 33rd Street, Boulder, Colorado, 80301.

NOTE V – DEFERRED COMPENSATION PLANS

The Colorado Revised Statutes allow any City to exempt the City Manager and key management staff who report directly to the City Manager or the City Council from membership in the Public Employees Retirement Association, provided each such person has executed a trust agreement and deferred compensation employment agreement with the International City Management Association Retirement Corporation (ICMA-RC), an Internal Revenue Code Section 401(a) plan. The assets of these two plans are held in a trust account and therefore are not reflected on the City of Boulder financial statements.
In addition to ICMA-RC, City Council authorized the establishment of a deferred compensation program for City employees.

Deferred compensation is not available for withdrawal by employees until termination, retirement, death or unforeseeable emergency. The assets of this plan are held in a trust account and therefore are not reflected on the City of Boulder financial statements.

In the opinion of the City's legal counsel, the City has no liability for losses under the plans but does have the duty of due care that would be required of an ordinary prudent investor.

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS

The City's employees are covered under two separate OPEB plans. For the year ended December 31, 2020, the total net OPEB expense for the two plans was $63,202.

1. Public Employees Retirement Association (PERA) Health Care Trust Fund

The City of Boulder participates in the Health Care Trust Fund (HCTF), a cost-sharing multiple-employer defined benefit OPEB fund administered by PERA. The net OPEB liability, deferred outflow of resources and deferred inflows of resources related to OPEB, OPEB expense, information about the fiduciary net position and additions to/deductions from the fiduciary net position of the HCTF have been determined using the economic resources measurement focus and the accrual basis of accounting. For this purpose, benefits paid on behalf of health care participants are recognized when due and/or payable in accordance with the benefit terms. Investments are reported at fair value.

Plan description – Eligible employees of the City of Boulder are provided with OPEB through the HCTF – a cost-sharing multiple-employer defined benefit OPEB plan administered by PERA. The HCTF is established under Title 24, Article 51, Part 12 of the Colorado Revised Statutes (C.R.S.), as amended. Colorado State law provisions may be amended from time to time by the Colorado General Assembly. Title 24, Article 51, Part 12 of the C.R.S., as amended, sets forth a framework that grants authority to the PERA Board to contract, self-insure, and authorize disbursements necessary in order to carry out the purposes of the PERACare program, including the administration of the premium subsidies. Colorado State law provisions may be amended from time to time by the Colorado General Assembly. PERA issues a publicly available comprehensive annual financial report that can be obtained at www.copera.org/investments/pera-financial-reports.

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

Benefits Provided – The HCTF provides a health care premium subsidy to eligible participating PERA benefit recipients and retirees who choose to enroll in one of the PERA health care plans, however, the subsidy is not available if only enrolled in the dental and/or vision plans(s). The health care premium subsidy is based upon the benefit structure under which the member retires and the member's years of service credit. For members who retire having service credit with employers in the Denver Public Schools (DPS) Division and one or more of the other four Divisions (State, School, Local Government and Judicial), the premium subsidy is allocated between the HCTF and the DPS Health Care Trust Fund (DPS HCTF). The basis for the amount of the premium subsidy funded by each trust fund is the percentage of the member contribution account balance from each division as it relates to the member contribution account balance from which the retirement benefit is paid.

C.R.S. 24-51-1202 et seq. specifies for eligibility for enrollment in the health care plans offered by PERA and the amount of the premium subsidy. The law governing a benefit recipient's eligibility for the subsidy and the amount of the subsidy differs slightly depending under which benefit structure the benefits are calculated. All benefit recipients under the PERA benefit structure and all retirees under the DPS benefit structure are eligible for a premium subsidy, if enrolled in a health care plan under PERACare. Upon the death of a DPS benefit structure retiree, no further subsidy is paid.

Enrollment in the PERACare is voluntary and is available to benefit recipients and their eligible dependents, certain surviving spouses, and divorced spouses and guardians, among others. Eligible benefit recipients may enroll in the program upon retirement, upon the occurrence of certain life events, or on an annual basis during an open enrollment period.

PERA Benefit Structure – The maximum service-based premium is $230 (actual dollars) per month for benefit recipients who are under 65 years of age and who are not entitled to Medicare; the maximum service-based subsidy is $115 (actual dollars) for benefit recipients who are 65 years of age and entitled to Medicare. The basis for the maximum service-based subsidy, in each case, is for benefit recipients with retirement benefits based on 20 or more years of service credit. There is a 5 percent reduction in the subsidy for each year less than 20. The benefit recipient pays the remaining portion of the premium to the extent the subsidy does not cover the entire amount.

For benefit recipients who have not participated in Social Security and who are not otherwise eligible for premium-free Medicare Part A for hospital-related services. C.R.S. 24-51-1206(4) provides an additional subsidy. According to the statute, PERA cannot charge premiums to benefit recipients without Medicare Part A that are greater than premiums charged to benefit recipients with Part A for the same plan option, coverage level, and service credit. Currently, for each individual PERACare enrollee, the total premium for Medicare coverage is determined assuming plan participants have both Medicare Part A and Part B and the difference in premium cost is paid by the HCTF or the DPS HCTF on behalf of benefit recipients not covered by Medicare Part A.

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

It is possible for employees participating in the HCTF to be earning service credit under the DPS benefit structure. Under the DPS benefit structure, the maximum service-based premium subsidy is $230 per month for retirees who are under 65 years of age and who are not entitled to Medicare; the maximum service-based subsidy is $115 per month for retirees who are 65 years of age or older or who are under 65 years of age and entitled to Medicare. The basis for the maximum subsidy, in each case, is for retirees with retirement benefits based on 20 or more years of service credit. There is a 5% reduction in the subsidy for each year less than 20. The retiree pays the remaining portion of the premium to the extent the subsidy does not cover the entire amount.

For retirees who have not participated in Social Security and who are not otherwise eligible for premium-free Medicare Part A for hospital-related services, the HCTF or the DPS HCTF pays an alternate service-based premium subsidy. Each individual retiree meeting these conditions receives the maximum $230 per month subsidy reduced appropriately for service less than 20 years, as described above. Retirees who do not have Medicare Part A pay the difference between the total premium and the monthly subsidy.

Contributions – Pursuant to Title 24, Article 51, Section 208(1)(f) of the C.R.S, as amended, certain contributions are apportioned to the HCTF. PERA-affiliated employers of the State, School, Local Government, and judicial Divisions are required to contribute at a rate of 1.02 percent of PERA-includable salary into the HCTF.

Employer contributions are recognized by the HCTF in the period in which the compensation becomes payable to the member and the City of Boulder is statutorily committed to pay the contributions. Employer contributions recognized by the HCTF from the City of Boulder were $826,468 for the year ended December 31, 2020.

OPEB Liabilities, OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

At December 31, 2020, the City of Boulder reported a liability of $10,571,423 for its proportionate share of the net OPEB liability. The Governmental Activities portion of the net OPEB liability was $8,947,177 at December 31, 2020 while the Proprietary Funds proportionate share was $1,624,246. The net OPEB liability for the HCTF was measured as of December 31, 2019, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of December 31, 2018. Standard update procedures were used to roll-forward the total OPEB liability to December 31, 2019. The City of Boulder proportion of the net OPEB liability was based on City of Boulder contributions to the HCTF for the calendar year 2019 relative to the total contributions of participating employers to the HCTF.

At December 31, 2019, the City of Boulder's proportion was 0.9405197119%, which was a decrease of 0.02540076343% from its proportion measured as of December 31, 2018.

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

For the year ended December 31, 2020, the City of Boulder recognized OPEB expense of $(173,704). At December 31, 2020, the City of Boulder reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

Governmental Activities:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	$29,687	$1,493,634
Changes of assumptions or other inputs	74,217	-
Net difference between projected and actual earnings on OPEB plan investments	-	148,365
Changes in proportion and differences between contributions recognized and proportionate share of contributions	320,215	485,706
Contributions subsequent to the measurement date	699,385	
Total	$1,123,504	$2,127,705

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

Business-type Activities:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	$5,394	$282,755
Changes of assumptions or other inputs	13,486	-
Net difference between projected and actual earnings on OPEB plan investments	-	28,086
Changes in proportion and differences between contributions recognized and proportionate share of contributions	58,185	91,947
Contributions subsequent to the measurement date	127,082	-
Total	$204,147	$402,788

$826,467 reported as deferred outflows of resources related to OPEB, resulting from contributions subsequent to the measurement date, will be recognized as a reduction of the net OPEB liability in the year ended December 31, 2020. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended 12/31:	Governmental Activities	Business-type Activities
2021	$ (320,171)	$ (61,216)
2022	(320,154)	(61,214)
2023	(277,266)	(53,013)
2024	(427,136)	(81,668)
2025	(338,670)	(64,753)
Thereafter	(20,189)	(3,859)
Total	$(1,703,586)	$(325,723)

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

Actuarial assumptions – The total OPEB liability in the December 31, 2018 actuarial valuation was determined using the following actuarial cost method, actuarial assumptions and other inputs:

Actuarial cost method	Entry Age
Price inflation	2.40 percent
Real wage growth	1.10 percent
Wage inflation	3.50 percent
Salary increases, including wage inflation	3.50 percent in aggregate
Long-term investment Rate of Return, net of pension plan investment expenses, including price inflation	7.25 percent
Discount Rate	7.25 percent
Health care cost trend rates:	
PERA benefit structure:	
Service-based premium subsidy	0.00 percent
PERACare Medicare plans	5.60 percent in 2019
Medicare Part A premiums	3.50 percent in 2019, gradually rising to 4.50% percent in 2029

Calculations are based on the benefits provided under the terms of the substantive plan in effect at the time of each actuarial valuation and on the pattern of sharing of costs between employers of each fund to that point.

The actuarial assumptions used in the December 31, 2018, valuations were based on the results of the 2016 experience analysis for the periods January 1, 2012, through December 31, 2015, as well as, the October 28, 2016, actuarial assumptions workshop and were adopted by the PERA Board during the November 18, 2016, Board meeting. In addition, certain actuarial assumptions pertaining to per capita health care costs and their related trends are analyzed and reviewed by PERA's actuary, as discussed below.

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

In determining the additional liability for PERACare enrollees who are age sixty–five or older and who are not eligible for premium–free Medicare Part A, the following monthly costs/premiums are assumed for 2019 for the PERA Benefit Structure:

Medicare Plan	Cost for Members Without Medicare Part A	Premiums for Members Without Medicare Part A
Medicare Advantage/Self-Insured Prescription	$601	$240
Kaiser Permanente Medicare Advantage HMO	605	237

The 2019 Medicare Part A premium is $437 per month.

In determining the additional liability for PERACare enrollees in the PERA Benefit Structure who are age sixty–five or older and who are not eligible for premium–free Medicare Part A, the following chart details the initial expected value of Medicare Part A benefits, age adjusted to age 65 for the year following the valuation date:

Medicare Plan	Cost for Members Without Medicare Part A
Medicare Advantage/Self-Insured Prescription	$562
Kaiser Permanente Medicare Advantage HMO	571

All costs are subject to the health care cost trend rates, as discussed below.

Health care cost trend rates reflect the change in per capita health costs over time due to factors such as medical inflation, utilization, plan design and technology improvements. For the PERA benefit structure, health care cost trend rates are needed to project the future costs associated with providing benefits to those PERACare enrollees not eligible for premium-free Medicare Part A.

Health care cost trend rates for the PERA benefit structure are based on published annual health care inflation surveys in conjunction with actual plan experience (if credible), building block models and industry methods developed by health plan actuaries and administrators. In addition, projected trends for the Federal Hospital Insurance Trust Fund (Medicare Part A premiums) provided by the Centers for Medicare & Medicaid Services are referenced in the development of these rates. Effective December 31, 2018, the health care cost trend rates for Medicare Part A premiums were revised to reflect the current expectation of future increases in rates of inflation applicable to Medicare Part A premiums.

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

The PERA benefit structure health care cost trend rates that were used to measure the total OPEB liability are summarized in the table below:

Year	PERACare Medicare Plans	Medicare Part A Premiums
2019	5.60%	3.50%
2020	8.60%	3.50%
2021	7.30%	3.50%
2022	6.00%	3.75%
2023	5.70%	3.75%
2024	5.50%	3.75%
2025	5.30%	4.00%
2026	5.10%	4.00%
2027	4.90%	4.25%
2028	4.70%	4.25%
2029+	4.50%	4.50%

Mortality assumptions for the determination of the total pension liability for each of the Division Trust Funds as shown below are applied, as applicable, in the determination of the total OPEB liability for the HCTF. Affiliated employers of the State, School, Local Government, and Judicial Divisions participate in the HCTF.

Healthy mortality assumptions for active members were based on the RP-2014 White Collar Employee Mortality Table, a table specifically developed for actively working people. To allow for an appropriate margin of improved mortality prospectively, the mortality rates incorporate a 70 percent factor applied to male rates and a 55 percent factor applied to female rates.

Post-retirement non-disabled mortality assumptions for the State and Local Government Divisions were based on the RP-2014 Healthy Annuitant Mortality Table, adjusted as follows:

- **Males:** Mortality improvement projected to 2018 using the MP-2015 projection scale, a 73 percent factor applied to rates for ages less than 80, a 108 percent factor applied to rates for ages 80 and above, and further adjustments for credibility.

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

- **Females:** Mortality improvement projected to 2020 using the MP-2015 projection scale, a 78 percent factor applied to rates for ages less than 80, a 109 percent factor applied to rates for ages 80 and above, and further adjustments for credibility.

For disabled retirees, the mortality assumption was based on 90 percent of the RP-2014 Disabled Retiree Mortality Table.

The following health care costs assumptions were updated and used in the measurement of the obligations for the HCTF:

- Initial per capita health care costs for those PERACare enrollees under the PERA benefit structure who are expected to attain age 65 and older ages and are not eligible for premium-free Medicare Part A benefits were updated to reflect the change in costs for the 2019 plan year.
- The morbidity assumptions were updated to reflect the assumed standard aging factors.
- The health care cost trend rates for Medicare Part A premiums were revised to reflect the then-current expectation of future increases in rates of inflation applicable to Medicare Part A premiums.

The long-term expected return on plan assets is reviewed as part of regular experience studies prepared every four or five years for PERA. Recently this assumption has been reviewed more frequently. The most recent analyses were outlined in presentations to PERA's Board on October 28, 2016.

Several factors were considered in evaluating the long-term rate of return assumption for the HCTF, including long-term historical data, estimates inherent in current market data, and a log-normal distribution analysis in which best-estimate ranges of expected future rates of return (expected return, net of investment expense and inflation) were developed for each major asset class. These ranges were combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and then adding expected inflation.

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

As of the most recent adoption of the long-term expected rate of return by the PERA Board, the target asset allocation and best estimates of geometric real rates of return for each major asset class are summarized in the following table:

Asset Class	**Target Allocation**	**30 Year Expected Geometric Real Rate of Return**
U.S. Equity – Large Cap	21.20%	4.30%
U.S. Equity – Small Cap	7.42%	4.80%
Non-U.S. Equity – Developed	18.55%	5.20%
Non-U.S. Equity – Emerging	5.83%	5.40%
Core Fixed Income	19.32%	1.20%
High Yield	1.38%	4.30%
Non-U.S. Fixed Income - Developed	1.84%	0.60%
Emerging Market Debt	0.46%	3.90%
Core Real Estate	8.50%	4.90%
Opportunity Fund	6.00%	3.80%
Private Equity	8.50%	6.60%
Cash	1.00%	0.20%
Total	100.00%	

In setting the long-term expected rate of return, projections employed to model future returns provide a range of expected long-term returns that, including expected inflation, ultimately support a long-term expected rate of return assumption of 7.25%.

Sensitivity of the City of Boulder's proportionate share of the net OPEB liability to changes in the Health Care Cost Trend Rates. – The following presents the net OPEB liability using the current health care cost trend rates applicable to the PERA benefit structure, as well as if it were calculated using health care cost trends rates that are one percentage point lower or one percentage point higher than the current rates:

	1% Decrease in Trend Rates	Current Trend Rates	1% Increase in Trend Rates
Initial PERACare Medicare trend rate	4.60%	5.60%	6.60%
Ultimate PERACare Medicare trend rate	3.50%	4.50%	5.50%
Initial Medicare Part A trend rate	2.50%	3.50%	4.50%
Ultimate Medicare Part A trend rate	3.50%	4.50%	5.50%
Net OPEB Liability	$10,320,304	10,571,423	10,861,611

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

1. Public Employees Retirement Association (PERA) Health Care Trust Fund (Continued)

Discount Rate – The discount rate used to measure the total OPEB liability was 7.25%. The projection of cash flows used to determine the discount rate applied the actuarial cost method and assumptions shown above. In addition, the following methods and assumptions were used in the projection of cash flows:

- Updated health care cost trend rates for Medicare Part A premiums as of the December 31, 2019 measurement date.
- Total covered payroll for the initial projection year consists of the covered payroll of the active membership present on the valuation date and the covered payroll of future plan members assumed to be hired during the year. In subsequent projection years, total covered payroll was assumed to increase annually at a rate of 3.50%.
- Employer contributions were assumed to be made at rates equal to the fixed statutory rates specified in law and effective as of the measurement date.
- Employer contributions and the amount of total service costs for future plan members were based upon a process used by the plan to estimate future actuarially determined contributions assuming an analogous future plan member growth rate.
- Benefit payments and contributions were assumed to be made at the middle of the year.

Based on the above assumptions and methods, the projection test indicates the HCTF's fiduciary net position was projected to make all projected future benefit payments of current members. Therefore, the long-term expected rate of return of 7.25 percent on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability. The discount rate of determination does not use the municipal bond index rate, and therefore, the discount rate is 7.25 percent.

Sensitivity of the City of Boulder's proportionate share of the net OPEB liability to changes in the discount rate – The following presents the proportionate share of the net OPEB liability calculated using the discount rate of 7.25 percent, as well as what the proportionate share of the net OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.25 percent) or 1-percentage-point higher (8.25 percent) than the current rate:

	1% Decrease (6.25%)	Current Discount Rate (7.25%)	1% Increase (8.25%)
Proportionate share of the net OPEB liability	$11,953,121	$10,571,423	$9,389,782

OPEB plan fiduciary net position – Detailed information about the HCTF's fiduciary net position is available in PERA's comprehensive annual financial report which can be obtained at www.copera.org/investments/pera-financial-reports.

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

2. Fire and Police Pension Association (FPPA) Death and Disability Plan

All full-time police officers and firefighters are covered by the Fire and Police Pension Association (FPPA), a multiple-employer cost-sharing plan for pre-retirement death and disability. To date contributions to the plan have been determined and budgeted by the State legislature. State law provided that these contributions would continue in diminishing amounts until 1994. The State requires employees hired on or after January 1, 1997, to contribute 2.6% of salary. The City pays the 2.7% for all affected police officers and firefighters. In 2020, the City paid $586,826 equal to their required contributions for the year. This FPPA death and disability plan qualifies as a cost sharing multiple-employer defined benefit OPEB plan under this standard. As it pertains to the requirements in Statement No. 75, FPPA concluded that because all contributions to the plan are considered member contributions (and not employer), the employers' proportionate share of any net OPEB liability (asset) is $0. As such, GASB Statement No. 75 had no impact on the City of Boulder for the year ended December 31, 2020 for this plan.

FPPA issues a publicly available annual financial report that includes financial statements and required supplementary information. That report may be obtained online at www.fppaco.org or by writing to Fire and Police Pension Association of Colorado, 5290 DTC Parkway, Suite 100, Greenwood Village, Colorado, 80111-2721 or by calling FPPA at (303) 770-3772 or 1-800-332-3772.

3. City of Boulder Retiree Health Care Benefit Plan

Plan Description – The City of Boulder administers a single-employer defined benefit healthcare plan (the Retiree Health Care Benefit Plan). The City provides health care insurance coverage to current and future retirees of the City who retire with a PERA or City provided pension and have 12 years of service with the City. Employees who terminate or retire prior to meeting the eligibility requirements for retiree health care benefits are not eligible to participate in the program. The Retiree Health Care Benefit Plan is not covered within a trust fund and does not issue a publicly available financial report.

Member Data – The following table is a summary of the member data used in the January 1, 2019 actuarial valuation:

Participants	BMEA	Management	Fire	Police	Total
Active	402	707	100	164	1,373
Retiree & Beneficiary	10	25	3	6	44
Spouse	6	8	2	3	19
Total	418	740	105	173	1,436

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

3. City of Boulder Retiree Health Care Benefit Plan

Funding Policy – The Retiree Health Care Benefit Plan is funded on a pay-as-you-go basis with retirees paying 100% of the blended health insurance premium for the retiree and dependents. Benefit provisions are established by City management. The benefit provided by the Retiree Health Care Benefit Plan is made up entirely of the implicit rate subsidy which results from both the retirees and the active employees paying the same insurance premiums.

Total OPEB Liability – The portion of actuarial present value of projected benefit payments that is attributable to past periods of member service using the Entry Age Normal cost method based on the requirements of GASB 74 and 75.

Net OPEB Liability – The City's annual other postemployment benefit (OPEB) cost (expense) is calculated based on the Net OPEB Liability, an amount actuarially determined in accordance with the parameters of GASB Statement 75. The Net OPEB Liability represents the difference between the Total OPEB Liability and the Plan's Fiduciary Net Position of the Retiree Health Care Benefit Plan. In other words, it is the portion of the OPEB liability that is unfunded (unfunded liability). Previously this was referred to as the unfunded actuarial accrued liability or UAAL.

As of December 31, 2020, the City of Boulder's City Retiree Health Care Benefit Plan had a total OPEB liability of $5,132,370. Of this amount, $4,634,495 was related to governmental activities and $497,875 was related to business-type activities.

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

3. City of Boulder Retiree Health Care Benefit Plan

The following table shows changes in the City's Total OPEB Liability for the measurement period ending on December 31, 2020:

Governmental-Type Activities:

Increase / (Decrease) in Total OPEB Liability	2020
Balance at Beginning of Year	$3,971,873
Changes for the Year: Service Cost	260,122
Interest on total OPEB liability	159,645
Effect of plan changes	-
Effect of economic/demographic gains or losses	-
Effect of assumption changes or inputs	436,567
Benefit payments	(193,712)
Balance at end of year	$4,634,495

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

3. City of Boulder Retiree Health Care Benefit Plan (Continued)

Business-Type Activities:

Increase / (Decrease) in Total OPEB Liability	2020
Balance at Beginning of Year	$386,206
Changes for the Year: Service Cost	43,837
Interest on total OPEB liability	26,904
Effect of plan changes	-
Effect of economic/demographic gains or losses	-
Effect of assumption changes or inputs	73,573
Benefit payments	(32,645)
Balance at end of year	$497,875

Sensitivity Analysis – The following presents the Total OPEB Liability of the City, calculated using the discount rate of 2.74%, as well as what the City's Total OPEB Liability would be if were calculated using a discount rate that is 1 percentage point lower (1.74%) or 1 percentage point higher (3.74%) than the current rate:

	1% Decrease (1.74%)	Discount Rate (2.74%)	1% Increase (3.74%)
Total OPEB liability	$5,530,430	$5,132,370	$4,753,167

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

3. City of Boulder Retiree Health Care Benefit Plan (Continued)

The following presents the Total OPEB Liability of the City, calculated using the current healthcare cost trend rates as well as what the City's Total OPEB Liability would be if were calculated using trend rates that are 1 percentage point lower or 1 percentage point higher than the current trend rates:

	1% Decrease	Current Trend Rate	1% Increase
Total OPEB liability	$4,530,212	$5,132,370	$5,847,537

In 2020, the City of Boulder's City Retiree Health Care Benefit Plan had a total OPEB expense of $236,906 consisting of $202,748 for Governmental activities and $34,158 for Business-type activities. The following table shows the individual components of the expense amount for 2020:

	Governmental Activities	Business-type Activities
Service cost	$260,133	$43,826
Interest on total OPEB liability	159,652	26,897
Effect of Plan changes	-	-
Recognition of economic/demographic gains or losses	(62,441)	(10,520)
Recognition of assumption changes or inputs	(154,596)	(26,045)
Administration expense	-	-
OPEB expense	$202,748	$34,158

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

3. City of Boulder Retiree Health Care Benefit Plan (Continued)

As of December 31, 2020, the City's Retiree Health Care Benefit Plan had $586,641 in deferred outflows and $2,225,341 in Deferred Inflows of resources as follows:

Governmental Activities:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	-	$415,859
Changes of assumptions or other inputs	$524,639	1,505,954
Net difference between projected and actual earnings on OPEB plan investments	-	-
Changes in proportion and differences between contributions recognized and proportionate share of contributions	-	-
Contributions subsequent to the measurement date	-	-
Total	$524,639	$1,921,813

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

3. City of Boulder Retiree Health Care Benefit Plan (Continued)

Business-type Activities:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	-	$ 65,680
Changes of assumptions or other inputs	$62,002	237,848
Net difference between projected and actual earnings on OPEB plan investments	-	-
Changes in proportion and differences between contributions recognized and proportionate share of contributions	-	-
Contributions subsequent to the measurement date	-	-
Total	$62,002	$303,528

Amounts currently reported as deferred outflows of resources and deferred (inflows) of resources related to OPEB benefits will be recognized in OPEB expense as follows:

Year	**Amount**
2021	($253,602)
2022	(253,602)
2023	(253,602)
2024	(253,602)
2025	(253,602)
Thereafter	(370,690)
Total	($1,638,700)

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

3. City of Boulder Retiree Health Care Benefit Plan (Continued)

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents multi-year trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Actuarial Methods and Assumptions – Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

An actuarial study was prepared at January 1, 2019. It is the plan's policy to have an actuarial study prepared every two years.

The significant actuarial assumptions used in the valuation as of January 1, 2019, included the following:

- Actuarial Cost Method – Entry Age Normal Level Percent of Pay Cost.
- Amortization Method – Open, level percent of pay over 30 years
- Discount Rate – 2.74% per annum.
- Inflation – 2.5% per annum.
- Wage Growth – 3.0% per annum.
- Administrative Expense – Claims expenses are loaded into claim costs for all health benefits.
- Retirement – Age and service eligibility requirements for PERA (Management and BMEA employees) and City provided pensions (Fire and Police).
- Mortality –
  - Healthy Lives – Pub-2010 Healthy Employee and Retiree Mortality Tables for General Employees projected generationally using Scale MP2019.
  - Disabled Lives – Pub-2010 Disabled Retiree Mortality Tables projected generationally using Scale MP2019.
- Election of Retirement Coverage – 25% of future eligible retired participants are assumed to participate upon retirement if they retire prior to age 65. Future eligible retired participants who retire after age 65 are assumed to decline coverage. Because of this low percentage, an adverse selection load which varies with age was applied to the retiree claim costs.

NOTE W – OTHER POSTEMPLOYMENT BENEFIT PLANS (OPEB) THAN PENSIONS (CONTINUED)

3. City of Boulder Retiree Health Care Benefit Plan (Continued)

- Probability of Spouse Coverage – 55% of future retirees who elect coverage are assumed to elect spousal coverage upon retirement. Actual marital status is used for retirees. All males are assumed to be 3 years older than females. It is assumed no dependent children are covered.
- Lapse Assumption – it is assumed that 100% of all current and future retirees will cease participation in the plan upon the attainment of age 65. Current retirees that are over age 65 at the valuation date are assumed to continue coverage for the remainder of their lifetime. Current spouses are that are over 65 at the valuation date are assumed to continue coverage until the retiree attains age 65.
- Health Care Cost Trend – Using the Milliman Adjusted Getzen Model, the trend rate starts at 4.40% for 2019 and varies to a rate of 4.70% in 2028.
- Amortization Period – The unfunded actuarial accrued liability is amortized over 30 years using an open level percent of pay method.

The significant changes in actuarial assumptions and methods as of January 1, 2019 included the following:

- The healthy mortality assumption was updated to the Pub-2010 Healthy Employee and Mortality Tables for General Employees projected generationally using scale MP2019 to better reflect anticipated plan experience.

- The disabled mortality assumption was updated to the Pub-2010 Disabled Retiree Mortality Tables for General Retirees projected generationally using scale MP2019 to better reflect anticipated plan experience.
- The probability of spouse coverage for future retirees was increased from 50% to 55% to better reflect anticipated plan experience.
- Updated claims and premiums to experience and plan changes.
- The trend assumption was updated using the Milliman Adjusted Getzen Trend Model.

NOTE X – PLEDGED REVENUES

Water and Sewer Revenues Pledged

The City has pledged future water and sewer customer revenues, net of specified operating expenses, to repay $91,995,000 in outstanding water and sewer system revenue bonds and notes. Proceeds from the bonds provided financing for the construction of capital assets or refunded other revenue bonds issued for that purpose. The bonds are payable solely from water and sewer net revenues and are payable through 2038. Annual principal and interest payments on the bonds are expected to require approximately 50% of net revenues (as defined by the bond ordinances). The total principal and interest remaining to be paid on the bonds at December 31, 2020 is $114,853,000. Principal and interest paid for the current year and total customer net revenues were $11,485,000 and $37,713,000, respectively.

NOTE X – PLEDGED REVENUES (CONTINUED)

Stormwater and Flood Management Revenues Pledged

The City has pledged future stormwater and flood management fund revenues, net of specified operating expenses, to repay $17,760,000 in outstanding stormwater and flood management revenue bonds. Proceeds from the bonds provided financing for the construction of capital assets or refunded other revenue bonds issued for that purpose. The bonds are payable solely from stormwater and flood management fund revenues and are payable through 2034. Annual principal and interest payments on the bonds are expected to require less than 42% of net revenues (as defined by the bond ordinances). The total principal and interest remaining to be paid on the bonds at December 31, 2020 is $22,256,000. Principal and interest paid for the current year and total customer net revenues were $1,592,000 and $8,061,000 respectively.

Open Space Sales Tax Revenues Pledged

The City has pledged future sales and use tax revenues generated by the .88% sales and use tax levies of the Open Space Fund to repay $7,435,000 in outstanding open space bonds. Proceeds from the bonds provided financing for the acquisition of open space land or refunded other bonds issued for that purpose. The $7,435,000 of bonds are payable from the Open Space Fund sales tax revenues and are also backed with a pledge of the full faith and credit of the City. These bonds mature through 2034. In 2019, .48% of the total .88% sales tax levy will expired, which will materially decrease pledged revenues. Annual principal and interest payments on the bonds are expected to require less than 39% of pledged sales tax revenues. The total principal and interest remaining to be paid on the bonds at December 31, 2020 is $9,109,000. Principal and interest paid for the current year and total pledged sales tax revenues were $652,000 and $26,762,000, respectively.

Downtown Commercial District Revenues Pledged

The City has pledged a portion of future sales tax revenues to repay $2,375,000 in outstanding bonds issued by the City of Boulder Central Area General Improvement District (CAGID), now known as the Downtown Commercial District, to finance an underground parking garage located at 9th Street and Canyon Boulevard (TIF bonds). These TIF bonds are payable from the Parking Garage Net Revenues, incremental property tax revenues of the tax increment area and incremental sales and accommodations tax revenues.

The TIF bonds are backed with a pledge of the full faith and credit of CAGID. These bonds mature through 2023. Annual principal and interest payments on the outstanding bonds are expected to require less than 39% of pledged revenues. The total principal and interest remaining to be paid on the bonds at December 31, 2020 is $2,519,000. Principal and interest paid for the current year and total pledged revenues were $833,000 and $2,337,000 respectively.

NOTE X – PLEDGED REVENUES (CONTINUED)

Community, Culture, and Safety Sales Tax Revenues

The City has pledged a portion of future Community, Culture, and Safety sales tax revenues to repay $4,174,000 in outstanding notes issued by the City of Boulder to finance the purchase of land for the relocation of fire station #3. The notes will mature in December of 2022. The total principal and interest remaining to be paid on the notes at December 31, 2020 is $4,367,535. Principal and interest paid for the current year and total pledged revenues were $2,182,879 and $2,182,879, respectively.

Boulder Municipal Property Authority Revenues Pledged

The Boulder Municipal Property Authority (BMPA) pledged as security for certificates of participation and lease purchase notes (debt) the base rental revenues received from the City's various funds and operations. As of December 31, 2020, BMPA currently has $61,515,000 in outstanding debt used primarily to provide funding for acquisition of property, land for Parks and Open Space purposes. The City appropriates each year, from various revenue sources, base rental expenses in amounts sufficient to cover the principal and interest requirements on BMPA's debt. In accordance with state statutes, the appropriation by the City is subject to annual renewal at discretion of the City Council. BMPA has pledged, as the sole security for the bonds, the annual base rental revenues received from the City. Total principal and interest remaining on the debt is $80,655,000 with annual requirements ranging from $5,283,386 in 2020 to $1,306,830 in 2039. The base rental revenues received each year equal the debt service requirements on BMPA's debt. For the current year, principal and interest incurred by BMPA and the total base rental revenues pledged were $5,283,387 and $5,283,387, respectively.

Trash Tax Revenues

On August 16, 1994, the City passed the 1994 Ordinance approving the 1994 Election Question which authorized the City to raise its trash tax to a rate not to exceed a maximum per month of $3.50 for residential customers and a maximum of $0.85 per cubic yard per month for commercial customers. At a special municipal election held on November 8, 1994, the voters of the City approved the 1994 Election Question authorizing the maximum trash tax rates and authorizing the City under TABOR to issue not to exceed $6,000,000 of bonds payable from the City's trash tax revenues and additionally secured by the full faith and credit of the City, for the purpose acquisition of interests in land and constructing, operating and maintenance of municipal solid waste recycling and composting facilities. On December 15, 2009, $6,000,000 in General Obligation Waste Reduction Bonds were issued. On January 16, 2020 these bonds were refunded and replaced with $3,515,000 of GO Waste Reduction Notes, Series 2020. As of December 31, 2019, there are currently $3,185,000 in outstanding Waste Reduction Notes. Total principal and interest remaining as of December 31, 2020 is $3,513,434. The bond ordinance requires quarterly transfers of trash haulers tax to cover the current year's debt service. For the current year, principal and interest paid and total pledged revenues were $391,820and $391,820, respectively.

NOTE X – PLEDGED REVENUES (CONTINUED)

General Fund Bonds (Capital Improvement Projects)

The City has pledged any and all legally available funds and revenues of the General Fund of the City, up to the full amount of principal of, interest on and premium, if any, due in each year, for the punctual payment of the principal of, interest on and premium, if any, due in connection with the maturity of or redemption of the Series 2012 Bonds as the same respectively became due and payable. These bonds were issued March 22, 2012 in the amount of $49,000,000 with a net premium of $5,829,997. As of December 31, 2020, $31,242,000 in bonds remain outstanding. The principal and interest remaining to be paid on the bonds at December 31, 2020 is $36,652,20. Principal and interest paid for the current year and total General Fund pledged revenues were $3,330,800 and $3,330,800, respectively.

NOTE Y – SECURITY FOR CERTIFICATES OF PARTICIPATION

The Boulder Municipal Property Authority (BMPA) Taxable Certificates of Participation, Series 2015 evidence a proportionate interest in the base rentals and other revenues under a Lease Purchase Agreement dated November 1st, 2015 (the "lease"), entered between BMPA, as lessor (the "Corporation"), and the City of Boulder, Colorado as lessee between the Corporation. In accordance with State law, the City has determined to sell the Leased property to the Corporation and lease the Leased Property back from the Corporation pursuant to the terms of the lease. The Leased Property consists of the following City facilities:

Public Safety Building - The Public Safety Building is a 71,000 square foot building constructed in 1968 and renovated in 1989 located on a 4.09 acre site with 228 surface parking spaces. It serves as the primary facility for the Boulder Police Department as well as the administrative offices of the Fire Department. The property is presently zoned for public use and is located within a 500 year flood plain. The internal City appraised value for the Public Safety Building is $18,177,000.

East Boulder Community Center – The East Boulder Community Center is a 52,960 square-foot building constructed in 1991 located on an approximately 7.25 acre site. The East Boulder Community Center is a recreation and senior citizen center containing an indoor leisure pool, lap pool, locker rooms, fitness center and a gymnasium. In addition, the land upon which the East Boulder Community Center is located is adjacent to the existing East Boulder Community Park. Neither the East Boulder Community Park nor its facilities are part of the leased property. The property is presently zoned for public use and is located within a 100 year flood plain. The internal City appraised value for the East Boulder Community Center is $17,746,000.

Park Central Building – The Park Central Building is a 20,910 square-foot building constructed in 1973 located on an approximately 0.35 acre site. The Park Central Building consists primarily of City offices, including the City's building permit office. The building presently holds 93 employees and the property includes 17 covered parking spaces. In addition, 1,307 square feet of the building is presently leased to the operator of a small restaurant. The property is presently zoned for public use and is located within a 100 year flood plain. The internal City appraised value for the Park Central Building is $5,030,000. After November 1, 2019, the Park Central Building was released as being a Leased Property.

NOTE Y – SECURITY FOR CERTIFICATES OF PARTICIPATION

In the event of termination of the City's obligations under the Lease upon the occurrence of an Event of Nonappropriation or an Event of Default, the City is required to vacate and surrender the leased property. Whenever any Event of Default has happened and is continuing, the Trustee, acting for the Corporation, may take one or any combination of remedial steps as outlined in the 2015 Certificate of Participation Official Statement dated October 27, 2015.

The Boulder Municipal Property Authority (BMPA) Taxable Certificates of Participation, Series 2019 evidence a proportionate interest in the base rentals and other revenues under a Lease Purchase Agreement dated September 1st, 2019 (the "lease"), entered between BMPA, as lessor (the "Corporation"), and the City of Boulder, Colorado as lessee between the Corporation. In accordance with State law, the City has determined to sell the Leased property to the Corporation and lease the Leased Property back from the Corporation pursuant to the terms of the lease. The Leased Property consists of the following City facilities:

Municipal Building – The Municipal Building is a 23,657 square-foot building constructed in 1951 located on an approximately 2.01-acre site. The property is located one-half block from the central downtown business district and two blocks from the Pearl Street Mall shopping district. The Municipal Building is a two-story building which includes offices, reception areas, conference rooms kitchen areas and restrooms. The center portion of the building is the Council Chambers where the Boulder City Council meetings are held. The property is presently zoned for public use and is located within a 100-year flood plain. The internal City appraised value for the Municipal Building is $12,840,000.

Atrium Building – The Atrium Building is a 11,384 square-foot office building constructed in 1969 located on a 22,500 square foot site. The property is located one-half block from the central downtown business district and two blocks from the Pearl Street Mall shopping district. The Atrium Building is also located a half block from the Municipal Building. The Atrium Building is a two-story building that contains office space, reception areas, conference rooms and a modest kitchen and restrooms. The property is presently zoned for public use and is located within a 100-year flood plain. The internal City appraised value for the Atrium Building is $5,465,000.

In the event of termination of the City's obligations under the Lease upon the occurrence of an Event of Non-appropriation or an Event of Default, the City is required to vacate and surrender the leased property. Whenever any Event of Default has happened and is continuing, the Trustee, acting for the Corporation, may take one or any combination of remedial steps as outlined in the 2019 Certificate of Participation Official Statement dated September 10, 2019.

NOTE Z – DEFERRED INFLOWS AND OUTFLOWS OF RESOURCES

Deferred inflows and outflows of resources are discussed in Note A 12. As of December 31, 2020, deferred inflows and outflows of resources consisted of the following (in 000's):

Government Wide	Governmental Activities	Business-type Activities	Total
Deferred Outflows - Related to PERA	$ 13,476	$ 2,688	$ 16,164
Deferred Outflows - Old Hire Police Pension	493	-	493
Deferred Outflows - Old Hire Fire Pension	428	-	428
Deferred Outflows - Related to PERA OPEB	1,123	204	1,327
Deferred Outflows - Related to City OPEB	524	62	586
Deferred Outflows - Other	44	628	672
Total Deferred Outflows	$ 16,088	$ 3,582	$ 19,670

	Governmental Activities	Business-type Activities	Total
Deferred Inflows - Related to PERA	$ 32,328	$ 6,268	$ 38,596
Deferred Inflows - Old Hire Police Pension	1,017	-	1,017
Deferred Inflows - Old Hire Fire Pension	1,108	-	1,108
Deferred Inflows - Property Taxes	48,268	1,750	50,018
Deferred Inflows - Related to PERA OPEB	2,128	403	2,531
Deferred Inflows - Related to City OPEB	1,922	304	2,226
Total Deferred Inflows	$ 86,771	$ 8,725	$ 95,496

Governmental Funds	General Fund	Open Space Fund	Trans-portation Fund
Deferred Inflows - Property Taxes	$ 42,971	$ -	$ -
Deferred Inflows - Grants and Other	3,059	3,191	2,680
Total Deferred Inflows	$ 46,030	$ 3,191	$ 2,680

	Other Governmental Funds	Total
Deferred Inflows - Property Taxes	$ 5,297	$ 48,268
Deferred Inflows - Grants and Other	473	9,403
Total Deferred Inflows	$ 5,770	$ 57,671

NOTE Z – DEFERRED INFLOWS AND OUTFLOWS OF RESOURCES (CONTINUED)

Proprietary Funds	Water Utility Fund	Wastewater Utility Fund	Stormwater and Flood Management Fund
Deferred Outflows - Related to PERA Pension	$ 1,192	$ 844	$ 345
Deferred Outflows - Related to PERA OPEB	93	56	34
Deferred Outflows - Related to City OPEB	25	18	9
Deferred Outflows - Other	12	591	-
Total Deferred Outflows	$ 1,322	$ 1,509	$ 388
Deferred Inflows - Property Taxes	$ -	$ -	$ -
Deferred Inflows - Related to PERA	2,698	1,799	1,113
Deferred Inflows - Related to PERA OPEB	179	114	68
Deferred Inflows - Related to City OPEB	124	88	49
Total Deferred Inflows	$ 3,001	$ 2,001	$ 1,230

Proprietary Funds	Downtown Commercial District	Nonmajor Enterprise Funds	Total Enterprise Funds	Total Internal Service Funds
Deferred Outflows - Related to PERA Pension	$ 239	$ 68	$ 2,688	$ 238
Deferred Outflows - Related to PERA OPEB	18	3	204	27
Deferred Outflows - Other	25	-	628	44
Total Deferred Outflows	$ 291	$ 72	$ 3,582	$ 316
Deferred Inflows - Property Taxes	$ 1,352	$ 398	$ 1,750	$ -
Deferred Inflows - Related to PERA	592	66	6,268	1,190
Deferred Inflows - Related to PERA OPEB	37	5	403	68
Deferred Inflows - Related to City OPEB	37	6	304	34
Total Deferred Inflows	$ 2,018	$ 475	$ 8,725	$ 1,292

NOTE AA – TAX ABATEMENTS

The City of Boulder has a Flexible Rebate Program which encourages the growth and retention of primary employers in Boulder by offering rebates for primary employers who are looking to grow and expand within Boulder, provided they meet eligibility requirements and sustainability guidelines. Primary employers are defined as companies that receive at least 50% of their revenue from outside Boulder County.

NOTE AA – TAX ABATEMENTS (CONTINUED)

Rebates can be approved for building permit taxes and fees paid to the city, as well as city sales and use taxes paid on fixed asset purchases. Companies only receive the rebate after submitting receipts for taxes and fees.

For the fiscal year ended December 31, 2020, the City abated taxes and fees totaling $142,513 under this program, including the following rebate payments that each exceeded 10 percent of the total amount abated:

- A $100,000 rebate payment for a manufacturing company that that invests in the community, is expanding their facilities and increasing employment.
- A $17,752 rebate payment for a consumer robotics company that promotes community involvement, use of public transit, is expanding their facilities and increasing employment.

NOTE AB – SUBSEQUENT EVENTS

On January 19, 2021, the City issued City of Boulder, Colorado General Fund Refunding Notes (Capital Improvement Projects), Series 2021 in the principal amount of $26,795,000. The purpose of the note was to advance refund the City's General Fund Capital Improvement Project Bonds, Series 2012. The refunding will result in $2,655,469 present value savings over the life of the outstanding debt.

NOTE AC – CHANGE IN ACCOUNTING PRINCIPLES

For the year ended December 31, 2020, the City adopted GASB Statement No. 83, *Certain Asset Retirement Obligations*. This Statement addresses accounting and financial reporting for certain asset retirement obligations (AROs). An ARO is a legally enforceable liability associated with the retirement of a tangible capital asset. A government that has legal obligations to perform future asset retirement activities related to its tangible capital assets should recognize a liability based on the guidance in this Statement. The City reviewed necessary agreements and determined that the City currently does not have an ARO and therefore does not have a related liability to recognize.

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REQUIRED SUPPLEMENTARY INFORMATION

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Changes in Net Pension Liability
and Related Ratios

Old Hire Police Pension Fund

Fiscal Year Ending December 31,

Last Ten Fiscal Years*

	2020	2019	2018	2017	2016	2015	2014
Total Pension Liability							
Interest on total pension liability	$ 908,652	$ 930,434	$ 971,375	$ 998,989	$ 1,042,311	$ 1,068,529	$ 1,097,208
Effect of economic/demographic (gains) or losses	213,898	94,564	(189,498)	(57,785)	1,820,754	9,185	7,180
Effect of assumption changes or inputs	325,248	-	-	-	-	-	-
Benefit payments	(1,256,000)	(1,461,000)	(1,364,000)	(1,368,000)	(1,411,000)	(1,443,000)	(1,529,000)
Net change in total pension liability	191,798	(436,002)	(582,123)	(426,796)	1,452,065	(365,286)	(424,612)
Total pension liability, beginning	14,597,365	15,033,367	15,615,490	16,042,286	14,590,221	14,955,507	15,380,119
Total pension liability, ending (a)	$ 14,789,163	$ 14,597,365	$ 15,033,367	$ 15,615,490	$ 16,042,286	$ 14,590,221	$ 14,955,507
Fiduciary Net Position							
Employer contributions	$ 321,000	$ 411,000	$ 377,000	$ 314,000	$ 314,000	$ 304,000	$ 305,000
Member contributions	-	-	-	-	-	-	1,000
Investment income net of investment expenses	850,000	2,024,000	(432,000)	1,588,000	937,000	(228,000)	635,000
Benefit payments	(1,256,000)	(1,461,000)	(1,364,000)	(1,368,000)	(1,411,000)	(1,443,000)	(1,529,000)
Administrative expenses	-	(4,000)	(8,000)	-	(10,000)	(13,000)	(14,000)
Net change in plan fiduciary net position	(85,000)	970,000	(1,427,000)	534,000	(170,000)	(1,380,000)	(602,000)
Fiduciary net position, beginning	12,357,000	11,387,000	12,814,000	12,280,000	12,450,000	13,830,000	14,432,000
Fiduciary net position, ending (b)	$ 12,272,000	$ 12,357,000	$ 11,387,000	$ 12,814,000	$ 12,280,000	$ 12,450,000	$ 13,830,000
Net pension liability, ending (a) - (b)	$ 2,517,163	$ 2,240,365	$ 3,646,367	$ 2,801,490	$ 3,762,286	$ 2,140,221	$ 1,125,507
Fiduciary net position as a % of total pension liability	82.98%	84.65%	75.74%	82.06%	76.55%	85.33%	92.47%
Covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Net pension liability as a % of covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Note to Schedule:
No active members are covered by this plan; therefore, payroll information is not applicable.

* Additional years' information will be displayed as it becomes available.

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Employer Contributions

Old Hire Police Pension Fund

Fiscal Year Ending December 31	Actuarially Determined Contribution	Actual Employer Contribution	Contribution Deficiency (Excess)	Covered Payroll	Contribution as a % of Covered Payroll
2011	$ 188,544	152,000	36,544	129,818	117.09%
2012	219,204	222,000	(2,796)	130,326	170.34%
2013	237,055	222,000	15,055	35,965	617.27%
2014	181,916	305,000	(123,084)	N/A	N/A
2015	181,916	304,000	(122,084)	N/A	N/A
2016	314,204	314,000	204	N/A	N/A
2017	314,204	314,000	204	N/A	N/A
2018	282,778	377,000	(94,222)	N/A	N/A
2019	282,778	411,000	(128,222)	N/A	N/A
2020	320,591	321,000	(409)	N/A	N/A

Note to Schedule:

Full actuarial valuations are performed biannually on even years.

See Notes to Required Supplementary Information for other significant methods and assumptions.

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Investment Returns

Old Hire Police Pension Fund

Last Ten Fiscal Years*

Fiscal Year Ending December 31,	Net Annual Money-Weighted Rate of Return
2014	4.59%
2015	-1.72%
2016	7.86%
2017	13.52%
2018	-3.50%
2019	18.54%
2020	7.25%

Note to Schedule:
* Additional years' information will be displayed as it becomes available.

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Changes in Net Pension Liability
and Related Ratios

Old Hire Fire Pension Fund

Fiscal Year Ending December 31,

Last Ten Fiscal Years*

	2020	2019	2018	2017	2016	2015	2014
Total Pension Liability							
Interest on total pension liability	$ 592,912	$ 624,178	$ 648,210	$ 673,854	$ 761,693	$ 789,618	$ 831,605
Effect of economic/demographic (gains) or losses	140,809	(41,328)	(13,251)	(37,670)	510,898	(69,656)	(48,180)
Effect of assumptions changes or inputs	190,347						
Benefit payments	(1,138,000)	(992,000)	(1,017,000)	(1,044,000)	(1,076,000)	(1,108,000)	(1,542,000)
Net change in total pension liability	(213,932)	(409,150)	(382,041)	(407,816)	196,591	(388,038)	(758,575)
Total pension liability, beginning	9,681,768	10,090,918	10,472,959	10,880,775	10,684,184	11,072,222	11,831,797
Total pension liability, ending (a)	$ 9,467,836	$ 9,681,768	$ 10,090,918	$ 10,472,959	$ 10,880,775	$ 10,684,184	$ 11,073,222
Fiduciary Net Position							
Employer contributions	$ 94,000	$ 210,000	$ 222,000	$ 173,000	$ 173,000	$ 64,000	$ 64,000
Member contributions	-	-	-	-	-	-	1,000
Investment income net of investment expenses	1,109,000	1,449,000	(459,000)	1,191,000	562,000	(183,000)	334,000
Benefit payments	(1,138,000)	(992,000)	(1,017,000)	(1,044,000)	(1,076,000)	(1,108,000)	(1,542,000)
Administrative expenses	(1,000)	(4,000)	(4,000)	-	(10,000)	(15,000)	(11,000)
Net change in plan fiduciary net position	64,000	663,000	(1,258,000)	320,000	(351,000)	(1,242,000)	(1,154,000)
Fiduciary net position, beginning	9,196,000	8,533,000	9,791,000	9,471,000	9,822,000	11,064,000	12,218,000
Fiduciary net position, ending (b)	$ 9,260,000	$ 9,196,000	$ 8,533,000	$ 9,791,000	$ 9,471,000	$ 9,822,000	$ 11,064,000
Net pension liability, ending (a) - (b)	$ 207,836	$ 485,768	$ 1,557,918	$ 681,959	$ 1,409,775	$ 862,184	$ 9,222
Fiduciary net position as a % of total pension liability	97.80%	94.98%	84.56%	93.49%	87.04%	91.93%	99.92%
Covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Net pension liability as a % of covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Note to Schedule:
No active members are covered by this plan; therefore, payroll information is not applicable.
Information prior to 2014 was not available.

* Additional years' information will be displayed as it becomes available.

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Employer Contributions

Old Hire Fire Pension Fund

Fiscal Year Ending December 31	Actuarially Determined Contribution	Actual Employer Contribution	Contribution Deficiency (Excess)	Covered Payroll	Contribution as a % of Covered Payroll
2011	$ 60,510	104,000	(43,490)	N/A	N/A
2012	156,888	162,000	(5,112)	N/A	N/A
2013	97,999	159,000	(61,001)	N/A	N/A
2014	-	64,000	(64,000)	N/A	N/A
2015	-	64,000	(64,000)	N/A	N/A
2016	172,790	173,000	(210)	N/A	N/A
2017	172,790	173,000	(210)	N/A	N/A
2018	87,766	222,000	(134,234)	N/A	N/A
2019	87,766	210,000	(122,234)	N/A	N/A
2020	93,692	94,000	(308)	N/A	N/A

Note to Schedule:

Full actuarial valuations are performed biannually on even years. Covered payroll data shown for 2009 is based on the prior year's amount.

See Notes to Required Supplementary Information for other significant methods and assumptions.

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Investment Returns

Old Hire Fire Pension Fund

Last Ten Fiscal Years*

Fiscal Year Ending December 31,	Net Annual Money-Weighted Rate of Return
2014	2.90%
2015	-1.74%
2016	6.01%
2017	13.18%
2018	-4.88%
2019	17.73%
2020	12.74%

Note to Schedule:

* Additional years' information will be displayed as it becomes available.

CITY OF BOULDER, COLORADC

Required Supplementary Information

Notes to Required Supplementary Information

Actuarial Assumptions

	"Old Hire" Police Defined Benefit Plan (See Note U)	"Old Hire" Fire Defined Benefit Plan (See Note U)	City of Boulder Retiree Health Care Benefit Plan (See Note W)
Actuarial valuation date	1/1/2020	1/1/2020	1/1/2019
Actuarial cost method	Entry age normal	Entry age normal	Entry age normal
Amortization method	Open - Based on Expected Lifetime	Open - Based on Expected Lifetime	Open level percent of pay
Remaining amortization period	14 years	11 years	30 years
Asset valuation method	3-year smoothing	market value of assets	NA - nonfunded plan
Investment rate of return	6.5%	6.5%	NA - nonfunded plan
Inflation rate	2.50%	2.50%	2.5%
Salary increases	Not applicable	Not applicable	3.0%
Administrative Expense	NA	NA	Claims expenses are loaded into claims costs for all health benefits.
Retirement age	NA - no actives	NA - no actives	Age and service eligibility requirements for PERA (Management and BMEA employees) and city provided pensions (Fire and Police)
Retiree mortality	MP-2019 Improvement Scale	MP-2019 Improvement Scale	Healthy lives use the Pub-2010 Healthy Annuitant Mortality Tables. Disabled Lives use the Pub-2010 Disabled Mortality Table.
Election of retirement coverage	NA	NA	25% of future eligible retired participants are assumed to participate upon retirement if they retire before age 65. After 65, they are assumed to decline coverage.
Probability of spouse coverage	NA	NA	55% of future retirees who elect coverage are assumed to elect spousal coverage upon retirement
Minimum death benefit	$515 per payperiod	$515 per payperiod	NA
First class firefighter salary	$3,457 per payperiod	$3,457 per pay period	NA
Marriage rates	Actual for retirees	Actual for retirees	NA
Health care cost trend	NA	NA	Using the Getzen Model, the trend rate starts at 2.74% for 2019 and trends upward to a rate of 4.7% in 2098.
Form of payment	Normal payment method	Normal payment method	NA

Changes in Assumptions: There were no changes to actuarial assumptions of methods in the valuation reports referenced above during the year or as a result of implemention of Governmental Accounting Standards Board Statement 67 except as disclosed below. This includes changes of benefit terms, changes in the size or composition of the population covered by the benefit terms or the use of different assumptions. The few significant changes include:

First class firefighter salary	Increased from $3,348 to $3,457 per pay period	Increased from $3,348 to $3,457 per pay period	Updated to reflect highest negotiated rate.
Investment earnings assumption	NA	NA	Updated to better reflect anticipated plan experience
Retiree mortality tables	Updated to MP-2019 Improvement Scale	Updated to MP-2019 Improvement Scale	Updated tables to Healthy Annuitant and Disabled Annuitant tables to better reflect anticipated plan experience.

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of the City's Proportionate Share of the
Colorado Public Employees' Retirement Association Net Pension Liability

Fiscal Year Ending December 31,

Last Ten Fiscal Years*

Fiscal Year	2020*	2019	2018*	2017*	2016*	2015*	2014*
Plan Measurement Date	December 31, 2019	December 31, 2018	December 31, 2017	December 31, 2016	December 31, 2015	December 31, 2014	December 31, 2013
City's proportion (percentage) of the collective net pension liability	12.3058295380%	12.4807217230%	12.8934904132%	12.3021746194%	12.3421455967%	11.9715197388%	11.9276751932%
City's proportionate share of the collective net pension liability	$ 90,003,730	$ 156,909,256	$ 143,559,990	$ 166,121,308	$ 135,958,731	$ 107,299,000	$ 98,155,000
Covered payroll	$ 81,026,290	$ 84,664,026	$ 78,333,659	$ 74,487,487	$ 68,099,369	$ 65,598,580	$ 64,077,750
City's proportionate share of the net pension liability as a percentage of its covered payroll	111.08%	185.33%	183.27%	223.02%	199.65%	163.57%	153.18%
Plan fiduciary net position as a percentage of the total pension liability	86.30%	75.96%	79.37%	73.65%	76.90%	80.70%	77.70%

** The amounts presented for each fiscal year were determined as of December 31 based on the measurement date of the Plan. Information earlier than 2014 was not available.*

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of the Contributions and Ratios
Colorado Public Employees' Retirement Association Net Pension Liability

Fiscal Year Ending December 31,

Last Ten Fiscal Years*

	2020	2019	2018	2017	2016	2015	2014
Statutorily required contributions	$ 10,274,134	$ 10,735,399	$ 10,364,132	$ 9,932,708	$ 9,445,013	$ 8,635,000	$ 8,317,900
Contributions in relation to the statutorily required contributions	10,274,134	10,735,399	10,364,132	9,932,708	9,445,013	8,635,000	8,317,900
Contribution deficiency (excess)	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Covered payroll	$ 81,026,290	$ 84,664,026	$ 81,736,054	$ 78,333,659	$ 74,487,487	$ 68,099,369	$ 65,598,580
Contribution as a percentage of of covered payroll	12.68%	12.68%	12.68%	12.68%	12.68%	12.68%	12.68%

** The amounts presented for each fiscal year were determined as of December 31. Information earlier than 2014 was not available.*

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of the City's Proportionate Share of the
Colorado Public Employees' Retirement Association Health Care Trust Fund Liability

Fiscal Year Ending December 31,

Last Ten Fiscal Years*

Fiscal Year	2020*	2019	2018	2017
Plan Measurement Date	December 31, 2019	December 31, 2018	December 31, 2017	December 31, 2016
City's proportion (percentage) of the collective net Health Care Trust Fund liability	0.9405197119%	0.9659273462%	0.9992691192%	0.9417482789%
City's proportionate share of the collective net Health Care Trust Fund liability	$ 10,571,423	$ 13,141,847	$ 12,986,501	$ 12,210,087
Covered payroll	$ 81,026,290	$ 84,664,026	$ 78,333,659	$ 74,487,487
City's proportionate share of the net Health Care Trust Fund liability as a percentage of its covered payroll	13.05%	15.52%	16.58%	16.39%
Plan fiduciary net position as a percentage of the total Health Care Trust Fund liability	24.49%	17.03%	17.53%	16.72%

** The amounts presented for each fiscal year were determined as of December 31 based on the measurement date of the Plan. Information earlier than 2017 was not available.*

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of the Contributions and Ratios
Colorado Public Employees' Retirement Association Health Care Trust Fund Liability

Fiscal Year Ending December 31,

Last Ten Fiscal Years*

	2020*	2019	2018	2017
Statutorily required contributions	$ 826,468	$ 863,573	$ 833,708	$ 799,003
Contributions in relation to the statutorily required contributions	826,468	863,573	833,708	799,003
Contribution deficiency (excess)	$ -	$ -	$ -	$ -
Covered payroll	$ 81,026,290	$ 84,664,026	$ 81,736,054	$ 78,333,659
Contribution as a percentage of of covered payroll	1.02%	1.02%	1.02%	1.02%

** The amounts presented for each fiscal year were determined as of December 31. Information earlier than 2017 was not available.*

CITY OF BOULDER, COLORADO

Required Supplementary Information

Schedule of Changes in Total OPEB Liability
and Related Ratios

OPEB Liability - City of Boulder Retiree Health Care Benefit Plan

Fiscal Year Ending December 31,

Last Ten Fiscal Years*

	2020*	2019	2018
Total OPEB Liability - City			
Service cost	$ 303,959	$ 491,680	$ 409,308
Interest on total OPEB liability	186,549	246,205	244,903
Effect of plan changes	-	-	-
Effect of economic/demographic gains of losses	510,140	(627,461)	-
Effect of assumption changes or inputs	-	(2,272,228)	208,579
Benefit payments	(226,357)	(288,623)	(245,534)
Net change in total OPEB Liability - City	774,291	(2,450,427)	617,256
Total OPEB liability - City, beginning	4,358,079	6,808,506	6,191,250
Total OPEB liability - City, ending	$ 5,132,370	$ 4,358,079	$ 6,808,506
Covered payroll	N/A	N/A	N/A
Total OPEB liability as a % of covered payroll	N/A	N/A	N/A

** Information before 2017 was not available.*

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APPENDIX B

SUMMARY OF CERTAIN PROVISIONS OF THE BOND ORDINANCE

Set forth below are the definitions of some of the terms used in this Official Statement, as well as summaries of certain provisions of the Bond Ordinance. These summaries do not purport to be definitive summaries of all provisions of the Bond Ordinance; investors must obtain and review each of those documents in order to obtain descriptions of all provisions. Copies of the Bond Ordinance may be obtained from the sources listed in "INTRODUCTION--Additional Information."

Certain Definitions

The terms below are defined for all purposes of the Bond Ordinance and of any instrument amendatory thereof or supplemental thereto, and of any other instrument or any other document appertaining thereto, except where the context by clear implication otherwise requires, shall have the meanings specified below:

"*Bond Fund*" means the "City of Boulder, Colorado, Water and Sewer Revenue Bonds, Series 2022 Interest and Bond Retirement Fund" created in Section 4.01(a) of the Bond Ordinance and required to be accumulated and maintained in Section 5.15 of the Bond Ordinance (see "Reserve Fund" below).

"*Charter*" means the home rule charter of the City.

"*Chief Financial Officer*" means the Chief Financial Officer or Interim Chief Financial Officer of the City, or his or her designee.

"*City*" means the City of Boulder, Colorado, and its successors.

"*City Manager*" means the City Manager of the City.

"*Clerk*" means the City Clerk of the City.

"*Code*" means the Internal Revenue Code of 1986, as amended.

"*Commitment*" means that certain offer dated April 25, 2022 to issue the 2022 Reserve Policy designated as the Commitment, issued by the 2022 Reserve Policy Provider.

"*Council*" means the City Council of the City.

"*Event of Default*" means any of the events stated in Section 10.03 of the Bond Ordinance. See "Events of Default and Remedies" below.

"*Facilities*" means, collectively, the Sewer System and the Water System of the City.

"*Federal Securities*" means bills, certificates of indebtedness, notes, bonds or similar securities which are direct obligations of, or the principal and interest of which securities are unconditionally guaranteed by, the United States of America or evidences of such indebtedness which are noncallable at the option of the issuer thereof.

"*Fiscal Year*" for the purposes of the Bond Ordinance means the Fiscal Year as provided by State law.

"*Gross Income*" means all income and revenues derived directly or indirectly by the City from the operation and use of the Facilities, as may be designated, or any part thereof, whether resulting from improvements, extensions, enlargements, repairs or betterments thereto, or otherwise, including interest earnings on moneys in any fund or account created by the Bond Ordinance and includes all revenues earned by the City therefrom, including without limiting the generality of the foregoing, all rentals, fees, rates and other charges for the use thereof, or for any service rendered by the City in the operation thereof, but excluding any moneys received as grants, appropriations or gifts from the United States of America, the State, or other sources, the use of which is limited by the grantor or donor to the construction of capital improvements therefor, except to the extent any such moneys shall be received as payments for the use of the Facilities, or any part thereof.

"*Hereby*," "*herein*," "*hereinabove*," "*hereinafter*," "*hereinbefore*," "*hereof*," "*hereto*," "*hereunder*," and any similar term refer to the Bond Ordinance and not solely to the particular portion thereof in which such work is used; "*heretofore*" means before the adoption of the Bond Ordinance; and "*hereafter*" means after the adoption of the Bond Ordinance.

"*Independent Accountant*" means any certified public accountant, or any firm of such certified public accountants, duly licensed to practice and practicing as such under the laws of the State, appointed and paid by the Council, in the name of the City, as determined by the Council:

(i) who is, in fact, independent and not under the domination of the City;

(ii) who does not have any substantial interest, direct or indirect, with the City; and

(iii) who is not connected with the City as an officer or employee thereof, but who may be regularly retained to make annual or similar audits of any books or records of the City.

"*Instrument*" means the Bond Ordinance, designated in Section 1.01 thereof by the short title "Series 2022 Bond Ordinance;" and the terms "instrument of the City," "instrument of the Council," "amendatory instrument," "supplemental instrument," or any phrase of similar import means any ordinance adopted by the Council on behalf of the City.

"*Insured Bank*" means a bank which is a member of the Federal Deposit Insurance Corporation or Federal Savings and Loan Insurance Corporation.

"*Issuance Expense Fund*" means the "City of Boulder, Colorado Water and Sewer Revenue Bonds, Series 2022 Issuance Expense Fund" created in Section 4.01(c) of the Bond Ordinance.

"*Mayor*" means the Mayor of the City.

"*Minimum Bond Reserve*" means an amount equal to not less than the average annual debt service on the 2022 Bonds and all other Parity Bonds, less amounts on deposit in any reserve fund in connection with Parity Bonds heretofore or hereafter issued; provided, however that notwithstanding the foregoing, upon satisfaction of the conditions set forth in Section 4.01(a) of the Bond Ordinance, the requirement of establishing and maintaining the Reserve Fund and the Minimum Bond Reserve, if any, for the 2022 Bonds shall be at the election of the City, in its sole discretion.

"*Net Income*" means the Gross Income derived from the operation and use of the Sewer System and the Water System as may be designated, after the deduction of the Operation and Maintenance Expenses other than those Operation and Maintenance Expenses set forth in clause (a) of the definition of Operation and Maintenance Expenses set forth in the Bond Ordinance.

"*Operation and Maintenance Expenses*" means all reasonable and necessary current expenses of the City, paid or accrued, for operating, maintaining and repairing the Water System and the Sewer System as may be designated; and the term may include at the City's option (except as limited by law), without limiting the generality of the foregoing, (a) engineering, auditing, reporting, legal and other overhead expenses of the City directly related to the administration, operation and maintenance thereof; (b) insurance and fidelity bond premiums; (c) the reasonable charges of the Paying Agent and any other depositary bank appertaining thereto; (d) payments to pension, retirement, health and hospitalization funds; (e) any taxes, assessments or other charges which may be lawfully imposed on the City or its income or operations of any properties under its control and appertaining thereto; (f) ordinary and current rentals of equipment or other property; (g) refunds of any revenues lawfully due to others; (h) expenses in connection with the issuance of bonds or other securities evidencing any loan to the City and payable from Gross Income; (i) the expenses and compensation of any trustee or other fiduciary; (j) contractual services and professional services required by the Bond Ordinance; (k) salaries, labor and the cost of materials and supplies used for current operation; and (l) all other third party administrative, general and commercial expenses, but:

(i) excluding any allowance for depreciation or any amounts for capital replacements;

(ii) excluding the costs of improvements, extensions, enlargements, and betterments (or any combination thereof) that qualify as capital items in accordance with generally accepted accounting principles, or any reserves therefor;

(iii) excluding any reserves for operation, maintenance or repair of the Facilities;

(iv) excluding any allowance for the redemption of any bond or other security evidencing a loan, or the payment of any interest thereon, or any reserve therefor; and

(v) excluding liabilities incurred by the City as the result of its negligence in the operation of the Facilities or other ground of legal liability not based on contract, or any reserve therefor.

"*Ordinance No. 7875*" means Ordinance No. 7875, introduced, passed, and adopted by the Council on the 16th day of October 2012.

"*Ordinance No. 8074*" means Ordinance No. 8074, introduced, passed, and adopted by the Council on the 1st day of September 2015.

"*Ordinance No. 8117*" means Ordinance No. 8117, introduced, passed, and adopted by the Council on the 3rd day of May 2016.

"*Ordinance No. 8255*" means Ordinance No. 8255, introduced, passed, and adopted by the Council on the 15th day of May 2018.

"*Ordinance No. 8408*" means Ordinance No. 8408, introduced, passed, and adopted by the Council on the 21st day of July 2020.

"*Original Purchaser*" means the Underwriter of the 2022 Bonds.

"*Outstanding*" when used with reference to bonds as of any particular date means all bonds payable from the Net Income of the Facilities in any manner theretofore and thereupon being executed and delivered:

(i) except any bond canceled by the City, by the Paying Agent, or otherwise on the City's behalf, at or before said date;

(ii) except any bond for the payment or the redemption of which moneys at least equal to the principal amount of, any prior redemption premium due in connection with, and the interest on the bond to the date of maturity or the prior redemption date, shall have theretofore been deposited with a commercial bank in escrow or in trust for that purpose, as provided in Section 9.01 if the Bond Ordinance; and

(iii) except any bond in lieu of or in substitution for which another bond shall have been executed and delivered pursuant to Section 3.05, Section 3.06 or Section 11.05 of the Bond Ordinance.

"*Parity Bonds*" means the 2012 Bonds, the 2015 Bonds, the 2016 Bonds, the 2018 Bonds and the 2020 Note, and any bonds or other obligations payable from Net Income on a parity with the 2022 Bonds authorized to be issued by the Bond Ordinance.

"*Paying Agent*" means U.S. Bank Trust Company, National Association, or its successors, acting under the Bond Ordinance as, among other things, paying agent, registrar and authenticating agent.

"*Permitted Investments*" means any investment permitted by the laws of the State and the City's investment policies.

"*Person*" means a corporation, firm, other body corporate, partnership, association or individual, and also includes an executor, administrator, trustee, receiver or other representative appointed according to law.

"*Prior Ordinances*" means, collectively, Ordinance No. 7875, Ordinance No. 8074, Ordinance No. 8117, Ordinance No. 8255 and Ordinance 8408.

"*Project*" means the construction, reconstruction, improvement, rehabilitation and equipping of capital improvements to the City's Water System and Sewer System, including but not limited to, the 63rd Street Water Treatment Plant, the Albion Lake Dam and pipelines to the Boulder Water Resource Recovery Facility.

"*Project Fund*" means the "City of Boulder, Colorado Water and Sewer Revenue Bonds, Series 2022 Project Fund" created in Section 4.01(b) of the Bond Ordinance.

"*Rebate Fund*" means the "City of Boulder, Colorado, Water and Sewer Revenue Bonds, Series 2022 Rebate Fund" created in Section 5.16 of the Bond Ordinance.

"*Rebate Income Account*" means the Rebate Income Account created in Section 5.16 of the Bond Ordinance.

"*Rebate Principal Account*" means the Rebate Principal Account created in Section 5.16 of the Bond Ordinance.

"*Record Date*" shall mean the 15th day of the month prior to each interest payment date with respect to the 2022 Bonds.

"*Registered Owner*" or "*holder*" shall mean the Person or Persons in whose name or names a bond shall be registered on the registration books of the City maintained by the Paying Agent.

"*Reserve Fund*" means the "City of Boulder, Colorado, Water and Sewer Revenue Bonds, Series 2022 Reserve Fund" created in Section 4.01 of the Bond Ordinance.

"*Sewer Income Fund*" means the "City of Boulder Sewer Income Fund," created and designated as the "City of Boulder Gross Income Sewer Fund" in Section 9, Ordinance No. 2000, and directed to be continued and redesignated in Section 5.02 of the Bond Ordinance.

"Sewer System" means the City's municipally-owned sanitary sewer system, consisting of all properties, real, personal, mixed, or otherwise, now owned or hereafter acquired by the City through purchase, construction, or otherwise, or reasonably necessary for the operation of the sanitary sewer system regardless of ownership of the capital asset, and used in connection with the sanitary sewer system of the City, and in any way appertaining thereto, whether situated within or without the corporate boundaries of the City, or both within and without the corporate boundaries of the City.

"*Sewer System Operation and Maintenance Fund*" means the "City of Boulder Sewer System Operation and Maintenance Fund" created and designated in the Prior Ordinances and directed to be continued and redesignated in Section 5.03 of the Bond Ordinance.

"*State*" means the State of Colorado.

"*Subordinate Bonds*" means bonds payable from Net Income subordinate and junior to the lien of the 2022 Bonds authorized to be issued in the Bond Ordinance.

"*Supplemental Public Securities Act*" shall mean Part 2, Article 57, Title 11 of the Revised Statutes of the State of Colorado, as amended.

"*Tax Letter of Instructions*" means the Tax Letter of Instructions, dated the date of delivery of the 2022 Bonds, delivered by Kutak Rock LLP to the City, as the same may be superseded or amended.

"*2012 Bonds*" means those bonds designated as the "City of Boulder, Colorado (Acting through its Water Utility Enterprise and Wastewater Utility Enterprise), Water and Sewer Revenue Refunding Bonds, Series 2012."

"*2012 Bond Fund*" means the "City of Boulder, Colorado, Water and Sewer Revenue Refunding Bonds, Series 2012 Interest and Bond Retirement Fund," created in Ordinance No. 7875.

"*2012 Minimum Bond Reserve*" means the "Minimum Bond Reserve," as defined in Ordinance No. 7875.

"*2012 Reserve Fund*" means the "City of Boulder, Colorado, Water and Sewer Revenue Refunding Bonds, Series 2012 Reserve Fund," created in Ordinance No. 7875.

"*2012 Reserve Policy Agreement*" means the Reserve Policy Insurance Agreement, dated as of November 1, 2012, by and between the City and the 2012 Reserve Policy Provider with respect to the 2012 Bonds and the 2012 Reserve Policy.

"*2012 Reserve Policy Provider*" means Assured Guaranty Municipal Corp., and its successors and assigns.

"*2012 Reserve Policy*" means the municipal bond debt service reserve insurance policy issued by the 2012 Reserve Policy Provider guaranteeing certain payments from the Reserve Fund with respect to the 2012 Bonds.

"*2015 Bonds*" means those bonds designated as the "City of Boulder, Colorado (Acting through its Water Utility Enterprise and Wastewater Utility Enterprise), Water and Sewer Revenue Bonds, Series 2015."

"*2015 Bond Fund*" means the "City of Boulder, Colorado, Water and Sewer Revenue Bonds, Series 2015 Interest and Bond Retirement Fund," created in Ordinance No. 8074.

"*2015 Minimum Bond Reserve*" means the "Minimum Bond Reserve," as defined in Ordinance No. 8074.

"*2015 Reserve Fund*" means the "City of Boulder, Colorado, Water and Sewer Revenue Bonds, Series 2015 Reserve Fund," created in Ordinance No. 8074.

"*2015 Reserve Policy Agreement*" means the Reserve Policy Insurance Agreement, dated as of October 1, 2015, by and between the City and the 2015 Reserve Policy Provider with respect to the 2015 Bonds and the 2015 Reserve Policy.

"*2015 Reserve Policy Provider*" means Assured Guaranty Municipal Corp., and its successors and assigns.

"*2015 Reserve Policy*" means the municipal bond debt service reserve insurance policy issued by the 2015 Reserve Policy Provider guaranteeing certain payments from the Reserve Fund with respect to the 2015 Bonds.

"*2016 Bonds*" means those bonds designated as the "City of Boulder, Colorado (Acting through its Water Utility Enterprise and Wastewater Utility Enterprise), Water and Sewer Revenue Bonds, Series 2016."

"*2016 Bond Fund*" means the "City of Boulder, Colorado, Water and Sewer Revenue Bonds, Series 2016 Interest and Bond Retirement Fund," created in Ordinance No. 8117.

"*2016 Minimum Bond Reserve*" means the "Minimum Bond Reserve," as defined in Ordinance No. 8117.

"*2016 Reserve Fund*" means the "City of Boulder, Colorado, Water and Sewer Revenue Bonds, Series 2016 Reserve Fund," created in Ordinance No. 8117.

"*2016 Reserve Policy Agreement*" means the Reserve Policy Insurance Agreement, dated as of June 7, 2016, by and between the City and the 2016 Reserve Policy Provider with respect to the 2016 Bonds and the 2016 Reserve Policy.

"*2016 Reserve Policy Provider*" means Assured Guaranty Municipal Corp., and its successors and assigns.

"*2016 Reserve Policy*" means the municipal bond debt service reserve insurance policy issued by the 2016 Reserve Policy Provider guaranteeing certain payments from the Reserve Fund with respect to the 2016 Bonds.

"*2018 Bonds*" means those bonds issued and designated as the "City of Boulder, Colorado (Acting through its Water Utility Enterprise and Wastewater Utility Enterprise), Water and Sewer Revenue Bonds, Series 2018."

"*2018 Reserve Policy Agreement*" means the Reserve Policy Insurance Agreement, dated as of June 18, 2018, by and between the City and the 2018 Reserve Policy Provider with respect to the 2018 Bonds and the 2018 Reserve Policy.

"*2018 Reserve Policy Provider*" means Assured Guaranty Municipal Corp., and its successors and assigns.

"*2018 Reserve Policy*" means the municipal bond debt service reserve insurance policy issued by the 2018 Reserve Policy Provider guaranteeing certain payments from the Reserve Fund with respect to the 2018 Bonds, which shall be credited to the 2018 Reserve Fund.

"*2020 Minimum Bond Reserve*" means the "Minimum Bond Reserve," as defined in Ordinance No. 8408.

"*2020 Note*" means the note issued and designated as the "City of Boulder, Colorado (Acting through its Water Utility Enterprise and Wastewater Utility Enterprise), Water and Sewer Revenue Refunding Note, Series 2020."

"*2020 Note Fund*" means the "City of Boulder, Colorado, Water and Sewer Revenue Refunding Note, Series 2020 Interest and Bond Retirement Fund," created in Ordinance No. 8408.

"*2020 Reserve Fund*" means the "City of Boulder, Colorado, Water and Sewer Revenue Refunding Note, Series 2020 Reserve Fund," created in Ordinance No. 8408.

"*2020 Reserve Policy Agreement*" means the Reserve Policy Insurance Agreement, dated as of September 17, 2020, by and between the City and the 2020 Reserve Policy Provider with respect to the 2020 Note and the 2020 Reserve Policy.

"*2020 Reserve Policy Provider*" means Build America Mutual Assurance Company, and its successors and assigns.

"*2020 Reserve Policy*" means the municipal bond debt service reserve insurance policy issued by the 2020 Reserve Policy Provider guaranteeing certain payments from the Reserve Fund with respect to the 2020 Note, which shall be credited to the 2020 Reserve Fund.

"*2022 Bonds*" means the bonds issued under the Bond Ordinance and designated as the "City of Boulder, Colorado (Acting through its Water Utility Enterprise and Wastewater Utility Enterprise), Water and Sewer Revenue Bonds, Series 2022."

"*2022 Reserve Policy Provider*" means Build America Mutual Assurance Company, as the provider of the 2022 Reserve Policy.

"*2022 Reserve Policy*" means a municipal bond debt service reserve insurance policy issued by a 2022 Reserve Policy Provider guaranteeing certain payments from the Reserve Fund with respect to the 2022 Bonds which may be credited to the Reserve Fund.

"*Water Income Fund*" means the "City of Boulder Water Income Fund," created and designated as the "City of Boulder Gross Income Water Fund" in Section 9, Ordinance No. 2000, and directed to be continued and redesignated in Section 5.02 of the Bond Ordinance.

"*Water System*" means the City's municipally-owned water system, consisting of all properties, real personal, mixed or otherwise, now owned or hereafter acquired by the City through purchase, construction, or otherwise, or reasonably necessary for the operation of the water system regardless of ownership of the capital asset, and used in connection with the water system of the City, and in any way appertaining thereto, whether situated within or without the City limits, or both within and without the City limits.

"*Water System Operation and Maintenance Fund*" means the "City of Boulder Water System Operation and Maintenance Fund" created in Section 5.03 of Ordinance No. 5491 and directed to be continued in the Prior Ordinances and Section 5.03 of the Bond Ordinance.

First Lien Bonds; Equality of Bonds

The 2022 Bonds from time to time Outstanding are equitably and ratably secured by a lien on Net Income and shall not be entitled to any priority one over the other in the application of the Net Income regardless of the time or times of the issuance of the 2022 Bonds, it being the intention of the Council that there shall be no priority among the 2022 Bonds regardless of the fact that they may be actually issued and delivered at different times.

Pledge Securing 2022 Bonds

Subject only to the right of the City to cause amounts to be withdrawn therefrom and paid on account of Operation and Maintenance Expenses of the Facilities, the Net Income and all moneys and securities paid, or to be paid to, or held, or to be held, in any account under Article V of the Bond Ordinance or under Section 4.01 of the Bond Ordinance are pledged to secure the payment of the principal of and the interest on the 2022 Bonds; and the pledge of the resulting Net Income shall be valid and binding from and after the date of the first delivery of any 2022 Bonds, and the moneys, as received by the City and pledged, are to immediately be subject to the lien of the pledge without any physical delivery thereof or further act, and the lien of the pledge and the obligation to perform the contractual provisions made by the Bond Ordinance have priority over any or all other obligations and liabilities of the City, and the lien of the pledge shall be valid and binding as against all parties having claims of any kind in tort, contract or otherwise against the City irrespective of whether such parties have notice thereof.

Instrument Irrepealable; Ordinance to Constitute Contract

After any of the 2022 Bonds are issued, the Bond Ordinance shall constitute an irrevocable contract between the City and the holder or holders of the 2022 Bonds; and the Bond Ordinance (subject to the amendment provisions of the Bond Ordinance), if any 2022 Bonds be in fact issued, shall be and shall remain irrepealable until the 2022 Bonds and the interest thereon shall be fully paid, canceled and discharged, as provided in the Bond Ordinance.

In consideration of the purchase and the acceptance of the 2022 Bonds by those who will hold the same from time to time, the provisions of the Bond Ordinance will be deemed to be and will constitute contracts between the City and the holders from time to time of the 2022 Bonds; and the covenants and agreements in the Bond Ordinance set forth to be performed on behalf of the City will be for the equal benefit, protection and security of the holders of any and all of the Outstanding 2022 Bonds, all of which, regardless of the time or times of their issue or maturity, will be of equal rank without preference, priority or distinction of any of the 2022 Bonds over any other thereof, except as otherwise expressly provided in or pursuant to the Bond Ordinance.

Flow of Funds

Income Deposits. So long as any of the 2022 Bonds shall be Outstanding, either as to principal or interest, or both, the entire Gross Income of the Facilities shall be set aside and credited, as follows:

(a) *Sewer Income Fund*. For the purposes of the Bond Ordinance, a separate account shall continue to be set aside, maintained, and known as the "City of Boulder Sewer Income Fund" (the "Sewer Income Fund"). So long as any of the 2022 Bonds shall be Outstanding, either as to principal or interest, all Gross Income derived from the operation of the Sewer System shall continue to be credited to the Sewer Income Fund.

(b) *Water Income Fund*. For the purposes of the Bond Ordinance, a separate account shall continue to be set aside, maintained, and known as the "City of Boulder Water Income Fund" (the "Water Income Fund"). So long as any of the 2022 Bonds shall be Outstanding, either as to principal or interest, all Gross Income derived from the operation of the Water System shall continue to be credited to the Water Income Fund.

Administration of Income Funds. So long as any of the 2022 Bonds authorized by the Bond Ordinance shall be Outstanding, either as to principal or interest, or both, as provided in the Bond Ordinance (and described in subparagraphs (1) through (17) below), the following payments shall be made from the Sewer Income Fund and the Water Income Fund:

(1) *Sewer O. & M. Expenses*. First, as a first charge thereon, there shall be set aside from the Sewer Income Fund in an account heretofore created by Ordinance No. 2577 and reauthorized by the Prior Ordinances and the Bond Ordinance and known as the "City of Boulder Sewer System Operation and Maintenance Fund" (the "Sewer System Operation and Maintenance Fund"), moneys sufficient to pay Operation and Maintenance Expenses of the Sewer System as they become due and payable, and thereupon they shall be promptly paid. Any surplus remaining at the end of the Fiscal Year and not needed for Operation and Maintenance Expenses shall be transferred to the Sewer Income Fund and be used for the purposes thereof, as provided in the Bond Ordinance.

Water O. & M. Expenses. Concurrently, as a first charge thereon, there shall be set aside from the Water Income Fund in an account heretofore created and reauthorized by the Prior Ordinances and the Bond Ordinance, known as the "City of Boulder Water System Operation and Maintenance Fund" (the "Water System Operation and Maintenance Fund"), moneys sufficient to pay Operation and Maintenance Expenses of the Water System, as they become due and payable, and thereupon they shall be promptly paid. Any surplus remaining at the end of the Fiscal Year and not needed for Operation and Maintenance Expenses shall be transferred to the Water Income Fund and be used for the purposes thereof, as provided in the Bond Ordinance.

(2) *2012 Bond Fund Payments*. Second, and concurrently with the payments required to be made into the bond funds for Parity Bonds, from any moneys remaining in the Water Income Fund or Sewer Income Fund, there shall be credited to the 2012 Bond Fund the following:

(a) Interest Payments. Monthly, commencing on the first day of the month immediately succeeding the delivery of any of the 2012 Bonds, an amount in equal monthly installments necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of interest on the 2012 Bonds then Outstanding.

(b) Principal Payments. Monthly, commencing on the first day of the month immediately succeeding the delivery of any of the 2012 Bonds, an amount in equal monthly installments necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of principal of the Outstanding 2012 Bonds.

The moneys credited to the 2012 Bond Fund shall be used to pay the principal of and interest on the 2012 Bonds as the same become due.

(3) 2012 Reserve Fund Payments. Third, and concurrently with the payments required to be made into the reserve funds for Parity Bonds, from any moneys remaining in the Water Income Fund or Sewer Income Fund, except as described in "Termination of Deposits" and "Defraying Delinquencies" below, and in addition to the moneys required to be deposited in the 2012 Reserve Fund by Section 4.01 of Ordinance No. 7875, there shall be credited to the 2012 Reserve Fund any moneys necessary to make up any deficiency in the 2012 Reserve Fund, to the extent moneys on deposit in the 2012 Reserve Fund are less than the 2012 Minimum Bond Reserve. No payment need be made into the 2012 Reserve Fund so long as the moneys therein are at least equal to the 2012 Minimum Bond Reserve. The moneys in the 2012 Reserve Fund shall be maintained as a continuing reserve to be used, except as described in "Termination of Deposits" and "Defraying Delinquencies" below, only to prevent deficiencies in the payment of the principal of and the interest on the 2012 Bonds resulting from the failure to deposit into the 2012 Bond Fund sufficient funds to pay said principal and interest as the same accrue. Except as otherwise provided in the Bond Ordinance, if a deficiency in the 2012 Reserve Fund arises due to a transfer from the 2012 Reserve Fund to the 2012 Bond Fund, then such deficiency shall be made up from the Sewer Income Fund as soon as any moneys become available therein. Any moneys at any time in the 2012 Reserve Fund in excess of the 2012 Minimum Bond Reserve, including investment earnings derived from amounts on deposit in the 2012 Reserve Fund, may be withdrawn therefrom and transferred to the 2012 Bond Fund.

(4) 2015 Bond Fund Payments. Fourth, concurrently with the payments required to be made into the bond funds for Parity Bonds, from any moneys remaining in the Water Income Fund or Sewer Income Fund, there shall be credited to the 2015 Bond Fund the following:

(a) Interest Payments. Monthly, commencing on the first day of the month immediately succeeding the delivery of any of the 2015 Bonds, an amount in equal monthly installments necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of interest on the 2015 Bonds then Outstanding.

(b) Principal Payments. Monthly, commencing on the first day of the month immediately succeeding the delivery of any of the 2015 Bonds, an amount in equal monthly installments necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of principal of the Outstanding 2015 Bonds.

The moneys credited to the 2015 Bond Fund shall be used to pay the principal of and interest on the 2015 Bonds as the same become due.

(5) 2015 Reserve Fund Payments. Fifth, and concurrently with the payments required to be made into the reserve funds for Parity Bonds, from any moneys remaining in the Water Income Fund or Sewer Income Fund, except as provided in Sections 5.17 and 5.18, and in addition to the moneys required to be deposited in the 2015 Reserve Fund by Section 4.01 of Ordinance No. 8074, there shall be credited to the 2015 Reserve Fund any moneys necessary to

make up any deficiency in the 2015 Reserve Fund, to the extent moneys on deposit in the 2015 Reserve Fund are less than the 2015 Minimum Bond Reserve. No payment need be made into the 2015 Reserve Fund so long as the moneys therein are at least equal to the 2015 Minimum Bond Reserve. The moneys in the 2015 Reserve Fund shall be maintained as a continuing reserve to be used (including draws on the 2015 Reserve Policy), except as described in "Termination of Deposits" and "Defraying Delinquencies" below, only to prevent deficiencies in the payment of the principal of and the interest on the 2015 Bonds resulting from the failure to deposit into the 2015 Bond Fund sufficient funds to pay said principal and interest as the same accrue. Except as otherwise provided in the Bond Ordinance, if a deficiency in the 2015 Reserve Fund arises due to a transfer from the 2015 Reserve Fund to the 2015 Bond Fund (or a draw on the 2015 Reserve Policy), then such deficiency shall be made up from the Sewer Income Fund as soon as any moneys become available therein. Any moneys at any time in the 2015 Reserve Fund in excess of the 2015 Minimum Bond Reserve, including investment earnings derived from amounts on deposit in the 2015 Reserve Fund, may be withdrawn therefrom and transferred to the 2015 Bond Fund.

(6) 2016 Bond Fund Payments. Sixth, and concurrently with the payments required to be made into the bond funds for Parity Bonds, from any moneys remaining in the Water Income Fund or Sewer Income Fund, there shall be credited to the 2016 Bond Fund the following:

(a) Interest Payments. Monthly, commencing on the first day of the month immediately succeeding the delivery of any of the 2016 Bonds, an amount in equal monthly installments necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of interest on the 2016 Bonds then Outstanding.

(b) Principal Payments. Monthly, commencing on the first day of the month immediately succeeding the delivery of any of the 2016 Bonds, an amount in equal monthly installments necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of principal of the Outstanding 2016 Bonds.

The moneys credited to the 2016 Bond Fund shall be used to pay the principal of and interest on the 2016 Bonds as the same become due.

(7) 2016 Reserve Fund Payments. Seventh, and concurrently with the payments required to be made into the reserve funds for Parity Bonds, from any moneys remaining in the Water Income Fund or Sewer Income Fund, except as provided in Sections 5.17 and 5.18, and in addition to the moneys required to be deposited in the 2016 Reserve Fund by Section 4.01 of Ordinance No. 8117, there shall be credited to the 2016 Reserve Fund any moneys necessary to make up any deficiency in the 2016 Reserve Fund, to the extent moneys on deposit in the 2016 Reserve Fund are less than the 2016 Minimum Bond Reserve. No payment need be made into the 2016 Reserve Fund so long as the moneys therein are at least equal to the 2016 Minimum Bond Reserve. The moneys in the 2016 Reserve Fund shall be maintained as a continuing reserve to be used, except as described in "Termination of Deposits" and "Defraying Delinquencies" below, only to prevent deficiencies in the payment of the principal of and the interest on the 2016 Bonds resulting from the failure to deposit into the 2016 Bond Fund sufficient funds to pay said principal and interest as the same accrue. Except as otherwise provided in the Bond Ordinance, if a deficiency in the 2016 Reserve Fund arises due to a transfer from the 2016 Reserve Fund to the 2016 Bond Fund, then such deficiency shall be made up from the Water Income Fund or Sewer Income Fund as soon as any moneys become available therein. Any moneys at any time in the 2016 Reserve Fund in excess of the 2016 Minimum Bond Reserve, including investment earnings derived from amounts on deposit in the 2016 Reserve Fund, may be withdrawn therefrom and transferred to the 2016 Bond Fund.

(8) 2018 Bond Fund Payments. Eighth, and concurrently with the payments required to be made into the bond funds for Parity Bonds, from any moneys remaining in the Sewer Income Fund, there shall be credited to the 2018 Bond Fund the following:

(a) Interest Payments. Monthly, commencing on the first day of the month immediately succeeding the delivery of any of the 2018 Bonds, an amount in equal monthly installments necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of interest on the 2018 Bonds then Outstanding.

(b) Principal Payments. Monthly, commencing on the first day of the month immediately succeeding the delivery of any of the 2018 Bonds, an amount in equal monthly installments necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of principal of the Outstanding 2018 Bonds.

The moneys credited to the 2018 Bond Fund shall be used to pay the principal of and interest on the 2018 Bonds as the same become due.

(9) 2018 Reserve Fund Payments. Ninth, and concurrently with the payments required to be made into the reserve funds for Parity Bonds, from any moneys remaining in the Water Income Fund or the Sewer Income Fund, except as provided in Sections 5.17and 5.18, and in addition to the moneys required to be deposited in the 2018 Reserve Fund by Section 4.01 of Ordinance No. 8255, there shall be credited to the 2018 Reserve Fund any moneys necessary to make up any deficiency in the 2018 Reserve Fund, to the extent moneys on deposit in the 2018 Reserve Fund are less than the 2018 Minimum Bond Reserve or to repay the 2018 Reserve Policy Provider for a drawing on the 2018 Reserve Policy. No payment need be made into the 2018 Reserve Fund so long as the moneys therein are at least equal to the 2018 Minimum Bond Reserve and no draw has been made on the 2018 Reserve Policy credited to the 2018 Reserve Fund. The moneys in the 2018 Reserve Fund shall be maintained as a continuing reserve to be used (including draws on the 2018 Reserve Policy), except as described in "Termination of Deposits" and "Defraying Delinquencies" below, only to prevent deficiencies in the payment of the principal of and the interest on the 2018 Bonds resulting from the failure to deposit into the 2018 Bond Fund sufficient funds to pay said principal and interest as the same accrue. Except as otherwise provided in the Bond Ordinance, if a deficiency in the 2018 Reserve Fund arises due to a transfer from the 2018 Reserve Fund to the 2018 Bond Fund (or a draw on the 2018 Reserve Policy), then such deficiency shall be made up from the Water Income Fund or Sewer Income Fund as soon as any moneys become available therein. Any moneys at any time in the 2018 Reserve Fund in excess of the 2018 Minimum Bond Reserve, including investment earnings derived from amounts on deposit in the 2018 Reserve Fund, may be withdrawn therefrom and transferred to the 2018 Bond Fund.

(10) 2020 Note Fund Payments. Tenth, and concurrently with the payments required to be made into the bond funds for Parity Bonds, from any moneys remaining in the Water Income Fund or the Sewer Income Fund, there shall be credited to the 2020 Note Fund the following:

(a) Interest Payments. Monthly, commencing on the first day of the month immediately succeeding the delivery of any of the 2020 Note, an amount in equal monthly installments necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of interest on the 2020 Note then Outstanding.

(b) Principal Payments. Monthly, commencing on the first day of the month immediately succeeding the delivery of the 2020 Note, an amount in equal monthly installments

necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of principal of the Outstanding 2020 Note.

The moneys credited to the 2020 Note Fund shall be used to pay the principal of and interest on the 2020 Note as the same become due.

(11) 2020 Note Reserve Fund Payments. Eleventh, and concurrently with the payments required to be made into the reserve funds for Parity Bonds, from any moneys remaining in the Water Income Fund or the Sewer Income Fund, except as provided in Sections 5.17 and 5.18, and in addition to the moneys required to be deposited in the 2020 Reserve Fund by Section 4.01 of Ordinance No. 8408, there shall be credited to the 2020 Reserve Fund any moneys necessary to make up any deficiency in the 2020 Reserve Fund, to the extent moneys on deposit in the 2020 Reserve Fund are less than the 2020 Minimum Bond Reserve or to repay the 2020 Reserve Policy Provider for a drawing on the 2020 Reserve Policy. No payment need be made into the 2020 Reserve Fund so long as the moneys therein are at least equal to the 2020 Minimum Bond Reserve and no draw has been made on the 2020 Reserve Policy credited to the 2020 Reserve Fund. The moneys in the 2020 Reserve Fund shall be maintained as a continuing reserve to be used (including draws on the 2020 Reserve Policy), except as described in "Termination of Deposits" and "Defraying Delinquencies" below, only to prevent deficiencies in the payment of the principal of and the interest on the 2020 Note resulting from the failure to deposit into the 2020 Note Fund sufficient funds to pay said principal and interest as the same accrue. Except as otherwise provided in the Bond Ordinance, if a deficiency in the 2020 Reserve Fund arises due to a transfer from the 2020 Reserve Fund to the 2020 Note Fund (or a draw on the 2020 Reserve Policy), then such deficiency shall be made up from the Water Income Fund or Sewer Income Fund as soon as any moneys become available therein. Any moneys at any time in the 2020 Reserve Fund in excess of the 2020 Minimum Bond Reserve, including investment earnings derived from amounts on deposit in the 2020 Reserve Fund, may be withdrawn therefrom and transferred to the 2020 Note Fund.

(12) Bond Fund Payments. Twelfth, and concurrently with the payments required to be made into the bond funds for Parity Bonds, from any moneys remaining in the Water Income Fund or Sewer Income Fund, there shall be credited to the Bond Fund, created in Section 4.01 of the Bond Ordinance, the following:

(a) *Interest Payments*. Monthly, commencing on the first day of the month immediately succeeding the delivery of any of the 2022 Bonds, an amount in equal monthly installments necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of interest on the 2022 Bonds then Outstanding.

(b) *Principal Payments*. Monthly, commencing on the first day of the month immediately succeeding the delivery of any of the 2022 Bonds, an amount in equal monthly installments necessary, together with any other moneys from time to time available therefor, from whatever source, to pay the next maturing installment of principal of the Outstanding 2022 Bonds.

The moneys credited to the Bond Fund shall be used to pay the principal of and interest on the 2022 Bonds as the same become due.

(13) Reserve Fund Payments. Thirteenth, and concurrently with the payments required to be made into the reserve funds for Parity Bonds, from any moneys remaining in the Water Income Fund or Sewer Income Fund, except as provided in Sections 5.17 and 5.18, and in addition to the moneys required to be deposited in the Reserve Fund by Section 4.01 of the Bond Ordinance, there shall be credited to the Reserve Fund any moneys necessary to make up

any deficiency in the Reserve Fund, to the extent moneys on deposit in or credited to the Reserve Fund are less than the Minimum Bond Reserve or to repay the 2022 Reserve Policy Provider for a drawing on the 2022 Reserve Policy. No payment need be made into the Reserve Fund so long as the moneys therein or credited thereto are at least equal to the Minimum Bond Reserve and no draw has been made on the 2022 Reserve Policy credited to the Reserve Fund. The moneys in the Reserve Fund shall be maintained as a continuing reserve to be used (including draws on the 2022 Reserve Policy), except as described in "Termination of Deposits" and "Defraying Delinquencies" below, only to prevent deficiencies in the payment of the principal of and the interest on the 2022 Bonds resulting from the failure to deposit into the Bond Fund sufficient funds to pay said principal and interest as the same accrue. Except as otherwise provided in the Bond Ordinance, if a deficiency in the Reserve Fund arises due to a transfer from the Reserve Fund to the Bond Fund (or a draw on the 2022 Reserve Policy), then such deficiency shall be made up from the Sewer Income Fund as soon as any moneys become available therein. Any moneys at any time in the Reserve Fund in excess of the Minimum Bond Reserve, including investment earnings derived from amounts on deposit in the Reserve Fund, may be withdrawn therefrom and transferred to the Bond Fund, if any.

(14) Payment of Additional Bonds. Fourteenth, but either concurrently with the required payments described above in the case of additional Parity Bonds, or subsequent to in the case of additional Subordinate Bonds, any moneys remaining in the Water Income Fund and in the Sewer Income Fund, after making the payments provided, may be used by the City for the payment of interest on and the principal of additional bonds hereafter authorized to be issued and payable from the Net Income of the Facilities, including reasonable reserves therefor, as the same accrue; provided, however, that the lien of such additional bonds on the Net Income of the Facilities and the pledge thereof for the payment of such additional bonds shall be on a parity with, in the case of additional Parity Bonds, or subordinate to, in the case of additional Subordinate Bonds, the lien and pledge of the bonds authorized in the Bond Ordinance, as described below.

(15) Use of Remaining Revenues. After making the required payments described above, any remaining income derived from the operation of the Water System in the Water Income Fund, and any remaining income derived from the operation of the Sewer System in the Sewer Income Fund, shall be used for any one of any combination of purposes, as follows:

(a) Payment of Obligations. For the payment of the interest on and principal of general obligation bonds, debt, and other obligations, if any, incurred in the acquisition, construction, improvement and equipping of the Facilities;

(b) Purchase of Obligations. For the purchase in the open market of the 2022 Bonds or any other Outstanding bonds or other obligations incurred for any such purpose or purposes and payable from the Net Income of the Facilities, at the best price obtainable, not, however, in excess of the call price therefor then applicable, or if none be then applicable, not in excess of a reasonable price therefor;

(c) Prior Redemption. For the prior redemption of the 2022 Bonds or any other Outstanding bonds or other obligations payable from the Net Income of the Facilities, in accordance with the provisions of the 2022 Bonds or other obligations and any instrument authorizing their issuance, including but not necessarily limited to the Bond Ordinance, but not in excess of a price at which such 2022 Bonds or other obligations can be purchased in the open market;

(d) Improvement. For the repair, enlargement, extension, betterment, and improvement of the Facilities;

(e) *O. & M. Expenses*. For defraying any Operation and Maintenance Expenses for which provision has not otherwise been made (i) of the Sewer System with surplus water Gross Income or (ii) of the Water System with surplus sewer Gross Income; and

(f) *Any Other Purpose*. For any lawful purpose or purposes authorized by the Constitution and laws of the State and the resolutions, ordinances, and Charter of the City, as the same may be amended from time to time.

Termination of Deposits. No payment need be made into the Bond Fund, the Reserve Fund, or both, if the amount in the Bond Fund and the amount in the Reserve Fund total a sum at least equal to the entire amount of the Outstanding 2022 Bonds, both as to principal and interest to their respective maturities, or to any prior redemption date on which the City shall have exercised or shall have obligated itself to redeem prior to their respective maturities the 2022 Bonds then Outstanding and thereafter maturing, and both accrued and not accrued, in which case, moneys in said two accounts in an amount, except for any interest or other gain to accrue from any investment of moneys in Permitted Investments from time to time of any such deposit to the time or respective times the proceeds of any such investment shall be needed for such payment, at least equal to such principal and interest requirements, shall be used together with any such gain from investments solely to pay such as the same become due; and any moneys in excess thereof in said two accounts and any other moneys derived from the operation of the Facilities may be used in any lawful manner determined by the Council, subject to the provisions of Section 8.38 of the Bond Ordinance.

Defraying Delinquencies. If, in any month, the City shall for any reason fail to pay into the Bond Fund the full amount above stipulated from the Water Income Fund, then an amount shall be paid into the Bond Fund in such month from the Reserve Fund (or from a draw on the 2022 Reserve Policy), in accordance with the provisions described in (15) above, equal to the difference between that paid from the Water Income Fund and the full amount so stipulated. The money so used shall be replaced in the Reserve Fund (or used to reimburse a draw on the 2022 Reserve Policy) from the first income thereafter received from the operation of the Facilities not required to be otherwise applied by Sections 5.03 through 5.18 of the Bond Ordinance, but excluding any payments required for any Subordinate Bonds. In the event that other bonds are Outstanding, any lien to secure the payment of which on the Net Income is on a parity with the lien thereon of the 2022 Bonds, and the proceedings authorizing the issuance of those bonds require the replacement of moneys in a reserve fund therefor, then the moneys replaced in the Reserve Fund for the 2022 Bonds (or used to reimburse a draw on the 2022 Reserve Policy) and in each such other reserve fund shall be replaced on a pro rata basis as moneys become available therefor. If, in any month, the City shall for any reason fail to pay into the Reserve Fund (or reimburse a draw on the 2022 Reserve Policy) the full amount above stipulated, if any, from the Net Income, the difference between the amount paid and the amount so stipulated shall in a like manner be paid therein from the first Net Income thereafter received and not required to be applied otherwise by Sections 5.03 through 5.18 of the Bond Ordinance, but excluding any payments required for any Subordinate Bonds. The moneys in the Bond Fund and in the Reserve Fund shall be used solely and only for the purpose of paying the principal of and the interest on the 2022 Bonds; provided, however, that any moneys at any time in excess of the Minimum Bond Reserve in the Reserve Fund may be withdrawn therefrom and used as provided in the Bond Ordinance for the payment of the 2022 Bonds as they become due or on any prior redemption date; and provided, further, that any moneys in the Bond Fund and in the Reserve Fund in excess of accrued and unaccrued principal and interest requirements to the respective maturities or designated prior redemption date of the Outstanding 2022 Bonds may be used as described above in "Termination of Deposits."

Rebate Fund

In the Bond Ordinance, the City establishes the "City of Boulder, Colorado Water and Sewer Revenue Bonds, Series 2022 Rebate Fund" (the "Rebate Fund"), which shall be expended in accordance with the provisions of the Bond Ordinance and the Tax Letter of Instructions, and there is further established within said Rebate Fund the Rebate Principal Account and the Rebate Income Account. The City shall make deposits to and disbursements from the Rebate Fund in accordance with the Tax Letter of Instructions, shall invest the Rebate Fund pursuant to said Tax Letter of Instructions, and shall deposit income from said investments immediately upon receipt thereof in the Rebate Income Account, all as set forth in the Tax Letter of Instructions. The deposits required to be made to the Rebate Fund shall be made from any Net Income of the Facilities, including amounts on deposit in any fund or account created by the Bond Ordinance. The City shall make the calculations, deposits, disbursements and investments as may be required by the immediately preceding sentence or, to the extent it deems necessary in order to ensure the tax-exempt status of interest on the 2022 Bonds, shall employ at its expense a person or firm with recognized expertise in the area of rebate calculation, to make such calculations. The Tax Letter of Instructions may be superseded or amended by a new Tax Letter of Instructions drafted by, and accompanied by an opinion of, nationally recognized bond counsel addressed to the City to the effect that the use of said new Tax Letter of Instructions will not cause the interest on the 2022 Bonds to become includible in Gross Income for the purposes of federal income taxation.

The City shall annually make the rebate deposit described in the Tax Letter of Instructions. Records of the determinations required by the Bond Ordinance and the Tax Letter of Instructions shall be retained by the City until six years after the final retirement of the 2022 Bonds.

Not later than 30 days after the end of the fifth anniversary of the date of issuance of the 2022 Bonds and every five years thereafter, the City shall pay to the United States of America 90% of the amount required to be on deposit in the Rebate Principal Account as of such payment date and 100% of the amount on deposit in the Rebate Income Account as of such payment date. Not later than 60 days after the final retirement of the 2022 Bonds, the City shall pay to the United States of America 100% of the balance remaining in the Rebate Principal Account and the Rebate Income Account. Each payment required to be paid to the United States of America pursuant to the Bond Ordinance shall be filed with the Internal Revenue Service Center, Ogden, Utah 84201. Each payment shall be accompanied by a copy of the Internal Revenue Form 8038-G originally filed with respect to the 2022 Bonds and a statement summarizing the determination of the amount to be paid to the United States of America.

Facilities Income Pledge

Anything in the Bond Ordinance to the contrary notwithstanding, if moneys in the Water Income Fund or the Sewer Income Fund are at any time insufficient to pay the amounts required to be paid therefrom, after permitted transfers from the Reserve Fund, then moneys in either such fund shall be used to pay all items payable therefrom pursuant to Article V of the Bond Ordinance.

The Project Fund

Use of Project Fund. The moneys in the Project Fund, except as otherwise expressly provided in the Bond Ordinance, shall be used and paid out solely for the purpose of paying costs of the Project including, without limitation, interest during construction of the Project, engineering, inspection, fiscal and legal expenses, costs of financial, professional and other estimates and advice, contingencies, any reimbursements due to the federal government, or any

agency, instrumentality or corporation thereof, of any moneys theretofore expended for or in connection with the Project, and all such other incidental expenses as may be necessary or incidental to the financing and construction of the Project, or any part thereof, the issuance of the 2022 Bonds and the placing of the Project in operation.

Prevention of Bond Default. The Chief Financial Officer shall use any 2022 Bond proceeds credited to the Project Fund, without further order or warrant, to pay the interest on and the principal of the 2022 Bonds as the same become due whenever and to the extent moneys in the Bond Fund or otherwise available therefor are insufficient for that purpose, unless such 2022 Bond proceeds shall be needed to defray obligations accrued and to accrue under any contracts then existing and appertaining to the Project. The Chief Financial Officer shall promptly notify the Council of any such use. Any moneys so used shall be restored to the Project Fund, as permitted by Section 5.21 of the Bond Ordinance, from the Net Income of the Facilities thereafter received and not needed to meet the requirements provided in Sections 5.03 through 5.18 of the Bond Ordinance.

Completion of Project. When the Project shall have been completed in accordance with the relevant plans and specifications and all amounts due therefor, including all proper incidental expenses, shall have been paid, or for which full provision shall have been made, the Chief Financial Officer shall cause to be transferred to the Reserve Fund, all surplus moneys remaining in the Project Fund, if any, to the extent the amount on deposit in the Reserve Fund is less than the Minimum Bond Reserve, and any remaining surplus moneys shall be transferred to the Bond Fund, except for moneys to be retained to pay any unpaid accrued costs or contingent obligations. Nothing contained in the Bond Ordinance shall be construed as preventing the Chief Financial Officer from causing to be transferred from the Project Fund to the Reserve Fund, to the extent of any deficiency, at any time prior to the termination of the Project Fund any moneys which will not be necessary for the Project.

Lien on Bond Proceeds. Until the proceeds of the 2022 Bonds are applied as described above, and used to defray costs of the Project from time to time, the 2022 Bonds shall be secured by a lien on such proceeds which are pledged for the benefit of the holders of the 2022 Bonds from time to time as provided in Section 5.01.

Reserve Fund and 2022 Reserve Policy

In connection with the issuance of the 2022 Reserve Policy by the 2022 Reserve Policy Provider, the City has authorized the execution and delivery of the 2022 Reserve Policy Agreement. The Chief Financial Officer or City Manager is also authorized and directed to take all actions necessary to cause the 2022 Reserve Policy Provider to issue the 2022 Reserve Policy in accordance with the Commitment, including without limitation, payment of the premium(s) due in connection therewith and entering into any authorizing agreement, including the 2022 Reserve Policy Agreement. The execution of the Commitment by the Chief Financial Officer, City Manager or other authorized officer of the City has been ratified and approved.

Notwithstanding anything else to the contrary provided in the Bond Ordinance, each holder of any of the 2022 Bonds shall, by its purchase of such 2022 Bond or 2022 Bonds, be deemed to have agreed that at such time as (i) each series of Parity Bonds issued by the City prior to the issuance of the 2022 Bonds is no longer Outstanding (through maturity, refunding, redemption, defeasance or otherwise) or (ii) in accordance with Section 11.01 of the Prior Ordinances, the holders of more than 50% of the remaining Outstanding Parity Bonds issued by the City prior to the issuance of the 2022 Bonds shall have consented to the following clauses (A) and (B) as proposed amendments to the Prior Ordinances, then: (A) the requirement of establishing or maintaining the Reserve Fund for the 2022 Bonds and the amount of the Minimum Bond Reserve, if any, for the 2022 Bonds shall be at the election of the City, in its sole

discretion, and (B) the requirement in Section 7.03 of the Bond Ordinance to establish and maintain a reserve fund, if any, for additional Parity Bonds and the minimum amount of any such reserve fund, if established, shall be at the election of the City, in its sole discretion.

Investment of Moneys

Any moneys in any account designated in Articles IV and V of the Bond Ordinance, and not needed for immediate use, may be invested or reinvested by the Chief Financial Officer in securities or obligations which are lawful investments for such funds of the City and which constitute Permitted Investments. The Permitted Investments so purchased as an investment or reinvestment of moneys in any such account shall be deemed at all times to be part of the account, and (unless otherwise expressly provided in the Bond Ordinance) any interest accruing thereon and any other gain realized therefrom shall be credited to the account, and any loss resulting from such investment shall be charged to the account; provided, however, that any yield from investments of moneys in the Reserve Fund in excess of the Minimum Bond Reserve may be credited to the Sewer Income Fund or Water Income Fund on a pro rata basis based on each fund's share of the Reserve Fund. In computing the amount in any such account for any purpose under the Bond Ordinance, except as otherwise expressly provided in the Bond Ordinance, such obligation shall be valued at the lower of the cost or market value thereof, exclusive of any accrued interest or any other gain. The expenses of purchase, safekeeping, sale and all other expenses incident to any investment or reinvestment of moneys pursuant to Section 6.03 of the Bond Ordinance shall be accounted for as Operation and Maintenance Expenses. The Chief Financial Officer shall present for redemption or sale on the prevailing market at the best price obtainable any Permitted Investments so purchased as an investment of moneys in the account whenever it shall be necessary so to do to provide moneys to meet any withdrawal, payment or transfer from such account. The Chief Financial Officer shall not be liable or responsible for any loss resulting from any such investment made in accordance with the Bond Ordinance.

Additional Bonds

Issuance of Parity Bonds**.** The City may issue additional bonds payable from Net Income and constituting a lien thereupon on a parity with, but not prior nor superior to, the lien of the 2022 Bonds, nor to prevent the issuance of bonds refunding all or a part of the 2022 Bonds; provided, however, that before any such additional Parity Bonds are authorized or actually issued (excluding any parity refunding bonds other than any bonds refunding Subordinate Bonds as permitted in the Bond Ordinance):

(a) Absence of Default. The City shall not have defaulted in making any payments required by Article V of the Bond Ordinance during the 24 calendar months immediately preceding the issuance of such additional bonds, or if none of the 2022 Bonds have been issued and Outstanding for a period of at least 24 calendar months, for the longest period any of the 2022 Bonds have been issued and Outstanding.

(b) Facilities Earnings Test. The annual Gross Income derived from the operation of the Facilities for the Fiscal Year immediately preceding the date of the issuance of such additional Parity Bonds shall have been sufficient to pay the annual Operation and Maintenance Expenses of the Facilities for said Fiscal Year, and, in addition, sufficient to pay an amount representing 125% of the combined maximum annual principal and interest requirements of the Outstanding Parity Bonds of the City payable from and constituting a lien upon Net Income of the Facilities and the bonds proposed to be issued, except as otherwise expressly provided in the Bond Ordinance.

(c) *Reduction of Annual Requirements*. The respective annual principal and interest requirements (including as a principal requirement the amount of any prior redemption premiums due on any prior redemption date as of which any Outstanding bonds have been called or have been ordered to be called for prior redemption) shall be reduced to the extent such requirements are scheduled to be paid each of the respective Fiscal Years with moneys held in trust or in escrow for that purpose by any Insured Bank located within or without the State and exercising trust powers, including the known minimum yield from any investment in Federal Securities.

(d) *Consideration of Additional Expenses*. In determining whether or not additional Parity Bonds may be issued as aforesaid, consideration shall be given to any probable increase (but not reduction) in Operation and Maintenance Expenses of the Facilities, that will result from the expenditure of the funds proposed to be derived from the issuance and sale of the additional bonds.

(e) *Reserve Fund*. Subject at all times to the provisions of Section 4.01(a) of the Bond Ordinance, there shall be established a reserve fund in an amount equal to at least the average annual debt service on such additional Parity Bonds. Each holder of any of the 2022 Bonds shall, by its purchase of such 2022 Bond or 2022 Bonds, be deemed to have agreed that at such time as the conditions in Section 4.01(a) of the Bond Ordinance are satisfied, the requirement of establishing or maintaining a reserve fund, for any additional Parity Bonds and the minimum amount of such reserve fund, if any, shall be at the election of the City, in its sole discretion.

(f) *Reserve Policy Costs*. In addition to the requirements described in subsection (b) above, the annual Gross Income derived from the operation of the Facilities for the Fiscal Year immediately preceding the date of the issuance of such additional Parity Bonds shall have been sufficient to pay 100% of the Policy Costs then due and owing on any reserve policy on any Outstanding Parity Bonds.

Certification of Gross Income. A written certification by the Chief Financial Officer or an Independent Accountant that said annual Gross Income, when adjusted as provided in the Bond Ordinance, is sufficient to pay said amounts, as provided in the Bond Ordinance, shall be conclusively presumed to be accurate in determining the right of the City to authorize, issue, sell and deliver additional bonds on a parity with the 2022 Bonds.

Subordinate Bonds Permitted**.** The Bond Ordinance does not prevent the City from issuing additional bonds payable from Net Income and having a lien thereon subordinate, inferior, and junior to the lien of the 2022 Bonds authorized to be issued by the Bond Ordinance.

Superior Bonds Prohibited**.** The Bond Ordinance does not permit the City to issue additional bonds payable from Net Income and having a lien thereon prior and superior to the 2022 Bonds.

Issuance of Parity Refunding Bonds. No refunding bonds payable from Net Income shall be issued on a parity with the 2022 Bonds authorized in the Bond Ordinance unless:

(a) *Parity Lien*. The lien on Net Income of the Outstanding bonds so refunded is on a parity with the lien thereon of the 2022 Bonds; or

(b) *Default and Earnings Tests*. The refunding bonds are issued in compliance with the requirements set forth under "Issuance of Parity Bonds" above.

Protective Covenants

Adequacy and Applicability of Charges**.** There shall be charged against all purchasers of service and all users of the Facilities, such rates, fees and other charges as shall be adequate to meet the requirements of the Bond Ordinance. Such rates and amounts from the Facilities shall be sufficient to produce Gross Income or earnings annually to pay the annual Operation and Maintenance Expenses, 125% of both the principal of and the interest on the 2022 Bonds and any other bonds payable annually from Gross Income (excluding the reserves therefor), all of which income, including any income received from the City, shall be subject to distribution to the payment of Operation and Maintenance Expenses of the Facilities and to the payment of principal of and interest on all bonds payable from any Net Income, including reasonable reserves therefor. No free service or facilities shall be furnished by the Facilities, except to the City in its discretion.

Levy of Charges. The City will forthwith and, in any event, prior to the delivery of any of the 2022 Bonds authorized in the Bond Ordinance, fix, establish and levy the fees, rates and other charges which are required by the Bond Ordinance, if such action be necessary therefor. No reduction in any initial or existing rate schedule for the Facilities may be made:

(a) Proper Application. Unless the City has fully complied with the provisions of Article V of the Bond Ordinance for at least the full Fiscal Year immediately preceding such reduction of the initial rate schedule;

(b) Sufficient Revenues. Unless the audit required by the Independent Accountant by Section 8.30 of the Bond Ordinance for the full Fiscal Year immediately preceding such reduction discloses that the estimated revenues resulting from the proposed rate schedule, after its proposed reduction, for the Facilities will be sufficient to pay an amount at least equal to the Operation and Maintenance Expenses of the Facilities for the said period and, in addition, 125% of both the principal of and interest on 2022 Bonds and any other securities payable annually from any Net Income from the Facilities including reasonable reserves therefor.

Efficient Operation and Maintenance. The City shall at all times operate the Facilities properly and in a sound and economical manner; and the City shall maintain, preserve and keep the same properly or cause the same to be so maintained, preserved, and kept, with the appurtenances and every part and parcel thereof in good repair, working order, and condition, and shall, from time to time, make or cause to be made all necessary and proper repairs, replacements and renewals so that, at all times, the operation of the Facilities may be properly and advantageously conducted, all as the City shall reasonably determine.

Rules, Regulations and Other Details. The City, acting by and through the Council, shall establish and enforce reasonable rules and regulations governing the operation, use and services of the Facilities. All compensation, salaries, fees and wages paid by it in connection with the maintenance, repair and operation of the Facilities shall be reasonable and no more than would be paid by other corporations, municipalities or public bodies for similar services. The City shall comply with all valid acts, rules, regulation, orders, and directions of any legislative, executive, administrative or judicial body applicable to the Facilities or to the City.

Payment of Governmental Charges. The City shall pay all taxes and assessments or other municipal or governmental charges, if any, lawfully levied or assessed upon, or in respect of, the facilities, or upon any part thereof, or upon any portion of the Net Income, when the same shall become due, and shall duly observe and comply with all valid requirements of any municipal or governmental authority relative to any part of the Facilities; and the City shall not create or suffer to be created any lien or charge upon the Facilities, or any part thereof, or upon the Net Income, except the pledge and lien created by the Bond Ordinance for the

payment of the principal of, any prior redemption premium due in connection with, and the interest on the 2022 Bonds, and except as otherwise permitted in the Bond Ordinance. The City shall pay or cause to be discharged or will make adequate provision to satisfy and to discharge, within 60 days after the same shall become payable, all lawful claims and demands for labor, materials, supplies or other objects which, if unpaid, might by law become a lien upon the Facilities, or any part thereof, or the Net Income; provided, however, that the City is not required to pay or to cause to be discharged or to make provision for any such lien or charge, so long as the validity thereof shall be contested in good faith and by appropriate legal proceedings.

Prejudicial Action Prohibited. No contract will be entered into nor any other action taken by the City which the rights of any holder of any 2022 Bond might be impaired or diminished.

Protection of Security. The City, the officers, agents and employees of the City, and the Council shall not take any action in such manner or to such extent as might prejudice the security for the payment of the 2022 Bonds and the interest thereon according to the terms thereof.

Corporate Existence. The City will maintain its corporate identity and existence so long as any of the 2022 Bonds authorized in the Bond Ordinance remain Outstanding, unless another body corporate and politic by operation of law succeeds to the duties, privileges, powers, liabilities, immunities and rights of the City and is obligated by law to operate and maintain the Facilities as provided in the Bond Ordinance without adversely affecting to any substantial degree the privileges and rights of any holder of any Outstanding 2022 Bond at any time.

Disposal of Facilities Prohibited. Except for the use of the Facilities or services thereby rendered in the normal course of business, neither all nor a substantial part of the Facilities shall be sold, leased, mortgaged, pledged, encumbered, alienated or otherwise disposed of, until all the 2022 Bonds (and the Parity Bonds, in accordance with the requirements of the Prior Ordinances) have been paid in full, both principal and interest, or unless provision has been made therefor, or until the 2022 Bonds have otherwise been redeemed, including but not necessarily limited to the termination of the pledge authorized in the Bond Ordinance; and the City shall not dispose of its title to the Facilities or to any useful part thereof, including any property necessary to the operation and use of the Facilities and the lands and interest in lands comprising the sites of the Facilities, except as provided in the paragraph below.

Disposal of Unnecessary Property. The City may sell, exchange, lease or otherwise dispose of at any time and from time to time any property constituting a part of the Facilities and not useful in the construction, reconstruction, or operation thereof, or which shall cease to be necessary for the efficient operation of the Facilities, or which shall have been replaced by other property of at least equal value. Any proceeds of any such sale, exchange, lease or other disposition received and not used to replace such property so sold or so exchanged or otherwise so disposed of, and appertaining to the Sewer System or the Water System, shall be deposited by the City as Gross Income in the Sewer Income Fund or the Water Income Fund, respectively, to which the transaction appertains.

Competing Facilities. As long as any of the authorized 2022 Bonds are outstanding, the City shall not grant any franchise or license to any competing facilities, nor shall it permit during said period (except as it may legally be required so to do) any Person to sell water, water services, sanitary sewer services or any rights to use water facilities or sanitary sewer facilities to any consumer, public or private, within the City.

Competent Management. The City shall employ experienced and competent management personnel for the Facilities who shall have full control over the Facilities and shall operate the Facilities for the City, subject to the reasonable control by and direction of the Council and the Manager.

Employment of Management Engineers. In the event of default on the part of the City in paying principal of or interest on the 2022 Bonds promptly as each falls due, or in the keeping of any covenants contained in the Bond Ordinance, and if such default shall continue for a period of 60 days, or if the Net Income of the Facilities in any Fiscal Year should fail to equal at least the amount of the principal of and the interest on the Outstanding 2022 Bonds and other bonds (including all reserves therefor specified in the authorizing proceedings, including but not limited to the Bond Ordinance) payable from the Net Income in that Fiscal Year, the City shall retain a firm of competent management engineers skilled in the operation of such facilities to assist the management of the Facilities so long as such default continues or so long as the Net Income is less than the amount designated above. (The right of any holder or holders of the 2022 Bonds to require the appointment of such management engineers shall not be exclusive, and in the event of default as outlined in the Bond Ordinance, such holder or holders shall have the right to proceed in law or in equity to require the performance of the covenants contained in the Bond Ordinance or otherwise to proceed in any action which to them shall seem appropriate).

Insurance and Reconstruction. The City shall, at all times, maintain fire and extended coverage insurance, worker's compensation insurance, public liability insurance, and all such other insurance as is customarily maintained with respect to facilities of like character against loss of, or damage to, the Facilities and against public and other liability to the extent reasonably necessary to protect the interests of the City and of each holder of a 2022 Bond, except as otherwise provided in the Bond Ordinance. The City shall be deemed to have obtained sufficient insurance coverage as described hereunder if it chooses to self-insure the Facilities. If any useful part of the Facilities shall be damaged or destroyed, the City shall, as expeditiously as may be possible, commence and diligently prosecute the repair or replacement of the damaged or destroyed property so as to restore the same to use unless such property is deemed obsolete or unnecessary by the City. The proceeds of any such property insurance appertaining thereto shall be payable to the City and shall be deposited in the Sewer Income Fund or the Water Income Fund, respectively, as Gross Income, depending upon which fund or funds the insurance proceeds appertain. In the event that the costs of such repair and replacement of the damaged or destroyed property exceed the proceeds of such property insurance available for payment of the same, in the case of property pertaining to the Sewer System moneys in the Sewer Income Fund and in case of property pertaining to the Water System moneys in the Water Income Fund, shall be used to the extent necessary for such purposes, as permitted by the Bond Ordinance.

Fire and Extended Coverage Insurance. Except for the time when the contractors, or any of them, engaged in constructing, furnishing and equipping any of the Facilities shall be responsible pursuant to the provisions of their respective contracts for loss or damage, the City shall procure and maintain, or continue to maintain, fire and extended coverage insurance of the Facilities, all in amounts at least sufficient to provide for not less than full recovery whenever the loss from perils insured against does not exceed 80% of the full insurable value, so long as any of the 2022 Bonds are Outstanding, except as otherwise provided in the Bond Ordinance.

Other Insurance. Upon receipt of any proceeds from the sale of the 2022 Bonds, the City will be obligated, except as otherwise provided in the Bond Ordinance with respect to self-insurance, to maintain in connection with the Facilities, other insurance to the extent considered reasonable and necessary as determined by comparison with other comparable facilities.

Tax Covenants. (a) The City covenants that it shall not use or permit the use of any proceeds of the 2022 Bonds or any other funds of the City from whatever source derived, directly or indirectly, to acquire any securities or obligations and shall not take or permit to be taken any other action or actions, which would cause any of the 2022 Bonds to be an "arbitrage bond" within the meaning of Section 148 of the Code, or would otherwise cause the interest on the 2022 Bonds to be includible in Gross Income for federal income tax purposes. The City covenants that it shall at all times do and perform all acts and things permitted by law and which are necessary in order to assure that interest paid by the City on the 2022 Bonds shall, for purposes of federal income taxation, not be includible in Gross Income under the Code or any other valid provision of law.

(b) In particular, but without limitation, the City further represents, warrants and covenants to comply with the following restrictions of the Code, unless it receives an opinion of nationally recognized bond counsel stating that such compliance is not necessary:

(i) Gross proceeds of the 2022 Bonds shall not be used in a manner which will cause the 2022 Bonds to be considered "private activity bonds" within the meaning of the Code.

(ii) The 2022 Bonds are not and shall not become directly or indirectly "federally guaranteed."

(iii) The City shall timely file Internal Revenue Form 8038 G which shall contain the information required to be filed pursuant to Section 149(e) of the Code.

(iv) The City shall comply with the Tax Letter of Instructions delivered to it on the date of issue of the 2022 Bonds with respect to the application and investment of 2022 Bond proceeds, subject to the provisions of the Bond Ordinance regarding the Rebate Fund.

Defeasance

When all principal, interest and any prior redemption premiums due in connection with the 2022 Bonds have been duly paid, the pledge and lien and all obligations under the Bond Ordinance will be discharged and the 2022 Bonds will no longer be deemed to be Outstanding within the meaning of the Bond Ordinance. There will be deemed to be such due payment when the City has placed in escrow or in trust with a commercial bank located within or without the State and exercising trust powers an amount sufficient (including the known minimum yield from Federal Securities in which such amount, wholly or in part, may be initially invested) to meet all requirements of principal, interest and any prior redemption premiums due as the same become due to the final maturities of the 2022 Bonds or upon any prior redemption date as of which the City will have exercised or will have obligated itself to exercise its prior redemption option by a call of the 2022 Bonds for payment then. The Federal Securities will become due prior to the respective times on which the proceeds thereof will be needed in accordance with a schedule established and agreed upon between the City and such bank at the time of the creation of the escrow or trust, or the Federal Securities shall be subject to redemption at the option of the holders thereof to assure such availability as so needed to meet such schedule.

Events of Default and Remedies

Events of Default. Each of the following events is declared an "event of default," that is to say:

(a) *Nonpayment of Principal and Premium*. Payment of the principal of any of the 2022 Bonds or any prior redemption premium due in connection therewith or both shall not be made when the same will become due and payable either at maturity or by proceedings for prior redemption or otherwise.

(b) *Nonpayment of Interest*. Payment of any installment of interest on the 2022 Bonds will not be made when the same becomes due and payable or within 30 days thereafter.

(c) *Incapable to Perform*. The City will for any reason be rendered incapable of fulfilling its obligations under the Bond Ordinance.

(d) *Nonperformance of Duties*. The City will have failed to carry out and to perform (or in good faith to begin the performance of) all acts and things lawfully required to be carried out or to be performed by it under any contract relating to Gross Income or to the Facilities or otherwise and such failure will continue for 60 days after receipt of notice from either the Original Purchaser of the 2022 Bonds or from the holders of 10% in principal amount of the 2022 Bonds authorized by the Bond Ordinance and then outstanding.

(e) *Failure to Reconstruct*. The City will discontinue or shall unreasonably delay or will fail to carry out with reasonable dispatch the reconstruction of any part of the Facilities which will be destroyed or damaged and shall not be promptly repaired or replaced unless such failure to repair is due to obsolescence.

(f) *Appointment of Receiver*. An order or decree will be entered by a court of competent jurisdiction with the consent or acquiescence of the City appointing a receiver or receivers for the Facilities or for the Net Income of the Facilities or both or if an order or decree having been entered without the consent or acquiescence of the City will not be vacated or discharged or stayed on appeal within 60 days after entry.

(g) *Default of Any Provision*. The City will make default in the due and punctual performance of any other of the covenants, conditions, agreements and provisions contained in the 2022 Bonds or in the Bond Ordinance on its part to be performed, and such default shall continue for 60 days after written notice specifying such default and requiring the same to be remedied will have been given to the City by either the Original Purchaser of the 2022 Bonds or by the holders of 10% in principal amount of the 2022 Bonds then Outstanding.

Remedies for Defaults. Upon the happening and continuance of any of the events of default as provided above, then and in every case the holder or holders of not less than 10% in principal amount of the 2022 Bonds then Outstanding, including, but not limited to, a trustee or trustees therefor, may proceed against the City and its agents, officers and employees to protect and to enforce the rights of any holder of the 2022 Bonds under the Bond Ordinance by mandamus or by other suit, action or special proceedings in equity or at appointment of a receiver or for the specific performance of any covenant or agreement contained in the Bond Ordinance or in an award of execution of any power granted in the Bond Ordinance for the enforcement of any proper legal or equitable remedy as such holder or holders may deem most effectual to protect and to enforce the rights aforesaid, or thereby to enjoin any act or thing which may be unlawful or in violation of any right of any holder of any 2022 Bond, or to require the City to act as if it were the trustees of an express trust or any combination of such remedies. All such proceedings at law or in equity will be instituted, had and maintained for the equal benefit of all holders of the 2022 Bonds then Outstanding.

Bondholder's Remedies. Each holder of any 2022 Bond issued under the Bond Ordinance shall be entitled to all of the privileges, rights and remedies permitted at law or in equity or by

statute, except no real or personal property appertaining to the Facilities or otherwise has been conveyed to secure the payment of the 2022 Bonds by deed of trust or mortgage to a trustee for the benefit and the security of the holder or holders from time to time of the 2022 Bonds, or by any other encumbrance or other pledge of property, subject to the provisions in the Bond Ordinance concerning the pledge of and the covenants and the other contractual provisions concerning the Net Income of the Facilities.

Right to Enforce Payment. Nothing in the Bond Ordinance shall affect or impair the right of any holder of any 2022 Bond issued under the Bond Ordinance to enforce the payment of the principal of and the interest on such 2022 Bond or the obligation of the City to pay the principal of and the interest on each 2022 Bond issued under the Bond Ordinance to the holder thereof at the time and the place expressed in the 2022 Bond.

Receiver's Rights and Privileges. Any receiver appointed in any proceedings to protect the rights of such holders under the Bond Ordinance, the consent to any such appointment being hereby expressly granted by the City, may enter and may take possession of the Facilities, operate and maintain the same, prescribe rates and charges and collect, receive and apply all Net Income arising after the appointment of such receiver in the same manner as the City itself might do.

Rights and Privileges Cumulative. The failure of any holder of any Outstanding 2022 Bond to proceed in any manner provided in the Bond Ordinance shall not relieve the City, its Council or any of its officers, agents or employees of any liability for failure to perform or carry out any duty, obligation or other commitment. Each right or privilege of any such holder (or trustee thereof) is in addition and is cumulative to any other right or privilege, and the exercise of any right or privilege by or on behalf of any holder shall not be deemed a waiver of any other right or privilege thereof.

Duties Upon Defaults. Upon the happening of any of the events of default as provided in Section 10.03 of the Bond Ordinance, the City, in addition, will do and perform all proper acts on behalf of and for the holders of the 2022 Bonds to protect and to preserve the security created for the payment of their 2022 Bonds and to insure the payment of the principal of and the interest on the 2022 Bonds promptly as the same become due. During any period of default, so long as any of the 2022 Bonds authorized in the Bond Ordinance either as to principal or as to interest are outstanding, all Net Income shall be paid into the Bond Fund or, in the event of bonds issued and Outstanding during said period of time on a parity with the 2022 Bonds authorized in the Bond Ordinance, shall be paid into bond funds for all Parity Bonds on an equitable and prorated basis and used for the purposes therein provided. In the event that the City fails or refuses to proceed as described hereunder, the holder or holders of not less than 10% in principal amount of the 2022 Bonds then Outstanding, after demand in writing, may proceed to protect and to enforce the rights of the holders of the 2022 Bonds as described provided; and, to that end, any such holders of Outstanding 2022 Bonds shall be subrogated to all rights of the City under any agreement, lease or other contract involving the Facilities entered into prior to the effective date of the Bond Ordinance or thereafter while any of the 2022 Bonds authorized in the Bond Ordinance are Outstanding.

Duties in Bankruptcy Proceedings. In the event that any user of the Facilities proceeds under any laws of the United States relating to bankruptcy, including any action under any law providing for corporate reorganization, it shall be the duty of the City, and its appropriate officers are authorized and directed pursuant to the Bond Ordinance, to take all necessary steps for the benefit of the holders of the 2022 Bonds in said proceedings, including the filing of any claims for unpaid fees, rates and other charges or otherwise arising from the breach of any of the covenants, terms or conditions of any contract involving the Facilities.

Amendment of the Bond Ordinance

Limitations Upon Amendments. The Bond Ordinance may be amended or supplemented by instruments adopted by the Council in accordance with the laws of the State, without receipt by the City of any additional consideration, but with the written consent of the holders of more than 50% of the 2022 Bonds authorized by the Bond Ordinance and Outstanding at the time of the adoption of such amendatory or supplemental instrument (not including in any case any 2022 Bonds which may then be held or owned for the account of the City but including such refunding any of the 2022 Bonds authorized in the Bond Ordinance if such refunding securities are not owned by the City).

Notwithstanding the foregoing, so long as the Parity Bonds and the 2022 Bonds remain outstanding, the Bond Ordinance may be amended or supplemented by instruments adopted by the Council in accordance with the constitution and laws of the State without receipt by the City of any additional consideration and without receipt by the City of any additional consideration and without notice to and consent from the holders of any of the 2022 Bonds, for the purposes of (i) curing any ambiguity or defective or inconsistent provision contained in the Bond Ordinance as the City may deem necessary and desirable and not inconsistent with the provisions of the Bond Ordinance and which shall not materially adversely affect the interests of the owners of the 2022 Bonds or any other Parity Bonds, (ii) subjecting additional properties to the lien of the Bond Ordinance or (iii) amend the provisions of the Bond Ordinance relating to the City's continuing disclosure undertaking.

The foregoing paragraphs are subject to the condition, however, that no such instrument shall have the effect of permitting:

(a) *Changing Payment*. A change in the maturity or in the terms of redemption of the principal of any Outstanding 2022 Bond or any installment of interest thereon; or

(b) *Reducing Return*. A reduction in the principal amount of any 2022 Bond, the rate of interest thereon or any prior redemption premium payable in connection, therewith without the consent of the holder of the 2022 Bond; or

(c) *Prior Lien*. The creation of a lien upon or a pledge of revenues ranking prior to the lien or to the pledge created by the Bond Ordinance; or

(d) *Modifying Any Bond*. A reduction of the principal amount, percentages or otherwise affecting the description of 2022 Bonds the consent of the holders of which is required for any such modification or amendment; or

(e) *Priorities Between Bonds*. The establishment of priorities as between 2022 Bonds issued and Outstanding under the provisions of the Bond Ordinance; or

(f) *Partial Modification*. The modification of or otherwise affecting the rights of the holders of less than all of the 2022 Bonds then Outstanding.

Notice of Amendment. Whenever the Council shall propose to amend or modify the Bond Ordinance, unless otherwise not required it shall cause notice of the proposed amendment to be provided in the same manner specified in the Bond Ordinance (related to notice of prior redemption). Such notice shall briefly set forth the nature of the proposed amendment and shall state that a copy of the proposed amendatory instrument is on file in the office of the Clerk for public inspection.

Time for Amendment. Whenever at any time within one year from the date of the publication or mailing of said notice there shall be filed in the office of the Clerk an instrument or instruments executed by the holders of more than 50% in aggregate amount of the 2022 Bonds then Outstanding, which instrument or instruments shall refer to the proposed amendatory instrument described in said notice and shall specifically consent to and approve the adoption thereof, thereupon, but not otherwise (except where consent is not required as described above), the Council may adopt such amendatory instrument and such instrument shall become effective.

Binding Consent to Amendment. If the holders of more than 50% in aggregate principal amount of the 2022 Bonds Outstanding at the time of the adoption of such amendatory instrument, or if the predecessors in title of such holders, shall have consented to and approved the adoption thereof as provided in the Bond Ordinance, no holder of any bond, whether or not such holder shall have consented to or shall have revoked any consent as provided in the Bond Ordinance, shall have any right or interest to object to the adoption of such amendatory instrument or to object to any of the terms or provisions therein contained or to the operation thereof or to enjoin or restrain the City from taking any action pursuant to the provisions thereof.

Time Consent Binding. Any consent given by the holder of a 2022 Bond pursuant to the provisions of the Bond Ordinance shall be irrevocable for a period of six months from the date of the publication or mailing of the notice above provided for and shall be conclusive and binding upon all future holders of the same 2022 Bond during said period. Such consent may be revoked at any time after six months from the date of the publication or mailing of such notice, by the holder who gave such consent or by a successor in title by filing notice of such revocation with the Clerk, but such revocation shall not be effective if the holders of 50% in aggregate principal amount of the 2022 Bonds Outstanding, as defined in the Bond Ordinance, have, prior to the attempted revocation, consented to and approved the amendatory instrument referred to in such revocation.

Unanimous Consent. Notwithstanding anything contained in the foregoing provisions of the Bond Ordinance, the terms and the provisions of the Bond Ordinance or of any instrument amendatory thereof or supplemental thereto and the rights and the obligations of the City and of the holders of the 2022 Bonds thereunder may be modified or amended in any respect upon the adoption by the City and upon the filing with the Clerk of an instrument to that effect and with the consent of the holders of all the then Outstanding 2022 Bonds, such consent to be given as provided in the Bond Ordinance; and no notice to holders of 2022 Bonds shall be required as described above, nor shall the time of consent be limited except as may be provided in such consent.

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APPENDIX C

BOOK-ENTRY ONLY SYSTEM

DTC will act as securities depository for the 2022 Bonds. The 2022 Bonds will be issued as fully registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered certificate will be issued for each maturity of the 2022 Bonds, in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of 2022 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the 2022 Bonds on DTC's records. The ownership interest of each actual purchaser of each 2022 Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the 2022 Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in 2022 Bonds, except in the event that use of the book-entry system for the 2022 Bonds is discontinued.

To facilitate subsequent transfers, all 2022 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of 2022 Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the 2022 Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such

2022 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of 2022 Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the 2022 Bonds, such as redemptions, tenders, defaults, and proposed amendments to the 2022 Bond documents. For example, Beneficial Owners of 2022 Bonds may wish to ascertain that the nominee holding the 2022 Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the Registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the 2022 Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the 2022 Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts 2022 Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Principal, interest, and redemption proceeds on the 2022 Bonds will be made to Cede& Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the City or the Paying Agent on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent or the City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal, interest or redemption proceeds to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the City or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the 2022 Bonds at any time by giving reasonable notice to the City or the Registrar and Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, 2022 Bond certificates are required to be printed and delivered.

The City may decide to discontinue use of the Facilities of book-entry-only transfers through DTC (or a successor securities depository). In that event, 2022 Bond certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the City believes to be reliable, but the City takes no responsibility for the accuracy thereof.

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APPENDIX D

FORM OF CONTINUING DISCLOSURE CERTIFICATE

$44,140,000
CITY OF BOULDER, COLORADO
(ACTING THROUGH ITS WATER UTILITY ENTERPRISE
AND ITS WASTEWATER UTILITY ENTERPRISE)
WATER AND SEWER REVENUE BONDS
SERIES 2022

This Continuing Disclosure Certificate (the "Disclosure Certificate") is executed and delivered by the City of Boulder, Colorado (the "City")(acting through its Water Utility Enterprise and its Wastewater Utility Enterprise) in connection with the issuance of the Water and Sewer Revenue Bonds, Series 2022, dated as June 1, 2022, in the aggregate principal amount of $44,140,000[#](the "2022 Bonds"). The 2022 Bonds are being executed and delivered pursuant to that certain Bond Ordinance adopted by the City Council of the City on April 2, 2022. The City covenants and agrees as follows:

SECTION 1. Purpose of this Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the City for the benefit of the holders and beneficial owners of the 2022 Bonds and in order to assist the Participating Underwriter in complying with Rule 15c2-12(b)(5) of the Securities and Exchange Commission (the "SEC").

SECTION 2. Definitions. In addition to the definitions set forth in the Indenture or parenthetically defined herein, which apply to any capitalized terms used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"Annual Report" shall mean any Annual Report provided by the City pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

"Dissemination Agent" shall mean any Dissemination Agent designated in writing by the City and which has filed with the City a written acceptance of such designation.

"Fiscal Year" shall mean the period beginning on January 1 and ending on December 31, or such other 12-month period as may be adopted by the City in accordance with law.

"Listed Events" shall mean any of the events listed in Section 5 of this Disclosure Certificate.

"MSRB" shall mean the Municipal Securities Rulemaking Board. As of the date hereof, the MSRB's required method of filing is electronically via its Electronic Municipal Market Access (EMMA) system, which is currently available at http://emma.msrb.org.

"Official Statement" means the final Official Statement prepared in connection with the 2022 Bonds.

"Participating Underwriter" shall mean the original underwriter of the 2022 Bonds required to comply with the Rule in connection with an offering of the 2022 Bonds.

"Rule" shall mean Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934, as in effect on the date of this Disclosure Certificate.

SECTION 3. Provision of Annual Reports.

(a) The City shall, or shall cause the Dissemination Agent to, not later than July 31 following the end of the City's fiscal year, commencing on July 31, 2019, provide to the MSRB (in an electronic format as prescribed by the MSRB), an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. Not later than five (5) business days prior to said date, the City shall provide the Annual Report to the Dissemination Agent (if the City has selected one). The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the City may be submitted separately from the balance of the Annual Report.

(b) If the City is unable to provide to the MSRB an Annual Report by the date required in subsection (a), the City shall, in a timely manner, file or cause to be filed with the MSRB a notice in substantially the form attached to this Disclosure Certificate as Exhibit "A."

SECTION 4. Content of Annual Reports. The City's Annual Report shall contain or incorporate by reference the following:

(a) A copy of its annual financial statements, if any, prepared in accordance with generally accepted accounting principles audited by a firm of certified public accountants. If audited annual financial statements are not available by the time specified in Section 3(a) above, audited financial statements will be provided when and if available.

(b) An update of the type of information identified in Exhibit "B" hereto, which is contained in the tables in the Official Statement with respect to the 2022 Bonds.

Any or all of the items listed above may be incorporated by reference from other documents (including official statements), which are available to the public on the MSRB's Internet Web Site or filed with the SEC. The City shall clearly identify each such document incorporated by reference.

SECTION 5. Reporting of Listed Events. The City shall file or cause to be filed with the MSRB, in a timely manner not in excess of ten (10) business days after the occurrence of the event, notice of any of the events listed below with respect to the 2022 Bonds. All of the events currently mandated by the Rule are listed below; however, some may not apply to the 2022 Bonds.

(1) Principal and interest payment delinquencies;

(2) Non-payment related defaults, *if material*;

(3) Unscheduled draws on debt service reserves reflecting financial difficulties;

(4) Unscheduled draws on credit enhancements reflecting financial difficulties;

(5) Substitution of credit or liquidity providers or their failure to perform;

(6) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the 2022 Bonds, or other material events affecting the tax status of the 2022 Bonds;

(7) Modifications to rights of Certificateholders, *if material*;

(8) Certificate calls, *if material*, and tender offers;

(9) Defeasances;

(10) Release, substitution, or sale of property securing repayment of the 2022 Bonds, *if material;*

(11) Rating changes;

(12) Bankruptcy, insolvency, receivership, or similar event of the obligated person;[*]

(13) The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, *if material*;

(14) Appointment of a successor or additional trustee or the change of name of a trustee, *if material*;

(15) Incurrence of a financial obligation[†] of the obligated person, *if material*, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the City, any of which affect security holders, *if material*; and

(16) Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation[2] of the obligated person, any of which reflect financial difficulties.

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[*] For the purposes of the event identified in subparagraph (b)(5)(i)(C)(12) of the Rule, the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governing body and official or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

[†] For purposes of the events identified in subparagraphs (b)(5)(i)(C)(15) and (16) of the Rule, the term "financial obligation" is defined to mean a (A) debt obligation; (B) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (C) a guarantee of (A) or (B). The term "financial obligation" shall not include municipal securities as to which a final official statement has been otherwise provided to the MSRB consistent with the Rule. In complying with Listed Events (15) and (16), the City intends to apply the guidance provided by the Rule or other applicable federal securities law, SEC Release No. 34-83885 (August 20, 2018) and any future guidance provided by the SEC or its staff.

SECTION 6. Format; Identifying Information. All documents provided to the MSRB pursuant to this Disclosure Certificate shall be in the format prescribed by the MSRB and accompanied by identifying information as prescribed by the MSRB.

As of the date of this Disclosure Certificate, all documents submitted to the MSRB must be in portable document format (PDF) files configured to permit documents to be saved, viewed, printed, and retransmitted by electronic means. In addition, such PDF files must be word-searchable, provided that diagrams, images, and other non-textual elements are not required to be word-searchable.

SECTION 7. Termination of Reporting Obligation. The City's obligations under this Disclosure Certificate shall terminate upon the earliest of: (i) the date of legal defeasance, prior redemption or payment in full of all of the 2022 Bonds; (ii) the date that the City shall no longer constitute an "obligated person" within the meaning of the Rule; or (iii) the date on which those portions of the Rule which require this written undertaking are held to be invalid by a court of competent jurisdiction in a non-appealable action, have been repealed retroactively or otherwise do not apply to the 2022 Bonds.

SECTION 8. Dissemination Agent.

(a) The City may, from time to time, appoint or engage a Dissemination Agent to assist the City in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. If the City elects not to appoint a successor Dissemination Agent, it shall perform the duties thereof under this Disclosure Certificate. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate and any other agreement between the City and the Dissemination Agent.

(b) In addition to the filing duties on behalf of the City described in this Disclosure Certificate, the Dissemination Agent shall:

(1) each year, prior to the date for providing the Annual Report, determine the appropriate electronic format prescribed by the MSRB;

(2) send written notice to the City at least 45 days prior to the date the Annual Report is due stating that the Annual Report is due as provided in Section 3(a) hereof; and

(3) certify in writing to the City that the Annual Report has been provided pursuant to this Disclosure Certificate and the date it was provided.

(4) If the Annual Report (or any portion thereof) is not provided to the MSRB by the date required in Section (3)(a), the Dissemination Agent shall file with the MSRB a notice in substantially the form attached to this Disclosure Certificate as Exhibit A.

SECTION 9. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the City may amend this Disclosure Certificate and may waive any provision of this Disclosure Certificate, without the consent of the holders and beneficial owners of the 2022 Bonds, if such amendment or waiver does not, in and of itself, cause the

undertakings herein (or action of any Participating Underwriter in reliance on the undertakings herein) to violate the Rule, but taking into account any subsequent change in or official interpretation of the Rule. The City will provide notice of such amendment or waiver to the MSRB.

SECTION 10. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the City from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the City chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the City shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 11. Default. In the event of a failure of the City to comply with any provision of this Disclosure Certificate, any holder or beneficial owner of the 2022 Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the City to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Indenture, and the sole remedy under this Disclosure Certificate in the event of any failure of the City to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the City, the Dissemination Agent, the Participating Underwriter and the holders and beneficial owners from time to time of the 2022 Bonds and shall create no rights in any other person or entity.

DATE: June 1, 2022

CITY OF BOULDER, COLORADO

By:_____
Chief Financial Officer

EXHIBIT "A"

NOTICE OF FAILURE TO FILE ANNUAL REPORT

Name of City:	City of Boulder, Colorado (acting through its Water Utility Enterprise and its Wastewater Utility Enterprise)
Name of Certificate Issue:	Water and Sewer Revenue Bonds, Series 2022
Date of Issuance:	June 1, 2022
CUSIP Number:	10146HMY9

NOTICE IS HEREBY GIVEN that the City has not provided an Annual Report with respect to the above-named 2022 Bonds as required by the Continuing Disclosure Certificate dated June 1, 2022. The City anticipates that the Annual Report will be filed by _____.

Dated: _____, _____

CITY OF BOULDER, COLORADO

EXHIBIT "B"

OFFICIAL STATEMENT TABLES TO BE UPDATED

See page iv of the Official Statement

NOTE: The information to be updated may be reported in any format chosen by the City; it is not required that the format reflected in this Official Statement be used in future years.

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APPENDIX E

FORM OF BOND COUNSEL OPINION

June 1, 2022

$44,140,000
CITY OF BOULDER, COLORADO
(ACTING THROUGH ITS WATER UTILITY ENTERPRISE
AND ITS WASTEWATER UTILITY ENTERPRISE)
WATER AND SEWER REVENUE BONDS
SERIES 2022

We have examined the Charter and Enterprise Ordinance of the City of Boulder, Colorado (the "City"), in the County of Boulder and the State of Colorado (the "State"), and a certified copy of the transcript of proceedings of the City relating to the issuance by the City (Acting through its Water Utility Enterprise and its Wastewater Utility Enterprise) of its Water and Sewer Revenue Bonds, Series 2022 (the "2022 Bonds"). The 2022 Bonds are executed and delivered in the aggregate principal amount of $44,140,000 and are dated, bear interest at the rates and mature on the dates provided in the Ordinance (as defined below). The 2022 Bonds are executed and delivered solely as fully registered bonds in the denomination of $5,000 or any integral multiple thereof. The 2022 Bonds are subject to optional redemption prior to maturity as provided in the Ordinance.

The 2022 Bonds have been issued under and pursuant to the Constitution and laws of the State, including particularly the Charter of the City, the Enterprise Ordinance, an emergency ordinance adopted by the City on April 5, 2022, as supplemented by the Sale Certificate dated June 1, 2022 (collectively, the "Ordinance") and the City's Resolution adopted on April 19, 2022 authorizing the public sale of the 2022 Bonds and approving the form of the Notice of Bond Sale (the "Resolution"), for the purpose of providing funds to (a) construct, acquire, improve and equip certain treatment and transmission facilities in the City's water system and sewer system; (b) purchase a reserve fund surety bond for the Reserve Fund (defined below); and (c) pay all necessary, incidental and appurtenant expenses in connection therewith, including the costs of issuance of the 2022 Bonds.

In our opinion, the proceedings show lawful authority for the issuance of the 2022 Bonds. The Ordinance and the Resolution have been duly adopted by the City Council of the City and are in full force and effect in the forms in which finally adopted as of the date hereof.

We have also examined an executed form of bond of said issue of 2022 Bonds and have found it to be in proper form and executed by the proper officers of the City. In our opinion, based upon our examination as set forth above, the 2022 Bonds constitute valid and legally binding special obligations of the City enforceable in accordance with their terms, payable, as to principal and interest, out of the Net Income (as defined in the Ordinance) of the City's water and sewer systems (collectively, the "Facilities"), which Net Income is pledged therefor. As security for such payment, there are irrevocably pledged the following special funds: a fund designated as "City of Boulder, Colorado, Water and Sewer Revenue Bonds, Series 2022 Interest and Bond Retirement Fund" (the "Bond Fund") and a fund designated as "City of Boulder, Colorado, Water and Sewer Revenue Bonds, Series 2022 Reserve Fund (the "Reserve Fund"). The City has covenanted to pay into the Bond Fund from the Net Income derived from the

Facilities (which Net Income consists generally of the Gross Income derived from the operation and use of the Facilities less operations and maintenance expenses other than depreciation and amortization as more fully set forth in the Ordinance), sums sufficient to pay when due the principal and interest on the 2022 Bonds. The 2022 Bonds constitute an irrevocable and first lien (but not necessarily an exclusive first lien) upon the resulting Net Income derived from the Facilities.

The Reserve Fund shall be funded in an amount equal to the Minimum Bond Reserve, as defined in the Ordinance, by a debt service reserve fund insurance policy (the "2022 Reserve Policy") issued by Build America Mutual Assurance Company (the "2022 Reserve Policy Provider"). In the Ordinance, the City has authorized the execution and delivery of a Debt Service Reserve Agreement, dated June 1, 2022 (the "2022 Reserve Policy Agreement"), by and between City (acting through its Water Utility Enterprise and its Wastewater Utility Enterprise) and the 2022 Reserve Policy Provider. Based upon our examination of the 2022 Reserve Policy Agreement and the Ordinance, we are of the opinion that (a) the 2022 Reserve Policy Agreement has been duly authorized, executed and delivered by the City and, assuming the due authorization, execution and delivery by 2022 Reserve Policy Provider, represents the valid and legally binding agreement of the City enforceable in accordance with its terms; and (b) the 2022 Reserve Policy constitutes a debt service reserve fund insurance policy under the Ordinance.

The obligations of the City contained in the Ordinance and the 2022 Reserve Policy Agreement may be subject to general principles of equity which may permit the exercise of judicial discretion, are subject to the reasonable exercise in the future by the State and its governmental bodies of the police power inherent in the sovereignty of the State and its governmental bodies of the police power inherent in the sovereignty of the State, are subject to the provisions of applicable bankruptcy, insolvency, reorganization, moratorium or similar laws relating to or affecting creditors' rights generally, and are subject to the exercise by the United States of America of the powers delegated to it by the federal constitution.

It is also our opinion that under existing laws, regulations, ruling and judicial decisions, and assuming the accuracy of certain representations and continuing compliance by the City with certain covenants, interest on the 2022 Bonds is excludable from gross income for federal income tax purposes, and is not a specific preference item for purposes of the federal alternative minimum tax. The inaccuracy of such representations or failure to comply with such covenants could cause interest on the 2022 Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the 2022 Bonds.

It is also our opinion that, to the extent interest on the 2022 Bonds is excludable from gross income for federal income tax purposes, such interest is excludable from gross income for Colorado income tax purposes and from the calculation of Colorado alternative minimum taxable income

The accrual or receipt of interest on the 2022 Bonds may otherwise affect the federal income tax liability of the recipient. The extent of these other tax consequences will depend upon the recipient's particular tax status or other items of income or deduction. We express no opinion regarding any such consequences.

The opinions expressed above are based upon existing legislation as of the date thereof, and we express no opinion as of any date subsequent hereto or with respect to any pending legislation.

Respectfully,

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APPENDIX F

FORM OF SPECIMEN MUNICIPAL BOND DEBT SERVICE RESERVE INSURANCE POLICY

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MUNICIPAL BOND DEBT SERVICE RESERVE INSURANCE POLICY (SA)

ISSUER: [NAME OF ISSUER]

MEMBER: [NAME OF MEMBER]

BONDS: [Bonds]

MAXIMUM POLICY LIMIT: $_____

Policy No: _____

Effective Date: _____

Risk Premium: $_____

Member Surplus Contribution: $_____

Total Insurance Payment: $_____

SPECIMEN

BUILD AMERICA MUTUAL ASSURANCE COMPANY ("BAM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") for the Bonds named above under the Security Documents, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

BAM will make payment as provided in this Policy to the Trustee or Paying Agent on the later of (i) the Business Day on which such principal and interest becomes Due for Payment and (ii) the first Business Day following the Business Day on which BAM shall have received a completed Notice of Nonpayment in a form reasonably satisfactory to it. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by BAM is incomplete, it shall be deemed not to have been received by BAM for purposes of this paragraph, and BAM shall promptly so advise the Trustee or Paying Agent who may submit an amended Notice of Nonpayment.

Payment by BAM to the Trustee or Paying Agent for the benefit of the Owners shall, to the extent thereof, discharge the obligation of BAM under this Policy. Upon disbursement under this Policy in respect of a Bond and to the extent of such payment, (a) BAM shall become the owner of such Bond, any appurtenant coupon to such Bond and right to receipt of payment of principal of or interest on such Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under such Bond and (b) BAM shall become entitled to reimbursement of the amount so paid (together with interest and expenses) pursuant to the Security Documents and Debt Service Reserve Agreement.

The amount available under this Policy for payment shall not exceed the Policy Limit. The amount available at any particular time to be paid to the Trustee or Paying Agent under the terms of this Policy shall automatically be reduced by and to the extent of any payment under this Policy. However, after such payment, the amount available under this Policy shall be

reinstated in full or in part, but only up to the Policy Limit, to the extent of the reimbursement of such payment (after taking into account the payment of interest and expenses) to BAM by or on behalf of the Issuer. Within three (3) Business Days of such reimbursement, BAM shall provide the Trustee or the Paying Agent with Notice of Reinstatement, in the form of Exhibit A attached hereto, and such reinstatement shall be effective as of the date BAM gives such notice.

Payment under this Policy shall not be available with respect to (a) any Nonpayment that occurs prior to the Effective Date or after the end of the Term of this Policy or (b) Bonds that are not outstanding under the Security Documents. In no event shall BAM incur duplicate liability for the same amounts owing with respect to the Bonds that are covered under this Policy and any other BAM issued insurance policy.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "**Business Day**" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent (as hereinafter defined) are authorized or required by law or executive order to remain closed. "**Debt Service Reserve Agreement**" means the Debt Service Reserve Agreement, dated as of the effective date hereof, in respect of this Policy, as the same may be amended or supplemented from time to time. "**Due for Payment**" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity (unless BAM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration) and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "**Nonpayment**" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment made to an Owner by or on behalf of the Issuer of principal or interest that is Due for Payment, which payment has been recovered from such Owner pursuant to the United States Bankruptcy Code in accordance with a final, nonappealable order of a court having competent jurisdiction. "**Notice**" means delivery to BAM of a notice of claim and certificate, by certified mail, email or telecopy or other acceptable electronic delivery, from and signed by the Trustee or the Paying Agent, which notice shall be in a form and substance satisfactory to BAM and shall specify and include (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount, (d) payment instructions, (e) the date such claimed amount becomes or became Due for Payment, (f) representations and agreements regarding the assignment and subrogation rights of BAM, and (g) such other provisions as BAM may reasonably require. A form of such Notice can be obtained from BAM upon request. "**Owner**" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer, the Member or any person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds. "**Policy Limit**" means the lesser of (i) Maximum Policy Limit set forth above and (ii) the dollar amount of the debt service reserve fund (or the portion thereof) required to be maintained for the Bonds by

SPECIMEN

the Security Documents from time to time (the "Reserve Account Requirement"). The Policy Limit shall automatically and irrevocably be reduced from time to time by the amount of each reduction in the Reserve Account Requirement applicable to the Bonds, as provided in the Security Documents. "**Security Documents**" means any resolution, ordinance, trust agreement, trust indenture, loan agreement and/or lease agreement or any similar document and any additional or supplemental document executed in connection with the Bonds. "**Term**" means the period from and including the Effective Date until the Termination Date. "**Termination Date**" means the earlier to occur of (i) the date on which the Bonds are no longer outstanding under the Security Documents and (ii) _____ [date].

BAM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee and the Paying Agent specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee and the Paying Agent, (a) copies of all notices required to be delivered to BAM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to BAM and shall not be deemed received until received by both and (b) all payments required to be made by BAM under this Policy may be made directly by BAM or by the Insurer's Fiscal Agent on behalf of BAM. The Insurer's Fiscal Agent is the agent of BAM only, and the Insurer's Fiscal Agent shall in no event be liable to the Trustee, Paying Agent or any Owner for any act of the Insurer's Fiscal Agent or any failure of BAM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, BAM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to BAM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy. This Policy may not be canceled or revoked.

This Policy sets forth in full the undertaking of BAM and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW. THIS POLICY IS ISSUED WITHOUT CONTINGENT MUTUAL LIABILITY FOR ASSESSMENT.

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In witness whereof, BUILD AMERICA MUTUAL ASSURANCE COMPANY has caused this Policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL
ASSURANCE COMPANY

By: _____
Authorized Officer

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Notices (Unless Otherwise Specified by BAM)

Email:
claims@buildamerica.com
Address:
200 Liberty Street, 27th floor
New York, New York 10281
Telecopy: 212-235-1524 (attention: Claims)

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NOTICE OF REINSTATEMENT

[DATE]

[TRUSTEE][PAYING AGENT]
[INSERT ADDRESS]

Reference is made to the Municipal Bond Debt Service Reserve Insurance Policy, Policy No. _____ (the "Policy"), issued by Build America Mutual Assurance Company ("BAM"). The terms which are capitalized herein and not otherwise defined shall have the meanings specified in the Policy, or if not defined therein, in the Debt Service Reserve Agreement.

BAM hereby delivers notice that it is in receipt of payment from the [Issuer], or on its behalf, pursuant to the Debt Service Reserve Agreement and, as of the date hereof, the Policy Limit is $_____, subject to reduction as the Reserve Account Requirement for the Bonds is reduced in accordance with the terms set forth in the Security Documents.

BUILD AMERICA MUTUAL
ASSURANCE COMPANY

By: _____
Name:
Title:

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